

KEI Industries Ltd. (KEI)

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KEVBSE/2022-23 Date: 02.08.2022

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Sub: Disclosure pursuant to Regulation 46(2)(0a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 46(2)(0a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the quarter ended 30th June, 2022 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/investor-relations/corporate-governance/conference-call-transcripts/>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

For KEI INDUSTRIES LIMITED

Kishore Kunal)

AVP ((Finance) & Company

(KISHORE KUNAL)

AVP (Corporate Finance) & Company Secretary

cc:

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KEI Wires & Cables

"KEI Industries Limited Q] FY-23 Earnings

Conference Call"

July 27, 2022

FEET gmonarch—_---- Wires & Gables f NETWORTH CAPITAL

MANAGEMENT: MR. ANIL GUPTA —CHAIRMAN—CUM- MANAGING

DIRECTOR, KEI INDUSTRIES LIMITED.

MR. RAJEEV GUPTA — ED (FINANCE) & CHIEF

FINANCIAL OFFICER, KEI INDUSTRIES LIMITED.

MODERATOR: MR. RAHUL DANI— MONARCH NETWORTH CAPITAL

LIMITED

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KEI Wires & Cables

Moderator:

Rahul Dani:

Anil Gupta: KEI Industries Limited

July 27, 2022

Ladies and gentlemen, good day and welcome to the KEI Industries Limited Q1 FY23 Earnings

Conference Call hosted by Monarch Network Capital. As a reminder to all participant lines will

be in the listen only mode, and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference 1s

being recorded. I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you and over to you, sir.

Thank you, Anju. Good afternoon, everyone. We are pleased to host the senior management team of KEI Industries today. And we have with us Mr. Anil Gupta — Chairman and Managing Director of the Company and Mr. Rajeev Gupta ED & CFO of the Company. We start the call with initial remarks from the management followed by Q&A. Thank you and over to you sir.

Good afternoon, everybody. Thank you very much for taking our time for this conference call. I'm Anil Gupta, Chairman and Managing Director of the Company. So, I'll give a brief about the performance of Q1. In Q1 of financial year 22-23 the Company has achieved a

net sales of

1565.41 crores against Rs.1017.56 crores in the same quarter last financial year. So, the growth in net sales is 53.84%. EBITDA in this quarter is Rs.163.16 crore. So, this has led to a growth of 40.05% compared to previous quarter of the last year. EBITDA/ net sales margin is 10.42% as against 11.45% in the same period previous year. Profit after tax this quarter is Rs.103.76 crore against Rs.67.12 crore. Growth in the profit after tax is 54.59%. PAT/ net sales margin has improved to 6.63% from 6.6% last year same period.

The total domestic and international sale through the B2B is around 49% of the total sales. Domestic Institutional Cable sale of high tension and low tension cable is 472 crore in the first quarter against Rs.414 crore last to last year, growth is approximately 14.06%. However, the Domestic Institutional cable fell off extra high voltage cable is Rs.100 crore in the first quarter against Rs.29 crore in the previous year same period. Exports sale of the cable in this quarter is Rs.247 crore against Rs.93 crore. The growth in the export sale is approximately 167%. The sales through distribution network which is B2C was Rs.652 crore in the first quarter against Rs.387 crore in the last year same quarter the growth is approximately 68%. We are continuously in the process of strengthening our dealer/ distribution network and the total active working dealer of the Company as on 30th June 2022 was 1800.

The distribution, sales through distribution network contributed approximately 42% in the first quarter against 38% in the last year same period. EPC sales, engineering procurement construction project sale other than cable is Rs.84 crore, as compared to Rs.86 crore almost flat. Out of the total sales of EPC the extra high voltage EPC is 36 crore in this total Rs.84 crore sales. The sales of stainless-steel wire in the Q1 of FY2021 is Rs.61 crore against Rs.48 crore same period last year. Growth is approximately 26%.

Pending order as on 23rd July 2022 is approximately Rs.2741 crore. And besides that, we are L1 in another Rs.229 crore worth of orders, which are expected shortly. In this Rs.2741 crore

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the EPC order for 878 crore, which is basically Nepal ADB funded project and Gambia World Bank funded project.

Extra high voltage cable projects is 353 crores, the domestic cable orders pending are 1428 crore and export orders of cables are 82%. The 42% sale which the Company is doing through KEI retail network or distribution network, we do not add up any orders in the order book because these orders come and execute it from the stock or executed within a week to 15 days. So, we do not add them into the pending order. The India Rating and Research has upgraded and assigned IND AA/stable rating to long term bank facilities from IND AA- and reaffirmed the IND A1+ rating to short term bank facilities and commercial paper availed by the Company. The book value of the Company per equity share is Rs.248.62 as on 30th June 2022 as against Rs.236.98 as on March 31, 2022.

The total borrowing including channeled finance as on 30th June is Rs.88 crore. Sorry, total borrowing is Rs.101 crore and cash and bank balances of Rs.172 crore as on 30th June, 2022 as against total borrowing of Rs.331 crore and cash bank balances is of 360 crore as on 31st March 2022. Acceptance creditors as on 30th June is Rs.103 crore as against Rs.299 crore as on 31st March 2022. So, the net debt including acceptances of LC has reduced to Rs.32 crores as on 30th June as against Rs.270 crore as on 31st March 2022 and Rs.336 crore as on 30th June 2021. During this quarter finance cost has decreased to Rs.9.23 crore as against Rs.11.42 crore previous year same period. Percentage of the financial charges on net sales has decreased this period to 0.59% from 1.12%. So, the Company has used operating cash flows for cash purchases

resulting into reduction of trade payables acceptances and substantially by Rs.195 crore.

As future outlook, as communicated earlier working capital of approximately Rs.100 crore is expected to be released during financial year 22-23 from EPC data retention money which will be used for increased sale of B2B and B2C sales of the Company and as well as the CAPEX requirement of the current financial year. So, the Company will be having sufficient cash flow to meet its working capital and growth requirements in the future. We are aiming of increasing the sales through distribution network by approximately 30% to 35% this year, so as to achieve a projected 16% to 17% overall turnover growth in this financial year. The capacity utilized

during Q1 financial year to 22 to 23, 78% cable in cable division, 65% in house wire division and 80% in stainless steel wire division. So, Company has already has capacity in place to achieve growth for the next financial year by the time new capacity mean will also be available. The Company expects to have a CAPEX of approximately capital expenditure of approximately Rs.200 crore to Rs.250 crore for next three years to maintain a CAGR growth of 17% to 18% per annum, as against achieved CAGR of 15% during last 15 years. And that's the outlook, we see a strong growth in the infrastructure segment, especially from power generation, through solar and wind and other energy sources, transmission and distribution and industrial sector like steel, aluminium, cement, fertilizer and refinery expansions, which are underway at the moment. And also the government's emphasis on infrastructure development projects such as national

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Naval:

Management:

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infrastructure pipeline in important areas such as energy, railway, metros, construction, road and highways, building projects, hospitals, ports and airports and modernization among others. Increasing government attention and funding support for rural and railway electrification projects. And higher and more efficient transmission and distribution infrastructure is also attracting good demand for underground cables. So, this is from management side, you are requested to raise any queries, we'll be happy to answer the same. Thank you.

Thank you. We will now begin the question-and-answer session. The first question is from the line of Naval from Emkay Global. Please go ahead.

Couple of questions. First, you stated in your opening remarks that target 1s for 30%, 35% distribution expansion and this number for revenue to achieve that 16%, 17% revenue growth is for consolidated 1f I'm not mistaken, is that correct?

Yes.

And sir, because if I look at, you had guided for 16%, 17% revenue growth at the end of June also in one of your media interview and since then, commodity prices have seen a sharp correction. So, you still see this number achievable because of the strong volume growth outlook?

Yes, we still feel that this number will be achievable.

Because we are having sufficient order book position.

Okay, understood. Second in terms of the land parcel acquisition, Rajeev last time, you had stated that almost 35% of the total land parcel has been kind of acquired, can you give some update on that, what is the status and progress over there?

It will take further more one, one and a half month move to acquire the full land, because agricultural land they are taking some time, but we are in the process and definitely we will do expenditure in this financial year.

And there is no delay because of this one, one and a half month delay on capacity expansion?

No, because in these kind of projects one to three months delay, is not a delay but for the capacity expansion Anilji has taken a step further ahead, because in our Silvassa plant, we are putting a low tension power c

able facility there, where our house ware unit is there, so that for the coming financial year and last quarter of this financial year, the growth momentum can be maintained from there itself. So, we are taking care for the growth of 17% to 18% in the next financial year also.

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Naval:

Rajeev Gupta:

Naval:

Rajeev Gupta:

Moderator:

Parin Gala:

Management:

Management:

Parin Gala:

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Parin Gala:

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Understood. And on the balance sheet, as you rightly stated on retention money recovery and other aspects which have been benefiting you on working capital aspect. So, the current net debt number of 1Q is that fair to assume that should be the ongoing run rate going forward as well because cash generation will be enough for CAPEX as well as working capital?

Yes, that's right. We are already having the +170 crore fixed deposit in our account. So, whatever CAPEX requirement that fund has already been accumulated, so, there will not be any further requirement from any loan or etc. Loan has already been nil, that working capital loan has already been paid full. Only the 13 crore term loan is outstanding, which will be repaid in the next three quarters. So, by March 23 all the term loan will also be repaid because this is external commercial borrowings. So, we cannot pay it early that is why it is there in the books. Got it. And sir lastly, if you can repeat your order book breakup, I missed couple of numbers there.

Order book number is 2741 crore in which EPC order book is 878 crore and extra high voltage power cable order book is 353 crore and cable low tension high tension and other cable domestic order from institution is Rs.1428 crore and export order of cable is close to Rs.82 crore. Apart from this extra high voltage power cable we are L1 in 229 crore order book. So, we include this and it will be closer to 3000 crore order book.

Thank you. Next question is from the line of Parin Gala from SageOne. Please go ahead.

Sir, the export number for steel is that 193 crores and Y-o-Y it's very large. So, is it just cyclicity, the last quarter being COVID affected the numbers were lower or this was a steady number of something one off has happened in exports?

It is not on the quarterly number we should assume anything, sometimes the order is to be deliverable in a particular quarter. So, we have to deliver in this quarter itself, but normally the composition of the exports will be 10% to 12% of the total profit and loss.

So, we expect the total export on the full year basis between 700 to 750 crores.

Okay, so is it order book based on this generally on even on a spot basis where you do selling? Order book.

Okay. And sir lastly again, the CAPEX number which you mentioned of 200 to 250 crore this will be over and above the retail investment which will happen of about 600, 700 crore which was mentioned earlier, is my understanding correct?

In the new projects which are going to be happening in the Gujarat region, when in we are acquiring the land, there the investment size on a per annum basis will be 200 to 250 crore for next three to four years.

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Moderator:

Rahul Agarwal:

Management:

Management:

Rahul Agarwal:

Management:

Rahul Agarwal:

Management:

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Thank you. Next question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Few questions from my side. Firstly, your peers Havells when we talk about Polycab they saw some kind of destocking during the quarter, could you share your own experience between across your cable and wire segments, what was the experience with KEI, how did the channel behave, what is the channel inventory right now, and copper obviously, last two weeks has bounced back again by 10%. How do you see in second quarter, third quarter panning out in terms of demand, t

hat's my first question.

Rahul, thank you for that. First of all, copper is always fluctuating, sometimes it's a more fluctuating, sometime little bit in the range-bound fluctuation. So, last year, there was a the full year which was increasing. Now, again, it has come to the situation where copper will increase or decrease in a particular quarter. So, it will increase also, it will decrease also though these momentum we are seeing since last so many years so we are used to it. With regard to the destocking in the channel. Sometimes people are worried about the more of the copper going down. So, sometimes they are holding the position for 8, 10 days. So, it will not impact much because everybody has the inventory of 15 days with each dealer, distributor. So, they are

playing with that inventory and by that time the price stable and they again start buying. Rahul you are right that some destocking has taken place, because it is very natural when the prices are unstable and going down naturally anybody will not stop they will take the material whatever is immediately needed by actual customers. But we have not seen very big impact of this in the first quarter and we are trying to revise and adjust our list prices as soon as possible so that the scale is far maintained.

Got it sir. So, to understand it correctly, the channel inventory right now should be pretty low and it should be a pickup in second quarter, is that the way to understand?

Yes, it should be very good.

Okay, got it sir. But we couldn't see your numbers have not really fluctuated in the first quarter been very stable for KEI so that is why I was wondering that destocking didn't really impact KEI versus the other player actually reported lot of de-growth, any specific reason for this?

See the companies who are very heavy in retail, they are impacted more like Havells or PolyCab. We are also now going heavy on retails for maybe in future we may face the same problem, but at the moment we have not faced.

Rahul nobody has been impacted everybody got growth. This is not the case where they have not grown, they have also grown in the first quarter.

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Rahul Agarwal:

Management:

Rahul Agarwal:

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Rahul Agarwal:

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Rahul Agarwal:

Management:

Moderator:

Tanush Mehta: KEI Industries Limited

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Yes, for sure I understand where you're coming from. So, I'll move ahead to my second question, on the CAPEX, sir I just need a recap on the entire Baroda CAPEX this 200, 250 crores per year we have broadly talking about 800 crores of CAPEX in total for the project between that could you help me break down into what is the land cost and what is going to be the construction plus the machine cost just to get a clear opinion how much is maintenance CAPEX for the Company every year and how much is Baroda CAPEX in total and you spend obviously 200, 250 every year but, if you could help me understand the project cost better will really help.

So, our maintenance CAPEX in our Company is hardly 20 to 25 crore in a year that is number one. The project cost for the new project costs it will be decided only once the land is fully acquired, because construction cost will depend on how many acre we have acquired. But overall, in our industry the CAPEX ratio is 1:5 so we want to create a 4000 to 4005 crore, 4500 crore sale from there. So, that we are in resizing investment of 800 crore over there. Put together all, the land cost will not be more than 50 to 60 crores because it's agriculture land so land cost is less amount.

Got it sir, that really helps. Sir could you help with volume growth number for cable and wire segment for this quarter, the revenue growth was 61%, how much was volume?

Volume growth for the, the metal has grown by 27%, Aluminium and copper put together.

This is Y-o-Y right?

Yes, it's Y-o-Y.

And you are talking about aluminium copper

consumption for first quarter?

Correct, first quarter yes.

Okay, got it. And lastly just a follow up on exports. As you said you are targeting 10% to 12% and this quarter number looks high and 700 to 750 crores for the full year as Anil said, overall how does the pipeline look like, is there anything happening for certain geography where we would see something like a Dakota happening again, where you could see a very large number or it's right now pretty steady state?

No. Nothing sort of Dakota happening now, so it will be the sale export to our regular and stable customers.

Thank you. Next question is on the line of Tanush Mehta from JM Financials. Please go ahead.

Sir, I have a couple of questions. The first question is, do we have some kind of hedging policy in our wires and cables business or an overall Company level?

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Management:

Tanush Mehta:

Management:

Tanush Mehta:

Management:

Moderator:

Akshay Kothari:

Management:

Akshay Kothari: KE] Industries Limited

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No, we are not hedging we are under natural as we have communicated earlier also because we are having three to four months pending order position from the domestic distribution side and close to two to two and a half months we are carrying inventory in our shop floors. So, that is under natural hedge actually.

Okay. Sir, my second question is that, when we see our business between the dealer and the institution part how difficult or easy or how do you define the lag in which a price increase can be passed on in both the cases or the price increases at the same time?

In case of B2B sale, whenever we are making an offer to anybody it is based on the current prices and also the forward looking outlook that what do we perceive as a buy situation during the validity period of the offer, maybe the validity period is one week or 15 days. In case of utilities whenever we are making tender 80% to 90% tenders are on the price variation basis and only 15%, 20% are on firm prices basis, so that much of inventories we are always carrying. So, the validity period normally we are maintaining within 15 days to one month. So, far as distribution network is concerned, in case of cable we are adjusting the prices on every two weeks basis, fortnightly basis and so is the house wire are flexible?

Okay. And sir just a last question. So, we've seen a lot of traction in the renewable sector that's, catching a lot of pace and a lot of power companies and etc. putting up a good money there. So, actually how much content of wires and cables or maybe from our order book how much of our sales are we seeing there, or is there any inquiry coming from that end or what is the potential from that sector?

We are having substantial sale to all the solar power developers who are setting up their projects, either to them directly or through the EPC contractor who are constructing their projects. So, I can't give you immediately any number that how much is it out of solar, but we can take it out and send it to you later, but at the moment, I cannot tell you exact number, but the sales to solar companies are substantial.

Thank you. Next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Sir, what would be our channel finance as a percentage of retail sales currently with recourse and without recourse collectively?

Almost 60%, 65% is under channel finance.

Okay. And I am assuming that our with recourse has come down because without recourse has increased I guess?

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Management:

Akshay Kothari:

Management:

Akshay Kothari:

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Akshay Kothari:

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Sanjay Dam:

Management:

Sanjay Dam:

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Yes. So, now the limit was set up with the banks were in we are recourse of in one bank is 50%, in another is 30%, in few bank it is 100%. So, as a whole recourse will be clo

se to 60% on an average.

Okay. And what would be the percentage of RMC, like copper aluminium and can you give the breakup if possible?

It depends on the order to order actually because sometimes the copper order is more, sometimes aluminium order is more like in this quarter we consumed around 18,109 tonne aluminium and copper out of which copper was 7909, and aluminium was 10,200 metric tonne.

Okay, that's it. And sir this release of 100 crore working capital, when is it expected in which quarter?

In the whole financial

Okay. And sir lastly on the retail revenue growth side we have seen that there has been significant jump in the retail and focuses on B2C. So, how has this journey been and what were the triggers and how could we, is it only because of our distributorship increase and what were the steps which we had taken and going forward, how do we plan to grow this you have given a guidance of 30% to 35%.

It is a whole mix of strategy when you want to grow some section or vertical of the business it includes an efficient marketing team close to the region and stocking points where you can deliver fast, then business development activity who are censored or specifier in that area. So, that our teams are connected to them, who are doing description of cables in their tender documents or who so ever is buying it. Dealer is only at front, so ultimately a whole lot of business development activity has to be carried out to enable them to sell. So, it is a complete strategy and management of the dealer and prevailing surrounding to enable the same.

Thank you. Next question is from the line of Sanjay Dam from Old Bridge Capital. Please go ahead.

Sir, did I hear right you gave a guidance of 17%, 18% kind of top line growth in the context of lower commodity prices is that correct?

Yes, we are trying for that only.

Right, no I just thought I'll confirm it.

We will try more to increase the volume so that we maintain 17%, 18% growth.

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Sanjay Dam:

Management:

Sanjay Dam:

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Management:

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So, the second question that brings me to the second question is that, what would be a reasonable aspiration to have in terms of market share gain in the next two, three years probably you could put it in the context of the last two, three years, five years and the next five years?

Market share continuously definitely in the houseware segment we were very small player. Now, we have reached to the level of 6%, 6.5% market share and the unorganized sector market share is shrinking year-on-year basis, every year 1.5% to 2% market share of unorganized sector is shrinking. Apart from this small companies those who are in the range of 300 to 500 crore small companies, few are listed, few are unlisted, they are also struggling with the working capital and they are not having that kind of management bandwidth which the KEI is having. So, because of all these factors, where in now KEI is having sufficient working capital we have reduced the debt. So, we are more focusing on increasing the market share year-on-year basis. In last 15 years, our growth of the Company is close to 15% wherein all ups and down in the market was there. So, in future next five years' time we have taken a target we should grow at least 17% to 18% CAGR. Because earlier growth was with the EPC, now we are reducing the EPC and we are growing in the same fashion. But it is mainly because of the buyer and cable segment the market share we are able to take.

And if I look at your commentary for last two, three years, you'll have outlined your retail strategy and things have worked out quite well. Could you give us some sense of how the next three, four years is going to be. So, from a base perspective I understand, it won't be probably, that difficult. But how do you kind of like to, would you be more concentrating on the larger urban areas or you'd

like to kind of spend more in proportion to how your geographical presences is, if you could give some sense on that?

Definitely, we are putting our best efforts to increase our geographical footprint because then we target the larger area of delivery, the sales comes from white spaces where we were not present. So, that gives you extra revenue without stretching a particular market. So, definitely we are taking all steps for improving the sales in the existing areas where we are strong by putting more business development activity and also in the areas where we were not present and we were however weak. So, we are strengthening our geographical footprint.

And as we have mentioned that the 30%, 35% growth, at least for three years from here, we will be looking from the dealer distributor segments. So, that kind of guidelines, we have set in, that kind of infrastructure and the manpower we are engaging in that kind of growth from the dealer distributor market.

Yes, see the context actually from which I was coming is that the larger centers and larger tier one cities and the next may be 25 or 50 cities and the next 100 towns, they have some sort of a

differentiated profile of buyers. And as you go deeper into the hinterland, the nature of distributors and the clients, both of them change. So, they could be larger in number, but maybe lower ticket size. So, having traveled quite a reasonably successful journey so far, do you think

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Management:

Sanjay Dam:

Management:

Sanjay Dam:

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Moderator:

Shrinidhi Karlekar:

Management:

Shrinidhi Karlekar:

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Shrinidhi Karlekar:

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that your next leg of journey in the retail strategy would be any different from what you have done in the last seven, eight years?

We say that the top cities is still we have not covered fully, at least for two, two and a half years we will be covering those cities first, because that's why we are targeting a 30%, 35% growth in the coming three years time. Apart from that, then we will be focusing to the rural part or the town side of the country. Lot many things to do because at present we are having only 1800 dealer distributor, we have to double this dealer distributor strength in next three years' time. So, when you double that, so would you say that the top 50 cities and towns in this country have the bandwidth of doubling your distributor base, in whatever timeframe it takes?

We are working on the number at one side. Second side we are working on the geography to be covered, then we will be covering the rural sector. So, it is at least three years away in our strategy to covering the rural segment.

But your doubling of distributors would kind of take how much time?

Mainly three years, so because of that we are saying that at least 30%, 35% growth we will be maintaining year-on-year basis.

Thank you. Next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

Sir you gave a good guidance on revenue growth for this year as well as medium term. Would it be possible to share some guidance on margin for this year as well as medium term?

Sir margin in our industry, in our Company we are close to 10.5% to 11% range we are there.

Last year also in spite of so much volatility we were able to close over margin close to 10.5%.

This year also we will be in the range bound 10.5% to 11%.

Okay. And isn't retail contributing more to your overall business mix should support margins in medium term, or it's unlikely to happen?

Please repeat your question because something we have missed.

Yes, I was just wondering your contribution from the retail segment is increasing. So, just wondering, can't that help you in doing better margin than what you've done in the past?

No, it is already helping us, but volatility of the material which was sharp this last one year, whether it is upward or whether it is do

wnward. So, in that case there is a certain things it is not manageable, but if these situations does not arise and the normal fluctuations are there, then definitely the margin will be much, much more because our expenses versus percentage has already come down. So, because of that we are hopeful that the margin will not be difficult to maintain.

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Shrinidhi Karlekar:

Management:

Shrinidhi Karlekar:

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Shrinidhi Karlekar: KEJ Industries Limited

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Okay. But isn't like there should be like as the volatility kind of reduces is there a scope to do higher than 10.5% and 11% margin?

Definitely.

Okay, great. And sir second is on the EHV segment opportunity I just want to know how large is the Indian EHV cable market and how much of that demand is actually served by the import of the cable?

See EHV market at the moment I believe is close to 3000 crore a year and so far as imports are continuously vanishing now, because up to the highest level of voltage grade like up to 400 KV we are manufacturing and we have executed the projects. We are focusing that no utility should import the cables. If some import is coming up in some package or some overall project constitution that maybe there but we are not really aware of we are really focusing that it should be done by Indian manufacturers.

Okay. And correct me if I'm wrong, there are two players in the Indian domestic market who services EHV demand is that right?

No, apart from us it is the Universal Cable who is significantly working on this, but one player is more like LS Cable, etc. who are also doing EHV cables which is a Korean Company set up a factory in India.

Okay. And this 3000 crore odd compares with about 500 crores what KEI did last year right?

Correct. Actually last year the market size was less now the markets are consistently growing, the demand from the transmission utilities.

Understood. And sir how much are our utilization levels in the EHV cable segment?

We are almost utilizing 80% to 90% capacity, but we are having some space by debottlenecking so we will be able to grow by another 20%, 25% from here on.

Okay. And the last bit on this again on EHV, is this business about 3%, 4% point higher margin business then your portfolio margins of 10.5% to 11%?

Yes, definitely.

Okay, great. And sir last one if I may. So, we have seen very strong performance on working capital particularly on receivable days. And if I remember correctly, in the last call, you had mentioned a scope to improve receivable days by about 15 days just wondering our receivable days likely to improve much what you have guided of 15 days?

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Yes, receivable days will be close to 2.4 to 2.5 months as compare last year it was 2.9 months and before that it was 3.8 months. So, in March 22 it has come down to 2.9 months. So, on average for the current financial year it will be closer to 2.4 to 2.5 months.

Thank you. Next question is from the line of Bobby Jayaraman from Falcon. Please go ahead sir.

Can you explain what the 103 crores of expenses is?

These are the LCS expenses.

From your export customers?

No, it is for the purchase, import.

Okay, the imports were your copper and your raw materials?

Yes, this is part of the creditors.

Okay and how long is that for usually?

It is normally 90 to 120 days escalator.

And you don't pay an interest on this?

Yes, it is interest bearing, 5% to 6% interest per annum.

So, w

hy did you take this?

Pardon.

So, why don't you avoid these interest charges by paying earlier?

No, because we are avoiding while we are purchasing from the local market we have converted into the cash purchase now, since these are the import purchase so we have to open the LC.

Okay, so they will reduce going forward?

Yes, we have already reduced earlier in 19-20s the LP purchase was more than 800, Rs.900 crore. Now, it has further reduced to now only Rs.100 crore as of March 22 it was close to Rs.300 crore, now it has reduced Rs.100 crore. So, we are opening the LC only for import, we are not opening LC for the domestic purchase now.

Domestic 1s all cash?

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Amber Singhania:

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Yes, all cash we have converted because we have sufficient cash in hand.

And the other question is, how long is your dealership aggressive roll out of the dealership network that you continue?

Please repeat your question?

How long is the aggressive rollout of your dealership network going to continue till such time that it stabilizes as well?

So, we already have a aggressive rollout of dealer network, ultimately dealership also comes along with our marketing teams to make efforts on the business development activity and bringing dealers on board where we can help them to grab the orders.

I know I understand that, what I'm asking is right now your rollout is very fast, nght, it's a pretty aggressive though, at one point there will be saturation of the dealership network?

Maybe after two, three years, there may be stability or saturation. But at the moment, we don't see that and with excessive, even strong growth of the Indian economy, the demand will also be going up and strengthening. So, more and more people are coming into businesses across India. We will also get to know more markets maybe in the semi urban markets or rural markets so it's difficult to predict that what will be the saturation point in this.

But at least for next four to five years. We will be growing number of dealer distributor at least by 10%, at least for five years.

10%?

Yes, 10% to 12%.

Thank you. Next question is from the line of Amber Singhania from Nippon Mutual Funds.

Please go ahead.

Sir one thing I wanted to understand, as you mentioned that you're aiming around 17%, 18% kind of growth. We all have seen that commodity has corrected significantly in last couple of months. So, that would require a significantly higher volume growth of upwards of +35% to achieve these kind of growth numbers. So, what is giving you the confidence of such a high volume growth is achievable in this scenario where we are already seeing some from the off take?

We perceive that there is a good infrastructure pipeline and projects and a good inquiry flow from our customers. Different project verticals. So, that gives us the confidence and normally we never over project and we have never over predicted what we say. And we will try to achieve what we say. Rest the year end will tell us.

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Moderator:

Santosh Kumar Kesari: KEJ Industries Limited

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And sir if you can give some color about the demand scenario currently, are we seeing any deferment or delay in the demand coming in from B2B and all assuming the prices will come down further?

No, we are not seeing any deferment of demand, in fact with the commodity prices correction, the demand is coming back on the table. In fact the demand has become stronger.

How much prices we have reduced from the peak in a couple of months?

Around 10% to 12%.

For

your information in 18-19 and 19-20 was the year where the commodity price has gone down but we have grown by more than 20% year-on-year basis.

Okay. Fine sir, and lastly on the margin front you mentioned that you will be maintaining the margin of last year 10.5% to 11% but on a falling commodity prices when we are seeing the realization is coming down but EBITDA per tonne may remain constant so logically the margin should go up. So, how exactly we work on the margin part, are we purely focusing on the percentage terms or per tonne EBITDA?

So, we are mainly focusing on percentage terms.

Okay. So, in that case sir in the falling commodity prices, our per tonne EBITDA comes down?

Margin whatever will come, will come definitely but what we are working is for the 10.5% to 11%. So, this means in each and every adverse circumstances also we need to keep in the cross and we are working for that. Whatever we are quoting we are quoting on that basis only.

Something or others in every year is also happening. So, for that reason also we need to guide properly to you. Because we don't know what other things will come in the market.

Understood sir. Sir, what I am trying to understand here is that with this kind of correction in the commodity prices almost 20% to 30% from the peak, is it possible for margins to go significantly higher, let's say 12.5%, 13% kind of range?

Not at all.

Thank you. Next question is from the line of Santosh Kumar Kesari from Kesari Wealth. Please go ahead.

I just had one question. Looking at the financials for the last 10 years I can see that in fact our interest burden has gone down earlier we used to pay something like +100 crore of interest now we are paying just 40 crore a year. And what I can see the dividend that we have been to shareholders, that appears to be (Inaudible) 53:42 if I can comment that way, like it used to be 10%, 12% way back in 2013 and since then, it has never crossed 10% except in one year. And I

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can see that all borrowings are now mostly paid off and there is some CAPEX requirements and as you said earlier that the CAPEX to sales ratio is 1:5. So, I have two questions on this, one is that are we looking at increasing the dividend payout to shareholders or buy back. And secondly, you are guiding about CAPEX in terms of 1:5 ratio, what is the payback period for this CAPEX in terms of profitability?

So, normally the payback period is close to five years because as per industry norms, 1:5 or 1:6 is the sale versus CAPEX ratio. So, we are going to invest around 800 crore worth of rupees. So, we can take the top line of +4500 crore from this investment. Taking with regard to dividend so, we have already paid in the month of March. So, whatever will be the cash flow and the CAPEX position we will decide only in the fourth quarter, but definitely the payout will be it more as

compared to last year because now our borrowing has gone down. But still we will be more focusing on the growth of the Company, we are in more number of increasing EPS you may see in our balance sheet.

And then most more focused that if we are strengthening the balance sheet, the capital appreciation also goes up improve to the shareholder.

Yes, that's right but rewarding the shareholder in terms of bonus issue or dividends or buyback actually makes them a little better off because they get cash.

Definitely after the second quarter we will be reviewing this and definitely whatever your advice and suggestions we will be discussing internally in our board.

Thank you. Next question is from the line of Bhavin Pandey from Trust Plutus Family Office. Please go ahead.

So, I just had one question, so as we are witnessing that proportion of sales, why are the distributors has gone up it's not a 40%

now as compared to 38 in the previous quarter. So, I was

Just wondering like in long run, how much do we expect this proportion to be and can you just throw some light on economics of going through this approach a bit more asset light, a bit more margin lucrative is it both coming in. Thank you.

Distribution as we said that 10% to 12% year-on-year basis the number is increasing, because we are finding new distributor or we are converting the weak dealer distributor to the good one. So, that is the restructuring of the dealer distributor, network is going on. We are focusing on to increase the sale of the existing distributor dealer network as well as for the new dealer distributor network.

Your question was basically that, the sales through distribution network has gone up from 38% to 42%. It is because of the increased focus of and geographical advancement by where we were not present, appointing distributors in those territories, so that our footprint in untapped areas grows and from there the sale is improving.

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So, within two years time we have taken the target to reach 50% contribution through the dealer distributor network, that is also our mission.

Thank you. We'll take the last question from the line of Khadija Mantri from Sharekhan. Please go ahead.

I just had one question, so was there any price hike taken in Q1 in the month of April and May. And are we looking for any price cuts in the next few quarters?

Price revision are done either up or reduce the prices based on the input costs. So, because of some corrections in the input costs, cable prices have already been corrected in last two months. And now it is levelized and regarding houseware and flexible also, the prices have been reduced around to the level of 8% to 9% in last one, one and a half month and it has been corrected in line with the present copper price. So, we don't see any immediate revision of prices in next one month.

Thank you. We have reached the end of question-and-answer session, due to time constraints I would now like to hand the conference over to the management for closing comments.

Thank you very much our investors and colleagues for attending taking out time for this investor conference. I hope that we've been able to satisfy you with our answers. But if still you have any queries, you may reach us back and we will definitely give you clarification. Thank you very much.

Thank you very much to all.

Thank you. On behalf of Monarch Network Capital that concludes this conference. Thank you for joining us and you may now disconnect your line.

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Call: Oct 2022

Well connected.

KEI is under Technical Collaboration Agreement with
BRUGG to manufacture EHV cables up to 400kV by a BRUGG / CABLES

KEI Industries Limited

Registered and Corporate Office: D-90, Okhla Industrial Area, Phase-1, New Delhi- 110020 CIN: L74899DL1992PLC05 1527

Tel.: +91-11-26818840/8642/0242, Email: info@kei-ind.com Website: www.kei-ind.com

KEI/BSE/2022-23 Date: 28.10.2022

The Manager,

BSE Limited

Listing Division,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400 001.

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and half year ended September 30, 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Friday, October 21, 2022 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the quarter and half year ended 30" September, 2022 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/investor-relations/corporate-governance/conference-call-transcripts/>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

AVP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd. The Calcutta Stock Exchange Ltd.

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"KEI Industries Limited

Q2 FY 23 Earnings Conference Call"

October 21, 2022

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN -CUM-MANAGING

DIRECTOR – KEI INDUSTRIES LIMITED.
M R. RAJEEV GUPTA – ED (FINANCE) & CHIEF
FINANCIAL OFFICER – KEI INDUSTRIES LIMITED.

MODERATOR : MR. RAHUL DANI – MONARCH NETWORK CAPITAL
LIMITED

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Moderator: Good day, ladies and gentlemen, and welcome to the Q2 FY '23 Earnings Conference Call of KEI Industries Limited, hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you. And over to you, sir.

Rahul Dani: Yes. Thank you, Michelle. Good afternoon, everyone. I would like to start by wishing everyone on the call a very happy Diwali. We are pleased to host the management of KEI Industries today, and we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company. Let us start this call with the opening remarks on the management, and then we'll move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Good afternoon, and welcome to all of you on this Earnings Conference Call. I'm Anil Gupta, Chairman and Managing Director, KEI Industries Limited. I'll give a brief about the Q2 results of the company. The company has achieved a net sales in Q2 FY '22-'23, INR 1,608 crores against INR 1,353 crores. So, growth in the net sales achieved is 18.81%. EBITDA in this quarter is INR 165.85 crores. So the growth in EBITDA is 11.44%. EBITDA/net sales margin is 10.31%, as against 11% in the same period last year. Profit after tax this quarter is INR 106.9 crores against INR 91.98 crores last year. But growth in the profit after tax is 16.22%.

So the profit after tax/net sales margin is 6.65%. Our domestic institutional sale of wire and cable achieved is INR 563 crores, which has grown by 38% compared to last year same period. However, the sale of extra high-voltage cable is INR 46 crores against INR 154 crores achieved last year. So the overall growth in the institutional sale, overall will be around 15%. The reduction in EHV sale is mainly because of non-clearances of certain orders from the utilities and the delay in inspections, but it will be normalized over a period of full year.

Export sale this quarter is INR 139 crores against INR 129 crore last year. So the growth in export is 7%. The total cable institutional sale B2B, contribution in the total sale is 43% against 48% in the last year same quarter. However, the sales through dealer network, that is B2C, was INR 760 crores against INR 580 crores, so the growth in the retail sales is 31%. The sales through distribution network contributed 47% in second quarter against 43% last year.

The EPC sale other than cable is INR 91 crores, which is at par with previous year same period, INR 92 crores. Out of the total sales of EPC, the EPC sale of extra high voltage, that is execution portion of extra high-voltage cables is INR 21 crores as against INR 25 crores same period last year. The sales of stainless steel wires in Q2 this year is INR 70 crores against INR 52 crores last year, so the growth is 35%.

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It is pertinent to mention that in all our cables and stainless steel wire categories, there is a correction in the input cost by around 22% overall, because of the fall in copper, aluminum and stainless steel wire rod prices.

The result summary of first half of '22-'23. The net sales of H1 of FY '22-'23 is INR 3,173 crores against INR 2,371 crores. The growth in net sales is 33.85% over a six months period. EBITDA is INR 329 crores. So the growth in EBITDA is 24%. EBITDA/net sales margin is 10.37%, and profit after tax for six months period is INR 210.66 crores, which is leading to a growth of 32.41% compared to last year same period.

The profit after

tax/net sales margin over six months is 6.64%. The domestic institutional cable sales, the growth is 26% compared to last year. The sales achieved is INR 1,035 crores. The sale of extra high-voltage cable is INR 146 crores against INR 183 crores last year. Decline is 20%, but it is due to the delays in inspection and clearances from the utilities, for a period of full year, it will be normalized.

Export sale in H1, is INR 386 crores against INR 222 crores last year, so the growth in export is 74% over six months period. The total cable institutional sale B2B in the first half is 46% as a contribution in the total turnover as against 49% last year. Similarly, the sales through dealer network has grown to INR 1,412 crores against INR 967 crores. So the growth in B2C sale is 46%.

We are in the process of strengthening our dealer/distribution network and we have added a lot of new strong dealers. The total active working dealers of the company as on 30th September '22 was approximately 1,900. The B2C sale contributed approximately 44% of the H1 sales of this year against 41% last year.

The EPC sale is INR 175 crores against INR 178 crores last year, which is at par. The sales of stainless steel wire in H1 is INR 131 crores against INR 100 crores last year, so the growth in the sales of stainless steel wire is 31%. We have pending orders as on 19th October, approximately INR 3,016 crores. In this, EPC orders are INR 706 crores, the orders of extra high-voltage cable, which is cable plus EPC is INR 611 crores, domestic cable orders are INR 1,617 crores, and export orders of cables are INR 82 crores. So the total is INR 3,016 crores. India Rating and Research, ICRA, and CARE have upgraded our rating to AA from AA- for long-term bank facilities and affirmed A1+ rating for short-term bank facilities. The book value per equity share of the company is INR 259.85 as on 30th September 2022, as against INR 236.98 as on 31st March 2022.

The borrowing and operating cash flow. I'll just give a brief that the net cash as on 30th September 2022 is INR 109 crores. This is including acceptances. It is against a net debt of INR 270 crores, including acceptances as on 31st March 2022.

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During first half in FY '22-'23, the finance cost has decreased to INR 16.85 crores in the first six months against INR 21.36 crores previous year same period. The percentage of financial charges on net sales has decreased in this period to 0.53% from 0.9% last year. The company has used operating cash flows for cash purchases, resulting into a substantial reduction of trade payables by INR 247 crores, including reduction in acceptances by INR 150 crores as on 31st March 2022. This has resulted in reduced finance cost.

We expect a good industry outlook in the energy sector and the infrastructure. Increasing in private and government investments in energy-intensive industries such as steel, aluminum, cement, refineries, etcetera, and the national infrastructure pipeline in important areas as railway, metro constructions, road and highway overhead to underground stations, ports and airports, etcetera, is leading to increased demand of wires and cables.

Similarly, the uptake in the real estate activities is also giving new opportunities for increasing demand for wires and cable. Demand in the transmission and distribution sector and a lot of new orders released by distribution utilities from the funds of REC and PFC for improving the T&D infrastructure and rural electrification will be giving significant increase in the demand in the coming months and the next year as well.

So this is the brief. Thank you very much for listening to me. You may now have any questions, whatever you have, we'll be glad to answer. Thank you very much.

Moderator: Thank you, very much. We will now begin for the question-and-answer-session. Anyone who wishes to ask a question, may p

lease press star and one on your touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants may press star and one to ask a question. The first question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Firstly, one clarification. On EHV, you said sales were low because of delay in inspection by utilities. Could you please elaborate what is really wrong with that?

Anil Gupta: See, normally, these are very specific orders from transmission utilities of electricity transmission companies. So, sometimes it is incidental that they delay the approval of manufacturing clearances in many orders because of ROW issues, right of the way issues, and also delay the inspections because of these ROW issues. The clearances, there the execution is to be done. So this leads to disruption of supply sometimes and the quarter-on-quarter performance.

Rahul Agarwal: Got it. These are domestic orders, right?

Anil Gupta: But overall, on a full year basis, it will be a normal sale and will be with a growth.

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Rahul Agarwal: I understand, sir. These are India specific orders, right, you're referring to?

Anil Gupta: Yes. These are Indian utilities.

Rahul Agarwal: Okay, got it. So the INR 500 crores, INR 550 crore run rate for the full year should come back sometime in second half, right?

Anil Gupta: Yes.

Rahul Agarwal: Okay. Got it. Sir, second question was more on the industry, not specific on KEI, what we understand is B2B has improved purely post-COVID in terms of demand for cables, but B2C discretionary spending has been relatively soft in first half due to inflation and higher pricing, and lot of other issues. Obviously, for KEI, you have gained market share in B2C housing wires, and hence, your number growth is pretty high. But I wanted to get your thoughts on the industry, do you think after this festive season, once that gets over, November, December, the B2C demand should hold up purely from an industry perspective? Or you think the inflation is still catching up on demand and hence, the softness might come back?

Anil Gupta: See, I don't think -- I'm sure that it will catch up and so far as inflation is concerned, actually, there is already heavy correction has taken place in the metal prices and polymer prices. All the input costs have been corrected by close to on an average 25%.

So I think the inflation effect has already gone. Now if you compare the price what it was two years back and what it's now, so we can see it is an inflation. But I don't think that those levels will come back which were two years back.

Rahul Agarwal: Right. So entire whatever RM benefit we are getting -- in cables obviously, it's more pronounced that is all passed through both in wires. But discretionary spend I don't think so much of benefits have been passed through, right? The price cuts have not been very significant?

Anil Gupta: From our end, we are always passing through the price corrections whenever it is lowered or whenever it goes up. So from our side, we are always passing through the prices. And whosoever is buying wire and cable that is not a discretionary spend, these are the essential spends. So it is not something where the demand elasticity can be high.

Moderator: Ladies and gentlemen, the participant has left the queue. We'll take another participant whose name is Akhilesh Bhandari from ICICI Prudential. Please go ahead.

Akhilesh Bhandari: Sir, can you just give us the volume growth data for the quarter and for the first half?

Rajeev Gupta: In the first half, the volume growth is close to 25% with respect to metal, copper and aluminum both.

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Akhilesh Bhandari: And specifically for the quarter?

Rajeev Gupta: For the quarter, approximately 20% range. So overall our complete growth in H1 is 25%. Copper volume has grown by 26% and aluminum volume has grown by 24%.

Akhilesh Bhandari: Copper volume has had 26% growth and aluminum?

Rajeev Gupta: Aluminum was 24%, average is 25%.

Akhilesh Bhandari: Average is 25%. Okay. Sir, in quarter two, can you also call out what has been the broad price correction which you have taken in both the B2B as well as B2C segments?

Rajeev Gupta: In quarter two, also 23.69% volume growth.

Anil Gupta: No. The price correction comes gradually. Because there is always a backlog of orders for last three to four months and similarly, inventory is also there. So the price correction may be around 10% to 11% in quarter two.

Akhilesh Bhandari: 10% to 11% in quarter two.

Anil Gupta: Correct.

Rajeev Gupta: Actually, it doesn't seem to have a lag effect, but every 15 days may have to be prices correction, upper and lower both sides. Lag effect is not big.

Akhilesh Bhandari: And quarter one has seen a destocking impact in the channel now, can you just comment on what is the inventory level according to you at the dealer level?

Rajeev Gupta: In your world, that is destocking. I earlier also explained to everybody that on an individual level, each and every dealer distributor holds only 25 days to 30 days inventory. They are not holding more than that. So they can defer only for 20 to 25 days inventory, but ultimately, in a quarter, they have to buy. Ultimately, average comes out the same.

Anil Gupta: No. But when there is a lot of volatility, they defer the purchases for some days thinking that the prices will come down, and they even advice the customers maybe to hold on it if they can hold for 10, 15 days or 3 weeks. That's it.

Rajeev Gupta: That's it. That's why our growth is there, no.

Moderator: Thank you. Ladies and gentlemen, the line of Rahul Agarwal has been connected back.

May I request Mr. Rahul to proceed with his question?

Rahul Agarwal: The question I had was on Capex. We did about INR 26 crores in first half. Does this delay impact KEI in any way in terms of meeting its growth guidance? And why is there so much delay? I thought we would end up spending like INR 200 crores to INR 250 crores this year?

Rajeev Gupta: Actually, this land which we are procuring from the farmers, so that is getting delayed. So in the meantime, what we did is, basically we have created a new brownfield Capex by investing around INR 35 crores to INR 40 crores in our Silvassa new plant, wherein we are adding approximately INR 500 crores of capacity for low-tension power cable, which will be ready within this quarter only, third quarter only.

It will take care of the growth for the next financial year. So as we have earlier guided that in this financial year, we will grow close to 17% in this financial year. Because lots of orders we are having and the current industrial scenario, and in the coming year also, we will be taking care for 16% to 17% growth with this brownfield Capex. In the meantime, next two, three months, that will also clear for the land part. So that, again, will be on track.

Rahul Agarwal Got it. Sir, this helps. And last question, sir, capacity utilization, if you could help on cables, housing wires, and stainless steel. That would be all from my side. Wish you guys very happy Diwali.

Anil Gupta Thank you very much for the Diwali greetings. The capacity utilization on an overall basis is around 75% to 78% at the moment.

Moderator: Thank you. The next question is from the line of Rahul Maheshwari from Ambit Asset Management. Please go ahead.

Rahul Maheshwari: I have two questions. We have seen or heard from the past peers that during the quarter, there was a judicious price revision that had taken p

lace. The same has applied

for you guys also that the passing of the prices to the dealers and because of cutting the raw material price has been lower as compared to what it should be, first thing? And second thing, can you give some color on the channel financing, which has happened on the active dealers, which is there? That's all.

Rajeev Gupta: Yes. Channel financing, we are doing almost 55% to 60% dealer/distributor. And as of today, INR 113 crore is the recourse. But otherwise, our total utilization is close to INR 250 crores.

Anil Gupta: So far as price, you're saying that price reduction was lower. Price reduction is always gradual. There are two reasons. One, we are always having inventory in our depots and stocks. So we can't lower the prices immediately. Number two, even dealers are
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having inventories in their shelf. If the prices are lower suddenly, they will also incur loss.

Rahul Maheshwari: Yes.

Rajeev Gupta: Yes, that is a trade practice that is going on actually. On the trade sectors, we are doing it.

Rahul Maheshwari: And also on the active dealers, can you give color how much the growth rate is there and what is the internal guidance which you are taking on the geography side?

Rajeev Gupta: Yes, close to 10% number of dealer/distributors we are increasing year-on-year business.

Anil Gupta: But besides increasing the number, we are strengthening the existing dealers in terms of their size and helping them to grow.

Rahul Maheshwari: And can you give throughput of the dealer? As you said, every 15 days, prices getting revised, the dealer has to buy it because of the inventory days. What kind of throughput improvement you have seen during the years for the mature dealers, which is there.

Rajeev Gupta: Without increase of throughput of the dealer, how can we grow our sale of 31%...

Rahul Maheshwari: No, no. I'm not doubting on the throughput. I'm just asking the number in the project.

Rajeev Gupta: Because each and every individual dealer/distributor sales is also getting increased as our approach is a 3-way approach. We are working on the retailers, we are working on the electrician and we are working on the dealer/distributor. So while we are holding the electrician meet every month in each and every city of the country. So the electrician goes to the retailers. Each month, the retailer sales, we are getting

increased. Then we are also working to increase the number of retailers under each distributor. And the third front, we are increasing the number of dealer/distributors. As you said that earlier we were having close to 1,700, now we are having 1,900. So it's a 3-way strategy, increasing number of distributors, increasing number of retailers under each distributor, and increasing the sale of retailer month-on-month through the electrician.

Rahul Maheshwari: And just to follow through this, earlier, you had said that 4% to 5% was the price gap between you and the peer on the wire side -- wires and cables on the retail side. How much that price gap has been taken care or still it remains the same?

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Rajeev Gupta: Still that price gap is there. And we said that until the next year, we will maintain that price gap. Once we achieve our internal target to reach 50% contribution from the dealer/distributor segment, which we have achieved right now 44%, and by the end of year, target is to be 45% in this year and next year by 50%, then only we will be going through that.

Anil Gupta: But there is no price cap so far as cables are concerned. The price gap is only in the wires, yes, which are sold through trade.

Rahul Maheshwari: Only house wires?

Anil Gupta: Only house wires.

Rahul Maheshwari: And just -- sorry for extending the question, apart from the transmission and distribution utilities company, any private sector demand reviva

I? Any color you are

witnessing on many of the segments, whether it's data center, etcetera?

Anil Gupta: Yes. We are seeing very good demand from data centers, which are coming up all over the country. Secondly, the demand from cement industry is coming good. And some steel industries are also expanding. But miscellaneous industries are also there where we get, be it in pharma or very miscellaneous industry, I can't name, any industry which grows...

Rahul Maheshwari: Overall, private demand which is there, not segment to segment, but what could be the kitty you have identified through these segments which you have told?

Anil Gupta: I think that there is a good demand coming up from private Capex in the industry.

Moderator: The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: Sir, our exports would be mainly on the institutional side?

Rajeev Gupta: Yes. Export is mainly for institutions.

Akshay Kothari: So do we have any plans to increase the distribution presence on the export side?

Anil Gupta: No, we don't plan to start the distribution in the other countries, because what our observation is that if you sell through the distributor, they load too much of margins on our prices, and we are crushed. So our strategy is to directly get our approvals from the projects and sell to the EPC contractors over there. So we don't sell it to any intermediary over there.

Akshay Kothari: Sir, the Capex, are we acquiring agricultural land and then we'll convert it to NA?

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Rajeev Gupta: Yes, that's right.

Akshay Kothari: So we won't face any headwinds, because there are sometimes clearance delays to convert to NA, so they take lot of time?

Rajeev Gupta: So it will take some time, because in Gujarat, there is a defined process. So that will not be a problem.

Akshay Kothari: Okay. And sir, some of the competitors, though they are not that much significant, they are coming with the e-beam facility. So is there any significant advantage which e-beam wires have over the traditional ones, which we are...

Anil Gupta: No. In some segments like railway coaches or engines, they are subscribing that process has to be e-beam. So that is on. Otherwise, in solar wire, we are selling a lot of solar wires, which has to be TUV certified, whether it is manufactured on CV lines or on PV. So we are not losing that market at all.

Akshay Kothari: And sir, on the geographical distribution you have given. So I guess we had expanded a lot of distributors on the Eastern side, though the revenue contribution in the quarter is still 15%, which used to be that. So are there any headwinds which we are facing on the eastern front or something

like that, because we are expanding our distribution network, but it is not getting reflected in our revenue.

Rajeev Gupta: Actually, we are appointing distributors not only the eastern side, but also in the southern side, because our contribution from both the markets are low as compared to North and West. So we are now appointing, which will be resulting in the coming years. But at the same time, our North and West is so strong, because the contribution there are also increasing equal amounts. So that's why the contribution is not increasing. So even on the higher base from the North and West, we are still growing in the same way.

Akshay Kothari: And sir, I think Anil sir did explain this point in the last call, but still I have a little bit of conundrum regarding this. The gross margins, if I look around five years back, were around 30%. And today, it's around 25%, owing to the EPC contribution and some price volatility. But sir, going forward, is it like the operating leverage which we are deriving will be compensating it in our gross margins and gross margins would reduce. So to grow, in a way, we'll have to reduce our gross margins, but it won't af

fect our EBITDA margin. So is there something like that you go by the gross margins?

Rajeev Gupta: Any contracts, whenever we are selling, is on the basis of the EBITDA margin. Because gross margin, in a clubbing of the sale, because we sell aluminum cables, we sell copper cable, we sell EHV export, 400 type of products we are selling in a year. So gross margin of each product is different. But while it is combining, so it is looking like different actually. But on an EBITDA

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level, it is almost same, close to 10% to 11% range count. So that is basically focusing and our focus is also there only.

Akshay Kothari: Sir, my question is, if our gross margins stabilize at this level and considering the...

Rajeev Gupta: Gross margins are I said, for different products are different. So that's why, while we are publishing the results, it is on average, it is combined. But for each product, the margins are different, gross margin, because if you talk about wires, there are only three products like PVC compound, copper, that's it.

But if you would talk about cable, then there is aluminum, there's galvanized steel wire, there's lead. So it is not comparable actually. While the product is getting change, these things will get changed rapidly.

Akshay Kothari: Okay. Thanks a lot, and wish you happy Diwali.

Anil Gupta: Thank you, wish you happy Diwali.

Moderator: The next question is from the line of Shrinidhi from HSBC.

Shrinidhi Karlekar: Congratulations on good set of numbers. Sir, my first question is on the guidance front. Would it be possible to update us, sir, on revenue and margin guidance for the full year '23? And you have guided for...

Rajeev Gupta: Revenue guidance. Our earlier guidance said that we will grow close to 17% in this current financial year and our EBITDA level will be close to 10.5% on a full year basis.

Shrinidhi Karlekar: And we are retaining that guidance, right, sir?

Rajeev Gupta: Yes, we are retaining. We are quite hopeful that we can.

Shrinidhi Karlekar: Yes. Second, sir, I want to understand this export business appears like -- well, overall revenue has surprised us, but export business appears like a bit soft and sequentially, it has gone down.

So any reason for that?

Anil Gupta: Actually, this year, export business is increasing substantially. The first half sale is close to INR 366 crores, which is 74% up from last year, and present order going is very, very good. And we will be able to maintain a substantial growth in exports in this year compared to last year and even in the coming years. There is a jump of 74% in first six months compared to last year.

Shrinidhi Karlekar: Yes, sir. I know, but I was asking more on a sequentially, is it like some of the order shipments got impacted, something like that? Or it is expected to be a bit lumpy, like some quarter will be very strong and there could be some softness. I just want to understand that.

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Anil Gupta: All this happens because, as I mentioned, we are exporting our products to overseas countries to the projects. So sometimes, in some quarters, the projects clearances are stronger, in some quarters, due to delay in listing the cables by the client or some other issues, it may be lesser.

But overall, we expect a very substantial growth in this year. But I have said that 74% is this, and we should be able to maintain this momentum in this year.

Shrinidhi Karlekar: Okay, sir. This is really helpful. And sir, I have one more question on order book. I know you

shared order book numbers. Sir, is it possible to share what are typically order inflow numbers for a quarter? Like, I know we went from, I think, 2,017...

Rajeev Gupta: Jitne Order aate hain utne hi order chale jaate hain, jaisa agar aap last quarter dekhein, us mein bhi order book position isi level par thi, 2500 se 3000 cror

e par. Iska matlab jitna sale ho gaya utne naye order aa gaye. That is how it is.

Shrinidhi Karlekar: It is an institutional business, right? I should just take the institutional...

Rajeev Gupta: Jitna dealer distribution business hota hai that is not covered in the order book.

Anil Gupta: Yes. The retail orders, which is through B2C, are never included in the order book.

Shrinidhi Karlekar: Okay. Yes. And sir, in the INR 3,000 crores order backlog we have, typically, what percentage of order backlog will have a passthrough of commodities?

Rajeev Gupta: Of course, only 10%, 15% orders, which we have from the government side, that is only the price variation class. But otherwise, institutional orders are under natural hedge, because these orders are to be supplied within three to four months' time since they are having inventory up to two to 2.5 months' time. So practically, it is almost under natural hedge, little bit impact is there, but otherwise natural hedge.

Shrinidhi Karlekar: Understood, sir. And last one, if I may, sir. I think you had guided for some INR 100 crores release of retention money. Has that been earned in H1?

Rajeev Gupta: Yes. From EPC division because last year, we collected additional INR 150 crores. That's why it is reflecting in the slowing side of the receivable also, which has gone down substantially.

Again this year, close to INR 100 crores additional will be coming from EPC division, whatever it is due. So again, the receivables also will be going down from 2.9 months' time, which was last year, the receivable period, which will go down this financial year write-off at the end of balance sheet, close to 2.4 to 2.5 months.

Shrinidhi Karlekar: Okay. And sir, last one, I just want to understand, there's a bit of divergence in the profitability of cable companies, right? And I understand it comes from business tactics and it comes from the way copper is procured, whether it's derivative embedded or not. Just want to understand, in KEI Industries Limited

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case of KEI, we don't do hedging. And in that context, is it fair to say that in first half of this year, probably our retail distribution-driven business would have suffered on profitability a bit.

Rajeev Gupta: Yes, a little bit, because of the inventory. If prices are going down, whatever inventories close to INR 100 crores, INR 150 crores finished goods inventory we are carrying on in depots. So it's around 0.5% to 1% in that particular quarter. But as I said in the past also, when price goes up also, goes down also.

So ultimately, on a full year basis, it is average. That's why we are saying that now the prices are stable. And we are quite hopeful that on a full year basis, we will be maintaining 10.5%. So this means the EBITDA margin in future quarters will go up.

Shrinidhi Karlekar: Right. And the same phenomenon is much less pronounced in the institutional business, right?

Rajeev Gupta: Institutional business, it is a pass on business, no, because we are having order book of three to four months, and we are having inventory also. So that is under natural hedge actually.

Moderator: The next question is from the line of Harsh Shah from Jefferies. Please go ahead.

Harsh Shah: Could you please provide the interest cost breakup for the quarter?

Rajeev Gupta: Interest cost for this quarter is very less, but I'm giving that to you. So you can note down the figures. For this quarter only?

Harsh Shah: Yes, for the quarter.

Rajeev Gupta: Quarter, the term loan interest is INR 0.17 crores. Working capital interest is close to INR 5 crores. And LC interest is not there. And bank charges on LC is INR 0.25 crores. Bank charges on bank guarantee is INR 1.67 crores and other banks charges like processing fee, etcetera, is INR 0.43 crore. So the total is INR 7.6 crores.

Moderator: The next question is from the line of Devansh Nigotia from SIMPL. Please go ahead.

Devansh Nigotia: Sir, can you just give an overview of the demand scenario right now? We have been guiding 17% for the guidance of sales growth. But overall, how do you see the demand environment right now?

Rajeev Gupta: See, Anil Ji has explained the demand from the transmission, distribution, railways, road, metro rail projects, solar projects, refineries, cement projects, and underground cabling projects. So these are the few. Apart from this, now government is more focusing on the PLI scheme. Lots of manufacturing companies are coming to India. So then now government is focusing on airports almost in all the B class cities. So these are the few indicators and few industries, which is leading to the demand actually.

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Devansh Nigotia: Okay. And how would there are working capital days in the institutional cable business?

Rajeev Gupta: See, in the receivables side linked to institutions, it is close to 2.5 months. But while we are selling to the retail, because of channel financing, it is hardly 0.5 months.

Devansh Nigotia: Okay. Less than 15 days. Okay. And in retail wiring, how do you seeing the demand?

Rajeev Gupta: In retail, as we have guided that we will grow close to 30% to 35% on a full year basis. We don't see any change for that.

Moderator: Thank you. Reminder to all the participants anyone who wishes to ask a question may press star and one on their Touchstone phone now. The next question is from the line of Nikunj Somani, an Individual Investor.

Nikunj Somani: I need one clarification on your institutional segment. In this segment, you sell your products directly to the customers or through channels?

Rajeev Gupta: Institutional side, we are selling directly. It's a tender-based business. It's a high entry barrier case. Lots of approvals are required while we are selling to institutions.

Anil Gupta: Directly to the customers, either to the utility or the industry or to the EPC contractors.

Moderator: Thank you. Anyone who wishes to ask a question may press star and one on their Touchstone phone now. The next question is from the line of Chirag Fialoke from RatnaTraya Capital.

Chirag Fialoke: Sir, wish you a happy Diwali and congratulations on a great set of numbers. Just one clarification, sir. This quarter, given the price correction in the commodity side, could you quantify what kind of inventory write-down would have happened? Or is it minimal?

Rajeev Gupta: There is no question of inventory write-down, because in the same quarter, whenever price goes down, so the next month, after the price correction, inventory gets sold. So it is automatically reflected to the sales side.

Chirag Fialoke: And that's basically because overall we only keep two months of inventory. So within a quarter, we have the overall turnover of...

Rajeev Gupta: Automatically, it did gets adjusted. That's why the 5% margin gets impacted, no.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Anil Gupta: Yes. So thank you very much for joining this conference call. So I would like to wish all our investors a very happy Diwali and a very prosperous New Year. So if you still have any

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questions, you may reach out to us for any clarifications. Thank you very much for sparing your valuable time to talk to us. Thank you.

Rajeev Gupta: Thank you very much. And wish you a happy Diwali to all.

Moderator: On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thanks.

Call: Jan 2023

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KEI/BSE/2022-23 Date: 27.01.2023

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Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and nine months ended December 31, 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Tuesday, January 24, 2023 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the quarter and nine months ended 31st December, 2022 is attached herewith.

The transcript is also available on the website of the Company:
<https://www.kei-ind.com/investor-relations/corporate-governance/conference-call-transcripts/>

This is for your information and record.

Yours truly,
For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)
AVP (Corporate Finance) & Company Secretary

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"KEI Industries Limited
Q3 FY '23 Earnings Conference Call"
January 24, 2023

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : MR. RAHUL DANI – MONARCH NETWORK CAPITAL
LIMITED

KEI industries Limited
January 24, 2023

Moderator: Ladies and gentlemen, good day, and welcome to KEI Industries Limited Q3 FY '23 Earnings Conference Call hosted by Monarch Network Capital Limited. As a reminder, all participant line will be in the listen only mode and there will be an opportunity, for you to ask questions, after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero, on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital Limited. Thank you, and over to you, sir.

Rahul Dani: Thank you, Faizan. Good afternoon, everyone. We are pleased to host the senior management of KEI Industries today. And we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company. Let us start the call with the opening remarks from the management, and then we'll move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Good morning. Good morning to everybody. I'm Anil Gupta, CMD, KEI Industries Limited. Welcome to this conference call for the quarter 3 earnings. I'll give a brief about the -- although you have all the data with you now. I will give a small brief about the performance, we achieved in the three months and the nine months of this financial year.

Net sales in Q3 of FY '23 achieved is INR 1,784 crores against same quarter in the previous year, INR 1,563.85 crores. So the growth in net sales is 14.1%. EBITDA this quarter is INR 195.95 crores against INR 158.54 crores. Growth is 23.6%. EBITDA/net sales margin is 10.98% against 10.14% in the same period previous year.

Profit after tax this quarter is INR 128.61 crores against INR 101.25 crores, in the same quarter in the previous year. Growth in the profit after tax is 27.03%. And profit after tax/net sales margin is 7.21% versus 6.47% last year same period. The total cable institutional sale contribution is 48% as against 51% in the last year's same quarter.

Sales through dealer network achieved is INR 796 crores against INR 634 crores last year. So the growth is 26%. So the contribution of sales from the distribution network is 45% in the third quarter against 41% in the same period last year. The EPC field other than cable is INR 95 crores, which is almost at par with the previous year, same period of INR 93 crores.

Out of the total sales of EPC-EHV, EPC sale is INR 25 crores as against INR 38 crores in the same quarter last year. The sales of stainless steel wire in Q3 is INR 54 crores against INR 65 crores in the last quarter. The volume increase in the cable division on the basis of production and metal consumed in Q3 of FY '23 is approximately 20% compared to last year.

Now I'll give a brief about the nine months achievement the -- from April to December. Net sales of nine months of FY '22-'23 is INR 4,957.8 crores against INR 3,934.8 crores last year. Growth in the net sales is 26% in over nine months period. EBITDA in nine months is INR 524.96 crores against INR 423.87 crores. Growth in EBITDA is 23.85%. EBITDA/net sales margin in nine months is 10.59% against 10.77% in the same period, the previous year.

Profit after tax in nine months of FY '23 is INR 339.27 crores against INR 260.34 crores, in the previous year. Growth in the PAT is 30.31%. Profit after tax/net sales margin is 6.84% versus 6.6% achieved. The domestic institutional cable sales for wires and cable achieved in nine months is INR 1,678 crores, against INR 1,292 crores. Growth is approximately 30%. Domestic institutional cable sale of extra high-voltage cable is INR 246 crores in nine months against INR 366 crores in the previous year, same period. Export sale in nine months of FY '23 is INR 530 crores against INR 408 crores achieved in the last year.

Growth is approximately 30%. Total cable institutional sales contribution in nine months is 46% as against 49% achieved last year, in the same period.

Sales through dealer network, dealer/distribution networks achieved in nine months is INR 2,208 crores, against INR 1,601 crores, in the same period, last year. Growth is approximately 38%. We are in the process of strengthening our distribution network by replacing existing weak dealers, with new stronger dealers and distribution, while also strengthening the existing dealers by helping them in sales and financially. The total active working dealer of the company as on 31st December was approximately 1,900. Sales through dealer/distribution network contributed approximately 45% in nine months against last year's same period, 41%.

The EPC sales other than cable is INR 270 crores, almost flat as against previous year, same period INR 271 crores. The sales of stainless steel wire in nine months of FY '22, '23 is INR 185 crores against INR 165 crores achieved last year. Growth is approximately 12%. The volumes increased in the cable division on the basis of production and consumption of matter in nine months is approximately -- in FY '23 is approximately 23%.

The pending orders as on 20 January '23 is approximately INR 3,443 crores, which includes INR 1,051 crores of EPC orders. This includes ADB funded project in Nepal, which we are executing approximately INR 130 crores and Gambia, a World Bank funded project, INR 380 crores. The extra high-voltage cable and EPC projects, INR 429 crores, Cable domestic INR 1,679 crores and export orders of cable INR 284 crores.

External ratings in India ratings and research, ICRA and CARE has upgraded rating -- upgraded the company's rating to AA from AA- for long-term bank facilities and a firm A1+ rating for short-term bank facilities. The book value per equity share of the company is INR 274.46 crores as on December 31, 2022, as against INR 236.98 as on March 31st, 2022.

Total borrowings, including channel finance, of INR 126 crores is INR 163 crores. Total borrowings is INR 163 crores, which includes channel financing of INR 126 crores. Acceptance creditors, as on 31st December is INR 128 crores as against INR 299 crores on 31st March 2022. So the net cash is INR 85 crores as on 31st December '22 against net debt, including acceptances of INR 270 crores as on 31st March 2022. The finance cost in nine months has decreased to INR 24.62 crores, which is percentage of financial charges on net sales has decreased in this period to 0.5% from 0.77% last year.

Future outlook, as communicated earlier, working capital of approximately INR 100 crores is expected to be released during FY '23 from EPC data retention payments, which will be used for increased sales of cables to institutional and distribution and capex requirement of in current financial year, so the company will be having sufficient cash flow to meet its working capital and growth requirements for future. Capacity utilized during nine months of FY '23, 87% in cable division, 78% in house wire division and 88% in stainless steel wire division.

Company is doing brownfield capex of INR 40 crores to INR 45 crores in Silvassa plant, which will generate an additional top line revenue of LT power cables of INR 500 crores in the next financial year. This will enable us to grow by approximately 15%, in the next financial year.

Overall, the company is targeting a growth of 18% to 19%, in current year and will do capex of approximately INR 100 crores from internal accruals, in the current financial year. And further, we will be spending a capital expenditure per year, approximately INR 200 crores to INR 250 crores for the next three years to maintain a CAGR of 17% to 18% per annum as against achieved CAGR of 15% during last 15 years.

Industry outlook. There's a s

ubstantial pipeline, in the increasing private and government investments and energy intensive industries, such as iron steel, aluminium, cement, fertilizers and refineries. And the government emphasis on the infrastructure development projects, which includes highways, energy, railways and metro constructions, roads, ports and airports and apart from Greenfield, the modernization of the existing infrastructure projects.

Increasing government attention and funding support for rural and railway electrification projects. Structural demand for higher and more efficient, T&D infrastructure, to improve our cost distribution capabilities of the power distribution company. A good demand from real estate sector in housing construction and other construction projects.

Increased renewable energy focus especially in the solar, with a substantial investment in the solar projects. In addition, government initiatives on multiple fronts, including energy, housing, infrastructure will generate a substantial amount of businesses for the industry in addition to oil and gas, railways, metros and other specialized areas.

The sector now anticipates the supply of cables for solar and wind power applications, given the government's emphasis on promoting renewable energy. So thank you very much. This is from management side. You are now requested to raise any queries. We will be very happy to answer this. Thank you.

Moderator: First question is from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: Sir, four quick questions. Firstly, if you could help me with peak revenue capacity right now? And if you could give it, combined for LT-HT, housing wire, EHV and stainless steel, just need to understand the quarterly volatility. So maybe a full year capacity number will really help value-wise? That's the first question, sir.

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Rajeev Gupta: You see the full year number will be close to INR 8,000 crores numbers, wherein we can -- we are utilizing the full capacity. So as Anil ji had just spoke about, at present, 87%, we have utilized in our LT-HT and extra high-voltage combined together, but if we talk and houseware division is 78% and stainless steel wire division is 88%.

So as we are increasing the capacity in our Silvassa plant, by investing another INR 40 crores, INR 45 crores, which will enable us another INR 500 crores, plus the houseware capacity is available and balance it close to 13%, 14% capacity available for LT-HT. So put together all, we can go next financial year, we will be available capacity up to INR 8,000 crores.

Rahul Agarwal So the capacity utilization number you have given is value capacity, right?

Rajeev Gupta: Yes, value capacity.

Rahul Agarwal: Sir, second question on EHV. Largely, I thought we will be doing INR 500 crores to INR 550 crores this year. Just in terms of your understanding, how should we look at this year and next year in terms of EHV capacity?

Rajeev Gupta: This year, this number will be close to INR 400 crores. But now the order book is strong. And so the next financial year, we will be doing close to INR 550 crores again. Because sometimes the projects get delayed in extra high voltage because these are the underground cabling subjects.

Anil Gupta: Some projects are delayed because of the ROW issues. So they could not be executed.

Rahul Agarwal: These are India or export orders?

Anil Gupta No, Indian orders.

Rahul Agarwal: Indian orders, okay. And sir, lastly, on capex, you mentioned grew about INR 100 crores this year. If you could provide some update on what is happening with Baroda plant and fiscal '24 capex, please? I understand you will do INR 250 crores on an average. But will there be a catch-up from this year because this year capex is low, right?

Rajeev Gupta: Yes. This year, we are catching up now because now, the landfiling has already started over there. So now from Apr

il onwards, the construction will be infusing. And this year, we are just adding the capex and adding the land of the Baroda. So this is the investment for INR 100 crores, just on India highlighted.

Rahul Agarwal: So next year, it should be like INR 300 crores to catch up for this year?

Rajeev Gupta: Next year, It will be close to INR 250 crores investment, in the same plant. It may be more also, but it will depend on the delivery, of the machines and the construction going on.

Rahul Agarwal: There is one small question, sir. Other income is INR 14 crores for the quarter. Any reason why this be high?

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Rajeev Gupta: No, this is mainly -- one is the -- INR 6 crores is the exchange fluctuation income. And INR 6 crores is the interest on fixed deposit, whatever cash approval we have generated. So we have the cash balances of INR 376 crores approximately, right now. So this is INR 6 crores in the interest on fixed deposits, which is showing in the other income.

Moderator: The next question is from the line of Sujit Jain from ASK Group.

Sujit Jain: Sir, just one question in this volatile environment of raw material prices of copper, etcetera. You've been able to maintain margin in a narrow band, whereas some other listed players, their margins are fluctuated wildly. How has this been achieved by the company? And is it safe to assume that irrespective of the environment, your margins will be in a band going forward?

Anil Gupta: I think we have been maintaining for quite long that we are really balancing our raw materials versus the orders booked and meticulously matching the raw materials in the factory and in pipeline and the orders. So that is how we have been able to maintain margins in a very-very narrow band. So -- and I think that's the same policy is being followed continuously, and we will be able to maintain our margins irrespective of the environment.

Sujit Jain: Do you book your RM back-to-back when you book an order?

Rajeev Gupta: No, it's basically, as we have earlier communicated, we are working under the natural hedge because we are having three to four months pending order position and we are having 2.5 to three months inventory, in our shop floors. So in that way, it is under natural hedge. Just little bit 15, 20 days order book is open. So that is 0.5% to 1% fluctuation in our EBITDA margin is also there. So that will remain there, but not the volatility behind 1%.

Sujit Jain: Another question is on the receivable days, there's a substantial improvement. In this quarter, your EHV revenues have come off, export revenues are down. Is it a function of the mix that the receivables days that come off? And what would be the normalized receivable days in the business?

Rajeev Gupta: See the normalized business mix is basically we do LT-HT domestic institution. We do LT-HT export, we do extra high-voltage. We do EPC business and we are having some stainless steel wire division also. And we do the retail dealer distributor. So sometimes, the retail is giving the post sometime. CHP sometimes exports. So it is basically a combination of all the products. It is not the case in each and every quarter, we will grow in a same way in each and every project. So it's a basically a basket. So that's how we are growing.

With regards to the receivable, you see in 2021, our receivable was 3.87 months, which went down last year in financial year '21, '22 to 2.92 months. And by end of this year, this receivable will be close to 2.4 months in this financial. As of December, this receivable has come down to 2.37 months.

Because the fourth quarter sale is always higher. So the receivables will be close to 2.4 to 2.5 months level. So practically half month receivable has already gone down because of the EPC

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sale has gone down and the collection of retention mon

ey and the retail sale has gone up substantially. These are the combinations.

Sujit Jain: So this is likely to continue?

Rajeev Gupta: Yes, Next year, again, the data level will come down further from 0.2 months at least. So next year, our prediction for receivable will be 2.2 months.

Sujit Jain: And one last question on exports. Is the business completely order driven? Or is it also through distribution? And if not through distribution, will it be volatile and episodic?

Anil Gupta: No, these -- our business in export is completely order-driven. We are not doing any distribution, at the moment. But definite -- but I don't think that there will be any worry what volatility in that because we are growing our export markets product-wise and geographically also. And I think our export and exports will be grow better every year. I think we gave a projection of around INR 700 crores of exports in this financial year, and we will definitely surpass it.

Moderator: The next question is from the line of Harsh Shah from Jefferies.

Harsh Shah: Sir, just one thing, can you please provide the interest cost breakup for the quarter?

Rajeev Gupta: In this quarter, the term loan interest is INR 0.08 crores and working capital interest is close to INR 3.5 crores. And the bank charges is on LC and BG is close to INR 1.23 crores. And the other bank charges is INR 2.85 crores. That is the processing fee, etcetera. So put together all INR 7.7 crores.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: First is related to the wire and winding wires. Where we have seen sequentially, there is a de-growth. And if I look at the peers, they had done a little better in that segment. So can you give some highlights of what happening there?

Rajeev Gupta: In our dealer distributor business, it is basically growing. And if you talk of the nine-month sale

of our buyer, we have grown by 32%.

Praveen Sahay: So for this quarter, basically, so just comparing to the peers, it looks like some lower side?

Rajeev Gupta: No, I don't know because we can compare only from the other sales. So our sale in this quarter has also as compared to the previous year same quarter by 17%. Like last year same quarter, we did around INR 356 crores sales in this quarter for the wires. So previous quarter, we did around INR 406 crores sales. And in this quarter, we did around INR 418 crores sale for the batch.

Praveen Sahay: Yes, So next question, sir, is on volume. Can you able to give the volume numbers for cable and wire, how much is the volume growth for the quarter?

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Rajeev Gupta: And the overall, the 20% was the growth. But if you talk of the buyer, the volume growth in this quarter for us, was close to 29%. And in nine months time, the volume growth was 40%, of the wires.

Praveen Sahay: And next is related to the--you had given the cable domestic order book, how much is that just can you give again?

Rajeev Gupta: Domestic order book is also very strong. We have the INR 1,679 crores order book from the domestic low tension and high tension power cable business. And extra high voltage also, we are having order book position of INR 429 crores. And the cable export order, which was lower in the last quarter, now it has also improved to INR 284 crores because in the last year, because of the COVID, we were not able to acquire the new customer. So now this process is complete, and now we are having a good order book position, in the export also, close to INR 84 crores.

Praveen Sahay: And in the EHV segment, last quarter, you had given a commentary like 18% down. So that is because of some non-clearance on the certain orders, from the utility. This quarter also, we had seen on the lower side. So -- and definitely at this time, sir, has given there is a reason for that, that's ROW issue. So, do we have any target for a year for this EHV?

Rajeev Gupta: See, EHV, for this year, it may go to INR 350 crores to INR 400 crores, as compared to last year INR 500 crores -- INR 515 crores sales. Because it always will be happening. Sometimes EHE will be higher, sometimes export will hire, sometimes dealer distributor high. Ultimately, we have to grow in volumes. So like Anil ji has said that in the metal case, we have consumed in a nine-month basis, 23% higher as compared to last year. So the volume growth almost -- you see that 20% to 23% in this environment is a good growth.

Praveen Sahay: Yes, So there is no competition or peer pressure on that in the EHV?

Rajeev Gupta: No, In EHV, the only competitor is universal cable in India or the other companies, from the import side. Actually, we are not dependent on any one product because that is our-- duty of the sales. We are into the different-different segments, with complete basket. So any one product, which not impact, on our sales.

Moderator: The next question is from the line of Bobby Jay from Falcon Investments.

Bobby Jay: Regarding the EHV cables, are they all EPC?

Rajeev Gupta: Please repeat your question?

Anil Gupta: Yes. I think around 80% is -- we do it on a turnkey basis and 20% is the sales of extra high-voltage cables to contracting companies.

Bobby Jay: So when you say that you want to get the EPC volumes down, that indirectly means your EHV volumes would come down too, right?

Anil Gupta: No.

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Rajeev Gupta: No, they...

Anil Gupta: They are not -- our target is not to reduce the extra high-voltage cables turnkey projects. We are bringing down the EPC projects on the distribution side, not on the extra voltage cable, which is predominantly 80% of the value in the EHV cable project is cables only, which is our own product.

Bobby Jay: So you don't face payment issues with EHV, EPC projects?

Anil Gupta: We do face cash flow issues. But this is a very small portion of our business, and we are able to maintain the profitability in spite of the delayed cash flows. The nature of the turnkey projects, especially with the utilities, this remains the same.

Bobby Jay: And regarding the competitive scenario there, you mentioned that is universal cables, right? a major player here. And you also have the foreign cable companies like LS cables competing on

a tender basis?

Anil Gupta: Yes, LS Cable is a foreign company, and they have set up a manufacturing plant in India. So they are also there, in this segment. And to a very small extent, KEC also competes in some areas.

Bobby Jay: And we just heard this result season that Polycab is also setting up EHV plant?

Anil Gupta: Yes. But they will take four, five years to really come up with the -- after they start meeting the up prequalification requirements. It's a journey.

Bobby Jay: And they're also doing it with your joint venture partner, Brugg, right? It's the same one that you're doing it here?

Anil Gupta: Yes. Because our -- now our cooperation with Brugg Kabel remains in 400 kV segment. In the rest of the segment, we have already completed 12 years with them. So we -- so there was no logic of continuing that, paying continuous fees to them for beyond 12 years, when we ourselves qualify everywhere, and we are technically, absolutely strong in that direct, in that same segment.

Bobby Jay I see. So you don't say -- you're not a joint venture partner currently with them. You're doing it alone?

Anil Gupta: No, we are a joint venture partner with them for 400 kV voltage segment. But up to 220 kV, we -- that we have discontinued very recently.

Bobby Jay And also regarding your dealer count, it hasn't changed from last quarter. So was that intentional?

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Anil Gupta: We are -- dealer counts -- our sales have grown substantially. So we are strengthening the existing

dealers. It is not necessarily that we keep on increasing the accounts of the dealer. It is important to increase each dealer performance wise. Their sales has to grow.

Bobby Jay Yes, that makes perfect sense. I was asking because you had a target of doubling your dealer count over three years, right? You have mentioned that before.

Anil Gupta: That cannot happen in a year. We are gradually increasing our dealers by around 20% every year. So that is our goals.

Bobby Jay : And in terms of the infrastructure cycle that the country is going through, where do you think we are in this stage because this has been going on for -- since 2014 almost, right? the railways, the bridges, the road projects and all that. So where do you think at what stage of the cycle are we in that?

Anil Gupta: I think we are still in the early stages only. This infrastructure pipeline will continue. India is a large country, and our infrastructure, has always been weak. So it will continue for decades now. This is our perception. And also, after some time, the need comes for revamping the old infrastructure.

Bobby Jay Obviously, it will go on for decades, but there are very -- there are times when it really accelerates. And then it slows down a bit. So...

Anil Gupta In the foreseeable future, we don't see -- foresee that. But what happens after five years, I don't know.

Bobby Jay: And when you talk about exports, what is the advantage that you and Indian companies really have because you import copper, you import aluminium, import PVC mostly? So what is the cost advantage really for competitors like you, when exporter are vanished?

Anil Gupta: We are importing very less copper now because the copper is refined in India. So -- and so the copper is available domestically. Although these companies are pricing the copper and aluminium at landed price of the imports. So that is only the pricing thing, which is being done. But typically, these materials are available, within the country. And we have a cost advantage in terms of manufacturing costs and lower overhead, as compared to Western countries. And also in many of the countries, now India is getting some preference and advantage compared, to China.

Bobby Jay: And the PVC, do you make that in-house?

Anil Gupta: Yes. PVC compounds, we make in-house. We purchase PVC resin from resin manufacturing companies and the other chemicals and -- but compounding, we do ourselves.

Moderator: The next question is from the line of Smitesh Sheth from Raedan Securities.

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Smitesh Sheth: So with continuing with regard to the previous participants, which are the dominant region, which we cater in export?

Anil Gupta: Our -- the maximum exports at the moment are going to Australia, Middle East, some of the African countries, there are a few. And also, it is very -- until a year back, we had been exporting a lot to Sri Lanka, but that is not happening now for last a years. We have exported substantially to Nepal, as well as, Bangladesh also. And now we are targeting our exports towards US and there will be a good amount of exports envisaged, in this quarter to even United States.

Smitesh Sheth: And my next question is, could you please suggest how big is the unorganized market in India? So the difference between the unorganized market and the organized market?

Anil Gupta: Sir, I don't think that unorganized market is very big now at the moment. It may be maximum, in my opinion, 15% to 20% of the total industry size. So -- and it is shrinking year-after-year because of after implementation of GST and also because of the working capital stress, these unorganized sector has.

Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital.

Shubham Aggarwal: Just one question on the trade channel inventory. Could you give us some colors on the inventory, as of December end? And how does it look

right now in January end?

Rajeev Gupta: You see in the trade, it's average inventory is 15 to 20 days. Every distributor dealer is keeping with themselves. Sometimes it may go to further 10 days, sometimes it may go to 25 days. But on an average, it is a 15 to 20 days inventory.

Shubham Aggarwal: As on December, did you see any uptick, I mean, any up-stocking because the copper prices are going up. I mean that's what I was trying to understand?

Rajeev Gupta: That is a normal tendency. So -- but if you go for averaging, it does not impact whether copper goes up or copper goes down. Because in a three-month cycle for a quarter, it does not impact.

Moderator: The next question is from the line of Akshay Kothari from Envision Capital. The audio is unclear from the line. We'll move on to the next question. Mr. Kothari, please re-join the conference call. The next question is from the line of Abhishek Agarwal from Naredi Investments.

Abhishek Agarwal: As we compare with one of our competitor, your EBITDA margin is not increased accordingly. So do you want to say something?

Rajeev Gupta: So our EBITDA margin is close to 10.5% to 11%, as we have earlier communicated because of the first half, the EBITDA margin because of the volatility of raw materials, there was less. But now in the nine-month average, we have close to 10.59%. And on a year-on-year average also, we will be moving from 10.5% to 11% range.

Abhishek Agarwal: And then what is guidance for EBITDA margin for next two years?

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Rajeev Gupta: Pardon?

Abhishek Agarwal: Sir, what is EBITDA margin in next year? What kind of margin...

Rajeev Gupta: Next year will be close to 11%. 11% EBITDA margin will be there.

Moderator: The next question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Sir, first question I had was on the gross margin. The way I'm calculating, it is basically sales minus material cost. Pre-COVID, the company used to average about 30%. Obviously, last two years, that number has come down because of a raw material volatility? Do we...

Rajeev Gupta: Rahul ji, gross margin, you could not calculate directly on the results because these are the combination of the various product mix, like EPC. So, in EPC, there is a very less raw material. So that is not the way. So that's why we are always talking about the EBITDA margin. And my request to follow the EBITDA margin or operating profit.

Rahul Agarwal: So basically, given the nine-month performance, we should assume, the material margin you'll be report or that should continue similar fashion. Is that correct?

Rajeev Gupta: Yes, little bit improvement will be there as it was down by 0.5% because of the volatility of raw materials. So now it is again improving. Little bit, it has improved in this quarter, third quarter and balance it will be improved in the fourth quarter also. So that we can reach to the 11% EBIT margin.

Rahul Agarwal: Sir, where I was coming from was improving revenue share for housing wire? Does that change that number or no?

Rajeev Gupta: A little bit it is changing because the EBITDA margin is higher there because it is there is 11%. And in the normal domestic institution, it is close to 10.5%. So while it is improving, the dealer distributor sales, EBITDA margin is also improving.

Rahul Agarwal: And one question was essentially on the earlier participant. I think he was trying to ask, that the housing wire sale, which was INR 466 crores this quarter has grown about 13% Y-o-Y. The same quarter last year it was 412. Any specific reason for this growth rate to be down to 13%? Or is this a one-off and it will catch up? I understand nine months to 32% weren't amazing. But

you know...

Rajeev Gupta: As we earlier also communicated, quarter-to-quarter is not important, the year to number -- year to number is more important. So for whole year, we have given a target of

30% to 35% growth.

And already in nine months numbers, we have grown by 32%. Our overall target to grow by 35% through our dealer distributor business of the buyers. So we are on our target. .

Moderator: The next question is from the line of Akshay Kothari from Envision Capital.

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Akshay Kothari: Sir, I just wanted to know what was the fees which we used to pay to Brugg Kable AG in up to 220 kV?

Anil Gupta: This is a commercial information. I mean, at the moment, we don't have that data. But I don't think that this kind of information should be given.

Akshay Kothari: And there was no royalty arrangement, right, on this?

Anil Gupta: There were. And so the royalty was very, very low.

Akshay Kothari: 440 kV, do we have an exclusive tie-up with Brugg Kabel? Or is it -- it's not exclusive?

Anil Gupta: No, It is completely exclusive.

Moderator: The next question is from the line of Manoj Gori from Equirus Securities.

Manoj Gori: Sir, just one question. So if you look at housing wires, we have been doing very well over last few years, in fact, many years now. When do we expect the base to normalize? Because when we talk about 17%, 18% growth, so roughly when we do some of the -- like as per maths, so probably for cables, you are expecting roughly around 14%, 15% growth.

EPC should be flattish and then housing wire business should be the key driver for that incremental 2%, 3%, at the company level. When do you expect like the low base should normalize probably FY '24 or '25. And then we expect roughly around 14% to 15% kind of volume growth?

Rajeev Gupta: By '26, '27. At least for next five years, our focus will be there. Because -- market share, we are having at present only close to 5%. So our target to reach by 9% to 10% market share of house wire overall.

Manoj Gori: So in that case, if you look at probably the 30%, 35% growth should continue during FY '24 to '26 period as well and probably from '27, it might normalize?

Anil Gupta: We can't say exactly 30%, 35%, but definitely, it will be higher compared to the normal growth of the company.

Manoj Gori: Right.

Anil Gupta: It is really very difficult to predict every number.

Manoj Gori: And sir, with regards to cable in the domestic business, how do you see the overall environment?

Probably if you look at cables for us during the quarter has grown faster -- so what's actually driving the growth, whether it's maintenance led capex that the industries are doing its new capex or government spending has increased. Can you throw some color over there?

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Anil Gupta: It is basically brownfield extension, by the companies than some new projects and a lot in the infrastructure pipeline spending by the government.

Manoj Gori: So probably even for the next couple of years, we can expect the similar momentum from the government side?

Anil Gupta: Yes.

Manoj Gori: Right, Sir, one thing. So we had obviously delayed our plans to enter into new categories. Any update over there, probably in FY '25, probably still we are not sure?

Anil Gupta: We are still not sure because we have not made up any plans in that direction.

Moderator: The next question is from the line of Mahek Talati from Yellow Jersey Investment Advisors.

Mahek Talati: My question was what is the peak revenue which we can achieve from the EHV capacity?

Rajeev Gupta: Close to INR 550 crores to INR 600 crores.

Mahek Talati: INR 550 crores to INR 600 crores. So at present, we are having a INR 400 crores -- we achieved around INR 520 crores of revenue in FY '22. And due to delay in some orders -- what to say, we have -- we will be reaching around INR 400 crores. Are we planning any capex expansion in this stability expansion going forward?

Rajeev Gupta: In the Greenfield capex, we are planning.

Anil Gupta: See, I will explain you. The capaci

ty, what we have created for extra high-voltage cable, the same plant and equipment are also used for manufacturing medium voltage cables of 33 kV and 11 kV. So at no point of time, these capacities remains idle, even if there is a lower production of extra high voltage cable. Because the facilities can be tweaked.

Moderator: We'll take the next question from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Sir, firstly, if you could give some more color on the EHV segment in terms of our order booking and our market share? And how is the order pipeline currently shaping for the EHV segment?

Anil Gupta: See, this extra high-voltage cable are normally procured by transmission utilities. And now a lot of industries, large industries, which are coming up, they are drawing their own lines to draw large power for their plants, including some data centers. But they have to install these lines under supervision of the local transmission utility, of that state because they are all interlinked transmission infrastructure. So there will be a good pipeline of this projects. Quantification at the moment is not there, but we can definitely answer it separately to you. At the moment, I don't have that data.

Saket Kapoor: Sir, our market share in this segment?

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Anil Gupta: Our market share in this segment is close to around 25%.

Saket Kapoor: And number of players, which are dominant players present in this segment?

Anil Gupta: The number of players at the moment are around, three are significant and players like KEI, Universal Cable and LS Cables, which is a Korean company and set up a plant around eight years back and eight or nine years back in the country and a little bit of KEI, KEC International and some sectors are also supplied by Sterlite Cable also.

Moderator: The next question is from the line of Hitanshu Bhatia an Individual Investor.

Hitanshu Bhatia: On the market share front, I just wanted to confirm I mean could you break up the market share with the leading players like what would be the share commanded by Universal Cable, if you were at 25%? And how -- what would be our strategy to take the market share from other players?

Anil Gupta: See the -- it is very easy to gain the market share by -- because in utility business, you have to be L1. So you reduce your price and gain market share. Our aim is to maximize the revenue based on the profitability.

Hitanshu Bhatia: So margin level would be that would be -- sorry, please go on.

Anil Gupta: We have a reasonable market share with good margins. So we don't want to go into unwanted competition.

Rajeev Gupta: So that is one thing we are having extra high-voltage power cable like you are asking the market share, how much sales we can improve. INR 100 crores to INR 150 crores on a turnover of INR 8,000 crores company in future, whether it is a matter of INR 100 crores to INR 200 crores sale, I think it is not better to us. Because we are driving from other business also. So this INR 100 crores-INR 200 crores sale, in a company, where the INR 8,000 crores company is like this. So it is not the matter for any one product.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Anil Gupta: So thank you very -- Anil Gupta here. So thank you very much for joining this earning call. And I hope that we are able to answer most of your queries. If still something is left over, you can always reach out to us. And we assure you that companies are in very good prospects in terms of market products and our strategy and will continue to grow and take care of the investors very well. Thank you very much.

Rajeev Gupta: Thank you very much, everybody. And still you have any question, please let us know.

Moderator: Thank you. Ladies and gentlemen, on behalf

of Monarch Network Capital Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

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KEI/BSE/2023-24 Date: 08.05.2023

The Manager,
BSE Limited
Listing Division,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001.

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the fourth quarter and year ended 31st March, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Wednesday, May 03, 2023 to discuss the Audited Financial Results (Standalone and Consolidated) for the fourth quarter and year ended 31st March, 2023 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/investor-relations/corporate-governance/conference-call-transcripts/>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

AVP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd.
Listing Division, Exchange Plaza, Plot No. C/1, G
Block, Bandra Kurla Complex, Bandra (E), Mumbai
– 400 051 The Calcutta Stock Exchange Ltd.
The Senior Manager, Listing
Division, 7, Lyons Range, Kolkata-
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Date: 2023.05.08

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"KEI Industries Limited
Q4 FY '23 Earnings Conference Call"
May 03, 2023

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : MR. RAHUL DANI – MONARCH NETWORK CAPITAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEI Industries Limited Q4 FY '23 Earnings Conference Call hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you, and over to you, sir.

Rahul Dani: Thank you, Zico. Good afternoon, everyone. We are pleased to host the senior management of KEI Industries today, and we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company. Let us start the call with the opening remarks from the management, and then we'll move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Yes. So thank you very much. I am Anil Gupta. Welcome to this conference call of KEI Industries Limited investor conference call. I welcome all of my esteemed investors on this call. We'll brief you about the Q4 numbers and then the annual numbers of FY '23. In Q4 of FY '23, the net sales achieved is INR1,954 crores against same quarter in previous year INR1,792 crores. So growth in net sales is 9.06%. However, the volume growth in this quarter is around 13% because of the lower prices of metals during third quarter and having affected this quarter as well.

EBITDA in this quarter is INR208.88 crores against INR179 crores last year same quarter. The growth in EBITDA is 16.23%. So EBITDA/net sales margin is 10.69% against 10.03% in the same period previous year. Profit after tax is INR138.11 crores against INR115.88 crores last year. Growth in the profit after tax is 19.19%. So consequently, the profit after tax/net sales margin is 7.07% versus 6.47% achieved last year during the same period. Domestic institutional sale in this period is INR712 crores against INR660 crores last year, with a growth of 8%. The sales of extra high-voltage cable is INR102 crores against INR146 crores same period last year. Export sale in this quarter is INR164 crores against INR177 crores in the same period last year. Total cable institutional sale contribution is 48% as against 52% in the last year's same quarter. Sales through distribution, dealer / distribution networks, that means B2C, was INR822 crores in the fourth quarter against INR717 crores. The growth is approximately 15%. So the B2C sale contributed approximately 42% in the fourth quarter against 40% in the last year. The sales of EPC division is INR135 crores against INR109 crores.

The growth is approximately 24%. Out of the total sales of EPC, the sales of extra high-voltage cable EPC turnkey execution is INR65 crores against INR37 crores in the same quarter last year.

Sales of Stainless-Steel Wire is INR63 crores against INR61 crores in the same quarter last year. The volume increase in the Cable division on the basis of production and consumption of metals in Q4 of '22-'23 is approximately 13%. Similarly, in House Wires, the sales, in Q4 is INR478 crores against INR466 crores last year, a [inaudible 0:04:58] of 2.55%. However, the volume growth in the House Wire sales is 13%.

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The value sales has come down because of the decrease in the copper prices by approximately and consequently, the selling prices by approximately 10% in this quarter. But, however, the full year increase in the sales of House Wire and Winding Wire is 23.21% over full year of '22-'23. Now, I'll come to the full year of '22-'23. The net sales achieved in full financial year FY '23 is INR6,912 crores against INR5,727 crores in last year. The growth in net sales i

s 20.7%.

EBITDA/net sales margin is 10.62% against 10.54% in the previous year. Profit after tax is INR477 crores against previous year INR376 crores. The growth in the PAT is 26.89%. The PAT/net sales margin is 6.91% versus 6.57%. The domestic institutional cable sales, wires and cables is INR2,390 crores in FY '23, achieving a growth of 22%.

Sales through dealer network is INR3,030 crores against INR2,319 crores last year. The growth is around 31%. The export sales in FY '22-'23 is INR693 crores against INR585 crores last year. The growth in the export sales is 18%. The active working dealers of the company as on 31 March '23 was approximately 1,910. The B2C sales through dealer network contributed approximately 44% in FY '22-'23 against previous year 40%. The total EPC sales other than cable is INR405 crores against INR380 crores achieved last year.

The growth is around 6%. The growth in the sales is mainly due to the EHV-EPC sale. The extra high-voltage cables turnkey sale. The total sales of EPC and EHV-EPC is INR147 crores against INR128 crores in last year. The sales of Stainless-Steel Wire division is INR248 crores in the full year against INR226 crores last year. The growth is approximately 10%. Overall, volume increase in the Cable division on the basis of production and consumption of metal is approximately 20%. Pending orders as on 28 April '23 is approximately INR3,568 crores. Out of which EPC INR945 crores, extra high-voltage cable, and EPC INR850 crores, cable domestic INR1,440 crores and export order of cables are INR332 crores.

Total borrowings as on 31 March is INR135 crores only for channel finance. Otherwise, the credit limit utilization is nil and cash and bank balances of INR537 crores as on 31 March '23 as against total borrowing of INR331 crores and cash and bank balances of INR350 crores as on 31 March '22. The acceptances, that is creditors against LC as on 31 March '23 is INR219 crores against INR299 crores in FY '22. So the net cash on the books is INR183 crores against net debt, including acceptances of INR270 crores as on 31 March '22.

During '22-'23 financial year, the finance cost has decreased to INR34.71 crores as against INR40.39 crores in the last year. The percentage of financial charges of net sales has decreased this period to 0.5% from 0.71%. Interest income earned on fixed deposits is INR16.49 crores against INR1.87 crores earned in financial year '21-'22, which is included in the other income. Now, I will come to our future outlook of the company, whether the company has repaid all its debt, including term loans and it is a debt-free company.

And whatever cash accruals will be there, it will be used for capex for future growth and additional working capital. Capacity utilized during FY '22-'23 is 91% in Cable division, 79% in House Wire division and 87% in Stainless Steel Wire division. During financial year '22-'23, company has spent INR98 crores on capital expenditure. And during the current financial year,

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company is doing a brownfield capex of around INR45 crores in our Silvassa plant, which will generate an additional top line revenue of LT power cables of approximately INR500 crores. This will enable us to grow by approximately 16% to 17% in current financial year. Apart from this brownfield capex, in FY '23-'24, we have planned INR250 crores to INR300 crores capex on greenfield expansion for cable and wire in Gujarat. The construction of building commences somewhere in June, and production of which will commence within 18 months of the commencement of construction. That is by end of September to December '24. We'll be spending every year around INR250 crores to INR300 crores every year in next 3 years to maintain a CAGR growth of 17% to 18% per annum, as against achieved CAGR of around 15% during the

last 15 years.

The industry outlooks. India is emerging as the fastest

growing major economy in the world.

And due to its very strong infrastructure pipeline and focus by central government and state governments on infrastructure, especially railways, metro railways, urban railway systems, highways and the large buildings on hospitals and other infrastructure, we expect a very strong momentum in the capital demand in the coming financial years. And apart from that, we hope that even real estate should be doing well.

There is a very strong growth seen in solar energy projects. So we are seeing a good traction in the solar -- the demand from solar developers. And then the present renewed distribution strengthening scheme by various distribution companies in India, which is funded by PFC and REC, good demand from power distribution companies are there for RDSS projects. We are also seeing demand growing up from the manufacturing sector. And we expect that manufacturing sector, and the private capex will also show a very strong demand, especially from the steel, oil and gas, petrochemicals, cement, and miscellaneous industries. The government emphasis on PLI schemes will definitely boost the investments in the manufacturing sectors. So with this, I conclude my brief. Now, I'm available for any possible questions. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Hi Good afternoon. Thanks for the opportunity. Congratulations for achieving the guidance for the year. Sir, just 2 questions to start with. Firstly, for the next -- current fiscal '24, what are the 3, 4 things you are working on to achieve your top line target? As you're saying, obviously, capex is a much more focused area. Could you highlight another 3, 4 things you are working on to achieve your 16%, 17% growth on top line and 11% margins that you've guided earlier for fiscal '24? That's the first question.

Rajeev Gupta: Yes. As you see, we are already focusing on increasing our sales to the retail dealer distributor network, which has already contributed around 44%, which we have guided last year to reach out to 44% to 45%, so almost we have reached to 44%. Again, for the next financial year, we are targeting for 48% to 50%, reaching through the dealer distributor sales out of the total sales. So, again, we are focusing on that.

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And then second part, we are more focusing on the export. So earlier, we were not available in the U.S. exports and now a few of the product got approval from the U.S. market. So now in this financial year, even the last quarter of the last financial also, we started exporting to the U.S. market. So this year, our exports will also increase. So at present, last year, our export contribution is close to 10%. So now we are targeting this contribution from 10% to 12% of the total sales and then we are also focusing to -- the brownfield capex in our Silvassa plant, so that the capacity will be available for the second half of the current financial year, which will enable us to again grow by 16% to 17%.

Rahul Agarwal: Got it, sir. Sir, one second question was for Anil ji. Sir, there has been -- starting June '21, almost 3 million shares have been sold reported on the stock exchange, about INR270 crores is 3% of equity. There have been some concerns when we interact with your shareholders and other investors regarding this. Whatever clarity, if you could help us to understand and if you don't mind sharing the purpose for this? And is this now done with? Or should we expect something more?

Rajeev Gupta: No. I think it is done with; we have already clarified to our large shareholder also. And again, we are clarifying here also. So whatever he was intend to sell, he has completed his sale. So no future sales will be there.

Anil Gupta: And this was basically intended for buying a house

or property for personal use and which was

long overdue. I still didn't have even a residential house in the city for which we have invested.

Rahul Agarwal: Got it, sir. I appreciate that reply. And lastly, on the Gujarat plant set-up saying the construction will pick up speed now, we should expect the first output from there sometime in September, December of next year, is that correct?

Anil Gupta: Yes.

Rahul Agarwal: Thank you so much, I'll come back in the queue.

Moderator: Thank you. Our next question is from the line of Alok Deshpande from Nuvama. Please go ahead.

Alok Deshpande: Good afternoon, everyone. Congratulations to the entire KEI team for the great performance. Sir, 2 questions from my side. One, if you could give us some sense on the volume growth for

Q4 in cable and wires and also for the entire year? So that's my first question.

Rajeev Gupta: Sir, volume growth in the cable is close to 13% in Q4 and 20% for the full year.

Alok Deshpande: Okay. And this is only for cables or cables and wires? I mean, the House Wires...

Rajeev Gupta: Cables and wires. Yes. Wire and cable put together.

Alok Deshpande: So 13% for Q4 and 20% for the entire year, right?

Rajeev Gupta: Entire year, yes.

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Alok Deshpande: Yes. And sir, my second question was, when we look at your raw material cost or your gross margin, sir, when we look at spot prices of, let's say, aluminium or copper, does this affect you with a lag in the sense that the prices which were there for Q3 of FY '23, would that would have had an impact on how your margins were in Q4? Or how should we -- or is it like an immediate basis?

Rajeev Gupta: Actually, it is basically a lag effect for 15 to 25 days because in the institutional sales, we are having inventory of 2.5 months, but we are having the pending order position for 3 to 4 months. Same case with retail, every 15 days, we are revising the prices. So there is a lag effect of 15 to 25 days.

Alok Deshpande: Okay. So on a blended basis, is it fair to assume 20, 25 days is the lag effect, right?

Rajeev Gupta: But on an average, when you average out for a year, it will not impact, actually.

Alok Deshpande: Okay. And sir, just -- if I may just ask this last one question. Now, Anil ji mentioned in the start that INR250 crores to INR300 crores annual capex for the next 2, 3 years. Given where the prices are currently, I'm sure compared to last year's prices, the prices currently would be lower given that aluminium and copper prices are now lower. On this additional capex for the next 2 or 3 years, what sort of asset turn can we expect in terms of revenue addition on the current base?

Rajeev Gupta: See, the asset turn in our industries in the initial year is 1:4, then it goes to 1:5. That is in the Cable section. But if it includes the wire, then it is 1:6.

Alok Deshpande: Okay. So 1:6 is at the highest potential you mean the highest utilization?

Rajeev Gupta: For the Cable division products, it's a fair reasonable assessment is 1:5.

Alok Deshpande: Sure, sir. Understood. I get back in queue and all the very best.

Moderator: Thank you. Our next question is from the line of Riya Mehta from Aequitas Investments. Please go ahead.

Riya Mehta: Hello sir, thank you sir for giving me the opportunity. My first question is in regards to the EHV cable. What kind of demand are we seeing in -- how is the export market for the same?

Rajeev Gupta: See, in the EHV cable last year because of the execution delays of sales was a little bit lower compared to the '21-'22. But as of now, we have the strong order book position of more than INR850 crores. So it is a very good position now, and the demand is also very good. So in this financial year, we will be doing close to INR550 crores to INR600 crores sale for that high-voltage power cable and all.

Riya Mehta: Okay. And where is the demand? So will it be domestic or international

also for the same?

Rajeev Gupta: Domestic as well as international also.

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Riya Mehta: Okay. And in terms of housing wire, what kind of inventory is there at the distributor levels? And how do we see the entire scenario?

Rajeev Gupta: At any given point of time, whenever we were discussing the inventory of the dealer distributors, they will not be having more than 15 to 25 days inventory.

Riya Mehta: Okay. And in terms of raw materials, so basically, what kind of decrease in costs have we seen on a Q-o-Q basis? And going forward, what would be your guidance?

Rajeev Gupta: No. Because we cannot guide for the raw material price for the future because that's the international LME rate. But if you compare for the Q4 of this current year versus last year Q4, so the copper has decreased by 10% at the LME rate.

Riya Mehta: Thank you that's it from my end.

Moderator: Thank you. Our next question is from the line of Mr. Pranav from ASK Investment Managers. Please go ahead.

Pranav Gupta: Thank you for the opportunity. Sir, just one question regarding the volume growth that you pointed out that 13%, considering the copper prices would have declined by, say, around 1%, 1.5% on a year-over-year basis. I just want to compare it...

Anil Gupta: Sir, you were talking of the volume, then we are talking only for the volume. We cannot correlate with the price because price is separate, and the volume is separate.

Pranav Gupta: So if you could just give a breakup of what the volume and price -- volume is at 13% and price, what kind of a decline you would have seen year-on-year?

Anil Gupta: The LME is a 10% price decline.

Pranav Gupta: For Q4 year-on-year basis?

Anil Gupta: For full year, the LME decreased by 12%. And the aluminium LME has also decreased by close to 9% for the full year basis. So basically, for a full year basis, the copper LME decreased by 12% and aluminium decreased by 9%.

Moderator: Thank you. We move to our next question. Our next question is from the line of Abhineet Anand from Emkay Global Financial Service.

Abhineet Anand: Thanks for the opportunity. Sir, I just want to understand, over the last 5, 6 years, we have had a very decent growth of anywhere between 15%, 18%. But on the margin side, it has ranged at 10.5%, plus/minus [10 to 25 bps] basis points. So when does the operating leverage actually kick in, I mean, to 11%, 11.5%? Can you guide on that?

Rajeev Gupta: See, in future when this greenfield capex will be done and the commercial production from there will be started. So our administrative overhead and the head office overhead will not increase to

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that expenses and the marketing expenses also will not increase to that expenses. So that in next 5 years' time, by '26-'27, our EBITDA margin will improve at least by 1.5%.

Abhineet Anand: So currently, we are at 10.5%, you're saying that -- on an absolute basis, you're seeing this or for the current year?

Rajeev Gupta: Currently, we are having close to 10.5% to 11%. Actually, it depends on the volatility of the raw material prices. But otherwise, it is 11%, sometimes it is 10.75% like this.

Abhineet Anand: So, sir, just basically you're saying this 1.5% increase. So this is for the incremental supply you're saying from Gujarat or as whole you are saying?

Rajeev Gupta: As a whole, because company is same, legal entity is same.

Abhineet Anand: Okay. So in next 5 years, is it fair to assume this 10.5%, 11% can go to 12%, 12.5%?

Rajeev Gupta: Yes. But you see we are more focusing on the absolute number because we don't want that we should not increase in terms of the value and we increase the margin, but the absolute number will not be there. So we are focusing that we should grow at least 15 to 17 kind of percent range in terms of the value, even though we can increase a little bit in the EBITD

A and the PAT

because our interest cost is not increasing even though our sale is increasing. So ultimately, our PAT is increasing year-on-year basis. So ultimately the cash profit available to the company is more year-on-year basis.

Abhineet Anand: But is it fair to assume that with the new large plant coming up, and I assume, sir, told that around INR250 crores to INR300 crores for the next 3 years. So this is like INR800 crores to INR1,000 crores investment, right, over the next 3 years?

Rajeev Gupta: And all will be from internal accrual. Because right now, we are having close to INR400 crores to INR500 crores balance available with the company. And every year, we are accruing close to INR600 crores cash profit.

Abhineet Anand: Okay. And just on the current capacity wise, while you did mention in terms of the utilization cable is at 91%, Capex at Silvassa plant is INR45 crores, I suppose the benefits will probably come in H2 of this year, right, not in H1?

Rajeev Gupta: No. H1 also. Last year, we invested around INR98 crores. So close to INR45 crores we invested in Silvassa alone. So that capacity has already increased because of that -- yes, that has already come up. So from April onwards we are taking the sales from there. So we did actually 2 brownfield capex in Silvassa, one has completed, and one will complete in September.

Abhineet Anand: Okay. So the one that you have done was INR98 crores, the second will be of INR45 crores, fair to understand that?

Rajeev Gupta: That's how we are targeting the growth of 16%, 17% on the basis of the capacity available in the wire and the cable and the brownfield capex.

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Moderator: Mr. Abhineet Anand, may we request you to join the question queue for follow-up questions as there are several participants waiting for their turn. Our next question is from the line of Srinidhi

from HSBC.

Srinidhi: Hi. Thank you for the opportunity and congratulations on good set of numbers. Sir, just one clarification on capex. We're guiding for INR250 crores to INR300 crores this year. Does that include INR45 crores brownfield capex at Silvassa?

Rajeev Gupta: No, that is in addition to that.

Srinidhi: Okay. So probably then INR300 crores to INR350 crores FY '24 capex, right?

Rajeev Gupta: Yes.

Srinidhi: Okay. And second, I think we gave overall volume growth for the cable and wire business. Is it possible to break that into wires business? Like how much is it for housing wire for quarter and the full year?

Rajeev Gupta: Wire is 13%.

Srinidhi: That is for Q4, we said, right?

Rajeev Gupta: Q4.

Srinidhi: And for full year, sir?

Rajeev Gupta: And for full year the wire is 31%.

Srinidhi: 31%. Okay. And last, sir, we had a very good improvement in the working capital in last couple of years. Do you see there is scope to improve working capital intensity further on both inventory, as well as receivable days?

Rajeev Gupta: Inventory will remain the same level. But receivable days, which is right now is 2.4 months. So in the current financial year, it will reach to 2.2 months because our retail will increase.

Srinidhi: Right. Inventory, sir, particularly has come down a lot, wondering can these levels sustainable?

Rajeev Gupta: Yes, this level is sustainable.

Srinidhi: Okay. And last, sir, may I ask order backlog breakup? I couldn't note it down.

Rajeev Gupta: Order backlog is INR3,558 crores, out of which EPC is INR946 crores, extra high-voltage power cable, which includes the cable, as well as the EPC portion that is INR850 crores. And domestic cable institutional order book is INR1,440 crores, and export order for the cable is INR332 crores.

Moderator: Thank you. Our next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

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Keyur: Two questions. First is on the EHV cable. We have seen deg

rowth for FY '23. And now I think

you are guiding for a much higher number for FY '24. So what transpired in FY '23? And why it will come back in '24? That is first question. And second question, when you talk about 16%, 17% overall revenue growth. What segments will grow above company average? And what will drive the overall revenue growth just a breakup of this?

Rajeev Gupta: See, in extra high-voltage cable, we had orders in FY '23, but a lot of large orders could not be executed because the clearances from the transmission utility and right of the way permissions were not there. So hence, it could not be converted into sales. Presently, the order book of extra high-voltage cable is INR850 crores. And even the new orders will be pouring in further. So we are absolutely confident that of achieving around INR600 crores sales in this financial year. And the second question was, 16%, 17% growth. It will be majorly coming from low tension cables and House Wire sections. And also, we have the capacities in HT and EHV also. So overall, we have projected a growth of around 16% to 17% in FY '24.

Keyur: Okay. Sir, just one follow-up on this. When you say 91% capacity utilization in cables overall.

And while B2B segment is growing, but B2C real estate have seen some kind of slowdown and overall slowdown. Plus we have reached a certain scale. So in that context, how practical is it to grow the retail/wires -- House Wire segment above company level average?

Anil Gupta: You see, for company, whether we grow in extra high-voltage, we grow in export, we grow in low tension, high-voltage because as of now, it is only just a projection. But overall, in the past also, sometimes we have grown in exports. Sometimes we have more growth in the retail. Sometimes we have more grown in the institutional wire and cable. So these kinds of things will remain as it is. But we don't know which sector will grow more, which sector will not grow more.

But overall, because you see as an institutional sale, in a year, we are serving more than 2,000 clients, institutional clients in a year. We are having more than 1,900 dealer distributors all across the country. We are having our sales and export market in more than 60 countries and the U.S. has been added in this. So that's very diversified customer base, which we are having. On that basis, in the last 15 years, also, we have grown by 14% to 15% CAGR. So now we are projecting a 16%, 17% growth, which we are already doing in the last so many years.

Keyur: Yes noted. Thanks a lot and all the best.

Moderator: Thank you. Our next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: So my question is, how much of the revenue for a full year for EHV-EPC revenue?

Rajeev Gupta: Full year EHV-EPC revenue, please note down. INR147 crores as against INR128 crores last year, EHV-EPC

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Praveen Sahay: Okay. And regarding clarification on the EHV order book, how much is that? That's INR350 crores or INR850 crores?

Rajeev Gupta: INR850 crores.

Praveen Sahay: Okay. And then lastly, sir, you had earlier guided for the housing wire growth of 17% to 18% for '24. So is it largely...?

Rajeev Gupta: No, no. 2024, we have guided to overall sale of 16%, 17%.

Praveen Sahay: Overall. So in the earlier call, actually, you had given some housing wire number for 17%, 18%. So you are revising to lower numbers that is largely on the volume side only you are guiding for or [inaudible 0:36:35]?

Rajeev Gupta: No. For the guidance -- we will be growing more than the average company sales. In the past also, we have grown more than in the House Wire segment. Like in the current year, we have grown 20%, but the House Wire sales grown by 23%. So in future also, that trend will remain same.

Praveen Sahay: Okay. And that is largely on volume growth?

Anil Gupta: At present, you were talking

about of the value, so I am talking to you to the value.

Moderator: Thank you. Our next question is from the line of Devansh Nigotia from SIMPS. Please go ahead.

Devansh Nigotia: Yes. Can you elaborate a bit more on the export opportunity that you mentioned, especially we emphasized on U.S? And what are the sectors which are gaining significant traction in exports?

Rajeev Gupta: In export because we are dealing in so many countries, earlier we were not approved in the U.S. market. So now our few of the products with low tension power cable and the solar cable has been approved, and the HT cable also approved by the U.S. market. So we will be starting export into U.S. market.

Anil Gupta: Basically, we need to take certain approvals from the Underwriters Laboratories in U.S. To sell in U.S., you need UL approval for specified products, which we have obtained after a effort of around 2 years to become eligible to sell in the market. And hence, the distributors over there are approaching us now, and we have already commenced sales from January '23 onwards and continue.

Devansh Nigotia: Sir, the question was because a lot of export in cables have been significant traction in the last 3 to 6 months. So is it like -- for us, it is only the company on acceptances that we have received or overall for India, there has been some significant change in the preference towards the Indian supplier in exports of cable? Has anything of that played out? Any perspective if you can share over here?

Anil Gupta: Of course, I mean, a good acceptability of Indian products has come in the developed countries. And hence, we are having the opportunities for that.

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Devansh Nigotia: And which sector are gaining traction in export cable? There is no significant sector?

Anil Gupta: Basically, power cable and solar cables.

Devansh Nigotia: Power and solar cable. Okay. And in case of EHV cable, we mentioned order backlog INR850 crores, but our execution was low. So can you elaborate a bit more on the demand environment here? This is mainly domestic demand? Or it also includes export?

Anil Gupta: See, at the moment, we are only talking of domestic demand.

Moderator: Thank you. Mr. Devansh, may we request you to join the queue as there are other participants waiting their turn. Our next question is from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.

Ravi Purohit: Thanks for the opportunity and congratulations on good set of numbers. Sir, most of my questions have been answered. I just wanted to kind of briefly understand between 2019 and now, what would have been like our overall aggregate volume growth versus price growth? Because, I mean, prices are like still 40% -- 50% higher in terms of underlying commodity like copper and all. So if you have like a 3-year or a 4-year view between volume and value, how

much would account for?

Rajeev Gupta: See, every year close to 13% to 15% volume growth is there. Like in the last financial year, if the prices are stable, so like our volume growth is also 20% last year. And the value growth is also 20%. So if the price in a particular year has sharp fluctuation then it is something different, but otherwise, on an average, the price and volume almost similar.

Ravi Purohit: Because see, if I look at '19, our overall revenue was about -- a little over INR4,000 crores. We are right now a little less than INR7,000 crores. That's about 65% jump over a 4-year period.

Commodity prices are also like 40% higher, 45% higher. So what was, let's say, per kilo price of copper or aluminium 4 years back? It is probably like 40% higher even today. So in that sense, does it make -- would you say that volume growth would have been slower -- I mean, much lower over a 4-year period average?

Rajeev Gupta: See, in '17-'18 versus '18-'19, the copper was going down. 2018-2019 versus '19

'-20, again,

copper going down. Only then this '19-'20 versus '20-'21 started copper going up. So it is on an average, sometime the copper goes down, also sometimes copper goes up also. But we need to have both in terms of the value. So as a company, we are always focusing on the value, whether copper has gone down or copper has gone up, we are maintaining the growth of 16%, 17% year-on-year basis. You talk of this '18-'19, we have grown more than 20%. In '19-'20, again, we've grown more than 18%, 19%, 20%, even though both the years our copper price was going down. So for us -- because we need to have the balance sheet in terms of rupee, so we need to maintain the profit and we need to maintain the sale in terms of value. That's how we are increasing our customer base, increasing our geography for the products to market, whether it's exports or in domestic market or in retail markets, that's how.

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Moderator: Thank you. Our next question is from the line of Mr. Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Yes, good afternoon, sir. Thank you for the opportunity. Just 2 questions. One is a clarification on the recent comments you just made with respect to the value growth. Now, if I were to ask you, sir, if the copper price were to be down, say, 20% in FY '24. But when you're talking about focusing on value growth, does that mean that the volume growth you will try to grow by 25% to 30%, how do we understand the pricing part of it?

Rajeev Gupta: If anything goes exceptional, nobody can control. If it is in the range of the normal fluctuation, then it will be controlled. If your share market crashes, then how you will control the portfolio profit.

Achal Lohade: Got it. But sir, in terms of the pricing, where you are...

Rajeev Gupta: Normally, see, last year, the correction was 10% range, then it is manageable. But if it is 20% correction, then it will not be manageable. Because then in terms of value also, we will hit.

Maybe from 16%, 17%, we may go to 11%, 12%. But it will not be the case, we will be flat because in the last 15 years, it was 2009 also, 2013 also, 2020 also every year was there, and we have grown average CAGR growth of 14% to 15% in the last 15 years, wherein we have seen all kind of fluctuations. The numbers are available with you for 15 years for our balance sheet.

Achal Lohade: Understood. Sir, just a clarification on the pricing. You work on your prices or the margin on a rupees per meter or rupees per unit or...

Rajeev Gupta: We maintain our EBITDA margin in terms of percentage. We calculate the cost of material and expenses, then we'll load our margins. That's how it is going on in the industry.

Achal Lohade: Even for the industry as well. Understood. And just one clarification on the exports, sir. Which are the top 5 countries and what's their contribution? And how much of our total exports is under own brand?

Anil Gupta: All our exports are under our own brand. We have not exported any product in somebody's else brand. And our top export markets are Australia, Middle East. In Middle East, basically, Abu Dhabi and Kuwait. And thirdly, a few African countries in which Nigeria and Ghana are the main. And...

Achal Lohade: And the total contribution of these countries in the total exports? Would that be 60%, 70%?

Anil Gupta: Yes, around 60%.

Achal Lohade: Thank you very much for the clarification and wish you all the best.

Moderator: Thank you. Our next question is from the line of Shubham Agarwal from Axis Capital. Please go ahead.

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Shubham Agarwal: Hi, thanks for the opportunity. Sir, I was just listening to the call, a rough calculation shows that the incremental sales from greenfield capex that we will need to generate a 13.5% EBITDA margin for the overall company -- sorry, margin lift -- we need to lift the mar

gins for the

company by 1%, right, at the overall level. So we need a 13.5% EBITDA margin on the incremental revenue if we get from the greenfield capex. I just wanted to understand what will help us generate this 13.5% EBITDA on the incremental sales from the greenfield? The products are going to be the same, right, which already been retained 11% margin at the most.

Rajeev Gupta: See, when we will be doing this capex, we will not be increasing the fixed overhead like head office people or the top management and the marketing. So because of that, the EBITDA expansion will be the there, number 1. Number 2, our retail will be increasing further, and exports will increase further. So a little bit EBITDA margin will be -- expansion will be from there. So we are targeting not much EBITDA expansion, but we are targeting only 1.5% EBITDA margin in the next 4 to 5 years.

Shubham Agarwal: Okay, sir. Okay. And secondly, can you give me the volume of copper and aluminium consumed in FY '23 by the company?

Rajeev Gupta: The total metal consumed is 81,800 metric tons in '22-'23 as compared to 68,000 metals consumed in '21-'22.

Shubham Agarwal: Okay. This includes copper and aluminium total, right?

Rajeev Gupta: Yes, copper, aluminium, both.

Shubham Agarwal: Thank you. That's it from my side.

Moderator: Thank you. Our next question is from the line of Mr. Raj from Ambit. Please go ahead.

Raj: Two questions from my side. First is, if you can give any color on the active dealers. So what has been the expansion for this year? And what is your guidance for the next 2 to 3 years as you are increasing the retail mix as a percentage of your sales?

Rajeev Gupta: See, last year, our dealer expansion was close to 6% because we were having 1,800 number and now 1,900. And this year also, we are targeting at least 100 to 150 dealer distributors to be adding in this financial year.

Raj: So as a percentage, that would be...

Rajeev Gupta: Close to 7%, 8% of our target to increase number of dealer distributor. That is the net. Strengthening the existing dealer are actually because we are more focusing to strengthening the dealer wherever the dealers are there, we are replacing with a new dealer.

Raj: Okay. Yes. And the second question is that, when you see the gross margin or the raw material mix as a percentage of the sales, that used to be around 70% pre-COVID or up to '19-'20, but now we have seen that increased to 73% to 74%. So how do you see this going forward?

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Rajeev Gupta: You see the EBITDA margin in our case because earlier the EPC scale was higher. So in EPC, the material was less, and the manpower cost and the contracting cost was more.

Raj: Okay. So going forward, these types of raw materials...

Rajeev Gupta: Always it will be on an EBITDA basis, actually.

Raj: Okay. So just to guess this -- so the percentage would remain same going forward as it has been delivered...

Rajeev Gupta: It depends on the product-to-product basis, like in extra high-voltage is something different, wire is something different, the cable is something different. It's like that.

Raj: Okay. Sir, and also, if you could say in which pockets are we seeing more increasing demand from solar or from the data centres or where has been the demand being very strong going forward? Or is it currently quite strong?

Anil Gupta: Yes. The demand is very strong from the data centres, this 5G network, which is coming up, then metro rails, urban rail transportation systems and the railways as a whole. And then the highway construction where a lot of overhead lines are removed to make them underground. So that is also a big opportunity. And a lot of tunnel ventilation projects are coming up in the railways and new railway lines and also the highways, which consumes substantial amount of cables. Apart from that, solar power is a big opportunity, then power distribution and tr

ansmission companies are buying a lot. And the next is the solar -- and the industry like steel and expansion in steel, cement, petrochemical, oil and gas, capex by all the oil companies. So these are the major opportunities, which drives the cable.

Moderator: Thank you. Mr. Raj, may we request you to join the question queue for follow-up questions. Our

next question is from the line of Mr. Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: So my question was with regards to the metal consumption that you just stated that you stated that roughly you've consumed about 81,800 metric tons of metal. And I presume that aluminium and copper are the 2 main metals that you source. So I just wanted to understand if you could give me a rough breakup of what percentage of it would be aluminium and copper as of date?

Rajeev Gupta: That data is not available right now. We will give you later. But the total metal consumption is available, it is 81,800 versus 67,900.

Hardik Rawat: All right. And basis the estimates that you've given, you expect the EHV segment to grow roughly by about 60% in terms of sales value. So do you see that mix of sourcing changing.

Rajeev Gupta: No. Nothing changes. Actually, we are having the capacity to produce close to INR650 crores worth of material of EHV, wherein, we were having the order last year also, but the issue was the clearances from the companies, those who are buying from us, that is the transmission companies that was not available, either their site was not ready or something else. So at present, we are having order book of INR850 crores as against we cannot produce more than INR650

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crores. And this is the year beginning. So lots of new order will also come. So we will be easily selling INR600 crores worth of material for extra high-voltage power cable this year.

Hardik Rawat: Absolutely, and one last question, if you'll allow me. What are the major countries that you source your metals from like top 2, 3 countries if you can mention?

Rajeev Gupta: Please repeat your question?

Hardik Rawat: Top 2 to 3 countries from which you are sourcing the metals that you consume.

Anil Gupta: The raw materials we are sourcing or what we are exporting?

Hardik Rawat: Raw materials, the metals.

Anil Gupta: So we are majorly sourcing our metal requirement from India, especially copper from Hindalco and Vedanta and aluminium also from Hindalco and Vedanta and NALCO. So the small quantity is being imported, which is against advanced licenses against exports. But we are definitely importing XLPE compounds and some other specialized materials for special cables and extra high-voltage cables.

Moderator: Thank you. Mr. Hardik, we move to the next question. Our next question is from the line of Harsh Shah from Jefferies. Please go ahead.

Harsh Shah: Can you just provide the interest breakup for the quarter?

Rajeev Gupta: Please note down. For this quarter, the working capital interest is close to INR7.77 crores. And the bank charges is close to INR2.5 crores.

Moderator: Thank you. Our next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: Yes. Thanks for the opportunity. Sir, my question is on the supply side. So apart from the major players, we know on the organized side, which are also doing a lot of capex on the wires and cables. Are we seeing any supply from the unorganized/unbranded players also coming up?

Rajeev Gupta: In the cable, there is no unorganized because cable is an approval-based process.

Anil Gupta: No, we are not aware of any unorganized player coming up significantly in the capex for further expansion of their capacity.

Akshay Kothari: Okay. And based on your experience in this industry, whenever there is a supply. So supply actually comes at a point of time and then demand will come over a period of time. So do we see any do

wnward pressure on the margins in the initial phase of the utilization?

Anil Gupta: So far, we have not seen, but we don't know the future markets.

Akshay Kothari: Understood. Lastly, sir, we are the sponsors for RCB. And how has been the response from the Southern market post this?

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Anil Gupta: Actually, it has been good. But basically, this sponsorship in RCB is not region-specific. It is for all India basis. Ultimately, the spectators who see cricket, they see all over the country. And the major medium is either TV or digital. How many people goes into the stadium to see/watch the matches? So it's major effect comes from TV or digital media, the OTT, digital media, where nowadays people are watching these cricket or matches, etc. on digital or the TV.

Akshay Kothari: So can you just tell the advertisement expense as a percentage of sales, how much would it be?

Rajeev Gupta: On a yearly basis, we do around INR35 crores.

Anil Gupta: Which is around 0.5% of our sales.

Akshay Kothari: Okay, thanks a lot and all the best.

Moderator: Thank you. Our next question is from the line of Prashant Kothari from Pictet. Please go ahead.

Prashant Kothari: Hi, thank you for the opportunity. Just 2 questions. One is that the dealer distribution channel revenues if I look on a quarterly what's happening, the growth was about 31% in the second quarter, 25% in the third quarter and now there's 15%. So is there a slowdown out there in that channel?

Rajeev Gupta: Sir, repeat your question, what you said?

Anil Gupta: You said that in Q4, it was 15%. That is what your question is?

Prashant Kothari: Yes. And it used to be much higher earlier on. So is there a slowdown in that...

Anil Gupta: Actually, what happened because of the continuous decrease in the copper prices. So there was a little bit of destocking at the distribution level. So hence, the primary sales went down in the fourth quarter. But I'm sure that the stock levels in the distribution -- distributor sales is very, very low. So it will pick up.

Prashant Kothari: Sir, would you expect higher growth rate in retail.

Rajeev Gupta: Yes, always, it will be higher because in the last year also as the overall growth in the dealer distributor business is higher as compared to the total increase in the sales. So in the future also, the same kind of trend will remain same. For a particular quarter, we cannot say, but for a full year basis, our dealer distributor sales will be higher for the growth.

Prashant Kothari: Understand, sir. And on the working capital side, excellent management of working capital so far. But you also said that the future cash accruals will be used for capex, as well as working capital. Are you thinking that the working capital days might expand going forward?

Rajeev Gupta: You see only the inventory will remain the same, only the receivable cycle, which is right now has reduced to 2.4 months, which will further reduce to 2.2 months.

Moderator: Thank you. That was the last question for the question-and-answer session. I would now like to hand the conference over to the management for closing comments.

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Anil Gupta: So thank you very much dear friends for patiently listening to this investor call. I again reassure you that we are on the right track. We are very, as you know, focused on our business. And the growth in the economy and the demand in the international market, the company will continue to grow as guided. There may be some deviations in the growth rate in different product lines, but overall growth will be maintained as guided.

And if you still have any further questions, you can always reach out to us. Thank you very much for you patiently listening to us. Thank you.

Rajeev Gupta: Thank you very much.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference.

Thank you

for joining us, and you may now disconnect your lines.

Call: Aug 2023

KEI Industries Limited

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KEI/BSE/2023-24 Date: 08.08.2023

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Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the first quarter ended on 30th June, 2023

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Tuesday, 01st August, 2023 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the first quarter ended on 30th June, 2023 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2023/08/transcript-23-24-quarter-1.pdf>

This is for your information and record.

Yours truly,
For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)
AVP (Corporate Finance) & Company Secretary

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DIRECTOR – KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : MR. RAHUL DANI – MONARCH NETWORK CAPITAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEI Industries Limited Q1 FY '24 Earnings Conference Call hosted by Monarch Network Capital. As a reminder, all participant lines will be in listen-only mode, and there will be the opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I'll now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you, and over to you, sir.

Rahul Dani: Thank you, Tim. Good afternoon, everyone. We are pleased to host the senior management of KEI Industries today, and we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company. Let's start the call with the opening remarks from the management, and then we'll move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Yes. Good morning, colleagues. I'm Anil Gupta from KEI Industries. So I'll give you a brief about the results of Q1. We achieved net sales of INR1,782.5 crores, with a growth in net sales to 13.87%. EBITDA in this quarter is INR186.6 crores, and we have grown the EBITDA by 13.27%. EBITDA of net sales margin is 10.47% against 10.42% in the same period last year. Profit after tax in this quarter is INR121.39 crores. So the growth in the PAT is 17%. PAT holding net sales margin is 6.81%.

Domestic institutional cable sales wires and cables is INR538 crores in the first quarter. So it has grown by 14%. Export sales achieved in this quarter is INR307 crores against INR247 crores last year, and it has grown by around 25%. Domestic institutional Cable sales of extra high-voltage cable is INR50 crores in the first quarter against the INR100 crores previous year. So the total cable institutional sales contribution is 46% against 49% in the previous year same period.

Sales through distribution network, that is B2C, is INR796 crores in first quarter against INR652 crores in the same period last year. Growth is approximately 22%. B2C sale has contributed approximately 45% in the first quarter against 42% in the last year. Sale of EPC division is INR111 crores against INR84 crores last year. Sales of Stainless Steel Wire division is INR58 crores against INR61 crores last year. Volume increased in the Cable division on the basis of consumption of metal in quarter 1 of FY '23, '24 as compared to the previous year, the same period is approximately 22%.

Bending orders as on 26 July, is INR3,567 crores. External rating. The company has got an external India rating and Research Privates Limited has affirmed its long-term rating as AA with positive outlook. ICRA and CARE long-term rating is AA stable. Short-term rating from India rating ICRA and CARE is A1+. Book value of the equity share of the company is 300.86 as on 30th June.

Total borrowing is INR130 crores. This is only for channel finance. Otherwise, all other limit utilization is nil. Cash and bank balances of the company on 30th June is INR306 crores as

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against total borrowing of INR135 crores. Cost channel finance and cash and bank – net cash acceptance, credit as on 30 June is INR151 crores against INR219 crores as on 31st March 2022.

So the net cash is INR24 crores as on 30 June against net cash of INR183 crores as on 31st March. The finance cost has decreased to INR8.94 crores against INR9.23 crores last year. Interest income on fixed deposits in Q1 is INR5.92 crores, which is included in the other income. It was INR3.44 crores in the previous year's same period. The future outlook of the company.

At present, the company has repaid all its debts and is a debt-free company and cash accruals

will be used for capex for future g

rowth and additional working capital requirements. The company is confident of increasing its top line by 16-17% in the current financial year.

During the year, the company has incurred a capital expenditure of approximately INR114 crores in the Q1. And during the current financial year, doing a brownfield capex of around INR45 crores in Silvassa plant, which will generate the additional top line revenue of LT power cables of around INR500 crores. This will enable us to grow by approximately 16-17% in the current financial year.

Apart from brownfield capex in FY 23-24, the company has planned INR250 crores to INR300 crores capex on greenfield expansions of cable and wires in Gujarat. Commercial production of which will commence in the fourth quarter of FY '25. We have already purchased land in Q1 and we will spend every year in capital expenditure of approximately INR300 crores to INR350 crores each year for the next 3 years to maintain a CAGR of 15% to 16% per annum as against achieved CAGR of 14% during the last 15 years.

Industry outlook. As I said earlier, the demand for our products is strong in domestic as well as overseas markets. India has emerged as the fastest-growing major economy in the world and is expected to be in the top three economies in the world in the next 10 to 15 years. Demand in the infrastructure sector in the solar, wind and other infra projects of the central government as well as industrial projects by the private capex is very strong.

Demand for residential properties has surged due to increased organization and rising household income. Increasing private and government investments in energy-intensive industries such as iron steel, aluminium, cement fertilizer and refinery. The government emphasis on infrastructure development and products such as energy, railway and metro construction, roads and highway building, ports and airports and modernization, among others. So we thank you for your participation, and we'll now invite you to ask any questions, which you may have, and we'll be glad to answer. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Piyush Khandelwal from Bank of India.

Piyush Khandelwal: Just wanted to understand, let's say, at current capacity, what can be the peak revenue that you can do?

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Rajeev Gupta: At the current capacity as well as with the brownfield effect, which we are going for the next year, we can generate a revenue of INR9,400 crores to INR9,500 crores.

Piyush Khandelwal: This will be able to take care of the growth? That's what I wanted to understand.

Rajeev Gupta: Yes. So that's why, Anilji have said that next year also we will grow by 16-17%. As well in the current year also, we will be growing 16-17%.

Piyush Khandelwal: Right. Understood. Sir, next question is if I look at the segment breakup in terms of growth. Our domestic cables business has just grown 3% Y-o-Y. I mean just wanted to understand because in the opening of your remarks as well, you mentioned that the demand is good. Then that side of the business is not done well?

Rajeev Gupta: In that domestic side, if you talk of the low-tension and high-tension power cables, we are earlier, our turnover was INR472 crores last year. This year, our first quarter turnover was INR537 crores. So we have grown by close to 14% in the local market also. In the case of the dealer/distributor, our growth is close to 22%, as Anilji has said.

Piyush Khandelwal: Sir, as I see EHV cables business that is around INR588 crores versus INR572 crores in the previous quarter, it's a 3% growth?

Rajeev Gupta: Extra High Voltage power cable, which was earlier INR100 crores, is now INR50 crores. But now the order position of Extra High Voltage power cable is very, very strong. So from the second quarter onwards, again, this will

I go to INR100 crores to INR125 crores per quarter for Extra High Voltage power cable.

Piyush Khandelwal: So you'll be able to do INR550 crores of annualized sales in this year?

Rajeev Gupta: Yes, yes.

Moderator: We take the next question from the line of Mr. Rahul Agarwal from InCred Capital.

Rahul Agarwal: So sir, one question to you. I mean cable segment growth is at 14% Y-o-Y overall, everything put together. Was this in line with your internal planning for the quarter? Because it seems to be a low number when I look at your peer group who already reported numbers, it looks like cables are seeing some exponential demand in the country. So just need some of your thoughts on this. I understand EHV is down for some order execution delays. If you can explain that as well. But what happened on the LT/HT side? Is it material enough to think about market share

last year?

Anil Gupta: No. I'll explain you. We have grown actually by 22% in volume terms. The revenue growth is 20% because of the decline in the raw material prices and the metal prices of copper and aluminium due to which the revenue growth is only 14%. But in quantitative terms, we have consumed 22% more raw material during this period. Now your second thing is about capacity constraints at the moment, so which we are doing a lot of debottlenecking process in our existing plants so that we maintain a growth of around 16-17% revenue growth and around 20% in volumes this year also. And I'm assuring you that it will be done. It will happen.

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Rajeev Gupta: And Rahul, as per our earlier guidance, also, we have already guided every time that we will be growing 16%, 17%, 18% kind of thing. And volume terms, it has already grown by 22%.

So our sale is as per the guidance actually, which we have given earlier also.

Rahul Agarwal: We absolutely agree, sir. I mean, the thing was, actually, most companies are beating guidance, given that there is some exponential demand scenario along the capex lines of the company, both private and public. Hence, I was thinking that in that context, it is low. I'm not saying, obviously, you have guided, and you've met the expectation.

Rajeev Gupta: But I'm not aware that the peer group has guided you about the 30% growth for the full year.

Rahul Agarwal: No, they haven't. They have not.

Rajeev Gupta: Because we always talk of the yearly growth. And since so many years in the past, we always guided you, and we achieved that.

Rahul Agarwal: Okay, sir. Moving on, sir, between the copper and aluminium mix, I just wanted to know for KEI in terms of raw material, should we assume equal mix between copper and aluminium?

Rajeev Gupta: Normally, it is a 55-45 kind of thing sometimes 60-40. It is like that.

Rahul Agarwal: Okay, get it. And one question on balance sheet, your net working capital, it looks like it's up INR250 crores of investment, Q-o-Q the operating cash flow is negative for the quarter? Any thoughts what really happened?

Rajeev Gupta: No, no. That is mainly because we have paid more to the creditors because the money is in the business only. Whenever we would like to have increased the creditors that will be there, available. Because right now, the cash is available, so we are purchasing more and more on the cash. If you see our creditors has gone down.

Rahul Agarwal: Yes, I understand that, sir. We have been doing that.

Rajeev Gupta: So, that is in our hand actually, whenever we want, we can increase creditors. So, basically, the cash flow is available with the company.

Rahul Agarwal: Okay, got it. So, no major increase into inventories and debtors, nothing unusual there, right? That's what I wanted?

Rajeev Gupta: No, no debtor is already at par. Last year was INR1,387 crores, this year is INR1,322 crores. Because the EPC project, which we have already closed, we are getting our retention money. So, debtor is slowly

, slowly decreasing, actually. Even the sale has grown by 14%, even the debtor is low as compared to last year.

Rahul Agarwal: Got it, sir. And lastly, on the capex, this Brownfield of INR45 crores, this is the second time we are doing this. Is that correct?

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Rajeev Gupta: Yes, yes. First has already completed. And now, the second is going on in the Silvassa which will be completing by September. So, the second half production capacity will be available.

And another capex is going on in Bhiwadi and another is going on in the Gujarat. So, that's why, overall, we have already invested in the land. And now, we will invest in the plant machinery advances and the building for Gujarat and Bhiwadi. So, approximately, another INR300 crores we will spent in this financial year.

And for the next two consecutive years, every year, we will be investing close to INR350 crores each year. So, our growth target, whether for current year or for next financial year, we are keeping in our mind 16-17% kind of growth.

Rahul Agarwal: So, there is a Brownfield happening at Bhiwadi also?

Anil Gupta: Yes.

Rajeev Gupta: Yes.

Rahul Agarwal: And how much is the spent there?

Rajeev Gupta: It will complete by the first quarter of the next financial year. So, it will take care for the next year 17% growth.

Rahul Agarwal: What is the capex there, sir?

Rajeev Gupta: Close to INR110 crores.

Rahul Agarwal: Okay. So, if I understand this correctly, you have spent about INR114 crores this quarter. You will spend another INR300 crores in the balance 9 months. And from next year onward, it will be INR350 crores each?

Rajeev Gupta: Yes, yes.

Rahul Agarwal: And this includes Bhiwadi capex also?

Rajeev Gupta: Yes, yes.

Rahul Agarwal: Okay. Perfect, sir. I will come back in the queue. Thank you so much. All the best.

Rajeev Gupta: Thank you, Rahul.

Moderator: Thank you, sir. We take the next question from the line of Mr. Shubham Aggarwal from Axis Capital. Please go ahead.

Shubham Aggarwal: Hi, sir. I think most of my questions got answered during the last interaction with the last participant. Just on the capacity itself, what is the capacity utilization right now for you?

Rajeev Gupta: Sir, close to 90% capacity we are utilizing in our low tension and power cable capacity. And since our Silvassa plant in our house wire capacity we have already increased. So, that capacity

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utilization is close to 63%, 64% now. And our extra high voltage power cable capacity from the current quarter, it will be touching close to again 90% to 95% now.

Shubham Aggarwal: Right. And this new capacity in Silvassa is LTHT. I heard it right?

Rajeev Gupta: It is only for LT cable in Silvassa, which is the Brownfield capex is going on. It is only for LT power cable.

Shubham Aggarwal: Okay. And sir, can you just give me some detail on the pending order book, the breakup that you gave?

Rajeev Gupta: Pending order book, as Anil ji has said that it is INR3,567 crores rupees which includes the EPC pending order is INR832 crores. Extra high voltage power cable is close to INR809 crores and the domestic cable for low tension and high tension is close to INR1,690 crores and export order is INR236 crores for the cable. So, put together all, it is INR3,567 crores.

Shubham Aggarwal: That is all from my side, sir. Thank you.

Rajeev Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Mr Achal Lohade from JM Financial. Please go ahead, sir.

Mr Achal Lohade: Yes. Thank you for the opportunity. Sir, I just wanted to check on the margins. If you look at the margins for the cables in terms of the EBIT margin, we see that it has contracted on a Y-o-Y as well as Q-o-Q. The number, it is not large, but given we are as you know we have capacity constraint, w

hich implies that we are utilized fully. Why would the margin contract?

Is it to do with the raw material? Is it to do with the product mix?

Rajeev Gupta: It is mainly because of the advertisement and IPL expenditure during the first quarter only because of that, nothing else.

Mr Achal Lohade: Can you be able to quantify what is the quantum?

Rajeev Gupta: Close to INR10 crores to INR12 crores we spent on the advertisement and the IPL, which was not in the last year quarter.

Mr Achal Lohade: Understood.

Rajeev Gupta: Actually, all the expenditure were relating to the quarter one only. So, we have to book in the same quarter actually.

Mr Achal Lohade: And how do we look at the spending from a full year perspective? What is the spending we would look at in terms of percentage?

Rajeev Gupta: No. Actually, the other expenditure on business promotion advertisement will remain same as we were doing in every quarter. Last year, we did not participate in the IPL and we did not done the TV advertisement for IPL. So, because of that, additional INR10 crores was the

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expenditure in this quarter. Otherwise, overall business promotion advertisement, year-on-year basis, it will be close to INR35 crores.

Mr Achal Lohade: Annually. Okay.

Rajeev Gupta: Yes.

Mr Achal Lohade: Understood. And secondly, can you talk a bit more on the exports, which geographies have we got more customers now signed up in terms of the margins for these exports and what is the mix in terms of exports in terms of wires, cables and within cables if there is LT/HT, etc.?

Rajeev Gupta: See, as Anil ji has earlier also guided this year, this last year our export was contributing close to 10%. So, he has within this export within two years, three years' time to go to the level of 70% to 20%. So, in the current financial year, we are targeting a 17% kind of total contribution from the exports. So, even in this quarter also, if you see, the contribution from export has reached to 17% in the current financial year also. And the export order book position is strong. It is INR236 crores exports and we are exporting mainly the cable part, low tension, high tension, and little bit extra high voltage power cable.

Mr Achal Lohade: Right. And just a clarification in terms of the execution period, what is the typical period for the domestic cables as well as for these exports, is it 3 months?

Rajeev Gupta: Yes, it is normally 2.5 months to 3 months.

Mr Achal Lohade: 2.5 months to 3 months from getting the order to the delivery?

Rajeev Gupta: Yes. So, whatever pending order is there, we have to supply within 3 months almost.

Mr Achal Lohade: Got it, sir. This is very helpful. I will come back in the queue, sir. Thank you.

Rajeev Gupta: Thank you, sir.

Moderator: Thank you sir. The next question is from the line of Mr. Venkatesh Balasubramaniam from Axis Capital. Please go ahead, sir.

V. Balasubramaniam: Yes. Thank you for the opportunity. Now, I had a few questions. The first question is on copper. Now, can you please highlight how much percentage of the copper that you use, you procure from India and how much you import?

Rajeev Gupta: So, normally major copper and aluminium is we are using domestic only against the advanced license. Few orders we take from the import side. Otherwise, most of the cases, there are the validation. So, we take even the duty-free from the domestic supplier that is Hindalco and Vedanta, etcetera.

V. Balasubramaniam: Okay. So, because the reason I am asking you this question is primarily because the market leader actually claims that when you go to the -- when you actually, if you import copper, there are contracts available where, let us say, you place the order for copper today, the price does

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not have to be decided on that day. Let us s

ay you will take the delivery of the copper after three months. You have the option of deciding how you want to price the copper, whether it be at spot or, let us say, if the prices have actually risen over the three-month period, you can take the average price. So, are these kinds of contracts available in the international market, first of all? And secondly, why is somebody like KEI not participating in the international market if these kinds of contracts are available?

Anil Gupta: Sir, these types of contracts are available that we can definitely do the copper LME pricing on a forward note when the actual delivery is taking place. But ultimately, it is a call which we have to take, what kind of risk it carries. We do not know why we are not playing blind. We do the forward booking only in case we have a forward contract on firm prices. So, that our actual supplies matches with the prevailing copper prices at that time.

V. Balasubramaniam: Okay. Thank you. That is very helpful. The second thing is a couple of years back, there were talks about you had mentioned that you were evaluating an entry into the FMEG business. But I guess, I do not know, is there any thought process on that because it does not look like FMEG is that greater business now with almost everybody entering the business. So, have you completely scrapped plans on the FMEG entry or is it like you still have a thought process that you will enter that business?

Anil Gupta: We have no plans to enter that business.

V. Balasubramaniam: Okay. Thank you very much. And one last thing, one last question from my side. You know, obviously, some of your peers like somebody like Havells who is more wires heavy as grown at around 25%. Polycab whose cable heavy has grown at 40%. And we have grown at a lesser pace. Is it basically only because of the capacity constraint that you are already operating at almost 90% utilization that is why you could not grow. Was there a possibility that if you had that capacity, you could have also grown at let us say 25%, 30%? Is the demand environment that strong?

Anil Gupta: Yes, yes, you are right. Demand environment is strong and it is only the capacity constraint due to which we have grown lesser.

V. Balasubramaniam: Okay. If I could just ask one more, pardon me for it. Some of your competitors have started

talking about China plus one in wires and cables that a country like U.S wants to diversify our supply chains in terms of buying wires and cables. Are you facing these kinds of, are you getting queries from international clients that can you please export to us because we don't want to buy from, we want to buy less from China. So, this is something some of your competitors are actually highlighting.

Anil Gupta: Yes, you are correct. We are also getting lots of inquiries and in the coming quarters and months and years, the export will go substantially. We have also started exports to U.S.A since February this year. And quarter-after-quarter, you will see our export has jumped to 17% of our sales, which was in earlier years it was only 10%. So, it will definitely be growing subject to, I mean, whenever we are able to feed them with our capacities.

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V. Balasubramaniam: Okay. How does the export margin compare with the domestic margin, is it higher, lower, same?

Rajeev Gupta: It is almost 1% higher.

V. Balasubramaniam: 1% higher. Okay. Thank you, all the very best for the future.

Rajeev Gupta: Thank you.

Moderator: Thank you, sir. We take the next question from the line of Mr. Praveen Sahay from Prabhudas Liladhar. Please go ahead.

Praveen Sahay: Yes, thank you for taking my question. So related to the export only, as there is a good growth, we had seen for a quarter you are guiding also for a 17% contribution for this year. Is it because largely of a geographical expansion or you are seeing in the exist

ing locations there is
a growth is coming in?

Anil Gupta: No, no, it is coming from existing customers in existing countries also, and also from newer directories also. But I mean, the traction is definitely strong for the cable products from international markets.

Praveen Sahay: So, as you also highlighted in the export that the U.S. in the last call also, you had said that the U.S. approval, everything is done. How much is the U.S. contributing right now in the export?

Rajeev Gupta: So that figure-wise, we cannot disclose country-wise, but overall it is strong.

Praveen Sahay: And one clarification related to your capex. So, two of the Brownfield expansion capex for this year is lined up or for the next year?

Rajeev Gupta: Actually, Silvassa was doing earlier also. So in the last year, we invested around INR50 crores in Silvassa, and this year we are again investing INR45 crores in Silvassa plant. And in our Bhiwadi, plant, we will be investing around INR100 crores to INR110 crores, and then Ahmedabad, Gujarat, we are investing in the greenfield project. So overall the current year, close to INR400 crores, we will be investing put together all whether it is Ahmedabad or it is Bhiwadi or it is Silvassa.

Praveen Sahay: Okay. And one more clarification on the greenfield. Last quarter, you said it will be operational by Q3 FY '25, now it's delayed by a quarter.

Rajeev Gupta: It will be operational by Q3 end actually. So the fourth quarter sale, we will be started taking from there.

Moderator: The next question is from the line of Mr. Sandesh from HSBC.

Sandesh: Sir, I wanted to ask you regarding to the timelines of the capex. So the Silvassa will be done by September, right? And the brownfield expansion will be done by Q4 this year.

Anil Gupta: By the first quarter of the next financial year.

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Sandesh: Q1 FY '25?

Anil Gupta: Yes. And Gujarat, the first phase will be completed and the sale will start from the fourth quarter of next year (FY 25)

Sandesh: Okay. And sir, on the EHV side, sir, are we confident of reaching revenues of INR500 crores to INR600 crores this year? Would that be reasonable?

Anil Gupta: From this quarter onwards, you will see that there is a growth and we will cover up the deficit of first quarter also in this quarter.

Sandesh: Okay. And sir, one last question from my side. Sir, there has been a slight receivable improvement this quarter. So is it sustainable? Or should we...

Anil Gupta: Receivable will be in the same range. As I earlier said, because of the change in the mix of the

house wire. The retail dealer/distribution division will be contributing in the current financial year close to 46%-47%. So because of that, last year, our receivable has reached to 2.5 months. And the current financial year, it will be going down and holding will be close to 2.2 months. In last 3-4 years, if you see continuously, from 3.85 months to 2.9 months, from 2.9 it has come down to 2.4 months. Now it will be closing 2.2 months, actually.

Sandesh: Sir, one thing on the margins.

Moderator: I am sorry to interrupt you, Mr. Sandesh. May we request you to join the question queue, sir?

Anil Gupta: No, no. He is asking. Please continue.

Sandesh: Thank you, sir. Sir, one thing on the margins. You mentioned that there has been a slightly higher A&P spend this quarter and it would normalize in the subsequent quarter. So can we expect the margin expansion in line with Q4 for the rest of the year?

Anil Gupta: Yes, yes. Definitely.

Moderator: We take the next question from the line of Amit Mahawar from UBS.

Amit Mahawar: Sir, my question is for Anil. So this year, FY '24, what kind of volume growth do you see for the industry in HTLT cable?

Anil Gupta: Now I expect close to 20% volume growth. Overall for the industry, I don't have figures at the moment, but we can provide you an estimation, it will be on

ly an estimation.

Amit Mahawar: Sure. And second thing is, FY '24 has started on a very strong note. We saw all the peers in volume growth in cable reporting very strong volume growth. It also tells us that a lot of states are inviting supply tenders. We've seen a lot of states where some of our peers have supplied very large quantities. Do you think in your assessment and understanding this year, it's going to be a very heavy first half and a relatively slower second half considering we are going to also enter the election period? Is it right to say for cable is larger?

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Anil Gupta: No, no. I think the year will be good and strong, even in H1 and H2. And I think overall, it will remain a good period.

Amit Mahawar: And maybe last question for Rajeev. Sir, what's the target by next year for debt levels and interest cost to sales that you targeting?

Rajeev Gupta: Amit, as we earlier said, at debt level, we will be maintaining a debt-free company now from here onwards. So debt will not be there. Because of that, we are having a disciplinary approach wherein we are maintaining a growth target of 16-17%. Accordingly, whatever internal accruals we are generating, we are investing in the capital expenditure as well as keeping for working capital requirement. So to maintain a certain kind of discipline and capital allocation, the same kind of growth we are targeting for the next 5 years or 10 years as a debt-free company.

Moderator: The next question is from the line of Akshay Kothari from Envision Capital.

Akshay Kothari: Just wanted to know regarding the earlier participant's question. If we are seeing a very good demand on the -- very good demand tailwind on cables, wires and everything is going good.

And why not go for that forward contract LME? Because in that case, we won't be playing blind because we are actually seeing a lot of tailwinds across the sectors.

Rajeev Gupta: In the past also, as we have earlier communicated that we don't run the treasury, number 1. Whatever natural hedge is available to us. We are having a 3 to 4 months kind of pending order book position. And we are having 2.5 months to close to inventory in our shop floor. So it is under natural hedge. Only in the case of the contracts from the customer, which is the longer period only against that only if we do forward the contract, otherwise, we don't do it. So that's why the -- neither we lose, neither we gain from the copper purchase.

Akshay Kothari: Okay. And Rajeev, we are also planning the capex on the EHV side, right?

Rajeev Gupta: Yes, in the new Greenfield project.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: So this is regarding one of the earlier participant's questions. So you said that in this quarter, there has been a higher ad spend of about INR10 crores to INR12 crores. So even if I add back that number to your EBIT, your margin expansion only improved to 50 basis points. I just want to understand. So is it fair to understand that most of the expansion was let go because you had to take a price reduction?

Rajeev Gupta: Repeat your question? We are not able to understand.

Natasha Jain: So if I do not consider the higher ad expenses in this quarter, which you said you incurred of about INR10 crores to INR12 crores. I mean your margins would definitely expand, but probably from 9% to say 9.5% to maybe 9.7%, whereas the peers have shown a very strong growth in terms of margin. So I just want to understand, is it because the raw material pricing softened and that's where we took the hit.

Rajeev Gupta: No, no. It is not like that. In the earlier also, in the house wire product, our margin is 11%. Their margin is 14%, 15%. We have already also communicated. So our margin range for EBITDA is 10.5% to 11%. So we will be maint

aining the margin in our balance sheet level.

Anil Gupta: As far as advertisement is concerned, normal advertising will continue. It is only the IPL expenditure, which we incurred in the first quarter, may not be there in the subsequent quarter.

Natasha Jain: All right. Understood. And sir, my second question is more on a longer-term basis. So we hear the infrastructure development that's going on, and then there is a decadal tailwind in the cable sector. And the infrastructure is not something that's going to end in 1 year. It's a multiyear project that the government and private capex, etcetera, is going to be done. So, sir, understanding from a 3- to 5-year perspective, given FY 24 start was very strong. How do you see midterm? In the next 3 to 5 years, the demand, is it going to remain as strong? How do you see it?

Rajeev Gupta: Definitely, demand will be as strong. And just in the last 15 years, KEI has grown at a CAGR level of 14%. In the next 10 years, we are planning to grow by 17% a year because now we are a debt-free company. So we are talking of a longer-term perspective, not for 1 year but for a 5- to 10-year basis that we will grow by 17% CAGR.

Moderator: We take the next question from the line of Mr. Prashant Kothari from Pictet Asset Management.

Prashant Kothari: I just had this question on the capacity, like you're constrained for the capacity today. Does it mean that you have the ability to maybe prioritize your customers better and therefore kind of retain more tire margin business? I just wanted to understand how you are kind of thinking about it, how you are prioritizing which clients to kind of supply towards, which dealers to supply to and dealers not to.

Rajeev Gupta: But we are among the second largest company in the country. So we cannot deny our old customers. So we have to maintain the relations with all of our customers. So we cannot choose and pick only for higher margin because business has to grow for a longer period. So it is not the case. The case is that we are serving our customers. We are having the patronage from of our old customers, and we will be maintaining that. EBITDA margin, we will be maintaining, as we said, 10.5% to close to 11%, definitely, we will be taking. And that is our goal also to reach 11% EBITDA margin, with a growth rate of 17% kind of CAGR. Accordingly, the capital, which we are earning, which we are allocating.

Prashant Kothari: Okay. And just in terms of your future capacity planning, sir, how do you think about kind of having more spare capacity than what you have today? What is the downside if you were to invest rate than INR30 crores, INR40 crores if you are to invest maybe a bit more...

Rajeev Gupta: So you see, we cannot see that only in 1 year if a competitor has increased, we should chase them because then the accident will happen. In the past also, in the last 14 years, whether it is a competitor or it is a KEI, all have grown 14% to 15% CAGR. We know that in future also, we may grow by 17%. So CAGR level 16-17% for the 10 years.

Moderator: The next question is from the line of Ms. Sangeeta from Cogito Inc.

Sangeeta: So wanted a little more colour on our margin. We have talked in the past and also said that one of the reasons you gave by the margins have not grown despite the growth in sales was that you were investing in advertising, etcetera. But now that ad business has also grown a lot, when can we start beginning to see some meaningful expansion in the margins? Because if I look at my last 5, 6 years, you've been very stable around a 10%, 10.5% level. Is it possible to take it a notch higher?

Rajeev Gupta: We earlier also spoke about that, that when our capacity will increase from the new greenfield projects and the existing downfield capex, our EBITDA margin will expand by 1.5%. So within next -- but it will be next 3 years kind of thing. B

ecause one capacity when this

greenfield capex will be there due to economy of scale, where the marketing expenditure and the head office expenditure will not increase to that extent. So one EBITDA expansion will be from their side. And another, we are bridging the gap of our houseware price versus our peer

prices within the next 2 to 3 years' time. So because of these 2 reasons, our EBITDA expansion will be 1%, 1.5% in the next 2 to 3 years' time.

Sangeeta: Okay. So over 3 years, so roughly 50 basis points a year kind of thing and what we should expect?

Rajeev Gupta: For the current year and for next year, it will be 11% range. But after that, it will start increasing because the commercial production in the greenfield project will start only in the next financial year.

Moderator: The next question is from the line of Mr. Anupam from SUD Life.

Anupam: Sir, my question is again on the margin side. But can we say earlier, we have seen a margin of like 12%, 12.5%? What sort of environment will that provide that because at some point, our ad expense will also stabilize and as well as we'll get some operating leverage. So, shall we expect from FY'25 a good growth in margins?

Rajeev Gupta: FY'25-26 financial year, we may reach to 12%.

Anupam: Okay. Okay.

Rajeev Gupta: Sir, we are very, very transparent with all of our investors, all our bankers that whatever we are doing, we are communicating. So, there is a no surprises in the negative side or positive side. We always communicate to all of you well in advance.

Anupam: Okay. Because given that we are also increasing in our export as well as EHV. So, the margins are sort of looking like to improve from here?

Rajeev Gupta: Sir, on the industrial side, we have to maintain the quality while we are doing exports, we are doing institutional sales. Since, we are doing the institutional sales, please appreciate in each and every institution, all the sale goes through the inspection process only. We are not a 75% selling to the dealer distributor wherein no inspection agencies are there. So, any company can

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sell anything. So, we are selling in an institution side where all the inspection clauses are available, all the companies are appointing the inspection agencies to our company. So, the quality of products is at an international level, which the KEI as KEI is giving to all our customers.

Anupam: Okay, sir. And sir, what is our margin difference in retail and institution sales?

Rajeev Gupta: Like in the retail is close to 11% and institutional sale is close to 10% to 10.5%.

Anupam: Okay. Thank you, sir. I will join back in the queue.

Moderator: Thank you, sir. We take the next question from the line of Mr. Venkatesh Balasubramaniam from Axis Capital. Please go ahead, sir.

V. Balasubramaniam: Yes. Thanks again, once again, for this opportunity. I just had a follow-up question. Now, I am aware that historically, KEI, a very long time back, used to have leverage problems. But over time, you've done fantastically. You've executed very nicely. You've reduced working capital. You've reduced debt. Now, you are at almost net cash. Now, one participant earlier asked that, why not do more capex, for which you had replied that over longer term the growth is 14% 15% only.

So, we should target that kind of growth only. But you are also aware of the fact that this China plus one is a new opportunity which is coming up. And normally, when a country like U.S or large countries move supply chains to a different country, it is not a one-time opportunity. It could be an opportunity for the next decade. So, is there any merit to go back to the drawing board and perhaps do double the capex than what you are doing, maybe even borrow for it, and maybe have slightly higher leverage over the shorter term because you might actually miss out on a large opportunity if you don't do

the necessary capex? So, is there any...

Rajeev Gupta: Sir, we will not miss out anything. The longer term, sustainable growth for any company, please note my words, will be 16-17%. That is, I am talking for the next 10 years. So, we are not planning for one year. We are planning for the next 10 years. And we are raising our CAGR growth from 14% to 17% now on a sustainable basis for next 10 years. We will be running a debt-free company, that is for sure. So, neither we will borrow and we will be maintaining a 17% CAGR. We are very, very transparent to all of you.

V. Balasubramaniam: Okay. Thank you very much, sir. All the very best. Thank you.

Rajeev Gupta: Thank you very much, sir Venkateshji.

Moderator: Thank you, sir. The next question is from the line of Mr. Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Yes. Thank you for the follow-up. Rajeevji, one question on creditors. I am just trying to understand that better. I know the company strategy in terms of reducing payables. So, I know

that. What I am trying to calculate is, when I look at March balance sheet and June balance sheet, the creditor balance is down about INR160 crores. Is that correct?

Rajeev Gupta: Yes, sir.

Rahul Agarwal: So, you are saying that because we did this.

Rajeev Gupta: This has nothing to do with it, Mr. Rahul. What happens with creditors is whenever we have the extra cash, we buy the material on cash, prefer to buy on cash because where we utilize the money in fixed deposit because we don't run the treasury, so we don't invest anywhere. We don't invest in capital market as a company. So, we want to remain within the business. Now, we are going for capital expenditure. So, whatever money we are generating, it will be putting only there. So, what happens in creditors is whenever you want, you increase, whenever you want, you decrease. If it is necessary, increase the creditor, but the debt will not increase in the company.

Rahul Agarwal: Sir, I understand that. My question was, can we quantify the savings we have done on this INR160 crores?

Rajeev Gupta: No, savings is only if we are opening the letter of credit, it is interest bearing. If we are not opening the LC, then it is a non-interest bearing. So, if the 14% growth is there or 16-17% growth we are going to do, but interest cost is not increasing. Otherwise, the interest cost will increase.

Rahul Agarwal: Yes, I understand that. Okay, no problem. I will take it offline.

Rajeev Gupta: Sir, it is directly in proportion to that only.

Rahul Agarwal: I understand that, sir, because I was looking at the acceptance number, it has gone down by INR70 crores Q-o-Q. So, is there a linkage between the difference of creditors being repaid and acceptance going down?

Rajeev Gupta: No linkage, sir. It is a simple case study because copper and aluminium always purchasing on cash. So, if we are having the cash extra, we are paying them directly. If we are having sometimes going for letter of credit, but if the import is increasing, then definitely we have to open the letter of credit because in the import, we need to open the letter of credit.

Rahul Agarwal: I understand that, sir. And just last question on again..

Moderator: Sorry to interrupt you, sir. May we request you to join the question queue.

Rahul Agarwal: Okay, I will come back. Thanks.

Moderator: We take the next question from the line of Mr. Raj Shah from Ambit Capital. Please go ahead, sir.

Raj Shah: Sir, just one question on the capacity again. So, I just wanted to understand that if in the short term, we have a capacity constraint, so is there any possibility of outsourcing for the incremental growth that we get?

Rajeev Gupta: Sir, to maintain the quality of the cable, we need to manufacture in our company

. But again, as

we earlier said also, whenever we have planned for growth of 16-17%, so it is a well-defined process we have already communicated to you as well as communicated to in our company, internal board also. So, the same way we are growing 16-17%, it is not the case somebody is having more growth, we should jump into that, we should not do that. We know our strength and we know what quality of products we need to produce and supply, whether in the domestic market or in the export market. So, accordingly, and ethically, we are doing our business.

Raj Shah: Okay, sir. And just one additional question. So, if I just look at the margins of the market leader over the last 10 years, so then we have gone from around 9% to roughly 14%, 14.5% for FY23-24, while we have maintained margins at around 10% to 11%. So, just wanted to understand, so going forward, what are we spending more on branding, what are we doing differently on the branding and advertising part, so that we can reach, as we reach a good decent scale, we can also reach margins comparable to this.

Rajeev Gupta: Sir, we are not competing with anybody, we are competing only with ourselves. As we said, our margin in 25-26, 26-27 will reach to 12.5%. So, we are not guiding that we will be catching up the peer group or something else, we will be growing with a 17% kind of thing for a CAGR group, having EBITDA margin is close to 11% right now, which will be reaching within 3 years' time 12.5% and we will be running at debt free company. So, these three things we are maintaining.

Raj Shah: Okay, thanks a lot.

Moderator: The next question is from the line of Nirav Vasa from Anand Rathi. Please go ahead.

Nirav Vasa: Hello sir and thank you very much for the opportunity. So, sir end FY22 our installed across all the multiple cable options that we have was 14.95 lakh kilometres. Would it be possible for you to share what is it that number currently and what can that be number end of this year and end FY'25?

Rajeev Gupta: Sir, this I will communicate. Right now, I'm not having the kilometre number. In my presentation, you will see which will be in the website by evening. So, we are already disclosing the capacity in our every presentation.

Nirav Vasa: Thank you, sir. Next question is from the line of Mr. Siddharth Purohit from InvesQ Investment Advisors Private Limited. Please go ahead.

Siddharth Purohit: Yes, hi sir. Sir, any bifurcation you provide, how much of business normally we get from government related projects and how much from non-government and particularly from railway side?

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Rajeev Gupta: Sir, we don't have that kind of number, but we are having a segment type of number wherein the institutional business for low tension, high tension power cable contributing 30% of our total sales. Dealer distributor business is contributing 45% of our total business and export is contributing around 17% of our total business. Because the institutional business includes not only railways, metro-rail projects, EPC contractors, because when the L&T is giving the order, we don't know whether it is a distribution and transmission order or it's a metro-rail project order or it is any refinery order or it's any railway project orders. So, we supply lots of cables to these EPC contractors like L&T, Siemens, ABV like companies, large companies.

Siddharth Purohit: Okay. The reason I was asking is that there are very few large companies like yours and the government is on a massive expansion mode both on railway as well as non-railway.

Rajeev Gupta: Sir, you are seeing the government expansion now. We are always telling you since last three years that demand is good, but since the capital allocation basis and the capital availability to us, we are in a mode wherein we will grow 17%, 18% kind of growth.

Siddharth Purohit: Okay, sir. Thank you, sir.

Moderator: Thank you, sir. We take the next question from the line of Drashti from Thingwise Wealth managers. Please go ahead.

Drashti: Thanks for the opportunity, sir. When you say that you are foreseeing a growth of 16-17% for the period of next 10 years, is there any particular segment that you see this growth with or you know skewed towards one particular segment or this is going to be a broad-based number that you are projecting?

Rajeev Gupta: Madam, nobody can predict like this. Actually, we are running a complete profile portfolio like you. So, we are having low-tension, high-tension, extra high voltage power cable. We are having wires and we are having the segment like we are supplying to institutions, supplying to export markets, so, product and segment. No one can know that which of the product will be higher, which of the product will be lower like you. So, as a whole, we will be growing like this.

Moderator: Thank you. We take the next question from the line of Ritika Gupta, an Individual Investor. Please go ahead.

Ritika Gupta: Hi, sir. I just had one question. I want to know that you are bullish. Which is the geography that you are most bullish on? U.S. market, we started in February. So, what percentage of our exports are going to the U.S. market?

Rajeev Gupta: Close to 10% of the or maybe more because I cannot disclose those numbers actually to you for a country-wide actually.

Ritika Gupta: Okay. But which geography are you most bullish on?

Rajeev Gupta: You see, we are in the geography of Africa, in the Middle East, Australia, U.S. These are the major geographies wherein we are operating.

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Ritika Gupta: Okay. And you see mainly growth coming from...

Rajeev Gupta: No, growth is coming from every sector, everywhere. It is not the case that the Middle East is not growing or Australia is not growing or Africa is not growing.

Ritika Gupta: No, but if I have to ask you for FY24?

Rajeev Gupta: For U.S. we have added. Because of that, our CMD sir has already increased the contribution target from 10% to 17% actually.

Ritika Gupta: Okay. That is the reason. Yes. All right. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Rahul Agarwal from InCred Capital.

Please go ahead, sir.

Rahul Agarwal: Sir, thank you. Thank you. This is my last question. Sir, just one question on channel finance.

The INR130 crores number, if I understand this correctly, this is a recourse debt which is

basically related to your dealers who have taken channel finance. Is that correct?

Rajeev Gupta: Yes, you are right, sir.

Rahul Agarwal: So, my understanding was generally when I look at other balance sheets, typically this is shown as a contingent liability, right? It is not part of the balance sheet. So, is there any difference in accounting policies what you follow and others?

Rajeev Gupta: No, sir. Everywhere accounting policy is same. The recourse level is also same. Sometimes KEI or such companies give their recourse directly. Others give indirectly. There is no difference. Otherwise, banking channel is for everybody same.

Rahul Agarwal: Okay. Got it, sir. Got it. Got it. Thank you so much. All the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Anil Gupta: Thank you very much, friends, for participation and listening to us. If you end having faith in us, if you still have any further questions, you can reach out to us. Thank you very much.

Rajeev Gupta: Thank you very much to all of you.

Moderator: Thank you. On behalf of Monarch Network Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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KEI/BSE/2023-24 Date: 08.11.2023

The Manager,
BSE Limited
Listing Division,
Phiroze Jeejeebhoy Towers,
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Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter ended on 30th September, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Wednesday, 01st November, 2023 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the second quarter ended on 30th September, 2023 is attached herewith.

The transcript is also available on the website of the Company:

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

AVP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd.
Listing Division, Exchange Plaza, Plot No. C/1,
G Block, Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051 The Calcutta Stock Exchange Ltd.
The Senior Manager, Listing Division, 7, Lyons
Range, Kolkata-700001

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR –KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : MR. RAHUL DANI –MONARCH NETWORK CAPITAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KEI Industries Limited Q2 FY '24 Earnings Conference Call hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you, and over to you, sir.

Rahul Dani: Yes. Thank you, Rio. Good afternoon, everyone. On behalf of Monarch Network Capital, we're delighted to host the senior management of KEI Industries today. And we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company.

We will start the call with opening remarks from the management, and then we'll move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Yes. Thank you very much. Good afternoon to everyone, I'm Anil Gupta, CMD, KEI Industries Limited. Along with me, Mr. Rajeev Gupta, is there, CFO of the company. Thank you very much for joining us on this conference call. I'll give a brief about this quarter's results, which we must have gone through. The net sales achieved is INR1,946 crores. There is a growth in net sales at 21%. EBITDA in this quarter is 10.87%, which has grown by 27.53% compared to last year. Profit after tax in this quarter is INR140.2 crores, so which is 7.2% of the net sales and grown by 31% compared to last year same period.

The major highlight is that the export sale in this quarter has jumped significantly to INR249 crores with a growth of approximately 79% compared to previous period last year. Sales through dealer network has grown by 14%, so it is INR923 crores against INR808 crores last year. So the sales through distribution network is 47% of the total sales in the second quarter.

The sales of extra high-voltage cable is INR169 crores, which has grown substantially compared to last quarter and last financial year. It is mainly because in the first quarter, some cable manufacturers could not be dispatched due to non-player from the customers due to ROW issues, but with significantly healthy trend in the EHV cable in the coming quarters.

The net sales in first half, six months, in H1 in financial year '23-'24 is INR3,729 crores and growth in the net sales in first half is 17.51%. EBITDA has grown by 21% compared to same period last year. And EBITDA/net sales margin is 10.68%. Profit after tax in H1 is INR261.59 crores, so the PAT has grown by 24% compared to the same period last year. Profit after sales/net sales margin is 7% as compared to 6.64% last year.

Total volume increased in the Cable division on the basis of production for consumption of metals in H1 is around 26%. The pending order book at the moment is INR3,363 crores in the

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company. This does not include the retail order, which we do not count in the order booking because they come and dispatch from the stocks or from the default within a few days. Rest of the commentary is already available with you, which you may please go through and we are there to answer your any questions.

I'll brief you about the industry outlook. We see a reasonable and good outlook for the Wire and Cable segment in the coming quarters from the government infrastructure pipeline as well as from the real estate. We also are seeing good traction of whole demand from our overseas customers.

I would like to talk about the actions taken by the company for incremental capacity condition. Company has incurred a capital expenditure of INR221 crores during the first half of current financial year. Earlier, the co

mpany has planned a Brownfield capex of INR45 crores to INR50 crores at our Chinchpada plant at Silvassa.

Now that we have increased this capex to INR110 crores in Chinchpada plant, which will increase our capacity for house wire and LT, Low-Tension power cables by approximately INR800 crores to INR900 crores per annum, out of which, INR240 crores per annum capacity has been in place in October '23 and balance capacity and another similar capacity will be available by December in this year and the rest will be available for production by end of this financial year.

Another Greenfield/Brownfield expansion is being done at our Pathredi plant in Bhiwadi with an approximate cost of INR110 crores, which will increase our capacity of low-tension power cable by approximately INR800 crores to INR900 crores per annum. It will be operational in the quarter one of '24- '25 financial year, which means by May or June 2024. This will enable us to grow by approximately 16% to 17% in current financial year and also 15% to 16% growth in the next financial year is there.

Apart from this Brownfield capex, in financial year '23-'24, the company has planned INR250 crores to INR300 crores capex on Greenfield expansion for cables and wires in Gujarat at Sanand. The construction has already started. We expect the first phase of the commercial production will commence by fourth quarter of FY '24- '25. Further, we will spend every year in capital expenditure approximately INR300 crores to INR350 crores for next two years to three years and to maintain a CAGR growth of 15% to 16% per annum.

So we expect a good growth in the company's business from domestic market as well as exports in the coming financial year and the consequent years. We are focusing on geographical expansion in the export markets and also expansion in the customer base, and we expect, we are getting reasonable and good results from our efforts.

I would like you to now come back with your questions, and we are ready for the questions and answers on these aspects. Thank you very much for listening.

Moderator: Thank you very much. The first question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

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Rahul Agarwal: Thank you so much for the opportunity. Good afternoon, sir. Sir, first question was is there a reclassification of dealer sales because I can see revisions in first quarter number?

Rajeev Gupta: Yes, Rahul. You are right. Binding wire product share that we reclassified. Earlier it was shown in the Institutional sales, so it has been reclassified and some other regrouping also. So that said, we have reclassified. But the total sales remain same. Only Institutional versus Retail has reclassified.

Anil Gupta: Actually, binding wire was always sold through dealer network. So it was never in Institutional sales.

Rahul Agarwal: Okay. Got it. So after this reclassification, could you help me understand overall the dealer distribute of sales. I think my sense was we were growing faster there. What is the full year outlook for this segment?

Rajeev Gupta: This outlook is also there because in the wiring segment, if you see, we have grown. In first half level, it's close to 22%. And in the Cable, because of the capacity, we are diverting this capacity to the export now. So it is some time export is higher, sometimes dealer/distributor is higher, sometimes HP is higher. So that will remain the same.

But as overall, we will grow 16% to 17% in the current financial year and the same kind of growth we will see on the basis of capacity expansion, which our CMD has highlighted in the next financial year also.

Rahul Agarwal: Got it, sir. Very clear. Second question on EHV full year, I think INR550 crores to INR600 crores that guidance remains?

Rajeev Gupta: Yes. That guidance remains.

Rahul Agarwal: Okay. Anything specific on steel wire sales because that looks

like it's a bit volatile. Is it more...

Rajeev Gupta: Stainless steel wire again it is this thing in metal, it all depends on the pricing. So sometimes it goes up, goes down, but the production level is same.

Anil Gupta: The capacity segment, we are not increasing the capacity over there. Our production in quantum -- in quantity has grown. But because of the substantial fall in the stainless-steel prices, the value sales have gone down. But in tonnage, it has improved.

Rahul Agarwal: Got it, sir. What is the peak revenue here we can achieve assuming current pricing for steel business?

Anil Gupta: We can achieve 750 tons per month at our best capacity. And at the moment, we are operating almost at between 700 tons to 750 tons per month, month after month -- months to months.

Rahul Agarwal: Got it, sir. And last question. After this Brownfield, which got completed, I think Silvassa, INR240 crores is completed and it will come in phases. Just to understand this better, the peak

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revenue potential for the company overall across all segments put together, if you could help me with that number as of September?

Rajeev Gupta: As of September, the capacity utilization in the Wire and Cable segment is close to 97% in the Cable segment. But in the case of the house wire segment, it is 89%. So now we are adding the capacity in the house wire also, which Anilji has said that it will be added in -- by March. And in the Cable also, which will be added in the earliest coming December, coming March. And then in the first quarter, our Pathredi plant will add.

So approximately new capacity addition. Like October, we added INR240 crores, another INR240 crores will be added in December and another INR500 crores will be added by the -- our house wire division capacity utilization was 70%, actually. So we have sufficient capacity over there.

So this additional Chinchpada will be there. And then the Pathredi plant approximately INR800 crores to INR900 crores capacity for next year, it will be there. So because of this new capacity addition in our existing locations, we will be able to grow the same kind of growth, which we are growing in this financial year. And after that, our new Greenfield capacity will be available.

Rahul Agarwal: Correct, sir. So basically, Bhiwadi and Silvassa adds about INR2,000 crores of top line. Is that correct? Approximately.

Rajeev Gupta: What were you saying?

Rahul Agarwal: I'm saying Silvassa, the Brownfield additions, are adding up about INR700 crores to INR800 crores of top line and the Bhiwadi is...

Rajeev Gupta: Basically INR1,100 crores to INR1,200 crores.

Rahul Agarwal: So overall INR2,000 crores of top line?

Rajeev Gupta: And plus Pathredi, so you are right, INR2,000 crores additional.

Rahul Agarwal: Overall INR2,000 crores additional worth of capacity will be available by end of this financial year.

Rahul Agarwal: Perfect, sir. I will come back in the queue. All the best. Thank you so much.

Rajeev Gupta: Thank you, Rahul.

Moderator: Thank you. The next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.

Shubham Agarwal: Hi, thanks for the opportunity. Sir, just a question on the Greenfield capacity additions that are coming. Sir, can you give a sense, what are the percentage increase in capacity of the peak revenue or the revenue potential of these capacities in Phase 1, Phase 2, and Phase 3, similar the way you've given for the Brownfield capacity?

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Rajeev Gupta: So in Greenfield, we are spending around INR1,000 crores-plus there. We will generate INR4,000 crores to INR4,500 crores capacity. The Phase 1 will be approximately INR2,000 crores capacity will be added by the fourth quarter of the next financial year. And balance we will be adding in the '25, '26.

Shubham Agarwal: Okay. So on the Brownfield

d, just reconfirming, if I've got it right. In the Silvassa plant, INR240 crores revenue potential capacity has been added in October '24. INR240 crores will be added in October '23. INR240 crores will get added in December '23. And the balance, about INR300 crores, will get added in March '24. Is that right?

Rajeev Gupta: Correct.

Shubham Agarwal: Okay, sir. And Bhiwadi plant, Q1, the whole INR900 crores will get added in Q1 FY '24, Bhiwadi?

Rajeev Gupta: Yes. '24-'25.

Shubham Agarwal: Right. Yes, Q1 FY '25. And just a related question, how long does it take us to ramp up these capacities to 100% utilization? I believe Brownfield capacity will be very -- the utilization can come up really fast. So if we add in October 31, we added the capacity, we can reach this peak utilization for that plant in, say, how many days?

Rajeev Gupta: Since we are having the order book position, so in the Chinchpada plant, the LT power cable we are adding we will be utilizing immediately.

Shubham Agarwal: Okay. It doesn't take -- it's not like a Phase 3. And a question on your answer in the last participant that you're diverting your current capacities to exports, the cable capacity. I believe last quarter you were saying that you'll be focusing on servicing the domestic demand first and then going on to export -- going on to service export demand. With that understanding...

Rajeev Gupta: We are serving domestic institution; we are continually serving. But once we get the export order, we have to deliver on time. So that's why I said that we are -- this export has increased. But the dealer/distributor, the Cable division has not increased to that extent. But the market is available.

And it will always be the case. Sometimes EHV will increase, sometime HT will increase, sometime low-tension power cable will increase within the product. And within this segment also, sometimes the dealer/distributor will increase. Sometimes, the domestic institution will increase. Sometimes, export will increase.

So overall, put together with the diversified, whether it is a product or it's a customer base, we will be growing in a 16% to 17% per annum basis. It is not the case like in the last quarter where the EHV sales was low, but still we have grown in this quarter. So again, our growth rate will be the same, will be very, very stable.

Shubham Agarwal: Right. Sir, yes, I get that. Sir, my intention of asking is that since you were saying that we'll incrementally divert more capacities towards exports, are you sensing any kind of a slowdown

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in the domestic demand for cables maybe because of election or something, that was my intention of asking that?

Anil Gupta: No. There is no slowdown. But we have to create a balance with our available capacity for -- yes.

Rajeev Gupta: See, now we are going to create a INR2,000 crores worth of capacity by next year. And after that, another INR2,500 will be added. So if we are not tapping, right now the new geographies, then how we will grow and we will utilize those new capacities then?

Shubham Agarwal: Right. Got it, sir. Thank you so much. That was all from me.

Moderator: Thank you. The next question is from the line of Swati Jhunjhunwala from BOB Capital. Please go ahead.

Swati Jhunjhunwala: Thank you for taking my questions. First question, what was the B2B contribution in the second quarter?

Rajeev Gupta: Please repeat your question.

Swati Jhunjhunwala: The B2B contribution for the second quarter?

Rajeev Gupta: B2B contribution, 27% the domestic institution and 15% from the export. And dealer/distributor contribution is 47%. Apart from this, there is extra high-voltage power cable contribution is also -- that is also B2B, that is 6%.

Swati Jhunjhunwala: All right. And could you give me both mix of the order book in terms of EPC, HP, domestic cable, and export cable?

Rajeev Gupta: Yes, you can note down. E

PC order book position at INR804 crores. Extra High-voltage power cable includes the little bit EPC portion attached to it, INR725 crores. Domestic cable order book position is INR1,548 crores. And export order book is INR286 crores. Put together all is INR3,363 crores.

Swati Jhunjhunwala: All right. And lastly, on the capex front. So H1, we have done INR221 crores. Are the INR45 crores to INR50 crores that we had targeted for Chinchpada, is that already included in the INR221 crores this year?

Rajeev Gupta: Yes. Out of the INR221 crores, we spent around INR43 crores in Chinchpada, INR5 crores in Pathredi and INR140 crores in our Sanand plant. And balance is for the maintenance capex and

in our Kheda land, which is in Baroda.

Swati Jhunjhunwala: Got it. And the increment INR65 crores for Chinchpada, the INR110 crores for Bhiwadi will be incurred in H2. Is that right?

Rajeev Gupta: Yes. In Pathredi, H2 will be another INR75 crores and balance INR30 crores will be in the first quarter.

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Swati Jhunjhunwala: Okay. And lastly, the INR250 crores for Greenfield, how much that will be done in the second half?

Rajeev Gupta: Repeat your question, please?

Swati Jhunjhunwala: The INR250 crores for the Greenfield capacity that we are adding, how much of that INR250 crores will be incurred in the second half of FY '24?

Rajeev Gupta: On Sanand projects, we have already spent INR140 crores for the land. Another INR150 crores will be spent in the second half and close to INR400 crores will be spent in the next financial year and INR300 crores will be in '25-'26. That's how this INR1,000 crores will be spent over there.

Swati Jhunjhunwala: All right. That was all my questions. Thank you so much.

Rajeev Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Alok Deshpande from Nuvama Institution Equities. Please go ahead.

Alok Deshpande: Good afternoon, Anilji, Good afternoon, Rajeevji. Two questions. One, on the margins, we have seen a good margin expansion this quarter. Can this be attributed to the EHV revenues going up sharply or is it just the operating leverage playing through? That was question, sir.

And sir, second question was, if you could just give me the volume versus pricing breakup for this quarter, that would be helpful?

Rajeev Gupta: See, now the EBITDA level will improve towards 10.75% to 11% range because of the top line is increasing. So this kind of EBITDA level will be maintained in future also. And what was the second question?

Alok Deshpande: That was the -- so it was about the volume and pricing breakup for the quarter?

Rajeev Gupta: In the first half of the current year, as well as compared to the last year first half, copper price more or less is same. It was hardly 1% to 2% differences here. So these prices are stable. Only aluminium prices had reduced by more than 10%, 12%. Otherwise, prices are stable now. So close to 26% volume growth on the basis of the consumption of metal, on the basis of production we did because our production is higher also. So that will also because our level of production has also gone up because now, we have to improve our sales more than INR2,000 crores a quarter. So because of that.

Alok Deshpande: Okay, sir. Thank you so much. All the very best.

Rajeev Gupta: Thank you, Alokji.

Moderator: Thank you. The next question is from the line of Koundinya Nimmagadda from Jefferies. Please go ahead.

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Koundinya Nimmagadda: Hi, sir. Thanks for the opportunity. Sir, firstly, a bookkeeping question. Can you provide us with the interest cost breakup for 2Q and first half?

Rajeev Gupta: This cost is very, very less right now. But still, you can note down. Because practically, all interest expenditure only for the bank charges right now. So in first half, the working capital interest is close to I

NR12 crores and then charges is close to INR2.86 crores. And processing fee of the bank is close to INR1.57 crores. So put together all in H1 is INR16.47 crores.

Koundinya Nimmagadda: Sir, what was the pickup...

Rajeev Gupta: And INR8.8 crores, close to INR9.83 crores is the interest income on FDR.

Koundinya Nimmagadda: Understood, sir. Sir, can you provide some of the breakup for the second quarter as well?

Rajeev Gupta: Second quarter, the working capital interest is close to INR5.4 crores and the bank charge is close to INR1.5 crores and processing charges, INR0.5 crores. So put together all is INR7.53 crores. And interest on FD is INR3.8 crores.

Koundinya Nimmagadda: Understood, sir. Sir, my second question is on the outlook front. You did speak about real estate front. On the infra part, what are the key segments that are driving growth for your domestic side? Also, if you can provide some more color on the exports? I mean we saw a strong growth

during the quarter.

Anil Gupta: See, on infra side, metro rails, suburban trains, NCRTC, etcetera, that is number one. Number two is power distribution and transmission. And thirdly, solar developers, solar power projects.

They are the major drivers.

But in fact, all segments are contributing, including industries, but I just mentioned some of it.

And real estate as well and the construction sector and the new industry.

Koundinya Nimmagadda: Understood, sir. Sir, how about exports?

Anil Gupta: Export is definitely there. And exports are from solar plants, solar wind farms and power distribution and transmission.

Koundinya Nimmagadda: Fine. Thank you, sir.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you. Congratulations for good results for the team. Sir, just want to understand on the house wire side where we are speaking about faster growth, historically we have spoken about faster growth since we are growing on a low base. What kind of demand are we seeing? So first is the inherent demand because of a lot of real estate completions?

And second, what kind of growth we envisaged for ourselves assuming it would be higher than the rate at which industry is growing? So first question is on domestic house wire.

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Rajeev Gupta: In house wire segment, as we have earlier guided also to grow by 22% to 25%. So we are in line with that also. With regards to real estate sector demand, which we all are witnessing in the top metro cities since last 1.5 years, so that demand is already there on ground now. Apart from that, individual bungalows are being made in each and every city and town. So that demand is continuing since last so many years and it will be continuing.

For our case, since we are increasing our geography, we are increasing our reach also in the house wire segment, we are adding more and more number of retailers under the dealer/distributor, so we are growing 20% to 25%.

Keyur Pandya: Just one follow-up. So against that 20% to 25%, what would be in the inherent industry growth? I mean, industry itself is also growing at healthy pace?

Rajeev Gupta: See the industry will be growing 12% to 13%, since all the smaller players around this segment, they don't participate in the industry growth because of the management bandwidth and the capital they are facing the scarcity. So the smaller company does not grow their sales to their customer.

Keyur Pandya: Okay. And second on export, the kind of growth that we all, including KEI, and all the Indian companies are seeing, it is -- anything that gave any kind of tariff or non-tariff barriers on imports from some specific country? Or this is just that there also capex spend is driving growth for companies in India? So any structural change has happened?

Rajeev Gupta: See the before COVID also, in our case, our export was close

to 13% before COVID. During

the COVID, we were not able to add new customers and new countries. So that's why sales were up to 10% of the total sales. Again, now marketing team was able to add more geographies, more new countries. So Anilji had said that this year will be close to 12% to 13% of total.

And by next year or another year, his focus is to grow exports close to 15% to 17% of our total sales irrespective of the market of our sale. So that's why the focus is there. So now Anilji can contribute more about the -- what the US is going on and the Europe is going on or the other oil and gas sector products, which we are selling there going on. So Anil, please.

Anil Gupta: There is a good spending in power distribution and infrastructure in the United States. And capacity over there are definitely lacking because for over many years, they have not increased their industrial base for manufacturing of cables. And definitely, we are getting some benefit out because of China Plus One policy, followed by Europe and USA. So we are getting the opportunity, and those opportunities are converted into business.

Keyur Pandya: Okay. Understood. Sir, thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi Karlekar: Yes. Hi, thank you for the opportunity and congratulations on good set of numbers. Sir, I have a question on exports business. There seems to be significant investments happening in the Saudi Arabia market, both in hydrocarbon sector as well as overall infrastructure. Wondering, does

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KEI have presence in that market from both certification point of view, business development team point of view and execution capabilities?

Anil Gupta: We have all the certifications in place. But at present, our sales to Saudi Arabia is not significant. But in other Middle East countries, we are present significantly like Abu Dhabi, Kuwait, Qatar, etcetera.

We are trying to make some inroad in Saudi Arabia, but -- especially focusing on oil and gas sector, Saudi Aramco, etcetera. And we hope that, we will get a breakthrough very keen soon over there.

But in other markets, like in US and in Europe, we are steadily getting inroads and we hope that we will be doing a reasonably good work in next few years in these markets.

Shrinidhi Karlekar: Is there any legacy reasons why we are less present -- the company is less present in the Saudi market versus rest of the Middle East countries?

Anil Gupta: Actually, Saudi has already a substantial local capacity of manufacturing cable. There are several companies producing cables in Saudi. And it is only because of the excessive demand at the moment we can get opportunity. Otherwise, they are themselves a large producer of cables within. And they don't allow imports easily when they had their own manufacturing capacity.

Shrinidhi Karlekar: Understood, sir. Yes. We have seen EPC business scaling up in this quarter. Is it in tune with the EHV business scale-up we saw? Or is the company trying to scale up the EPC business?

Rajeev Gupta: No, it is mainly because of the EHV. Because in EHV, almost 20% of the supply goes to the EPC, so because of that only. Where the pure EPC contribution of the total sale has remained 4%. Earlier, it was 5%. This year, it will be less than 4%.

Shrinidhi Karlekar: Right. And last one, if I may. I just want to understand, would you say that in Q2, you missed some of the revenue because of capacity constraints. And if yes, is that a meaningful number?

Rajeev Gupta: See, our target which we have earlier said for the current financial year to grow 16% to 17%. So we are maintaining that irrespective of the market is available because we want to run a debt-free company that we are running. So under risk mitigation plan and capital allocation, we cautiously have made the strategy that a 16% to

17% to 18% kind of growth we will be

continuing maintaining for next five years to seven years. Not for one year, but we are saying for next five years.

Shrinidhi Karlekar: Last one, sir, if I may. Again, the 16% growth -- the 16% to 17% growth that you're guiding for the next year, does it factor in the Greenfield plant commissioning in Q4 and there's some dependence on that? Or even if that, unfortunately, if it slips into the following years...

Rajeev Gupta: For the next year, we are not taking because only the end of the fourth quarter they're coming. That's why we have increased the capex in our existing Chinchpada, Silvassa plant so that we will have the sufficient production capacity to grow 15% in the next financial year.

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Shrinidhi Karlekar: Right. Thank you for answering my question and all the very best.

Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Hello, Anilji and Rejeevji. Great execution again. Sir, I just have one specific question on your expansion and export strategy. So exports may -- can you just help us understand and maybe, Anilji, can help here, next two years, three years, how will we move in LT, HT, and maybe branded house wire also that you're targeting because you will eventually start developing channels there, maybe in US market and non-US market. So how will we -- how should we think about the composition of export business for KEI for the next three years?

Anil Gupta: Our exports will be mainly focused on export of cables. We are not targeting export of wires to anywhere because wire in every country, there is a lot of local capacity and competition from the local suppliers is there and also a lot of stocking is required everywhere to sell this product because of the instant delivery requirement from the market. So we are not -- we have no sales for house wires from our plant anywhere and we are not focusing this.

Rajeev Gupta: We are only focusing on LT, HT and EHV cables.

Amit Mahawar: Sure. So nobody -- I think I would definitely even don't have any doubt on the potential we have for export market. But generally speaking, if you compare with the conditions that you have, the terms of contract that you have in supplies in India, vis-a-vis the export market, generally, how is the working capital different for us in exports?

Rajeev Gupta: So in export, also the same. We are supplying to institution over there. Same case with India, we are supplying to institution. So close to 2.5 months or three months is the normal period for this.

Anil Gupta: Normal payment period is 60 days to 75 days even in exports also.

Amit Mahawar: Sure. Thank you, very much and good luck.

Anil Gupta: Thank you, Amitji.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Good afternoon, gentlemen. My first question is more of a follow-up from the previous participant's questions. Sir, I want to know on a more macro term as to what is the demand supplied for cables in the international market? And what kind of time frame visibility do we have in terms of getting very good orders? So like we have strong tailwind in the domestic market for cables. Is it also internationally? And can we assume that for the next many couple of years, that will continue to be? So first question is that.

Anil Gupta: See, we don't have any data about demand and supply in the international market. It varies on the country to country. But the kind of markets and the customers we are developing or we have developed so far, we see a consistent demand of cables into several projects over there, which we are doing like wind farm -- I mentioned in wind farms, solar farms, solar power developers

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and also a lot of customers who are using

our cables in manufacturing plants over there and also in the power transmission and distribution side.

There are -- it is very difficult to, I mean, predict -- our capacities are not that large that we are trying for large international markets.

Natasha Jain: Understood, sir. But then there is -- what I wanted to know is, there is a strong opportunity, right, from the international market as well for cables particularly?

Rajeev Gupta: The possibilities are there. As we said that, we have the strategy to grow 16% to 17% per annum. So our focus is to add more and more geographies and add more and more customers in our kitty. So that any given point of time, at any time the retail is lower, domestic institution is lower, so that this, too, then can be contributed to exports. Otherwise, we have to grow only 16% to 17%. Our target is not to grow 30%.

Natasha Jain: Understood. And sir, one follow-up on this question itself. Sir, is the international market a more brand-conscious market for cables? Or is it not that? Just some light on that.

Anil Gupta: International market is not brand conscious. International market is qualification conscious. Where the kind of segments we are supplying, we have to get our products certified by the regulatory entities over there. Like in US, we have to get mandatory UL-certified cables. In Europe, we have to take their Construction Protocol Registration in different countries, CPR certifications. So in every country, there are some certifications required, which we have obtained and using for that -- or to that country.

So the certification is given to the company. So naturally, that brand got registered in their system. But if we see that, we are selling branded products, like Louis Vuitton like that, that is not the case in case.

Natasha Jain: Understood. Sir, why I asked this question was, I understand that wires is absolutely not -- it's perceived more as a commoditized product internationally. So just wanted to understand where R&D spend for cable is more...

Anil Gupta: First of all, I mentioned that we are not selling or trying to sell wires in the international market. We are only selling cables in oil and gas, in power transmission where it is -- if the product is approved by the -- using the institutions or authorities and the product is certified to be used in that country. Like in India, we need mandatory BIS certification. In every country, there are some certifications required.

Natasha Jain: Understood. Sir, and my last question is on the margins over a longer period, not in the medium term or short term. So given that all your Greenfield and Brownfield capacities will come into play, say, by FY '26-'27 at good utilization levels, so then I believe that sharp operating leverage benefits should kick in. Sir, so then where can we see these margins, EBITDA margins, moving to probably in the medium term, say, over three years to five years?

Rajeev Gupta: At least, 1%, 1.5% will improve by '27-'28.

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Natasha Jain: Understood, sir. All right. Thank you so much and all the best, sir.

Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori: Yes. Thank you for the opportunity. And congratulations on good set of numbers, sir. Sir, my question would be, so obviously you've already commented a lot on the demand front. But there

is one bookkeeping question. So if I look at the unlikable expenses, has there been any change in classification? Because when I look at the EBIT margins for Wire and Cables have improved significantly. But on the other side, unlikable expenses have also shot up. So can you throw some light? Or this is just one-off quarter?

Rajeev Gupta: No. Expenses depend on the raw material, operating expenditure, and the EPC division. Because in EPC division, some quarter our sale is higher because their

raw materials is very, very less.

Expenses is mainly. So that's why, you see the EBITDA margin.

Manoj Gori: Okay. But there is nothing exceptional or probably it should be normal in the due course?

Rajeev Gupta: Yes, it is normal.

Manoj Gori: Okay. Right, sir. Sir, and also when I look at from an export point of view, obviously, this quarter on Y-o-Y basis, numbers look very strong. So probably, how should we build in, in the coming quarters and probably from '25 perspective as well, if you can throw some light. Because obviously, you've thrown a lot on the demand side?

Rajeev Gupta: First of all, Manojji, as we have earlier spoken also to you or some other investors, we have to grow 16% to 17% to 18% kind of thing. So we need to take care. It should not miss whether for a particular geography demand is heavy or not heavy. That's why we have developed over a period of time the domestic Institutional sales, which is high entry barrier; and international export sales, which is again a very high entry barrier. Then we developed to maintain a working capital -- low working capital for the dealer/distribution segment.

And every time, all the three segments will not gradually increase. Sometimes, one will expand more. Sometimes, another will expand more. So that's how we maintain the overall growth like you are maintaining the portfolio.

So we are maintaining the portfolio. Sometimes export increase, sometimes domestic increase, sometimes dealer/distributor increase. So here, reshuffling will be there between them. A lot of time, you asked about even if it has not increased, we have done the same growth. Like, last year, we did not have EHV, then too we did 20% growth.

So these basically additional working towards customers, towards geography, towards segment, towards product is mainly to insulate the risk overall. So that because of this, our sustainable growth model is there and we are happy with 16% to 17% to 18% kind of growth. To maintain that we are working there effectively.

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Manoj Gori: Right, sir. Sir, lastly, so when we do our checks at the ground level. So probably one thing what we are able to figure out is that Cables are doing better than Wires and B2C has been a bit sluggish on a related basis versus in...

Rajeev Gupta: Nothing is better or worse. Cable demand is in different factor and wires demand is in different factor, first of all. No product is comparable to each and every product. We are running a portfolio of the products. Whether wire sells more, EHV sells more, LT sells more, HT sells more, like this. Like what I said to you, product wise they will go up and down, segment wise also, there will be up and down and geography wise also, up, and down. But we need to take care a 17%, 18% kind of growth.

Manoj Gori: Right, sir. Sir, my question was like this is for the industry. So industry we are getting this feedback. Obviously, you guys are doing far better. So probably, how do you see the overall demand picking up, especially for Wires?

Rajeev Gupta: Overall demand earlier, it was 11% to 12%. Now it is 12% to 13% with respect to the industry as a whole for Wire and Cable segment because lots of infrastructure capex from the government side going on like in the road, in the rail, in the metro rail, in the airports and the seaports. Then the government is pushing towards affordable housing. Then government is pushing towards the generation of the power through the solar, through the wind and through the traditional route of the thermal.

Then the government is focusing on to attract the manufacturing -- all the manufacturers worldwide to create the manufacturing hub in the country. For that, they have started through the PLI scheme. And slowly, slowly, they are adding more and more products under PLI scheme. That's why the private capex from overseas market is coming in India.

Apart from this, lots of

various expansion is going on because of local consumption. Lots of fertilizer units, lots of cement units, steel industries, pharma, IT, everywhere you are seeing the -- or you are witnessing lots of investment is going on because the affordable generation is there. Because of that, the consumption is higher, the demand of consumption is higher, so suppliers will clear the supply.

Manoj Gori: Right. Got it, sir. Thanks a lot and wish you all the best.

Rajeev Gupta: Manojji, thank you.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, thank you for taking my question. Sir, just one question in order to understand the industry better. Like if I look at the last many years, the sector wasn't generating a lot of cash and which means everybody had to do a balancing act between how much is involved in inventory, how much is involved in capex and how much is the free cash flow that every company in the sector was generating.

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Now last two years, three years have been phenomenal for the sector. It seems everybody is making money. Do you worry that we could get to a stage where there is more investment in the sector, i.e., you are adding capacity, some of your peers are also adding capacity. Do you think this could be a challenge? Like today it's not a bad problem to have where you are saying, I'll grow 16%, 17%, but that's because of capacity, not demand.

So I'm just trying to understand, do you foresee that there is over investment happening in this sector today, but maybe in some time we could be in a situation where industry is oversupplied? Just wanted to get your sense based on whatever you've seen and you have heard from competition.

Anil Gupta: It may happen. But it will not happen that rapidly. The kind of investment and capex required to augment the capacity is substantial and not many companies have that kind of capabilities to invest, present existing players. And I don't see any new players are coming up in this.

And to insulate ourselves from variation in the demand in the domestic market, that is why we are creating export markets also in different geographies so that we are not dependent on any particular area, although domestic will always be our main bread and butter.

But maybe so that sometimes if the demand is less or many players are there, margin may be impacted by 1% or 2%. But we are already working on very low margins and working -- and operating a debt-free company. So I don't see any risk factor so far as to us is concerned, and I don't foresee any new players coming up in this way.

Pulkit Patni: Okay. So no new players you've seen really come on or out?

Anil Gupta: Yes.

Pulkit Patni: Yes. This is very helpful, sir. Thank you.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thanks for the opportunity. Sir, just to get clarification. You mentioned about 16%, 17% growth for this year and going ahead also. Now of this overall growth, how yours is growing faster and export is also growing faster. So domestic Institutional cable business should steady-state grow at 12%, 13%. Is that correct understanding?

Rajeev Gupta: It always depend on the mix, which we are having the order book for this. Because ultimately, we have to grow 16% to 17%, whether from a export market we get or we are serving our domestic we are serving. We have to balance because, as Anilji has said, that we will maintain all the customers so that any given point of time, we should not be having any risk.

Keyur Pandya: On a low base, you are growing faster in the house wires, I think 20%-plus you have mentioned. So that portion of the sales is growing faster. Export also is growing as a percentage of sales, so that is also growing faster?

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Rajeev Gupta: See overall, it will remain same. In market, demand is not less, but we have to grow as per our capacity. We have to continue with our capital allocation.

Keyur Pandya: Okay. Got it. Perfect. Thanks a lot.

Moderator: Thank you. The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: Hi, sir, can you tell me about the outlook on your EHV cables? And give me a little breakup of your segment-wise, let's say -- margin breakup, like say, what was in the EHV, what was in the Cables and Wires this quarter? And the next question is on the...

Rajeev Gupta: Yes. Anupam, I can't give you the broader figure at the average level because we don't have any

calculation on a product wise margin because our facts are same. But normally, while we are selling to domestic institution side, which is a high entry barrier and tender-driven sales, their EBITDA is 10% to 10.5%. And while we are selling to export market, EBITDA margin is close to 11%.

In extra high voltage power cable, because of the low competition in the domestic market, EBITDA margin is 15%. And the dealer/distributor business, whether it is a wire or cable, its EBITDA margin is close to 11%. So in EPC division, the margin is close to 12%.

So put together all, the margin comes between 10.75% to 11% kind of range.

Anupam Goswami: And sir, what is your outlook on the EHV segment?

Rajeev Gupta: The outlook on EHV segment, we have the capacity of INR550 crores to INR600 crores capacity. So that we are utilizing.

Anupam Goswami: Do you see a strong traction going forward? Or do we see some slowdown as the election year is coming or in the last quarter or so?

Rajeev Gupta: At the last quarter, you saw our EHV was less, then too we made growth and in the last year also, our EHV was low then too, we had a growth. In the second quarter, EHV was more, then too we had the same growth 20%, 21%. So, that is only the growth normally. Because factory manufacturing is depended on capacity, capital allocation, how much we need to put in working capital.

So everything is required through the capital only. Even though the market is there, if we target for 25% to 30% growth, then what will happen, we will again end up with the debt position, which we don't want.

And we are clearly guiding to every investor that whatever internal accrual we will be generating year-on-year basis, we will be deploying to increase our capacity to that extend and it will be sufficient for 16% to 18% kind of growth.

Moderator: Thank you. The next question is from Rahul Agarwal from Incred Capital. Please go ahead.

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Rahul Agarwal: Sir, thank you for the repeat opportunity. Just wanted to take this point on EHV forward, nothing related to KEI, but overall, what would be the EHV consumption today in India? I mean, this current year, would you have any idea, sir?

Anil Gupta: Should be close to around INR2,500 crores to INR3,000 crores.

Rahul Agarwal: And India still remains a three-player market?

Anil Gupta: I think three or four players are there totally.

Rajeev Gupta: Rahulji, any new player comes, it will take another three years to four years to five years kind of time to put the factory and then the fastest approval and the prequalification process. Any new player comes in the EHV, it will take at least four years to five years.

Rahul Agarwal: Yes, sir. I completely understand that. I was just trying to understand, KEI did like INR400 crores of EHV sales in fiscal '20. Today, this year, we should do -- we'll utilize full capacity. We have a large import available there. Can we increase our capacity and take advantage and do more EHV sales? Is that...

Rajeev Gupta: What we don't need to do, we have said earlier. Whatever growth we have in the market, it might be 50%, 100%, our growth of 16% to 18% is in di

sciplined approach moving ahead. And this is the same sustainable model for next 10 years, 15 years, we will work on. Last 15 years, KEI CAGR growth was 14% and at that time, we had debt also. Now, we don't have debt, which is the reason, 10 years to 15 years for CAGR growth is projected, not for one year or two years.

Rahul Agarwal: Sir, very clear. And EHV, last question was, who is the end client? Is it power grid only? Or is it other state?

Rajeev Gupta: The client, power grid only.

Anil Gupta: High voltage cable is purchased by either the state transmission utility and central power transmission utilities. And now it is purchased substantially by the companies who are developing data centers and also, the solar power development for evacuation of power, which they are generating in their solar plants.

Rahul Agarwal: So this is not a government business, right? I mean, to be very clear on this.

Anil Gupta: No. The state transmission utilities is a government business.

Rajeev Gupta: So almost 50% is government and 50% is...

Anil Gupta: Yes. Central utility like power is government business.

Rahul Agarwal: Yes, of course, as Rajeev just said, I think 50%- 50% as of now. And incrementally, it should remain like this, right?

Rajeev Gupta: Yes.

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Rahul Agarwal: Got it, sir. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Koundinya Nimmagadda from Jefferies. Please go ahead.

Koundinya Nimmagadda: Thanks for the follow-up opportunity. Just one question I had. You spoke about INR221 crores of capex in 1H. So just wanted to reconcile, what is the full year capex for FY '24 and FY '25 that we are now looking at? And what was this number earlier?

Rajeev Gupta: See, earlier, the Greenfield capex is not all there. So now the Sanand project, which is the major Greenfield project, wherein we need to invest INR300 crores to INR350 crores each year. So in the Greenfield, we are investing INR300 crores this year and the next year INR400 crores and in '25-'26, INR300 crores.

For the Brownfield capex, we are -- we have incurred in first half INR48 crores and we will invest another INR150 crores in the current financial year in the second half in our Bhiwadi, Pathredi plant as well as in our Chinchpada, Silvassa plant.

Koundinya Nimmagadda: Understood. So that roughly translates about INR500 crores of capex for FY '24?

Rajeev Gupta: In the current financial year because the land value is also there in that.

Koundinya Nimmagadda: And what was this number earlier, sir?

Rajeev Gupta: Earlier means?

Koundinya Nimmagadda: I mean prior to?

Rajeev Gupta: Only there was maintenance capex. And plus the -- at Silvassa, a little bit Brownfield capex. Not more than INR40 crores, INR50 crores.

Koundinya Nimmagadda: Understood, sir. Thank you very much. All the best.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Anil Gupta: To summarize, thank you very much for this question-and-answer session and in listening to us. We are available for any further questions, which you may have. Overall, I can say that the company is on a healthy trend to grow and in a disciplined manner with its own internal generation of resources and the money. And we'll be growing in a disciplined manner so that to remain largely debt-free over a period of time. Thank you.

Rajeev Gupta: Thanks, everybody.

Moderator: Thank you very much. On behalf of Monarch Network Capital, that concludes this conference.

Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Call: Feb 2024

KEI Industries Limited

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KEI/BSE/2023-24 Date: 01.02.2024

The Manager,
BSE Limited
Listing Division,
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Dalal Street, Mumbai- 400 001.

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the third quarter and nine months ended on 31 st December, 2023

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Wednesday, 24 th January, 2024 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the third quarter and nine months ended on 31 st December, 2023 is attached herewith.

The transcript is also available on the website of the Company:

This is for your information and record.

Yours truly,
For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)
AVP (Corporate Finance) & Company Secretary

CC:
The National Stock Exchange of India Ltd.
Listing Division, Exchange Plaza, Plot No. C/1,
G Block, Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051 The Calcutta Stock Exchange Ltd.
The Senior Manager, Listing Division,
7, Lyons Range, Kolkata-700001

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"KEI Industries Limited
Q3 FY '24 Earnings Conference Call"
January 24, 2024

MANAGEMENT : M R. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : M R. RAHUL DANI – MONARCH NETWORK CAPITAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 F Y '24 Earnings Conference Call of KEI Industries hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Dani: from Monarch Network Capital. Thank you, and over to you, sir.

Rahul Dani: Thank you, Muskan. Good afternoon, everyone. On behalf of Monarch Network Capital, we're delighted to host the senior management of KEI Industries. And we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company. We will start the call with opening remarks of the management and then move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Thank you. So good morning to everyone, and I welcome all of our esteemed investors to this conference call. I'm Anil Gupta, Chairman and Managing Director of the company. Just a brief of the results, although you already have all the rest with you. So the net sales in Q3 is INR2,061.72 crores. So the growth in net sales is 15.55%. EBITDA in this quarter is INR228.72 crores. Growth is -- in our EBITDA is 16.72%. EBITDA/net sales margin is 11.09% as against 10.98% in the same period previous year.

Profit after tax this quarter is INR150.67 crores against INR128.61 crores in the previous year same quarter. Growth in the PAT is 17.15%. So the PAT/net sales margin is 7.31% versus 7.21% last year.

Domestic Institutional Cable sales Wire and Cable is INR556 crores in third quarter against INR630 crores last year. Domestic Institutional sales of extra high voltage cable is INR184 crores against INR93 crores previous year. So the growth is 97%. Export sale in this quarter is INR284 crores, out of which, Cable is INR195 crores, which was INR103 crores last year. And overall, all products put together, the Export sale is INR284 crores. So the growth in the Export is 98%.

Total Cable Institutional sales contribution is 45% as against 46% in the previous year time period. Sales through distribution network is INR949 crores in the third quarter against INR816 crores in the same period last year. Growth is approximately 16%. The sales B2C sale, that is sales through distribution network, has contributed 46% in third quarter.

The sales in that EPC division other than Cable is INR146 crores as against INR95 crores last year. The growth is 53%. Out of the total sales of EPC, the EHV cables EPC sale is INR32 crores as against INR25 crores in the same quarter last year.

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The sales of Stainless Steel Wire is INR46 crores against INR54 crores last year. Volume increased in the Cable division on the basis of production for consumption of metal in Q3 as compared to previous year. Same period is approximately 13%.

Now I will come to the results summary of 9 months as on 31st December 2023. Net sales in 9 months is INR5,791 crores against INR4,958 crores last year. Growth in the net sales over 9-month period is 16.8%. EBITDA growth is 19.41% and EBITDA margin is 10.82% as against 10.59% previous year. PAT in 9 months of FY '24 is INR412.27 crores against INR339.27 crores. Growth in the PAT is 21.51%. PAT/net sales margin is 7.12% versus 6.84%.

Overall, domestic Institutional and Cable sale is INR1,560 crores in 9 months against INR1,574 crores last year. Sales of extra high-voltage cable is INR402 crores against INR237 crores last

year. Export sales in 9 months is INR840 crores against INR530 crores last year. The growth is approximately 59%.

Total Institutional Cable sales contribution is 45 % as against 44% last year. And sales through distribution network is INR2,714 crores in 9 months as against INR2,320 crores last year. Growth is around 17%.

The total active working dealers of the company as on 31st December 2023 was approximately 1,975. B2C sale contributed 47% in 9 months, which is at par with the previous year same period. Sales of EPC is INR370 crores as against INR270 crores last year. Growth is approximately 37%. And Stainless Steel Wire sale is INR162 crores as against INR185 crores last year same period.

Volume increase in the Cable division on the basis of production for convention of metals in 9 months in FY '24 is approximately 22%. Pending orders at the moment is INR3,826 crores. Out of this, INR934 crores is EPC orders, INR594 crores are the orders, which are pending from extra high voltage domestic cable INR1,823 crores and Export orders INR475 crores. So this is the overall summary of the pending orders.

Ratings. India Ratings and Research Private Limited has affirmed its long-term rating as AA with positive outlook. ICRA and CARE long-term rating is AA stable. Short-term rating from India Rating, ICRA and CARE is A1+. The book value per equity share of the company is INR333 as against INR287 as on March 31, 2023.

Now I will give you financial outlook of the company for the future. Capacity utilized during 9 months in FY '24 is 95% in Cable division, 70% in House Wire division and 89% in Stainless Steel Wire division.

During 9 months, company has incurred a capital expenditure of approximately INR308 crores. Out of this Chinchpada and Silvassa, INR65 crores; Pathredi INR30 crores; Sanand INR167 crores; and other plant locations, around INR46 crores.

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Company is doing a brownfield capex at Chinchpada plant in Silvassa with a capex of INR110 crores, which will add a capacity of -- for House Wire and LT power cables, approximately 800 crores to 900 crores, out of this which, 240 crores capacity has been added in October '23 and balance capacity will be operational by end of this financial year, that is by March 31, 2024. Another greenfield and brownfield capex is going on at Pathredi with an approximate cost of INR110 crores, which will increase the capacity for LT power cables approximately 800 crores to 900 crores per annum.

It will be operational in the first quarter of FY '24-'25. This brownfield capex will enable us to grow by approximately 16% to 17% in the current financial year and also 15% to 16% growth in the next financial year.

Apart from this brownfield capex, company has planned INR300 crores capex on greenfield expansion for Cable and Wire in Gujarat, commercial production for which will be commenced by fourth quarter of FY '24-'25. We have already purchased the land and initial construction work has started.

Further, we will spend approximately INR400 crores to INR500 crores of capex in the next financial year each year on the Sanand Plant, and another INR400 crores each year for next 2 subsequent years. It still allows us to maintain a CAGR of around 15% to 16% per annum as against in the next few years.

Industry outlook. Demand scenario is good for our company from public sector capex as well as private sector capex. And India has emerged as a fast-growing economy in the world, and there are substantial opportunities available for exports as well. So we expect good growth in our Wire and Cable segment in the next few years.

India, the structures are mainly solar capacities, which are being added. Another capex pipeline in the infrastructure like highways, metros and railways and even in the power sector as well. And even the construction sector is also doing substantially well, which includes large construction-filled projects like hotels, hospitals and

other real estate sectors.

The manufacturing sector in India has a good potential to grow with a lot of PLI scheme and private sector adding capex in the manufacturing sector. So increased investments in the telecom sector is also giving boost to electrical cables, especially in the telecom infrastructure.

Moderator: Sorry to interrupt, sir. Like there's a disturbance in your side. Please clear this now.

Anil Gupta: Pardon?

Rajeev Gupta: Now it is clear?

Moderator: Yes, sir. It's clear.

Anil Gupta: So this is a brief from my side. I welcome now please put your questions, whatever, and we'll be glad to answer.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Rahul Agarwal: from In Cred Equities. Please go ahead.

Rahul Agarwal: Thank you so much for the opportunity. Good afternoon, sir. Sir, firstly, I can see from the numbers that Housing Wires is actually doing better than Cable for KEI when the industry trend is actually the reverse and the entire industry has seen low single-digit volume growth for wires last 2 to 3 quarters now. What has got KEI market share gains? Could you just give some color and understanding of how you've gone about this, please?

Anil Gupta: So it is basically improving our geographical push by having dealers in the vacant areas and also those schemes and advertising. One factor I can attribute is that maybe we are having lower base as compared to the Havells and Polycab, which you are might be talking. So that may be. I don't know, but these may be the factors.

Rahul Agarwal: Okay. So just to extend this question, when I look at the regional dealer sales, which you report in your presentation, it looks like North and East have grown way, way faster versus South looks like low single digits. Could you share some feedback on demand trends in these regions just so that I can tie it up based on why Wires are doing way better than Cable for KEI.

Anil Gupta: No, no, no. I don't think that Cables are not doing better.

Rajeev Gupta: Because the capacity...

Anil Gupta: Capacity constraint in the Cables.

Rajeev Gupta: In the Wire, we have capacity utilization is close to 70% wherein the Cable we have utilization at 95%. And slowly, slowly we are adding the capacity with the brownfield capex, so then we will be increasing the Cable space in our city. That's how our growth we are targeting of 16% to 17%.

Rahul Agarwal: Got it, Rajeevji. The question essentially was also on the regional side. When I look at the numbers, it looks like North and East are doing 15% to 20% and South is low single digit. West is recovering these last 3 quarters...

Rajeev Gupta: And here also I will explain to you that it's basically the leadership position from the company side. Those who are aggressive in the market, like in the North, always holding good. And now the East is also being very good now. So now our focus and thrust will be in the southern part. So in the next year, we will see the conversion in the southern part also.

Rahul Agarwal: Okay. Got it, sir. Sir, on the capex, one question. I understand you gave plant-wise capex. I couldn't capture everything. What I wanted to know is if you can help me, full year numbers for consolidated capex for the company for fiscal '24, '25 and '26. That will help.

Rajeev Gupta: '24 will be close to INR450 crores, around. And next year, it will be close to INR500-plus crores.

Rahul Agarwal: Okay. So we should assume INR450 crores for this year, INR500-plus crores for next year?

Rajeev Gupta: About INR500 crores or INR600 crores depending on the construction work going on in the past in extra high-voltage power cable segment.

Rahul Agarwal: Got it, sir. And last question on volume growth. You said 13% for

or third quarter. Is it possible to give 9-month number?

Rajeev Gupta: For 9 months, it was 22%.

Anil Gupta: and for 9 months the volume increase is 22% in Cable.

Rahul Agarwal: Congratulations for another consistent quarter and comeback in the queue. All the best.

Rajeev Gupta: Thank you Rahulji.

Moderator: Thank you, the next question is from the line of Bhavin Pande: from Athena Research. Please go ahead.

Bhavin Pande: Good afternoon, everyone. I hope I'm audible.

Rajeev Gupta: Yes, yes. You're audible.

Bhavin Pande: Sure. Sir, we could see that subcontracting expenses for EPC have gone down both on a sequential as well as Y-o-Y basis. So if you could throw some light on that?

Rajeev Gupta: No it depends on the projects that are going on. Sometimes the supply portion is more, sometimes the erection portion is more.

Bhavin Pande: But sir, even when we look at quarterly numbers, margins have expanded for EPC. So we were wondering if some cost initiatives are working?

Rajeev Gupta: So what it is we're doing for the completion because most of the old orders are at completion stage. So all the provisions, etc., has been accordingly provided. Earlier, it was reverse. So accordingly, it has been done. Because right now, we are having only 3 to 4 contracts going on.

All the old contracts are getting completed now.

Bhavin Pande: Okay. And sir, the numbers you gave for capex, INR450 crores and INR500 crores. So all of it is for EHV segment or a certain portion would be...

Rajeev Gupta: Oh, no. We are in our Ahmedabad, Sanand project, we are going for a greenfield project for extra high-voltage, high-voltage and low-voltage power cable, all the 3 segments. So the first phase that our CMD given you the figure that by fourth quarter end of next financial year, low-tension power cable and medium-voltage power cable production we'll get it started. And after the 6 to 7 months, the extra high-voltage power cable will be started over.

Moderator: The next question is from the line of Riya from Aequitas Investments. Please go ahead.

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Riya: Thank you for giving me an opportunity. My question is in terms of we've seen that Exports have significantly increased. So in terms of the current issues, which are happening on the freight, could you help us on how are our contracts placed? And are we passing on the incremental freight costs and the impact of the current geopolitical issues?

Anil Gupta: Yes, yes. We are passing on the incremental freight to the customers. So freight is not an issue.

Riya: And are you seeing any decrease in demand because of that or any delay and inventory clogging?

Anil Gupta: No. On cable, it's a high-value item and the increase in the freight element may increase the prices of cable by maximum 1% to 1.5%, which is insignificant and the companies who are doing the projects or the capex, they can't afford to delay the projects just because of 1% to 2% increase in the cable prices.

Riya: Got it. And in terms of our capacity expansion of EHV compared to the current capacity, how much will we be increasing?

Rajeev Gupta: We can do around 600 crores worth of it.

Anil Gupta: No. EHV which will come in, the sanand will be equal or even more than this for at least 2 years from now. Because the EHV project take more time than the low-tension or medium-voltage cables.

Riya: So we will be producing almost 2x the capacity we are currently producing, am I right?

Anil Gupta: We are almost operating at 95% capacity utilization.

Riya: Right. Got it. And in terms of margins, do we see any -- are we maintaining the margins going forward?

Anil Gupta: I think we are definitely going to maintain the margin, which we have achieved around 11%.

And I think we'll try to improve by 0.25% or 0.5%, but the margins will remain in this vicinity.

Riya: Got it. And any guidance in terms of where the

export demand is coming from in cases? Export as well as EHV, where is it coming from?

Anil Gupta: So it is coming from at the moment, we are exporting EHV cables only in Australia, But we will develop new export markets for EHV cables once the new capacity comes up. Because at the moment, we are constrained with that capacity. There is no point in doing sales effort when we cannot produce and deliver.

Riya: Ok got it, thank you so much sir.

Moderator: The next question is from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay: Thank you for taking my question. Sir, first question is on the domestic Institutional business. So that number there, we see a degrowth on the Y-o-Y side. So is it only the capacity constraint or something else?

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Rajeev Gupta: It is not. Basically - the degrowth is basically allocation of the capacity because once we got the export orders, so we have allocated that capacity to export. Otherwise, the demand is very strong.

So whatever capacity we are having as and when we can sell to the domestic Institutional or to the export Institutional. So if the order has come from exports, so we have to serve first to the export. We are going by the order's buyer entry.

Praveen Sahay: Okay. Okay. Allocation.

Anil Gupta: Where we can allocate the capacity, that is the issue.

Praveen Sahay: Right. And you are making a higher margin in the exports, so there you are allocating. Fair to understand this, right?

Anil Gupta: Yes. Yes.

Praveen Sahay: Second question, sir, on the EHV cable. There also, there is a very strong growth we have seen for a quarter and even for a 9-month. So can you guide for the way forward how you are seeing the EHV numbers to improve from here onwards?

And also to add on, the capacity allocation also is the function over the year, like more of the EHV you are producing in place of the other cable and the growth is there and the demand is high?

Anil Gupta: No, EHV numbers will remain similar next year also because, here, EHV capacity cannot be reallocated from medium-voltage or LT side. It has a separate set of machines where EHV can be manufactured. However, on this capacity, we can manufacture medium-voltage cable. But on medium-voltage machines, EHV cable cannot be manufactured.

Praveen Sahay: Okay. And what utilization in EHV you are at?

Rajeev Gupta: Almost 90% to 95%. Actually, in EHV, we can produce up to INR500 crores to INR600 crores worth of business in a year.

Anil Gupta: Cable.

Moderator: The next question is from the line of Alok Deshpande from Nuvama Institutional Equities.

Please go ahead.

Alok Deshpande: Yes good afternoon, Anil sir and good afternoon Rajeev sir. Sir, my question is on Exports. Sir, what is the kind of working capital cycle that we should look at on the Exports business?

Rajeev Gupta: See, either in an Export domestic institution or domestic institution, the receivables cycle is, on an average, 2.5 months.

Alok Deshpande: Okay. So similar to the domestic Institutional business is what we should...

Rajeev Gupta: Yes. Receivables cycle is same.

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Alok Deshpande: Okay. And sir, last time, you mentioned that the margins should sort of start going up towards - more towards 11% kind of zone. So with all the new capacities coming up, especially the brownfield ones, is there more certainty of that happening moving towards 11% EBITDA margin? 11% of -- I mean...

Rajeev Gupta: So our CMD has already said that in the next year also, we will be maintaining close to 11% EBITDA margin. In this quarter also, EBITDA percentage is almost 11%.

Alok Deshpande: Okay. So I was, sir, looking more from excluding the other income part. So from the...

Rajeev Gupta: The 50% is exchange fluctuation. So that is part of the operational actually. But you

are seeing

separate than that, actually.

Alok Deshpande: Yes, yes, yes. Okay. Sir, no problem. Congratulations on a good set of numbers, and good luck to the entire team.

Moderator: Thank you. The next question is from the line of Mahek Talati from YellowJersey Investments Advisors. Please go ahead.

Mahek Talati: Am I audible?

Rajeev Gupta: Yes.

Mahek Talati: Thank you for the opportunity. Congratulations on a good set of numbers. There are a couple of questions. First is a clarification. So are we doubling our capacity in the EHV segment?

Rajeev Gupta: Yes. We are adding the capacity by financial year 2006, almost 1.5x more than the existing facility.

Mahek Talati: Okay. And in terms of the volume growth, so you mentioned that the 9-month volume growth is 22%. Is this for the Cables or it includes both Cables and Wires?

Rajeev Gupta: This includes the metal consumption for Wire and Cable, both.

Mahek Talati: Okay. So if I check the revenue growth for the 9 months, it's close to 17%. So realization is a decrease in this quarter or in these 9 months?

Rajeev Gupta: No. It was basically the pricing effect, no? The copper and volume pricing effect.

Mahek Talati: Okay. Okay. And in terms of the demand for the EHV, so you mentioned a few quarters back that the capacity -- the current capacity can generate...

Rajeev Gupta: We can produce up to 550 crores to 600 crores, then only we can sell up to that figure only.

Moderator: Thank you. The next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Thank you for the opportunity. Sir, just want to understand some of the growth opportunities.

Does EHV cables also go in some of the HVDC projects?

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Anil Gupta: Can you repeat the question, please?

Shrinidhi: Sir, just want to understand, there's a lot of demand coming from the HVDC projects. So I just

want to understand, does cable go in some of the sections of these HVDC projects, high-voltage direct current transmission?

Anil Gupta: See, at the moment, in overhead transmission projects, we are supplying cables for HVDC project. But that is mostly medium-voltage and control cables for the substations and that kind of applications.

But in HVDC segment, in the times to come, EHV cable -- will be coming. And for that, we are developing our capabilities and the -- in our new capacity, which is coming up at Sanand in that direction. So that -- once that project is commissioned, we are able to supply extra high-voltage cable -- extra high-voltage DC cables also, high-voltage DC cables also which are meant for underground transmission.

Shrinidhi: Right. And just similarly, want to understand how is the demand intensity for a conventional coal-based thermal power plant. Like how much demand comes from a typical 1-gigawatt, or let's say, 800-megawatt thermal power plant? How has the demand come?

Anil Gupta: At the moment, I think government of India has again started developing some 30,000 to 40,000 megawatt of new coal-based thermal generation capacity and -- for which, demand will surface in the next financial year. Although in next -- last 2, 3 years, we have supplied substantial quantity of cables to thermal power plants set up by various state governments.

Although it was not on the radar, but some projects were coming up and we have always utilized those opportunities in supplying -- continuing our cable supplies to thermal power plants. And in the next 5 years, a lot will come up because of the additional thermal capacities coming up.

Shrinidhi: Great. So sir, I wanted to understand, is there a way to generalize like for a 800-megawatt, how much worth crores of cable typically grows at the current pricing?

Anil Gupta: I think it should be around INR15 crores to INR20 crores for 800-megawatt capacity.

Moderator: The next question is from the line of Swati Jhunjhunwala

a: from BOB Capital. Please go ahead.

Swati Jhunjhunwala: Thank you for taking my question. Most of my questions have been answered. Just one, could you just give the breakup of the order book?

Rajeev Gupta: Order book is not down. The EPC order book is INR934 crores. Extra high-voltage power cable order book is INR594 crores. Cable from domestic Institutional order book is INR1,823 crores.

And cable export order is INR475 crores. Put together, all is INR3,826 crores.

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

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Achal Lohade: Congratulations for great set of numbers. What I wanted to ask, sir, given the capacity addition by us and the peers, how do you see -- and the kind of demand what you're seeing and this question is more on the cable front, how do you see the demand/supply for the cables in each of the segments? If you could talk a little bit on that.

Rajeev Gupta: For next 4 to 5 years, we have given the guidance for a growth of 16% to 17%. In the last 15 years, we have grown by 14%-plus. So in the same range, we have given you the guidelines, and accordingly, we are adding the capacity. We are not adding the capacity where we are saying that 30% growth we will do, we are not doing that.

So the kind of industry is growing -- industry is growing 12% to 13%. And we are giving the guidance to grow 16% to 17% because we are the -- among the top 2 companies in the country. We have exports. We have extra high-voltage power cable. So put together on, we have given guidance for 16% to 17%.

So sale was never a challenge to KEI because of the entry barrier. So lots of institutional customers we are serving in a year. More than 2,000 institutional customers we are serving in a year. More than 60 countries we are exporting our products. That's why our growth target will be maintained. So we are not seeing any ceiling from the supply part.

Anil Gupta: Demand part.

Rajeev Gupta: He was asking the other companies are also suppliers.

Achal Lohade: Yes. So sir, actually, I completely get your point. What I was trying to ask is that what we hear in the market is that given the capacity shortage, obviously, there is a slight element of price premium, which is being charged. Given the kind of capacity additions are happening, could there be a risk to the pricing? I get your visibility on the demand and the growth, what you are factoring is obviously very realistic.

But I'm just curious to understand, from an overall industry perspective, could there be a case of excess capacity, and hence, if at all, any price premium going away or normalization of the prices?

Anil Gupta: First of all, there is no price premium. There is no excess capacity. Whatever capacity is coming up, that will be saturated with the continuous increased demand. So at the moment, I can only say that our production is just 10% of what China is producing in a year.

So I don't think that the capacity will be overcapacity. And -- our products, wires and cables, are used in every sector of economy. So what -- even if there is a slowdown in any particular sector, some -- other 10 sectors are always open.

Moderator: The next question is from the line of Rahul Maheshwary from Ambit Asset Management. Please go ahead.

Rahul Maheshwary: Yes. Am I audible?

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Anil Gupta: Yes, yes. Please.

Rahul Maheshwary: Yes. First of all, congratulations to entire KEI Industries management team for consistent performance. Two questions, sir. One, can you help us to understand the total opportunity size for the specialty segments like solar, EV and how your R&D and the process in terms of talking with the OEMs and how much time it will take to replicate or the revenue to slow down for this specialty segment?

I'

am not talking from an infrastructure and power sector point of view, but the new emerging sector where the government just recently talked about the rooftop solar. So can you give some color on that, that will be very helpful.

Anil Gupta: See, we are already supplying to the various OEMs and customers in rooftop solar segment and also the solar power developers who are executing mega projects in -- locations. So I mean there is a question of starting the dialogue with the OEMs. We are already there.

Rahul Maheshwary: Can you quantify, I mean, how big it can become if currently you are supplying to the data centers and EV, etc. I don't want an absolute number, but even if you can give a ballpark range that how big it can contribute to your sales.

Rajeev Gupta: For any capex, as we have already explained, the cable demand is 3.5% to 4%. So whatever segment, whether it's a solar or data center, or say, EV, anywhere, the consumption of the cable is close to 3.5% to 4% of the cost of the project. So one can calculate in this way only.

Anil Gupta: I think exact data cannot be given, but the demand from the solar developers or rooftop solar OEMs is significant. At the moment, we don't have the exact data or quantifiable data to answer your question.

Rahul Maheshwary: And the second question. As you maintained that KEI is building capacity because they are envisaging the growth, the growth which you have guided for 16% to 17%, is it a conservative growth when you are looking from a -- sitting from a Board point of view?

Rajeev Gupta: It depends on the capacity we are creating, whatever capacity we are creating year-on-year basis. On that basis, we have given this number actually. In the future, it may increase also. But right now, whatever capex we have taken for the Sanand project and the brownfield projects, from there, for next 2 to 3 years, the growth will be like 16% to 17%.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Thank you for taking my question. Sir, couple of questions. First one is we recently heard this announcement on INR1 crores rooftop solar projects likely to be put. Any rough sense on what is the kind of cable opportunity that this could create assuming that entire INR1 crores was to be installed? That's question number one.

Anil Gupta: Yes. Please go ahead.

Pulkit Patni: Okay. Should I ask the second question?

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Anil Gupta: Yes, yes.

Pulkit Patni: So my second question is the number one player in the industry, obviously, recently had these tax issues. My question is, one, does it change anything in the industry structure in terms of industry practices?

Secondly, you being the second largest player, is there a possibility of rebenefiting in terms of market share, etc., more dealers wanting to work with us? Just -- I mean to whatever extent you can share about -- I mean, I don't intend seeing how it benefits us, but just that we are the second largest player, does it change the industry dynamic in any way in our favor?

Anil Gupta: To answer your first question about the solar requirement, the rooftop solar, which government has announced they will put INR1 crores rooftop solar, there, the requirements of small wires will be there, because you are not -- you are connecting the rooftops with the house, which is beneath it.

So there's no distance that the cable is required to connect the electricity system of that house with the rooftop. So it will generate the small demand for the small wires, 4 square mm or 6

square mm wires, but it will not generate any demand for the cables.

So regarding your second question about the -- benefiting out of it, I think we don't see opportunities out of anyone else's problems. So we are working on our own path and I would not -- we would not like to comment on that.

Moderator

: The next question is from the line of Rahul Agarwal from InCred Equities. Please go ahead.

Rahul Agarwal: Thank you for the follow-up sir. First question on the price gap between KEI wire and the leaders, what is that right now?

Rajeev Gupta: As earlier explained also, basically 3% to 5%. Right now, slowly, slowly we are improving 1% price year-on-year basis. Our target, to catch up within 4 years' time.

Rahul Agarwal: Right. So that was my next question, essentially to understand how far are we to basically be at similar pricing. I think that was the intention?

Rajeev Gupta: As I said that every year, our target is to increase by 1% only.

Rahul Agarwal: Okay. Got it. Secondly, Rajeevji, I think we have reached to pretty optimized level of working capital. It shows 90 days now of sales, excluding cash. Henceforth, this is where the company stabilizes organically?

Rajeev Gupta: We are stabilizing. And whatever cash we are having, we are utilizing either to pay creditors or to -- for the capex. So that way, we are very, very comfortable with respect to inventory holding and receivable holding.

Rahul Agarwal: Right. So henceforth, it's all going to be like year-on-year whatever efficiency improvement we can get, we can get. But most of that EPC thing is out of our way, right?

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Rajeev Gupta: A little bit receivable holding will go down year-on-year basis because our sales through the dealer/distributor will get increased further to 50%. Our same vision is there, to maintain 50%.

So by that time, our receivable holding right now, which is 2.3 months, which was earlier 2.4 months, which may go down to 2.2 months by next year or 2.1 months by next year. So there is a little bit of scope here.

Rahul Agarwal: Okay. Got it. And lastly, an easy one question to you. Interim budget is next week. Your sense of what could influence cable and wire sector? Of course, we know that higher capex allocation is a known factor. But from a change perspective, anything in your mind, which could help business trends or sustain current business trends?

Anil Gupta: I think you have answered the question yourself, that the demand creation is done only by higher capex spend. Because our industry is capex-oriented, so more is the capex in the economy, either in that from the government side or from the manufacturing industry, the more will be the demand for cables and wires.

Rahul Agarwal: Anything from a raw material perspective? Let's say, any duties or PVC supplies which you use for protection of cables, anything from that perspective could change?

Anil Gupta: No, no, no. Nowadays, budget -- hardly any duty changes are affected in the budgets. Budgets are more of the revenue and expenditure statement.

Rahul Agarwal: I agree, sir. I agree. Just trying to understand it.

Anil Gupta: We need to pass on also, Rahul. Whatever changes in the raw material prices is always in the pass-on mode actually. So it does not affect any profitability of the company.

Moderator: The next question is from the line of Bhavin Pande from Athena Research. Please go ahead.

Bhavin Pande: First, just wanted to check on the trend of advertisement and promotion expenses, how they have sort of been for this quarter?

Rajeev Gupta: Close to 0.5% in a year, we are expanding actually. Sometime in one particular year, they're a little bit higher. In one particular year, this -- the first quarter, a little bit lower. But in the case of the first quarter we have the IPL matches are there, so they are maybe higher for like this only. But for a year basis, we are spending around 0.5% of the sale.

Bhavin Pande: Okay. And sir, coming to the IPL. So last year, I think we switched our franchisee because we wanted more sort of reach and discovery in the Southern market. So given the -- looking at the payback that has come, so are we sort of looking t

o renew it? Or maybe we'll choose a different route this time?

Anil Gupta: It is already renewed. So you will see us again in the IPL with the Royal Challengers Bangalore team.

Moderator: The next question is from the line of Shubham Agarwal from Axis Capital. Please go ahead.

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Shubham Agarwal: Congrats on the consistent set of results. I think I just got dropped off while you were talking about capex in the opening remarks. If you could repeat, that will be great?

Rajeev Gupta: Overall capex for the current year on the payment basis, we have done for INR308 crores. Out of which, close to -- you want unit wise now?

Shubham Agarwal: Yes.

Rajeev Gupta: So in our Silvassa Chinchpada plant, we have spent around INR65 crores. In Pathredi, we spent around INR30 crores. And in Sanand, Ahmedabad we spent around INR167 crores in part of the land. And another INR46 crores is in the balancing of equipment in our existing plants.

Shubham Agarwal: And the capex going forward, I think you were also. ..

Rajeev Gupta: Going forward, another INR150 crores will be spent in this quarter. So close to -- and next year, it will be close to INR500 crores-plus expenditure. That will be mainly for the Sanand project.

Moderator: The next question is from the line of Kalpit Manish Narvekar from EFG. Please go ahead.

Kalpit M. Narvekar: Congratulations on a good set of numbers. So my first question is basically on industry growth. So you spoke about 12% to 13% kind of industry growth. But some of the other building materials like cement are seeing some kind of slowdown in the near term.

So do you actually -- and I do understand medium-term growth being like around that level because of capex and etc., But do you expect some kind of a slowdown maybe for -- in the near term for a few quarters or so because of election or also on the [insti side]? That would be my first question.

Anil Gupta: Sir, election will be there only -- elections may affect anything maximum for 3 months. But in our business, projects are going on and the work never stops. So I don't think that elections will have any impact on our business and the growth. We are not seeing any slowdown.

Kalpit M. Narvekar: Great. And my second question is more on the Retail side, which, I guess, used to be like, while you're still selling to dealers, it should be 45%, 50% of total sales, right? So in this piece, I just want to get some sense around how you think the dealers behave in situations of copper price movement. So basically, I mean, recently, copper price has corrected a little bit in December.

And -- so do you -- how does destocking and restocking kind of work on the dealer side?

Anil Gupta: See, we are -- first of all, the movement of copper anywhere between 3% to 5% is always there. And in House Wire segment, the companies are very cautious that we increase or decrease the prices in a systematic manner on a 15 days average.

Secondly, in case of Cables, the prices are given to a project or through -- to a dealer on a firm price basis, either for stocking or this time for a project.

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So it does not matter whether the, right, copper prices are going down or up. So both sides honor their commitment. We have not seen any such things in the industry that, because of the movement of copper prices, dealers are backing out from their cable orders.

And in the Wire segment, sometimes it impacts a little bit in stocking and destocking, but those issues are separately handled with the dealers. It is only for the House Wire segment.

Moderator: The next question is from the line of Mudit Kabra from Elara Capital. Please go ahead.

Mudit Kabra: Just one question, sir. Is there any impact on exports in the Europe region or somewhere else because of the Red Sea crisis, the geopolitical impact on

over that area? Any deferment during the quarter?

Anil Gupta: Mudit, so far as our customers are concerned, we have not seen any deferment of any orders so far. There is a small impact on the cost due to increased rates, but that is hardly -- because cable is really a high-value item, the impact is not more than 1%, either to us or to the customer.

Mudit Kabra: Okay. So there are no impact on orders as the price impact is there?

Anil Gupta: Price impact is very small, so there is no impact on the orders.

Moderator: The next question is from the line of Raj Shah from Ambit. Please go ahead.

Raj Shah: Sir, congratulations for the good set of numbers. So I have a long-term question. So now we are close to around \$1 billion of revenues. So just wanted to understand that going forward, say, in the next 4 to 5 years, do we want to become more of a consumer company, so our advertising expenses still are less than 1% of our sales?

So do you want to take the shift from an industrial company to a consumer company? Or still want to remain focused on cables and wires and not foray into the other segments -- other consumer segments like appliances or other segments?

Anil Gupta: No. At the moment, our focus is only on the wires and cables. And at the moment, there is no plan to add any consumer products.

Moderator: As that was the last question, I would now like to hand the conference over to management for closing comments.

Anil Gupta: So thank you very much for participating in this conference call. And I hope that we are able to

satisfy you with our answers. If still you have any queries, you can write to us and we'll be glad to answer.

And I reassure our investors that the company is doing all -- everything to boost our growth -- the company's growth in sales and margins. And we'll keep our investors apprised of anything what we do. Thank you.

Rajeev Gupta: Thank you very much to all of you.

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Moderator: On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

KEI Industries Limited

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KEI/BSE/2024-25 Date: 09.05.2024

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Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the fourth quarter and year ended 31 st March, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Friday, May 03, 2024 to discuss the Audited Financial Results (Standalone and Consolidated) for the fourth quarter and year ended 31 st March, 2024 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/investor-relations/corporate-governance/conference-call-transcripts/>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

VP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd.
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MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
MR. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : MR. RAHUL DANI – MONARCH NETWORK TH CAPITAL
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to KEI Industries Q4 FY '24 Earnings Conference Call hosted by Monarch Network Capital. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you, and over to you, sir. Yes.

Rahul Dani: Thank you, Man uja. Good afternoon, everyone. On behalf of Monarch Network Capital, we are delighted to host the senior management of KEI Industries. We have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, CFO of the company. We will start the call with opening remarks of the management and then Q&A. Thank you, and over to you, sir.

Anil Gupta: So thank you, Rahul. I'm Anil Gupta, CMD, KEI Industries Limited. I welcome all of you to this Investors Conference Call of KEI Industries Limited.

So first, I'll give you a brief of the results and demand outlook of the industry and for the company. Net sales in quarter 4 of FY 23-24 has been INR2,319.27 crores, with a growth in the net sales is 18.76%. EBITDA is INR259.72 crores, and the growth vis-a-vis last year is 24%. EBITDA net sales margin is 11.2%, it is 10.7% in the same period previous year. Profit after tax in this quarter is INR168.79 crores against INR138 crores.

Growth in the profit after tax is 22.2%. So the profit after tax/net sales margin is 7.28% versus 7.07% last year. The Domestic institutional sales of wires and cables is INR676 crores against INR692 crores last year, and the sales of extra high-voltage cable is INR220 crores in fourth quarter against INR99 crores in the previous year same period.

Export sales in this quarter is INR257 crores. The growth in the export sales is 57%. So the total cable institutional sales contribution is 45% as against 47% in the previous year. Sales through distribution network that is B2C was INR1,056 crores in fourth quarter against INR845 crores. So growth in this B2C sales is 25%.

The company has achieved a total B2C sale of 46% of the total sales in fourth quarter as against 43% last year. Sales from EPC department other than cable is INR192 crores as against INR135 crores, growth is approximately 42%. Out of the total sales of EPC, EHV EPC sale is INR50 crores as against INR65 crores in the same quarter last year. Stainless Steel Wire division has achieved a sale of INR56 crores against INR63 crores last year.

Volume increase in the Cable division on the basis of production and for the consumption of metals in Q4 of 23-24 as compared to previous year is 24%. Now I will touch a little bit on the full year results. The result summary of financial year 23-24, net sales in FY 23-24 is INR8,104

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crores. So we have achieved a growth of 17.31% over a full year period. EBITDA growth is EBITDA achieved is INR886.55 crores with a growth of 20.81%. EBITDA/debt sales margin is 10.94% against 10.62% previous year. Profit after tax in financial year 23-24 is INR581.05 crores as against INR477.38 crores in the last year. The growth in PAT is 21.72%. PAT/net sales margin is 7.17% as against 6.91% in the full year. Overall, the growth in exports achieved is 58%. Extra high voltage cable is INR622 crores against INR336 crores previous year. The

growth is approximately 85%.

Sales through dealer and distribution network is INR3,770 crores, growth is approximately 19%. The total active number working dealers of the company as on 31st March '24 was 1,990. The

B2C sales has contributed 47% in FY 23 -24 as against 46% in the previous year. EP C sales for the full year is INR 4,062 crores as against INR405 crores last year, growth is approximately 38%. The pending orders booked as on 30th April is approximately INR3,531 crores, out of which, EPC INR771 crores, EHV cables INR374 crores, cable from the domestic market, INR1,865 crores and export orders pending are INR521 crores. So the total becomes INR3,531 crores.

India Ratings and Research has affirmed its long -term rating as AA with positive outlook, ICRA and CARE long -term rating is AA Stable. Short -term rating from India Ratings, ICRA and Care is A1+. The book value of the per equity share of the company is INR348.87 as on 31st March 24 as against INR287 as on March 31, 2023.

Now I will total borrowings of the company is INR134 crores against mainly for channel finance INR97 crores and cash and bank balances of INR700 crores as on 31st March '24. As against total borrowings of INR135 crores of channel finance and cash bank balances of INR537 crores as on 31st March '23.

Acceptances creditors as on 31st March '24 is INR506 crores as against INR219 crores previous year. During FY 23 -24, finance cost was INR43.91 crores as against INR34.71 crores last year. Capacity utilized during financial year 23 -24, 92% in the Cable division, 71% in the House Wire division, 90% in Stainless Steel Wire division. During the year, the company has incurred a total capital expenditure of approximately INR397 crores, in which, Chinchpada, Silvassa INR84 crores; Pathredi in Rajasthan INR51 crores; Sanand INR197 crores and lot of land at Kheda in Gujarat INR9 crores. And other plants existing plants INR58 crores INR56 crores.

Company is continuing its capital expenditure for brownfield CapEx at Chinchpada to further add capacity for wires and cables. In next 1 to 2 months, we will further spend INR65 crores. Another greenfield, brownfield expansion is going on at Pathredi with approximate cost of INR125 crores, which will increase the capacity for LT power cables approximately INR800 crores to INR900 crores per annum. It will be operational by end of June '24. We have already spent INR74 crores and balance will be spent within the next 3 to 4 months.

This brownfield CapEx will enable us to grow by 16% to 17% in the current financial year as well as the next financial year. Apart from the brownfield CapEx in FY '24 -25, company has planned INR900 crores to INR1,000 crores CapEx on greenfield expansion for L TE, HT and extra high -voltage cables in Gujarat. Commercial production of which will commence, I think,

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by first quarter of 25 -26. We have already started construction in FY 23-24. Further, we will be spending INR500 crores to INR600 crores in the next financial year to complete the project to maintain a CAGR of 15% to 16% per annum as in the coming next 3 to 4 years.

Demand outlook remains strong. We are very bullish on our demand in the markets in India as well as from our export customers. The major demand drivers from India are solar power projects, power distribution projects from this RDSS scheme and other reforms in the government power distribution utilities, a strong CapEx in the transmission and distribution as well as in the power generation sector. We have noted that a substantial investment will be in being done in the next 3 years on enhancing the thermal power generation capacities and also pump storage power projects coming up in various parts of the country.

And real estate demand continues to be strong and the demand from construction sector and other infra projects continues to remain strong. So thank you very much. And now you can ask any specific questions, and we'll be very glad to answer. Thank you.

Moderator: The first question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: My first question is, if you can talk about the export opportunity. I mean, the numbers that you are talking about in terms of order stability, very significant 50 % growth. So if you could; a, talk about where exactly is this coming from? Second, how sustainable is this in the sense that why is it that you as a company or India as a country is getting these export orders on cables and wires, so some information related to this would be helpful? That would be the first question.

Anil Gupta: Pulkitji, first of all, world over, especially in the Western countries and other parts of the country, the demand in infra projects in solar, power transmission and distribution is as well as oil and gas sector is very bullish. And in Western countries, the new manufacturing capacity is not coming. In fact, even existing capacities, whatever there are, are also not fully utilized maybe because of the manpower or because of the high cost of inputs like power and other factors.

Secondly, these countries are definitely looking to add one more potential country in their supply chain other than China. And that also is and the kind of political relationship our country has built up with many all the Western countries, that is also helping make in India brand now to go in that direction.

Thirdly, in last several years, we have built a strong network of agents and marketing network to promote our products in many countries. Also country -specific certification in Europe and USA has been taken by our company, which includes UL underwriter celebratory approvals in USA and many construction protocol approvals in Europe, which are country specific. And specific type test on the cables required in several countries we have done from our plants, which is helping us to enter into those territories. It is a journey it has been a journey of several years. It is not that suddenly this demand has come up. We have been on this track, which I've been explaining in my several conference calls in earlier years to our investors.

Pulkit Patni: No, very, very encouraged to hear what you just said, sir. Sir, second thing, we've seen very, very significant increase in copper prices in a very short period of time. I mean, while they were

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inching up slowly gradually, the last sort of 2 weeks, the price increases are pretty significant.

How should we look at that from the perspective of the near term, i.e., does it destroy demand a little bit? How do we handle that with the channel? If you could just talk about the significant increase in copper prices and its impact in the immediate term?

Anil Gupta: I mean demand, this is the essential sector of the economy. And projects which are being constructed or nobody can install it for the want of raw material for more than a month or so.

So and we have not seen any stalling of demand even till today because all the projects are time -bound, government infra projects are time -bound. And it delays in execution, leads to penalties and LDs to the contractors. So maximum they can delay the purchase by 15 days, 20 days or a month, but not beyond that. So and we have seen a healthy order booking even in the month of April also.

So these fears are not right. Secondly, we are keeping adequate metal booking and stocks in our plants to take care of our existing orders booked. And all the raw material increases, we are passing on to the customers in the new tendering. Many of the orders in our order book are already having inbuilt price variation clause. So if you recall, this cycle had come in end of 2020 as well as '21. And we had not it has not impacted our margins even at that time.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: Good morning, Just one question. Given the kind of macro scenario that exists as a backdrop in

power projects, constant buildup of the new power projects in conventional renewable energy, real estate construction activity, and in general, almost rebuilding India's industrial and manufacturing kind of a setup. That is what kind of a picture we are undergoing. So given that backdrop, what is the picture you would visualize 4, 5 years ahead in terms of growth rate, for the overall industry opportunity and for KEI, in particular, both in the industrial as well as household and kind of improvement in capital efficiency or otherwise, laid by margins or otherwise, if you can draw up a picture as to how do you see the coming 5 years?

And secondly, would you describe the period ahead, probably as one of the most significant ones in the history of KEI or it is that I'm putting words in your mouth. So I want to hear whether you as one of the industry leaders, do you believe that the period end is probably the most defining one for this industry in the longest time or it is just my imagination?

Anil Gupta: I think you have asked a very significant question. First of all, I see a very strong and good future for our industry. It is mainly because the way economy is growing and the way government is pumping in CapEx in the economy and resulting into large amount of private CapEx, which is now coming up in the manufacturing plant like semiconductors, like many industries like steel, cement and miscellaneous packaging industries, everything will lead to more and more demand for wires and cables because for any manufacturing projects or infra projects, power is needed, and this power can be carried only by insulated cables.

And more and more houses are built, more and more buildings and factories are built, lighting drives the demand of wires. I think next 5 years will be very strong defining period for our manufacturing sector and will establish the country in becoming a huge manufacturing hub. We

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are all building up and also for our company, the kind of CapEx we have embarked upon, we have spent INR400 crores in 23 -24 on CapEx and expected to spend around INR1,000 crores in

this financial year, 24 -25, and another INR500 crores to INR600 crores in next financial year in our existing greenfield project coming up at Sanand near Ahmedabad.

So this will enhance our capacities to take care of coming up demand from these sectors, infra, power, manufacturing and construction, including real estate. And we also wish to build up our huge customer base from overseas geographies, so that we are not we diversify want to diversify our geographies to insulate the demand and our company from any risk in the demand cycle in any particular geography. So this has been the idea. And I think that scalability is very high. We even until now, our India's manufacturing capacity for wire and cables is not more than 12% or 15% of China.

So I think we have a much bigger population, and we have much better approach towards international markets. So there will be a substantial opportunity in the next 5 to 10 years in India as well as for our industry for export markets.

Bharat Shah: And on capital efficiency, as you mentioned, that scale up would occur, opportunities to do so are already visible, you're preparing yourselves for it. You earlier mentioned about copper price that it really doesn't change anything on a longer term because it's a bit of a pass-through.

Keeping in mind all of these, how do you see the capital efficiency improving or otherwise over time? Will it be margin-led? Will it be scale-led or both or any other factor?

Anil Gupta: No, it will be both. As the scale goes up, capital efficiency improves, the turnover improves and also at least leads to a little bit reduction in overheads also because we are allocating same overheads on a larger production. Capital efficiency, I think we have ROCE

27.4% is a return

on capital employed and I think more than 20% on return on capital. So I think year-on-year, we are improving this capital efficiency and as our sales are going up.

Rajeev Gupta: As we have earlier guided, Bharatji, that after the implementation of the new projects and increase in the retail prices retail sales and exports, we will be adding another 1% to 1.5% EBITDA by financial year '27 and '28.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: First of all, I would like to congratulate you a great set of numbers. Most of my questions are regarding market share of KEI and Industrial. And basically, what do you think of exports. So in terms of exports, what geographies are you mostly targeting? Where do you see maximum growth for cable, especially for industrial cable? And currently, what is the market size of industrial cable in our country? And how do you see that going over the next 5 to 7 years?

Anil Gupta: Our major export markets are Australia, and now we have started significant exports to United States as well as Europe. And already, we have been doing good amount of exports in Africa and Middle East. Middle East is our substantial market for last 15 years. We are very much entrenched in their oil and gas projects in especially in Abu Dhabi, Qatar, Kuwait and Oman

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where major oil is there. And also, we are doing exports in adjoining countries like Bangladesh, Nepal also. So what was your other question?

Rajeev Gupta: Market size of the company.

Anil Gupta: Market size. So market size at the moment is around wire and cable industry is around INR75,000 crores. And we think that it will keep on growing by 15% year after year, the market size.

Nidhi Shah: This is a combination of like household and industrial cable put together.

Anil Gupta: Correct.

Nidhi Shah: Would you have, say, a bifurcation in mind of where that could be in the years to come, like which one would outweigh?

Anil Gupta: I think both will grow equally, but I think, in my opinion, the cables will grow faster.

Moderator: The next question is from the line of Naman Parmar from Niveshaay Investment Advisors. The next question is from the line of Rishi Kothari from PI Square Investments.

Rishi Kothari: Congratulations on the good numbers posted. So my question is related to the dealer and distribution that we generally operate in. So we have seen a good growth amount in the dealer and distribution market. So how exactly are we targeting the dealer and distribution? We know that more or less the market is fixated, but the only way to increase the market share is to take from the competition in a way more or less. So how exactly are we giving them US-themed outcomes that makes us a good dealer distributor compared to any of competitors?

Rajeev Gupta: Basically, for the dealer distributor market, we are targeting a growth of approximately 20% with respect to wire as well as the cable because more and more geographies, we are strengthening now and more and more new manpower, we are deploying in the southern part and the Eastern part of the country. That's how we are able to grow our dealer distributor business.

And we are strengthening our existing dealer strength also because we are appointing as well as

we are exchanging from the weak hands to the stronger hands in the areas wherever it is. As Anilji has said, the industry is growing well because of all the factors in our favor, so that's why the growth is that's how we are taking the market also.

Rishi Kothari: But also what differentiates you from any other competitor by is there something in terms of margins that you provide them that makes you stick with that dealer or something?

Anil Gupta: Sir, it is the approvals with the various end users and also our brand strategy, the stock

ing of

wires and cables in our depots, we are stocking at around 26 locations. And also, our strong sales team across the country, which are reaching out to the customers, and business development activity we carry out.

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Rishi Kothari: Okay. So in terms of the footfall towards our customers in terms of dealers is quite strong compared to our competitors?

Anil Gupta: Yes.

Moderator: The next question is from the line of Sangeeta from Cogito Advisors.

Andrey Purushottam: This is Andrey Purushottam, her husband and partner. First of all, Guptaji, congratulations on a great set of results. You are making this a habit. One is that your PAT growth has been slightly slower than your EBITDA growth. So can I understand why that is happening? And how do we see this in the next year going forward?

Rajeev Gupta: Actually, year-on-year basis, our EBITDA percentage will also grow as well as our PAT percentage will also grow because this year also, the PAT has grown. It was 7.28% versus 7.087%. PAT is also growing. Sometimes the financial charges a little bit increase because of the bank guarantees we are providing on large orders. That expense is booked in the same quarter actually.

Andrey Purushottam: Okay. So it's just a minor variation here and there.

Rajeev Gupta: Yes, yes. So in future, as we earlier guided that we will now towards crossing the 11% EBITDA margin, PAT margin is more than 7%. So now we will be marching towards the 7.28% to 7.4% kind of thing percentage. So like on year-on-year basis, we will be improving in our EBITDA as well as in our PAT margin.

Andrey Purushottam: Right. My second question was, was this China Plus One play, which we referred to on your answer to another person who was on the call. Can you give me some flavor as to what is happening? Are you getting inquiries from companies which would never deal with you before and dealt with Chinese suppliers before? Or is it happening that you are dealing and competing with Chinese suppliers and despite the fact that you are not the lowest cost, you're getting the orders? Can you give us a flavor of the kind of conversations that is happening and going a little bit behind the surface to understand the psyche of your buyers? And how is it that you are actually getting advantage of the China Plus One strategy?

Anil Gupta: See, especially 1 factor is that we have been working on this approvals from certification bodies in U.S.A. and Europe for the last several 3, 4 years. So that has come on board. Secondly, definitely, we are the customers are referring that they want to develop 1 country apart from China, whom they think is a significant one in their supply chain. You already know that the political relationship of China with many a bit U.S.A. and other many countries are not very good. So ultimately, that position is reflected in the large companies, which are procuring products from China, and they definitely want to secure their supply chain and don't want to risk themselves due to any political uncertainty.

Andrey Purushottam: So what is happening? Are you getting inquiries from people who didn't believe it before or are you having...

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Anil Gupta: Yes, we are getting inquiries. But inquiries can be converted into orders only if we are having technical certifications in those countries and sales network in that country. So these 2 things are very important even if we are getting an inquiry vis-a-vis an existing supplier of that country.

Andrey Purushottam: My last question was your B2C component of sales has been increasing, but now it is increasing at a slower rate. So should we assume that it will saturate somewhere around 50%, 55%? Or do you think it can go more than that?

Anil Gupta: We I think our aim is to reach it to 50% of the total s

ales. And beyond that, we also would like

to maintain our direct sales to the customers as well. So our company believes in maintaining

large customers to be dealt directly.

Moderator: The next question is from the line of Manoj Gori from Equirus Securities.

Manoj Gori: Sir, my question is with regards to your B2C business. So if you look at probably over the last few quarters or probably last 6 to 7 quarters, we were seeing industry we're seeing largely some pressure from the real estate led demand. Are we seeing any signs of revival? One of the players who have already reported the numbers, they indicated over the call that we are seeing some signs of revival with the real estate led demand. Any insights over there?

Anil Gupta: Revival, I think we our numbers are very clear that we are having good sales to the real estate sector. So I don't know I mean, what revival comes there was a dullness.

Manoj Gori: So sir, my question was more specifically on the industry side because obviously, KEI has been doing extremely well and probably this is not limited to a year or 2. I've been looking after this big company for the last 8, 9 years. But just wanted a sense on the industry front probably. How we are looking at this?

Rajeev Gupta: You see the real estate sector is growing. And as we are hearing and we are witnessing that all the metro cities, wherever earlier that 2 years before the real estate demand was not there. So now these demands are there and new projects are coming in these metro cities, and they are being sold out also. So this kind of demand is already there in the on the ground.

Manoj Gori: Sir, my second question would be on the capacity. So probably last year or few quarters, we did see some capacity constraints. So for this year, given the visibility that KEI is having on the demand front. We have ample capacity or probably, we don't see any coming over there?

Rajeev Gupta: Manoj, we have added the capacity last year, which will be resulted last year also. And in the current year also, we are still adding and we are going ahead with the new. If you go by the volume number, we have grown by more than 22% in the last financial year in terms of volume because prices may go up, prices may go down.

That's why whenever we guided you about the top line, we are for the conservative number so that we have guided earlier 16%, 17%. But finally, we have grown by 17%, 18%. In the current year also, the growth rate will be close to 17%. And that can and by that time, for the next

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financial year, about the new capacity of the final project will be available. So our overall target to grow year-on-year, this is 17%, 18%. That's how we are increasing the capacity.

Manoj Gori: And this 17%, 18 % would be in value terms, right?

Rajeev Gupta: Yes, yes, in value terms. Definitely.

Manoj Gori: So how does the market...

Rajeev Gupta: You see the volume may go up, volume may go down, prices may go up, prices may go down. So we have to discount for that actually.

Manoj Gori: Right. And sir, how do we see the margin versus FY '24 level?

Rajeev Gupta: Yes, margin is close to 11%, and we will be maintaining close to 11% margin in this year also.

Moderator: The next question is from the line of Gaurav from IIFL Securities.

Gaurav: Specifically question on the EHV cable side. So what sort of demand we are seeing on the domestic and international side? And what sort of inflows we can expect in next 2 to 3 years, specifically on the EHV side?

Anil Gupta: See our present capacities are close to INR600 crores per year of the cable EHV cables. And we are, I think, we have fully utilized it last year, yes. So this year also, it will remain the same.

We are not we have because the new capacity is coming up only at Sanand. And it will take close to 24 months to from now. By end of F

Y '25. '26 that new capacity will come up. So it

will we will be able to grow this only after 2 years because this is a heavy project, and it takes time to bring that capacity. The construction has already started.

Gaurav: Sir, specifically, if you could talk about the demand, like is it more likely driven by the domestic or the international side?

Anil Gupta: I think we have seen the growth in both the sites, of course, because the export base was low. So the percentage growth in exports last year has been 58%. And this year also, it looks to be strong. But domestic also grew by 19%. So I think that and it is it more depends on where we are allocating our capacity. Demand is there at both fronts.

Gaurav: And you mentioned about folding into U.S. market with these cables and wires. So are we in any progress with like do we have a tie-up with local EPC player where we can actually supply? Is there any development on that side?

Anil Gupta: First of all, let me tell, we are only selling cables over there. We are not selling any wires. And it's not a tie up. We these are the customers which we have developed who are placing their orders on us. So I mean, I don't think they I don't know what do you how do I define tie-up?

Rajeev Gupta: Actually, we are serving directly customer in our export market all over the world.

Anil Gupta: And they are mainly EPC contractors or direct users.

Gaurav: Sir, lastly, 1 or 2 bookkeeping question. I missed the order book bifurcation, if you can just please highlight the same.

Rajeev Gupta: So we have order book is the EPC division is in INR771 crores. Extra high -voltage power cable order is INR374 crores. And our domestic market cable order book is INR1,865 crores. And our export cable order is INR521. So overall order book is INR3,531 crores.

Gaurav: Okay. Okay, sir. And sir, if you could just highlight the A&P spends during the year like what was the percentage and what trajectory we are expecting going forward?

Rajeev Gupta: Every year, we are spending around INR50 crores, INR60 crores. So last year, we spent around INR49 crores. Again, this year, we will be increasing a little bit for INR4 crores, INR5 crores extra. So year-on-year basis, a little bit, we are increasing depending on the sales, which we are increasing.

Moderator: The next question is from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: Many congratulations for a set of numbers. Sir, few questions. Just to understand on the demand per se, are you seeing any sector additions, which has been something new sector, which you can highlight, which you have started supplying your cables to, is there anything new in that, that will be helpful?

Anil Gupta: We are covering all the sectors even for many years now. So oil and gas, industry, steel, cement, power generation, transmission and distribution. At the moment, I'm not able to make out if any specific sector addition we have.

Rajeev Gupta: But these sectors are already there because whether you talk of infrastructure, capex or real estate sector or the other power sector, it is already there actually.

Harshit Kapadia: I was referring from the point that there could be new things like EV charging cables.

Anil Gupta: You're right. I forgot. We have added EV charging cables in our portfolio, and this is a factor addition in the last financial year. We have already started production and commercial sales of EV charging cables.

Harshit Kapadia: Okay. Okay. And there was also a plan that you want to get diversified into other consumer electrical segment. And given with the current demand scenario, both on domestic and export side, do you think you would want to continue at this point in time? Or you may want to relook at it probably...

Rajeev Gupta: As of now, because we are doing the heavy capital

expenditure, so we are not planning any diversification rather than we are sticking to our product range, but we are adding the markets over there, new geographies over there. And whatever addition of the product in the cable, that will remain the same, but that we will be continuing.

Harshit Kapadia: Understood. And sir, last question is on the EPC side. We have seen earlier, there was an EPC cycle boom and then we had refrained from getting into EPC projects. Now again, power demand

is rising. We are seeing a lot of cancellation, substation and orders being coming out. Do you think you want to again reenter that particular...

Rajeev Gupta: EPC project, we have already reduced to the level of 5%, 6% of our total business, that we will be maintaining actually.

Harshit Kapadia: That you will be maintaining.

Anil Gupta: Whatever new orders are coming in on EPC side, we will be gained by supplying our cables to those EPC contractors.

Harshit Kapadia: Right, right. But you won't enter into as an EPC player, right?

Anil Gupta: No. Not in a significant.

Moderator: The next question is from the line of Praveen Sahay from P L India.

Praveen Sahay: Many congratulations on a good set of numbers. So sir, my question is for the full year last year, if I look at your housing wire and vending wire segment, has delivered a very strong number? And also, if I look at incremental revenue you had generated a maximum out of that actually. So as compared to your the LT, SG cables actually. So on the way forward, do you believe this 100 of incremental sales to continue because this is largely in the cable versus the wiring. So where you will see in 25-26 incremental sales?

Anil Gupta: See, we have delivered higher numbers in wire because first, we had the capacity. Secondly, our base numbers are lower than compared to our immediate big industry peer group. Thirdly, we have tapped into a lot of newer areas in the country where our dealers were not present by expanding our dealer base. And fourthly, because there was a capacity constraint in the cable in

the LT and SG side. So the chances of higher growth was limited because of the capacity I think these were the major reasons that we have seen higher growth in our wire segment.

Praveen Sahay: So just to clarify further to that. your capacity, especially in the cable is coming in for '25 and '26. So would you be able to maintain your buyer contribution of a 30 percentage around in your total pie? Or it will be...

Rajeev Gupta: It is not like this. It is basically whatever capacity we are adding and we are having, we will be utilizing that capacity, whether in buyer or in cable. And accordingly, put together all, we will grow 17%, 18%. You see sometimes the buyer grow more, sometimes HP grow more, sometimes export grow more, sometimes domestic grow more. So it is always the allocation of the capacity depending on the order, which we are having.

Praveen Sahay: Okay. And the next question, for your guidance related to the export to grow at 50%, and overall growth of 17%, 18%. That's to see a lower growth at the domestic number, actually. So as the domestic industry also, you had said a 15% growth rate. So would you match this 14% or 15% of industry growth or would be lower?

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Rajeev Gupta: No, no, we are not talking of the we are talking of the industry, but we are also talking of the company also because whatever capacity we have created or we are in the creation of capacity only to that extent, we will be growing. So whatever we are growing our future growth target is growth to at least 17% CAGR for next 5 to 10 years because in the last 15 years, we have grown at a pace of 14%. And our peer group also has grown to the level of 14%, 15%. So we are talking about the longer-term horizon, not for 1 year or 2 years.

Praveen Sahay: Okay. Got it. And that is a mix of export and domestic business long term?

Rajeev Gupta: See, for us, whether sales comes from domestic, sales comes from export, sales comes from the retail. It is not the matter. The matter is how we are utilizing the capacity, and we are improving our working capital cycle. So that is the main thing for us.

Moderator: The next question is from the line of Koundinya Nimmagadda from Jefferies.

Koundinya Nimmagadda: I just want to reconcile the CapEx numbers. You spoke about Chinchpada and Pathre di, you had about INR50-odd crores for FY '25. What is the expected CapEx for Sanad and total CapEx, sir, under...

Rajeev Gupta: Close to INR900 crores plus CapEx will be for the Sanand project in the current year because we need to complete the Phase 1 for that project.

Koundinya Nimmagadda: And the project will be commissioned by FY '25 or FY '26 first quarter or last quarter?

Rajeev Gupta: In the 1st April so basically, the first quarter of the '25.

Koundinya Nimmagadda: Okay. So next year, it will be spending close to INR1,000 crores of CapEx.

Rajeev Gupta: No. Current year, we will be spending around INR900 crores to INR1,000. Next year will be a remaining portion of INR500 crores to INR600 crores only.

Koundinya Nimmagadda: Okay. Understood, sir. And sir, sorry, my line got disconnected. Can you repeat the capacity utilization numbers, please?

Rajeev Gupta: Capacity utilization was 92% in our cable division and close to 70%, 75% in the wire division.

Moderator: The next question is from the line of Naman Parmar from Niveshaay Investment Advisors.

The line from Mr. Naman is not appropriate. The next question is from the line of Sandesh from HSBC Mutual Fund.

Sandesh: Sir, I wanted to ask how has been the volume growth for the quarter and the full year. Can the entire growth be attributed to volume? Or there has been some price hikes also in this?

Rajeev Gupta: Actually, price was less. So the volume growth in the Q4 was 24%, but volume growth for the full year was 22%.

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Moderator: That will be the last question for today. I would now like to hand the conference over to management for closing comments.

Anil Gupta: So I thank you very much to all our investors for participating in this conference call. And if you have any further questions, you may reach out to us. Thank you very much.

Rajeev Gupta: Yes. Thank you very much to all.

Moderator: On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

KEI Industries Limited

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KEI/BSE/2024-25 Date: 06.08.2024

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Listing Operation,
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400 001

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the first quarter ended 30 th June 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Tuesday, July 30, 2024 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the first quarter ended 30 th June, 2024 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2024/08/transcript-24-25-quarter-1.pdf>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

VP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd.
Listing Division, Exchange Plaza, Plot No. C/1,
G Block, Bandra Kurla Complex, Bandra (E),
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The Senior Manager, Listing Division,
7, Lyons Range, Kolkata-700001

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"KEI Industries Limited

Q1 FY'25 Earnings Conference Call"

July 30, 2024

MANAGEMENT : M R. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR –KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to KEI Industries Q1 FY'25 Earnings Conference Call hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you, and over to you, sir.

Rahul Dani: Thank you, Manav. Good afternoon, everyone. On behalf of Monarch Network Capital, we are delighted to host the senior management of KEI Industries. We have with us Mr. Anil Gupta, Chairman and Managing Director of the company and Mr. Rajeev Gupta, CFO of the company. We will start the call with opening remarks from the management and then move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Good morning, everyone. Welcome to this conference call. I'm Anil Gupta, Chairman and Managing Director, KEI Industries Limited. Along with me Mr. Rajeev Gupta is there who is the CFO of the company. I'll give a brief about this quarter results. So the net sales in Q1 of FY'24-'25 is INR 2,060.50 crores against INR 1,780.53 crores last year. So the growth in the net sales is 15.72%.

EBITDA in this quarter is INR 232.41 crores against INR 186.6 crores last year. Growth is 24.55%. EBITDA/net sales margin is 11.28% against 10.48% in the same period previous year. Profit after tax in this quarter is INR150.25 crores against same quarter in the previous year INR121.39 crores. Growth in the profit after tax is 23.77%. Profit after tax/net sales margin is 7.29% versus 6.82% previous year same period.

Domestic institutional cable sales, wires and cables is INR 574 crores in the first quarter against INR493 crores in the same period in the previous year. Growth is approximately 17%. Domestic Institutional cable sales for extra high voltage cable is INR 79 crores in the first quarter against INR49 crores in the previous year same period, the growth is approximately 62%. Export sale in this quarter is INR 233 crores against INR 307 crores previous year same period. There is a decline of 24% which will be made up substantially because some of the substantial amount of goods could not be dispatched due to logistic reasons.

Total cable institutional sale contribution is 39% against 44% in the previous year same period. Sales through distribution network that is B2C is INR 1,085 crores against previous year INR 842 crores. So the growth is approximately 29%. Distribution sale contributed 53% in the first quarter as against 47% previous year same period. Sales of EPC department other than cable is INR131 crores as against INR 111 crores. Growth in the EPC sale is 19%. Out of the total sale of EPC, EHV EPC sale is INR 45 crores as against INR 29 crores in the same quarter last year. Stainless steel wire division sale is INR 53 crores against INR 58 crores in the same period last year. Volume increase in the cable division on the basis of production and for consumption of

metals in Q1 of FY'24, '25 as compared to previous year same period is approximately 18%. Total active working dealers for the company as on June 30, 2024, was approximately 2015 Nos. We are in the process of strengthening dealer network by replacing some existing small dealers with the bigger distributors. Pending order as on date is INR3,590 crores. In the net sales EPC INR653 crores; extra high voltage cable INR333 crores; domestic cable from the institutional cable department INR2,052 crores and export orders of cables pending is INR552 crores. So the total is INR3,590 crores.

Exter

nal ratings. India Ratings and Research Private Limited and CARE Ratings Limited have affirmed its long-term rating as AA with positive outlook. ICRA Limited long-term rating is AA Stable. Short-term rating from India Ratings, ICRA and CARE is A1 plus. Book value per equity share of the company is INR 365.77 as on June 30, 2024, as against INR 348.87 as on March 31, 2024. The total borrowings of the company is INR165 crores, out of which channel finance INR 98 crores, cash and bank balance is INR599 crores as on June 30 against total borrowing of INR134 crores last year so not last year against total borrowing of INR134 crores as on March 31, 2024.

Acceptance creditors as on June 30 is INR504 crores against INR506 crores as on March 31, 2024. So the net debt is INR70 crores as on June 30 as against net cash of INR60 crores on March 31, 2024. During Q1 of this year finance cost was INR14.16 crores against INR 8.94 crores in the same period last year, Rs. 16.51 crores in the March quarter. Interest income from bank deposits for others in Q1 is INR8.64 crores which is included in the other income. It was INR6 crores in the previous year same period.

Now I will tell you about the future outlook. Capacity utilized during Q1 FY'24-25 approximately 87% to 88% in cable division, 80% in house wire division and 90% in stainless steel wire division. During Q1, '24-'25 company has incurred a capital expenditure payment of INR145 crores in which the Sanand a new project coming up near Ahmadabad is INR76 crores; Chinchpada in Silvassa INR24 crores; Bhiwadi INR21 crores; Pathredi INR14 crores and other plant locations INR10 crores.

Company has done capital expenditures for Brownfield capex at Chinchpada to further add capacity for wires and houses wires and empty power cables. This will be completed in it is partially commissioned, but fully completed in Q2 of FY'24-25. Another Greenfield/Brownfield expansion going on at Pathredi in Bhiwadi area with approximate cost of INR125 crores which will increase the capacity of LT power cables by INR800 crores to INR900 crores per annum. It will be operational in Q2 of this financial year '24-'25 that means by August or September. This Brownfield capex will enable us to grow by 16% to 17% in this financial year.

Apart from the Brownfield capex in FY'24-'25 company has planned INR900 crores to INR1,000 crores capex on Greenfield expansion for LT, HT and EHV cables in Gujarat in Sanand, commercial production of which will commence by end of fourth quarter of FY '24-'25. We have already started construction in FY '23, '24. Further, we will spend another INR500 crores to INR600 crores in the next financial years to complete the project to maintain a CAGR of 15%

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to 16% per annum in future years as against achieved CAGR of 14% to 15% during the last 15 years.

So, this is a brief commentary from the management side. You are requested to raise any query you may have. It will be our privilege to answer those. And I will also give you a little brief about the industry outlook. The industry outlook remains strong and with a good demand in domestic market as well as international markets we are progressing well on our aim to increase our footprints in the various destinations internationally and getting good traction from U.S. market and European markets.

And the moment our new factories start commercial production, we'll be able to see export volumes going up besides the domestic volumes. There's a good amount of capex coming up in India or abroad in solar power projects, wind power projects, transmission, and distribution projects and also in various industrial projects. So this is a brief commentary from our side. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Praveen

Sahay from Prabhu das Lilladhar Capital. Please go ahead.

Praveen Sahay: Thank you for taking my questions and many congratulations for a good set of numbers for Q1. So the first question, sir, is related to the export. What exactly happened in the export for a decline for the quarter?

Anil Gupta: We had around INR65 crores worth of cables lying for export, but the logistics was in the container placement was in customer's scope, and they delayed the placement of containers due to which a substantial amount of cables around INR65 crores could not be dispatched, which is now being dispatched in July. So we'll be able to make up the shortfall in the Q2. We have explained that there is a substantial order books in the export itself, more than INR550 crores at the moment.

Praveen Sahay: So container delay or availability has sorted as per you, now we will see in the Q3 Q2 those numbers?

Anil Gupta: The container placement was not in our scope. It was in the customer's scope, and they delayed the placement.

Praveen Sahay: Okay. Got it. Second thing is related to the dealer -distributor based revenue which has increased 29% and also leads to a 50% to 53% contribution of overall. So is that including the export number? And also, it includes the cable business of ours?

Rajeev Gupta: Yes, it's a dealer-distributor business, the wire and cable both.

Anil Gupta: And we are not exporting any cables through dealers, so it is all the dealer's business is all domestic. The export business, we are doing directly.

Praveen Sahay: Okay. Got it sir. And the second the third clarification is related to the housing wire and winding wire. From the last several quarters, observing that's a very good growth in this segment, you

are reporting. So if you can give some color of like, is it from the housing wire you are getting a growth or the winding wire, which has brought the growth in that segment?

Anil Gupta: It's basically the wire and flexibles used in the real estate and the rental market etc.

Praveen Sahay: So it's largely real estate based what the growth you are reporting?

Anil Gupta: Yes, sir. Many real estate.

Praveen Sahay: Okay. And lastly sir can you give some volume growth number for wire and cable, how you had a growth for the quarter?

Anil Gupta: In volume terms we have done a growth of 18% on the basis of consumption of metal in the field.

Praveen Sahay: Okay. And lastly, sir, on the EHV. Last quarter call, you had given that the EHV FY'25 would be flat on the Y-o-Y side. But this quarter also, you had given a very good growth. So is that the guidance for last quarter of a flat EHV for this...

Anil Gupta: It is flat because the first quarter number last year was very low because of the non-clearances from the customers due to ROW issues. That is why we are seeing a growth compared to last year. But otherwise, on a quarterly capacity basis, it is flat.

Praveen Sahay: Okay. So your guidance related to flat EHV stands it holds?

Rajeev Gupta: Praveenji one thing is we have given the guidance of 16% - 17% growth for overall for all the products with all the segments for the full financial year. It is in the normal course, sometimes EHV sales goes up, sometimes goes down also. Sometimes export goes up, goes down also. Sometimes retail goes up, goes down. So it does not matter to us. What matters to us is how we are utilizing our capacity and ultimately, we are achieving the growth of 16% to 17%. It is not on individual segment or individual product.

Praveen Sahay: Right sir. Got it. Thank you, sir and all the best.

Moderator: Thank you, sir. We have our next question from the line of Natasha Jain from Nirmal Bang Equities. Please go ahead.

Natasha Jain: Thank you for the opportunity, sir. My question is a follow-up on the previous question. So you said that there was container unavailability in the e

xport market. Can you also just throw some

light as to how the U.S. market performs for you? And is there an inherent slowdown in that market?

Anil Gupta: Madam first of all there was this was not a problem of container's availability from our side. I said that container placement was in the scope of the customer, the overseas customer. And they delayed the placement of the container due to the reasons known to them. So we can't comment on it. But all that material is being dispatched in the month of July. Your second question was?

Natasha Jain: Sir in terms of the export market especially the U. S. market how does the outlook look like there in the short term?

Anil Gupta: Yes. The customers we are dealing with in the U.S. the outlook is very good, and we are going to substantially grow business in U.S. in this financial year. Because the base was last year, very low, so we expect that a ballpark figure of INR 200 crores to INR 300 crores coming up from U.S. markets this year.

Natasha Jain: Understood sir. Sir, can you just give us some sense in terms of your geographical split in your export market?

Anil Gupta: Exact I cannot give, but our we have substantial exports in Australia and Middle East. Some countries in Africa and US and Europe have started only last year, but Australia is our very big market for last 10 years?

Natasha Jain: Understood. Sir and one last question can you just call out what kind of cables are we exporting in these markets?

Anil Gupta: We are exporting medium-voltage HT cables like up to 33 KV to 66 KV. And also cables for oil and gas industry in Middle East and U.S.

Natasha Jain: Understood. And lastly sir EHV that we manufacture is completely used in India?

Anil Gupta: EHV some EHV cables we are exporting to Australia also, but mostly we are selling in India. But we are working on developing exports of EHV cables which may start from next year.

Natasha Jain: Sure sir. Thank you.

Moderator: Thank you. We have our next question from the line of Venkatesh from Axis Capital. Please go ahead.

Venkatesh: Thank you for the opportunity. Just one very simple question I mean one of your most important

competitors in India and who also exports a lot of cables outside India has been telling the broader market that they have been actually rejigging the distribution network. Just like you, they used to also sell all their cables directly to customers, now they are trying to sell it via distributors.

Now but you do continue to sell through directly to the customers and you are not trying to set up a distribution network. So can you kind of tell us what are the pros and cons of each of them and why you are not attempting to do it? And why what you're trying to do is better for KEI, some kind of perspective.

Anil Gupta: Our export model is has always been direct business. We are not developing any distributor in overseas markets. And because we feel that access to the end user and the end customer and the contractor gives us better margin and better sustainability and regularity in the business as compared to distribution.

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Venkatesh: Now while you are at current levels, let's say, 2 to 3 years down the line when your size is significantly bigger on the export side. Will the fact that you're only going directly impact your reach to how many customers you can reach? So any particular thought on that?

Anil Gupta: I think we will definitely review that strategy may be in the next 6 months to 1 year. At the moment, we are not working on that strategy of developing distributors, but we may review it.

Venkatesh: Okay. And one last question from my side. When we actually see the exports of cables and wires from India to the U.S., we are actually seeing that one is calendar year for calendar year '23. Because the data is available

on a calendar year rather than on a financial year, there is a deceleration in terms of exports from India to U.S., in terms of exports of wire. What was 30% to 35% for the past 2 years, in calendar year '23, the growth is only 6% for the full year, exports of wires from India,

And especially in the U.S we are seeing last two to three quarters exports have started declining. Now what I'm trying to drive is this something related to there is some issue with the end market? Or it is just that amongst the people supplying, one of your key competitors is a large exporter and they themselves are having a problem that is why these numbers are showing to be weak or is there a problem with the end market?

Anil Gupta: I don't think there is a problem with the end market. Maybe the problem with their individual company exporting from India. Secondly, our export to US was very small last year because we just started last year. And we are only selling cables. We are not selling conductors or any other materials. So we will be comparing our exports compared to very small numbers of last year. But our export into US should be substantial this year as per the order availability with us.

Rajeev Gupta: We are not exporting wire to any country.

Anil Gupta: We are only exporting cables that for power cables and for oil and gas industry.

Venkatesh: Understood. Thanks a lot. All the very best.

Moderator: Thank you, sir. We have our next question from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Anil ji and Rajeev ji congratulations on a very stable growth and profitability. Sir you have multiple expansions. By 2027 most of the capacity that you're planning will be normalized and available for full year, right, first full year, so roughly around by that time, if you do INR13,500 crores turnover, your exports should be mostly around INR2,000 crores by then. Is that a right assessment?

Anil Gupta: Yes, maybe more than that.

Amit Mahawar: Okay. And broadly on the branded house wire turnover what is that you have in mind in say by '27, sir?

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Rajeev Gupta: Amit ji house wire business in our company is growing close to 20% plus year after year because our base is also low. But still we are focusing to grow at 20% to 22%. Because in all the aspect, we are adopting a disciplined approach so that overall growth of the company should be 16%, 17% plus. Accordingly, we are creating the capacity either for wire or for cable. And continuously, we are increasing the capacity in our existing factories for the wire also. That's how we are growing in a disciplined manner.

Amit Mahawar: Great sir. Thank you so much. One last question, so in the next 2-3 years, the kind of growth we have, your cash flow will still be maybe much better than what you had in the last 3-4 years. So Anil-j, beyond the current capacity, and I am more talking about the next progression in business

beyond just cables, how should we think about the next 4 to 5 years on this company in terms of more B2C businesses if you have in mind adjacent segments?

Anil Gupta: At the moment we have no plan to add any new products in the B2C business. If something comes up in our mind, we will definitely let you know in advance. At the moment there is no plans.

Amit Mahawar: Okay. Thank you sir and good luck.

Rajeev Gupta: Thank you, Amit ji.

Moderator: Thank you, sir. We have our next question from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori: Thanks for the opportunity and sir congratulations on a good set of numbers. So my question here if you look at if we go back in FY'24 and then we see that we grew by roughly around 17% on top line front. So can you bifurcate like probably what was growth from government related orders or probably private orders and probably how you are expect

ing this to shape up in the coming years? Any qualitative answer over there that would be helpful?

Anil Gupta: Sir private orders are mainly coming from solar power developers and industrial projects in the domain of cement, steel and other miscellaneous industrial projects like pharma or any type of industry which is coming up. So far as government orders are even a lot of transmission and distribution project orders are now coming from private discoms.

A lot of private distribution companies a lot of distribution companies in various parts in India are privatized and like CESC like Torrent Power and like that. So a lot of orders are from such companies also. At the moment we don't have any quantification of and dealers when they buy, I mean we have to collate that whether they are selling to a private sector or to a they may be selling to a contractor whose end customer is may be government, but we don't have available data at the moment.

Rajeev Gupta: Most of the government contracts are taken by the EPC contractor, so we supply to EPC contractors.

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Manoj Gori: Correct sir. Got it. So secondly if you the sectors that you just mentioned, anything you see in the coming years probably you're getting incrementally positive demand drivers from these sectors or probably in some of the sectors you are seeing some headwinds. Any read over there?

Anil Gupta: I think if we talk of any individual sector at the moment, I think solar has as an individual sector has substantial demand in this year, but otherwise all sectors are doing well. And we hope that from next year, a good demand should come from the newly started extensions in thermal power projects and even pump storage projects for generating power.

Manoj Gori: Correct, sir. Sir, lastly, on the margin side, obviously, you have been very kind in highlighting the top line guidance. Can you throw some light like where we see ourselves at the end of FY'25 on the margin trajectory?

Rajeev Gupta: Close to 11%. We have earlier also guided the same thing and growth of 16% -17%.

Manoj Gori: Yes. And sir, what would be the price hike at the end of June month versus, let's say, February of FY '24?

Anil Gupta: Price hike?

Manoj Gori: Yes.

Anil Gupta: Depends on the copper movement. See if we say as compared to February and June, average price hike might be 7.5% to 8%, but we keep on adjusting our prices depending on the input cost and the metal prices like copper and aluminium.

Manoj Gori: Correct sir, thank you and wish you all the best.

Anil Gupta: Thank you, Manoj ji.

Moderator: Thank you. We have our next question from the line of Ananya Purushottam from Cogito Advisors. Please go ahead.

Andrey Purushottam: This is Andrey Purushottam. Anil ji and Rajeev ji congratulations once again for giving such consistent and great numbers. I just heard you say about the margin guidance for FY '27. If you look at the various years, you've delivered between 10% and 11% consistently. Is there a possibility and the promise of upping this margin a spiration from 11% to 12% or somewhere between 11% to 12%. Is it possible? Is it aspirational?

Rajeev Gupta: See earlier also commented on this topic. As our capacity get in place, then because of economy of scale, we will be achieving higher margins. That is possible. Next 3 to 4 years, we will be adding into the margin at least by 1% plus mainly because of economy of scale.

Andrey Purushottam: In the 3-4 years' time period you are saying?

Rajeev Gupta: Pardon?

Andrey Purushottam: And what time frame are you saying, sir, Rajeevji?

Rajeev Gupta: Maybe '26, '27 because by '26, our capacity will be in place of extra high voltage.

Andrey Purushottam: Right. Okay. And one more clarification I had. You have shown this amount of channel financing that you are doing

has reduced. That actually means that the amount of channel financing availed by dealers has been...

Rajeev Gupta: Channel financing is reduced mainly because of the basically, the FLDG amount increased by the bank. Earlier it was used to be 50%. Now all the banks have reduced to the level of 15% to 25% FLDG. So the recourse has basically reduced.

Andrey Purushottam: Sorry what is the FLDG?

Rajeev Gupta: It's basically First Loss Default Guarantee. We need to give to the bank. It's basically a recourse. So the recourse percentage has decreased.

Anil Gupta: So our risk for channel financing has reduced by 50%.

Andrey Purushottam: So therefore, the amount of channel financing by the availed by the dealer has increased. Am I right?

Rajeev Gupta: Yes, that has increased.

Anil Gupta: It has increased.

Rajeev Gupta: That is increasing because our sale is also increasing.

Andrey Purushottam: Right. Also the proportion of dealers who are availing for channel financing how much is it in today's date?

Rajeev Gupta: Close to more close to 550-plus dealers are under channel financing and close to 70% of our total dealer distributor sales are covered under the channel financing scheme.

Andrey Purushottam: Okay. And can that move further or since you have...

Rajeev Gupta: It is improving further because as the dealer is getting old by 7 to 8 months, we are covering under channel financing because we are making a new dealer distributor also.

Andrey Purushottam: Okay. And just one comment...

Rajeev Gupta: And apart from the channel finance or the recourse reduction, we have taken the receivable insurance for all the receivables, whether it's an export receivable or it's a domestic receivable or it's a retail distributor receivables.

Andrey Purushottam: Okay. And just one comment I wanted to make that Anilji just now clarified that you have no intention of getting into B2C enterprises at this point of time. That actually is very reassuring to us because it means that you are sticking to your core strength and businesses, and that is reassuring to investors?

Rajeev Gupta: Yes, Purushottamji we are focusing in our strength, and we are focusing in our product domain where we are having the specialized.

Andrey Purushottam: Okay. Thank you very much sir.

Rajeev Gupta: Thank you, Purushottamji.

Moderator: Thank you. We have our next question from the line of Keyur Pandya from ICICI Prudential Life. Please go ahead.

Keyur Pandya: Thank you. Sir a couple of questions. So first, on the capacity side. Just to get clarified so Silvassa INR100 crores of capex and Bhiwadi INR110 crores of capex for LT cable, these two are the capex which would be available for FY '25? And am I missing any other capex which got commissioned or is about to commission in near term?

Rajeev Gupta: In FY '25, a little bit capex will go into the Silvassa plant because that plant since last 2 years, we are adding the capacity because we are adding the capacity of cable, we are adding the capacity now into the wire also. So now even every inch of land is completing by second quarters. So nothing will be available for us to further expand in those places.

Only now expansion will go on for the new Greenfield projects of the Sanand which is Ahmedabad. So as Anilji said that in the current year INR900 crores to INR1,000 crores and next year INR 500 crores to INR600 crores will go into the same place for all the Greenfield expansion completion.

Keyur Pandya: No sir, what I was asking is, I mean, we were supposed to start Silvassa expansion around INR100 crores in March '24 and Bhiwadi expansion for LT power cable for exports from June '24, which you mentioned that which will start in July, August. So these 2 are the additional capacities available for 2Q in FY '25? Or is there anything else also or rest of the capacities are full

ly utilized?

Rajeev Gupta: It will be available for capacity addition and that 's how we are growing in the current financial year 16% to 17% kind of things.

Keyur Pandya: Okay. One follow-up is on the EHV side. Now EHV is fully utilized and the next EHV expansion would come in Gujarat Greenfield. So till that time , saying, including FY'26, the EHV would remain more or less flattish, is that a correct understanding?

Rajeev Gupta: Yes, sir but Product wise it sometimes grows up or sometimes goes down also, but the capacity utilized not only for EHV's, capacity utilized for t he basically medium voltage power cable also, the same capacity.

Keyur Pandya: Understood. And just last question. You menti oned about some rejig in the user distribution network replacing smaller one with lar ger dealer distributors. Now do you see any impact in near term on the dealer-based sales in ou r revenue?

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Rajeev Gupta: No, he was saying that it's a continuous process to add more strength in dealers and to increase the geography also to reach increase. So just a con tinuing process actually. It is not a one time I would say continuing process.

Keyur Pandya: Okay noted. I have a couple of questions. We will get back in the queue. Thank you and all the best.

Moderator: Thank you, sir. We have our next question from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good afternoon, sir. Thank you for the opportunity . Just wanted to check in terms of our categories in cables and wires, is it possible to g et what kind of market share? And is there any wide space, is there any particular SKU which we ca n still look at adding over medium term?

Rajeev Gupta: We have already covered, I think.

Anil Gupta: I think we have already covered market share. I mea n, close to 12% in the cable. And what do you mean by wide space you mean to say that where t he capacities are demand is more and capacities are less. That is what do you mean by wi de space?

Achal Lohade: No, I mean like you mentioned about the oil and ga s industry the exports for the oil and gas industry sector something on those lines whether it is railways, whether it is solar, wind, etc.

Anil Gupta: Yes, we are mostly exporting cables for solar proje cts, wind projects, oil and gas projects and transmission and distribution projects. These are t he main and, in some areas, we are even exporting to some industrial projects as well.

Achal Lohade: Got it. And just to clarify, you said the metal co nsumption growth is 18% Y-o-Y for the quarter. Have I understood right, sir?

Anil Gupta: Yes.

Rajeev Gupta: Actually, this 18% for the production. So we have p roduced more, actually. Like Anil-ji explained some of the export materials which we'll be selling to in this financial year in the second quarter, it is like this only.

Achal Lohade: Understood. Apart from exports, is there any incre ase in the inventory days, in terms of finished goods?

Rajeev Gupta: No, inventory because almost our 50% sale is to the institution and close to 50% to the retail. So in that 50% institutional sale, it is a normal figu re. Sometimes material get delayed because of the inspection or something else. But overall, ulti mately, the growth rate will be 16% to 17% for full year basis.

Achal Lohade: Absolutely. Understood, sir. And just to clarify y ou said 11% margin for the current year FY '25 and for the margin expansion of 100 basis points in FY '26-27? Have I understood right with operating leverage?

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Anil Gupta: Yes.

Achal Lohade: Got it. Understood sir. Thank you and wish you all the best.

Moderator: Thank you. We have our next question from the line of Arshia Khosla from BOB Capital Markets. Please go ahead.

Arshia Khosla: Thank you for taking a question, Sir can I just ge t the order

book bifurcation?

Rajeev Gupta: Order book costs close to EPC in the EPC side, the order book is INR 653 crores. Extra high voltage power cables, INR 333 crores. Institutional order for the cable and domestic market, this is INR2,052 crores and export market order is INR 5 52 crores, total is INR 3,590 crores.

Arshia Khosla: Okay Thank you Rajeev sir and also, I just wanted to understand the advertisement expenses for quarter and what will be the trajectory going forwa rd?

Rajeev Gupta: It is close to in the range of INR 10 crores and the same kind of expenditure will be on a quarterly basis.

Arshia Khosla: Sure sir. Thank you.

Moderator: Thank you. We have our next question from the line of Praveen Sahay from Prabhudas Lilladher Capital. Please go ahead.

Praveen Sahay: Thank you for a follow up question, It's related to the increase in the debt and reduction in the cash as well. So these are because of expansion so around INR100 crores cash has been reduced, if I look at March...

Rajeev Gupta: Yes, for the capex, it will go on increase because we are taking the term loan of close to INR300 crores to INR400 crores for the new project wherein we will be investing around INR1,700 crores to INR1,800 crores of the total cost of the project. Close to as per the need maybe INR300 crores to INR500 crores we will avail term loan and balance we will be from the internal accruals. As of now working capital utilization is not there because we are having the cash. But for the term loan, we will start availing.

Praveen Sahay: Okay. Great. And the second question sir related to the branded housing wire. As you have mentioned that the growth has been very good and the way forward also around 15% of the growth you are expecting. So can you give some geographical presence where you are largely present and how much of the market share you are holding in this segment?

Rajeev Gupta: Our sales close to 36% plus from the Northern region and close to 27% to 30% on the Western region. And 17% to 19%, we are in the Southern region and balance is from the Eastern region.

That is for our geographical breakup of the dealer distributor.

Praveen Sahay: Okay. And one clarification. On the solar, as you had mentioned that demand is huge, how much is your contribution right now in your wire and cable right now?

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Rajeev Gupta: Because we are selling to EPC contractors, in our books, the customer is EPC contractor actually. So that's the EPC contractor is buying for the other projects also, not only for solar, but the other projects also.

Praveen Sahay: Okay. Got it sir. Thank you, all the best.

Rajeev Gupta: Thank you, Praveen ji.

Moderator: Thank you. We have a follow-up question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you for the opportunity again. Sir, just one question. So we have seen strong house wire, winding wire sales. I mean just if you can give some idea on how the end industry, or our industry is growing and probably we're growing faster than that. So just color on how industry is growing the end demand and the primary sales also, I mean, we have seen with other players that they have seen some impact of destocking on their primary sales. So at the industry level has the destocking because of the copper prices decelerated. So some color on the industry in the house wire?

Rajeev Gupta: First of all, these are the normal things because every time copper will go copper will increase, copper will decrease. Depending on the behaviour of copper increase, the distributor also wait and some time they buy extra. So these are the normal picture related to this industry, actually. Industry directly belongs to the consumer side for the individual houses and on bungalows. And for all the larger cities, industries belongs to the real estate projects, which are the

multi-storey

buildings are coming up. So these things are continuing going up. But the nature of the industry will remain as it is actually because of the copper.

Keyur Pandya: So but what has been the growth in the end-user demand and that is secondary or tertiary sales? Are we seeing any pickup based on real estate deliveries in larger cities? So any color on the end industry demand at the secondary level?

Anil Gupta: I think end industry demand is growing. It's only that sometimes due to fluctuations in the copper prices, dealers delays the lifting of material for maybe 15 days, 20 days. But beyond that they don't they cannot delay. Ultimately, there the end user is requiring the material. So I think that any offtake due to the copper may be temporary.

Rajeev Gupta: It is part of the nature of the industry. It's going on every time.

Keyur Pandya: No sir, I basically just wanted to understand that the industry will the consumer demand is growing into the single digit or high double digit I mean, any idea on growth rate of I mean, we have seen that cables are growing faster than house wires?

Rajeev Gupta: It is basically higher double demand higher double digit because lots of individual bungalows are being made in all over the country. And the real estate projects which was not which was earlier not there in the larger city since last 1.5 -2 years, these projects getting announced and they had started the projects. So this demand they are coming up now.

Keyur Pandya: Noted. Thanks a lot and all the best.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference back to the management for closing comments.

Anil Gupta: So thank you very much for an interacting with us on this conference call. And we assure you that company is on the right path and will be growing as per the guidance. And if you still have any further questions, you may reach out to us. Thank you very much.

Rajeev Gupta: Thank you everyone.

Rahul Dani: Thank you very much.

Moderator: Thank you so much, On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

KEI Industries Limited

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KEI/BSE/2024-25 Date: 22.10.2024

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25th Floor, Phiroze Jeejeebhoy Towers,
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Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the Second quarter ended 30th September 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Wednesday, October 16, 2024 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the second quarter ended 30th September, 2024 is attached herewith. The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2024/10/transcript-24-25-quarter-2.pdf>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

VP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd.
Listing Division, Exchange Plaza, Plot No. C/1,
G Block, Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051 The Calcutta Stock Exchange Ltd.
The Senior Manager, Listing Division,
7, Lyons Range, Kolkata-700001

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"KEI Industries Limited

Q2 FY '25 Earnings Conference Call"

October 16, 2024

MANAGEMENT : M R. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – CHIEF FINANCIAL OFFICER –
KEI INDUSTRIES LIMITED

MODERATOR : M R. RAHUL DANI – MONARCH NETWORTH CAPITAL
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of KEI Industries hosted by Monarch Network Capital. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you, and over to you, sir.

Rahul Dani: Yes. Thank you, Joshua. Good afternoon, everyone. On behalf of Monarch Network Capital, we're delighted to host the senior management of KEI Industries. We have with us Mr. Anil Gupta, Chairman and Managing Director of the company; Mr. Rajeev Gupta, CFO of the company. We will start the call with opening remarks from the management and then move to Q&A. Thank you and over to you, sir.

Anil Gupta: Yes. So good afternoon, everyone. Thank you very much. I'm Anil Gupta, Chairman and Managing Director, KEI Industries Limited. I welcome all of you on this conference call. I'll give a brief summary of this quarter and first half.

Net sales in Q2 in financial year '24-'25 is INR2,279.64 crores against INR1,945 crores last year.

The growth in net sales is 17.21%, EBITDA is INR237.52 crores with a margin of 10.42% EBITDA/net sales margin as against 10.88% in the same period previous year. Profit after tax in this quarter is INR154.81 crores against INR140.2 crores last year. So, growth in the PAT is 10.42%. Profit after tax/net sales margin is 6.79% versus 7.21% in the previous year.

Domestic Institutional cable sale, wire and cables INR615 crores against INR511 crores with a growth of 20%. Domestic Institutional cable sale, extra-high voltage cable is INR73 crores against INR169 crores in the previous year. Capacity of extra-high voltage cable has been used for medium-voltage and high-voltage power cables. So, export sales in this quarter is INR241 crores against INR249 crores last year. The total Institutional cable sales contribution is 39% against 44% in the previous year same period.

Sales through dealer network dealer and distribution network is INR1,258 crores in second quarter against INR923 crores last year. Growth in this segment is 36%. B2C sale distribution network sale has contributed 55% in the second quarter as against 47% in the previous year same period. EPC sale other than cable is INR80 crores against INR113 crores last year. Out of total sales of EPC, EHV EPC sale is INR39 crores against INR44 crores in the same quarter last year. Stainless steel wire sale in Q2 is INR59 crores against INR58 crores last year.

Now I will give a summary of first half, that means April to September. Net sales in H1 in this financial year is INR4,340 crores against INR3,725 crores last year. The growth in net sales is 16.5%. EBITDA is INR469.93 crores against INR398 crores. Growth is 18% in EBITDA. EBITDA/net sales margin is 10.83% as against 10.69% in the same period previous year. Profit after tax in H1 financial year '24-'25 is INR305 crores against INR261.59 crores. Growth in PAT is 16.62%. PAT/net sales margin in 6 months is 7.03 % versus 7.02%.

Domestic Institutional cable sales growth is 19% in the first 6 months at INR1,189 crores. EHV sale is INR152 crores against INR218 crores last year. Capacity of extra-high voltage cable has been used for producing HT power cables. Export sales is INR474 crores. So, the total Institutional sales contribution in H1 is 39% against 44% in the same period previous year. Sales through dealer network is INR2,343 crores against INR1,765 crores. Growth is approximately 33%

, again through dealer network, that is B2C sales. The total acting working dealer of the company as on 30th September was approximately 2,038. B2C sale has contributed 54% in H1 as against 47% in the same period last year.

Volume increased in the Cable division on the basis of production for consumption of metals in H1 is against as compared to previous year same period is around 14%. Pending order as on 13th October '24 is INR3,847 crores, out of which EPC is INR603 crores; extra-high voltage cable, INR301 crores. We are L1 in orders of INR186 crores of Tata Power 220 kV cables, which is yet to be officially come. Domestic cable order is INR2,368 crores and export order pending are INR575 crores.

External rating. CARE has upgraded company's long-term rating as AA+. Long-term rating from India Rating and Research Private Limited and ICRA is AA. Short-term rating from India ratings ICRA and CARE is A1+. Book value. The book value for per equity share of the company is INR382.96 against INR348.87 on March 31, 2024. The total borrowings in this at the moment

is INR314 crores; channel finance, INR109 crores; cash and bank balances, INR245 crores as against total borrowings of INR134 crores as on 31st March, '24. Acceptance of creditors as on 30th September '24 is INR357 crores as against INR506 crores in March '24. So, the net debt is INR426 crores as on 30th September '24.

During H1 '24-'25, finance cost was INR27.49 crores against INR16.47 crores in the previous year same period. So the percentage of financial charges on net sales has increased in this period 2.63% from 0.44% in the last year. Interest income from bank deposits/others in H1 is INR13.32 crores, which is included in the other income. It was INR9.83 crores in the previous year same period. The future outlook of the company during H1 of FY '24-'25, company has incurred a capital expenditure payment of approximately INR312 crores, out of which Sanand, INR169 crores; Chinchpada in Silvassa, INR48 crores; Bhiwadi, INR25 crores; Pathredi, INR38 crores; and other plants and locations, INR32 crores.

Brownfield capex at Chinchpada and Pathredi to add further capacities of wire and power cable has been completed in H1 and fully commissioned. After the completion of brownfield capex, capacity utilized during H1 '24-'25, approximately 78% in the Cable division, 71% in the House Wire division and 93% in the Stainless Steel Wire division. This brownfield capex will enable us to grow by 16% to 17% in this financial year.

Apart from the brownfield capex in FY '24-'25, company has planned a total capex of INR900 crores to INR1,000 crores on greenfield expansion at Sanand for expansion for LT, HT and EHV cables in Gujarat, commercial production for which will commence by first quarter of FY '25-'26. We started the construction in FY '23-'24. Further, we will spend another INR600 crores in

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the next financial year to complete the project to maintain a CAGR of 15% to 16% per annum as against achieved CAGR of 14% to 15% during the last 15 years.

So this is a brief summary. Thank you very much. And now you can come with any questions you may have, and we'll be pleased to answer it. Thank you.

Moderator: Thank you very much sir. The first question is from the line of Mr. Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal: Hi, very good afternoon Anil ji and Rajeev ji. Thank you for the opportunity. Sir, first question was on the QIP fund raise. Based on whatever cash flow projections we understand of the business and based on your guidance for fiscal '25-'26, my sense was a INR400 crores to INR500 crores debt would have been suffice to incur all the capex given the interim accrual improvement for the business. And so could you explain sir, what is the rationale? And any change in the capex plan? Where do you

plan to invest this money?

Rajeev Gupta: Actually, after the brownfield capex where we had already invested INR250 crores plus and the additional expenditure on the Sanand project, where in the INR1,800 crores to INR1,900 crores will be required to complete the full project by next financial year. So, considering in mind, then while going for the term loan, if we take as a INR600 crores, which we have already sanctioned from the bank also, there will be another requirement for working capital loan also for the next financial year.

Because if we spent all our cash accruals only for capex, then we need the further amount for working capital as well. So that's why we thought that without the having further borrowing or additional borrowing, we should go ahead with this project if we raise some fund from the market. So that was discussed in the Board, actually.

Rahul Agarwal: Okay. Got it. So obviously, my sense is working capital is you have done a great job over years on the working capital side. So we're still trying to get it down further. My sense is this INR2,000 crores obviously also have a growth angle to it. Any sense, could you like to give some direction in terms of where most of this capital will get used for?

Rajeev Gupta: As you said, that we have for the current year, we have the plan for Sanand itself is close to Yes, Rahul ji.

Rahul Agarwal: Sir, you were asking the question for, where will the growth capex be used for? That is where the line got disconnected.

Rajeev Gupta: Yes. So this fund will be fully utilized for the Sanand project mainly so that we will be having sufficient internal accrual to fund the additional working capital requirement for the '26-'27 and '25-'26.

Rahul Agarwal: Okay. Fine, sir. Second question was on the quarter itself. It seems like the Institutional sales and exports both have been weaker, while all the growth was driven by dealer sales, which is the channel sales. Could you help understand this better what exactly happened? My sense is...

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Rajeev Gupta: You see earlier also we are explaining that. It does not matter to us whether export is increasing, retail is increasing, EHV is increasing. Matter to us is how we are utilizing the capacity. So if the retail is pushing more in this quarter, so we have sold there. So ultimately, we need to utilize the capacity. So accordingly, our sale has already improved 17%. A little bit impact on the EBITDA margin, mainly because of, as we were earlier explaining that, if the copper or aluminium prices get fluctuated, so in 1 particular quarter, it get increased or decreased, which will be adjusted in the another subsequent quarter.

So if you compare the last quarter, wherein the raw material consumption was lesser by close to 1%, the same get adjusted in the same this financial year. So once it is averaged out, if you compare the 6-month results, it is already averaged out. So there is no impact on 6 months or the full year balance sheet.

Rahul Agarwal: So what it means is the margin which is whatever it is...

Rajeev Gupta: For the full year, as Anil ji has already guided that our 17% growth will be there because we have the capacity to maintain that kind of growth. And EBITDA margin will also be there as we have earlier guided 10.5% to 11%.

Anil Gupta: We have already in H1, in 6 months, our EBITDA margin is at 10.88% if we look at the total EBITDA margin of April to September.

Rahul Agarwal: Got it, sir. And lastly, one clarification on the volume growth for cable and wires. My sense is last quarter, we did 18%. You said first half, we did 14%. The 2Q volume growth looks lower.

Any reason for that, please?

Anil Gupta: Because some of the materials could not be dispatched and in exports as well as the EHV. So the finished goods inventory has increased. So it led to a little lesser sale. That's

why it is showing

lesser metal consumption in the sale.

Rajeev Gupta: But Rahul ji, it will always be happening actually in quarter-to-quarter. As I said that on an average basis, we will be growing at a 17% CAGR. So quarter-to-quarter, maybe up or down.

But for a full year basis or half yearly or 9-month basis, on the basis of the accumulated sales, we will be growing at a 17% CAGR.

Rahul Agarwal: Perfect sir and the understand that, thank you so much for answering the questions.

Moderator: Thank you. The next question is from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

Nikunj Gala: Good afternoon sir. Thanks for giving opportunity. Sir just on the QIP front, when we announced this Greenfield capex and at that point of time the requirement was INR2,000 crores. Even at that point of time we were envisaging the incremental working capital requirement of the INR600 crores for the next 2 years. Considering the cash flow which we will be generating, still we will be having that kind of a surplus then what's the need to raise INR2,000 crores at this

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point of time because the same situation was there 1 year ago when we announced this Greenfield capex also?

Rajeev Gupta: At that time the Brownfield capex was not there to maintain the current year capacity addition and to maintain the sales growth of 17% in the current financial year. We need to go with the Brownfield capex where we had already invested more than INR250 crores last year and in the current first half. So that money has also gone. So that was not earlier planned. Earlier was the planning only for the Greenfield capex.

And now because of the expenditure going on and if earlier we were having the debt-free company. So now if we are going ahead with the same plan then the debt will be there for term loan at least for INR600 crores and additional working capital loan for next financial year and in financial year '26-'27 will also be there. So when the term loan and the working capital loan will be there then the cash accrual will not be available for the future capex which is beyond '26-'27.

Nikunj Gala: Okay. So out of this INR2,000 crores there will be additional capex requirement for which we are raising this INR2,000 crores like apart from the Sanand, is there a further plan?

Rajeev Gupta: Further every year we need to spend around INR500 crores to INR700 crores in future so that maintain the growth. Because if we need to maintain a growth of 17% plus we need to have the capacity in place well in advance because it takes almost 2 years before because we started this project last year and it will take two full years to execute or to reach at a level of sale.

Nikunj Gala: Okay sure. And just one clarification on the TV in interview which MD gave in the morning, is there the comment which was made that after a few months, we will again we'll be looking for a buyback of the shares? So that point was not clear?

Anil Gupta: No, actually the anchor was asking that will you be buying the shares or will you increase your

promoters holding by acquiring shares from the market. I said we will after a few months, we will look at it that was so the actual question was different. So we just said that we'll look at it. That's all.

Nikunj Gala: Okay because we are raising money and then again buying back the shares that doesn't reconcile?

Anil Gupta: No. There is no question of buying back the shares. They were saying that will you increase the promoter holding. That was the question.

Nikunj Gala: Okay. Thanks a lot for the clarification. All the best.

Moderator: Thank you. The next question is from the line of Nithin Arora from Axis Mutual Fund. Please go ahead.

Nithin Arora: Hi. Thank you sir for the opportunity. Just moving away from this QIP thing to the business side. Can you talk a

bout how's the demand, overall demand right now given that you have such high visibility, you're putting Greenfield also. And I think you also talked about that we want to

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increase even the Brownfield capex where that QIP comes into play. So has anything again materially changed?

I mean, whatever the growth the industry is seeing is pretty strong. That's what the sense you gave it last quarter in the con call as well, but has materially something changing where you're seeing some more levers coming in and that's the reason suddenly it's upsizing the capex? Just your take on that?

Rajeev Gupta: No. Capex we are doing which we have already planned for it. Only changing, instead of taking the debt now we will not be taking the debt, that is the only difference. So that whatever capacity will be in place by '26. So in '26-'27, when the full capacity will be available to sale, the working capital will be required. So if we have already taken the loan and we have adjusted our cash accrual to the capex then the working capital loan will also be there at that time. So we thought that instead of taking the loan and addition of the loan in future if we go with this kind of fundraising so then the debt will not be there in the books. So interest costs will also be not there in the books as it was not in the last year balance sheet.

So that was the main so when the cash accrual will be available, we can start investing in the new plant which will be available capacity for '27-'28 onward because this plant will be generating close to INR5,000 crores capacity which will be utilized only by '26-'27 or '27-'28 max. So the 17%, 18% growth rate is there and the market is available for that. Our order book position is evidence for that.

The domestic cable power book is already INR2,368 crores and export order is INR575 crores and the retail is increasing. So if the retail is also increasing and the domestic demand, institutional side is also order book is strong. Only we are lacking behind with the capacity actually.

Nithin Arora: So that's what my question was that can you elaborate a little bit more quantitatively, let's say, the end market? Obviously you said 17% is something we are looking on a growth side, but sector-wise because there is a thought process that after the election, the things have really slowed down, whether it's the railways, whether it's the other retail markets. So just we wanted your take how you are looking at different pockets of the market number one which you always talk about. So if you can talk in a little detail, segment, sector-wise if you are seeing any slowdown on how you're seeing the market?

And second, I think what is your guardrail in terms of net debt-to-equity where you are more comfortable as a promoter because the point is not that you are raising fund is an issue. The point is the surprise element because we were thinking that you will not eventually the cash flow will be there and not requirements. So if you can throw some light what is as a promoter, as a company we are comfortable with that?

So as an analyst we can assume that if you do beyond that much capex, eventually that has to come from the promoter doing QIP and all. So just your take on the net debt-to-equity side, your guardrail?

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Rajeev Gupta: Yes. Before answering by Anil ji for the market demand, I will clarify that we want to run a debt-free company. As we have earlier spoken for that also. So the same guidance for future also because we want to run the debt-free company, that's why this fundraising option came into the picture. Now for the demand side Anil ji will update.

Anil Gupta: See from demand side, the solar renewable energy is having substantial demand, solar and wind

both. Secondly now the transmission sector

also has a substantial demand coming up with the I think Government of India had announced almost INR9 lakh crores worth of transmission evacuation plan for the next 6 years. So those projects are coming up.

Then other sectors like a lot of thermal power projects and this pump storage projects are there for which the cable demand is there. A lot of tunnels highways tunnelling and railways tunnelling projects are there. Data centres are very strong. So demand scenario is strong and that is the reason that every company is showing good growth in the sales.

Nithin Arora: Got it. It's clear. Thank you very much. I will come back in the queue. Thanks a lot.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Good afternoon sir, thank you for the opportunity, Sir, two questions. One is any particular reason for the EHV weakness? Is it entirely for the exports? Or how do we look at this particular sub-segment in terms of FY25 and then FY27 onwards, given the new capacity?

Anil Gupta: See, sometimes this is a segment which is normally only the government utilities in the transmission sector, they buy. So a little bit of variation in the demand, in the tender process, in the clearances at site for the execution are always there. Order book is there. But projects are not executable because of the ROW issues and non-clearances. Overall, in the full year period, it will improve. But sometimes, even 2 years back also, we saw a similar situation. And this year also, we are seeing similar situations. But overall period, it will improve.

Achal Lohade: Got it. And just with respect to your comments on various sectors, renewable, wind, transmission, etc. Is it possible to get a sense in terms of our mix, KEI's mix in terms of these sectors? Possible to have that kind of a split at this point in time?

Anil Gupta: No, at this moment, it is not possible. But we can work it out tentatively. But it's very difficult to extract this so much of data because we are selling to dealers, EPC contractors. And sometimes we are not record it in our system, that for which sector this cable is going.

Achal Lohade: Understood. And just one more question. In terms of margins, do they vary basis whether the sale is B2G, B2B or distributor through?

Anil Gupta: See, margins are sometimes 1% here and there. I think margins are similar in nature.

Achal Lohade: Even for export?

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Rajeev Gupta: For the full year margin, you will see the similar kind of things, which were there last year. You will not see any surprises on that, actually.

Anil Gupta: Our margins are as per guidance in the full six months of the April to September, first half.

Achal Lohade: No, I was not asking for that, sir. I was just trying to understand in terms of whether the margins vary, whether it is domestic or export or within domestic, whether it is B2G, B2B or distributor sale?

Rajeev Gupta: A little bit, 0.5% margin is here and there in export and dealer distributor versus the domestic institution.

Achal Lohade: Got it. And just one last question, if I may. With respect to working capital, how do you see that evolving over the next couple of quarters? Would this normalize immediately or it will take a couple of quarters to normalize?

Rajeev Gupta: Earlier, we had guided that our receivables will go down. So last year, our receivable was 2.25 months. Before that, it was 2.4 months. So, in this financial year, it will come down to 2.1 months. Inventory will be close to 2.25 months. In this first half, the inventory is a little bit higher, mainly because of the capacity increase. So, the holding will also be increased for that period actually. But by the third quarter, it will again be for 2.25 months, which right now is 2.4 months.

Moderator: The next question is from the line

of Manoj Gori from Equirus Capital. Please go ahead

Manoj Gori: Thanks for the opportunity. Sir, a couple of questions. In the opening remarks, Anil ji highlighted like we used EHV capacity for HT. Can we throw some light because if you look at EHV margins would be relatively better versus HT.? So, what made us take this decision to actually make more HT than EHV? Was it lower demand for EHV or anything in specific?

Anil Gupta: I have already mentioned that it is the inconsistency in execution of the orders because of the ROW issues and non-clearances from the utilities for executing the contract. That is why the EHV sale has been impacted. It will normalize. It is a pattern of this kind of work because of the heavy rains, road cutting permissions were not there anywhere in the country. So how do you execute a project? We can't manufacture and dump the cable at site. So, these are the issues. On a full year basis, it will normalize. So, when you are not manufacturing in EHV cable on a CCV line, we have to utilize that capacity to produce similar identical products, for which it is capable

of. These capacities are always alternate. They can be used for any type of cable.

Rajeev Gupta: Manoj ji, last year, in the second quarter, we sold high-tension power cable at INR271 crores. In the current quarter, it went to INR431 crores mainly because we utilized that capacity of EHV. With regards to the differential margin, there is 4 % to 5% margin differential. But on a INR70 crores, INR80 crores additional or INR100 crores additional sales for HT, it may be INR3 crores, INR4 crores margin, that's it. But it will not be more.

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Manoj Gori: Correct, sir. Sir, my second question would be on the fundraising part. Sorry to follow up on that. If we look at the working capital requirement, probably, as you rightly highlighted, it would be close to around INR600 crores. Even if we adjust that, we should be doing cash flow from operations of close to around INR1,200 crores to INR1,300 crores during FY25 and FY26. And we are planning to raise somewhere around INR2,000 crores. Any other plans other than the greenfield and brownfield capacity additions that we are looking at currently?

Rajeev Gupta: See, next year, our cash outflow for the Sanand project itself is INR600 crores. And our cash profit is practically close to INR700 crores to INR 750 crores. So, there is no room for additional working capital requirements. So that's why once we have assessed now because now our project is almost in the halfway for completion, and within 7 to 8 months, we will start selling from there, so then we would require additional working capital also.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, just one question. Historically, you've said that you want to, over time, reduce the EPC business. And it's been very volatile. So, could you give us a sense of how should we be looking at our EPC business going forward? Because the revenue fluctuation happens to be pretty wide in that particular segment.

Rajeev Gupta: In EPC, we are already reducing the sale quarter. And in the current year, our EPC will not be more than 5%, 6% sales.

Anil Gupta: We have already substantially cut down the EPC business.

Pulkit Patni: No, sir, I understood that. But because there's a lot of quarterly volatility, so just wanted to understand that like...

Anil Gupta: Basically, the quarterly volatility is there because of the site situation heavy rains were there, and there was no ROW permissions anywhere, wherever the projects are going on. So and these are all projects are executed in the open areas because our distribution strengthening projects. So that is why the sale has also gone down. And we are not taking we have to take one order in a year to maintain a section

on of staff.

Otherwise, the old outstanding's also, we had to maintain the projects which we have done in the past as a warranty and also recover the payments from the old projects. So we have to maintain a certain amount of staff. To keep them engaged, we just take one order in a year.

Rajeev Gupta: Normally close to INR250 crores to INR300 crores will be the sale for a year from the EPC division. And slowly, slowly, it will get away once you see, our collection has already reduced. Earlier it was INR340 crores debt. So now it has already reduced less than INR250 crores of debtor level from EPC. So slowly, slowly, the business is going down and the debtor level is also going down.

Pulkit Patni: Okay, this is useful thank you sir.

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Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Co.Limited. Please go ahead.

Keyur Pandya: Two questions. First, on the capacity side. So, this probably INR1,000 crores potential revenue capacity in Diwali would help us grow in, say, FY '25. So what will drive do we have enough capacity to grow in FY '26? That is first question. And second question from the balance sheet perspective, you mentioned that you would want to keep your balance sheet debt-free. If I just take ballpark 15%, 16% kind of growth, say, for the next two, three years.

Annually INR1,500 crores to INR1,700 crores kind of incremental sales would be required. And that will require incremental capex plus working capital of around INR800 crores, INR900 crores, considering capex plus working capital. So now is it fair that if the annual requirement of capital is INR800 crores, INR900 crores, till that time, you won't raise further funds going ahead also?

Basically, when your OCF or operating cash flow meets your capex plus working capital requirement, there won't be any fund raise?

Rajeev Gupta: No. This fundraise, we have already explained that considering in mind to be a debt-free company. So out of the total fundraise, we will spend major amount only on the Sanand project. With respect to the growth of 17% plus growth, we have the capacity for current year as well as we have the capacity for the next financial year. By that time, the next financial year, the Sanand project will be fully operational.

So part growth will be coming from the Sanand, and part growth will be coming from the balance capacity for the current financial year.

Keyur Pandya: Just clarification. So next year's growth, part of it depends on the, say, commissioning of the Sanand plant, correct? And that commission...

Rajeev Gupta: Sir, irrespective of anything, we will be growing a t 17% plus because that kind of capacity we have already created in our existing divisions. For the Sanand project, for your consumption, we have taken only additional growth of INR900 crores that's it from the whole project for the next financial year. So that will be coming from the existing capacity, which we have already implemented.

So that's why we are quite confident that we will be growing 17% plus for next financial year also.

Moderator: The next question is from the line of Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale: thank you Sir, just one clarification I had. So you talked about like project capex for FY '25 and '26 in Sanand. Can you just help us understand what is the total capex, right? At a company level, what is the total capex that you're planning for this year and next year, including maintenance capex that you kind of...

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Rajeev Gupta: This year will be total capex will be close to INR 1,100 crores plus. And next year, the total capex will be INR600 crores to INR700 crores, including the maintenance capex.

Nikhil Kale: And just for my understanding, steady state, I

mean, what how should we look at maintenance capex? Is it like as a percentage of sales, typically, how much...?

Rajeev Gupta: So it is maintenance capex is close to INR50 crores in our existing locations...

Moderator: The next question is from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: thanks for the opportunity, Congratulations for a very strong results again. Just wanted to clarify on the Sanand plant, we are spending INR900 crores, and that will only be for the cables manufacturing. No wires would be manufactured, right? And secondly, within cables, what proportion would be EHV, LT and HT? Could you give us some colour on that, sir?

Anil Gupta: See, EHV and HT have similar plant and machinery and they are always replaceable in terms of capacities. So we have not for any segment, of the reason, we have never kept any of our capacity idle. So secondly, LT cable I think later on, we can give you the you can explain.

Rajeev Gupta: Yes. For the Sanand, that total capacity will be close to INR5,000 crores. Out of that, close to INR1,200 crores to INR1,300 crores belonging to the extra-high voltage, close to INR1,500 crores belonging to the high-tension power cable and balance will be for low-tension power cable.

Harshit Kapadia: And HT and EHV is fungible. So that will be INR2,700 crores if, let's say, if you want to do completely HT or complete EHV on demand?

Rajeev Gupta: No, no. It's only one way around. From HT, we cannot make EHV. But from EHV, we can make HT. So basically, EHV we will be limiting to INR1,200 crores to INR1,300 crores, but HT maybe INR1,500 crores to INR3,000 crores.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC. Sir, the participant has left the queue. I'll just reconnect. Yes. May I request Rohit from Nvest Analytics Advisory LLP to go ahead.

Rohit: Sir, our year-on-year margin has been impacted. Could you please provide a specific reason for this? Are we seeing increases...?

Rajeev Gupta: The specific reason is because of the volatility of the metal prices, raw material consumption increased by 0.5% to 1%, which was less in the last quarter. So because of that, if it is averaged out, then it is common. So for 6 months, there is no impact. From quarter-to-quarter, it is impacted.

Moderator: The next question is from the line of Arshia Khosla from BOB Capital Markets.

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Arshia Khosla: Sir, I just wanted to understand on the export side. So in the previous quarter, our export declined because of some logistical issue at the customer end. So any if you could just highlight

something for this quarter, have they been resolved or...?

Rajeev Gupta: Export earlier, we have guided to maintain for 12% to 13% for the full year level. Already we are having 11% export contribution in the first half. So we will be maintaining 12% to 13% depending on the order we are having. And it does not impact our overall sales whether export is higher or retail is higher or the domestic institution is higher as long as we are growing overall 17% plus, so we are utilizing our capacity.

Arshia Khosla: Okay. And sir, I just wanted the order book bifurcation.

Rajeev Gupta: Pardon, you want the pending order?

Arshia Khosla: Yes, the order book bifurcation, the pending order book.

Rajeev Gupta: Yes. So pending order is EPC division order book is INR603 crores. Extra-high voltage power cable order book is INR300 crores, and cable from domestic institution order book is INR2,368 crores, and export cable order is INR575 crores. So, put together, INR3,847 crores. And out of and apart from this, we are having L1 INR186 crores order for extra-high voltage power cable. So order book is very strong.

Arshia Khosla: Yes. Can you please the L1 number?

Moderator: I'm sorry to interrupt. Ma'am, can you please re-join in the queue? The next question

is from the

line of Nikhil Kale from Invesco.

Nikhil Kale: Just one follow-up. So since you're looking at like the next phase of growth when you're looking at the QIP fundraise beyond like FY'27 and FY'28, I just wanted to understand that this next phase that you're kind of envisaging, would it be more like a greenfield or would it be more of a greenfield or is it brownfield wherein you have San and space in Sanand and it will be kind of expansion there?

Rajeev Gupta: It will be both actually because once this plant will be operational, then automatically there is a lot of scope to improve the capacity over there by balancing of equipment. That is our past experience. So we will do that. And apart from this, we will go ahead with the future capex for the greenfield also. We have already bought land in Baroda, which we are in the process to acquiring. And within 6 to 8 months' time, we will be having a sufficient land for the further growth.

Moderator: The next question is from the line of Nithin Arora from Axis Mutual Fund.

Nithin Arora: Sorry, sir, just one follow-up. As you stated that we always want to be now a debt-free company, the cycle of capex will continue. So, I just wanted to know your thoughts that if your capex, given the first round will happen now, the brownfield and the greenfield, both. And eventually we keep spending INR400 crores to INR500 crores until we decide after 3, 4 years another greenfield. So now when you've done your math, how one should look this debt-free argument?

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Because when you put your new capex, let's say, greenfield comes after 2 years where you decide to put another one. Now we are confident that this will remain as a debt-free? Or that time also eventually, the working capital will always remain, right? That is the nature of the business. And that time also, you will say that, okay, suddenly, we didn't envisage the working capital that time, but now the working capital also needs to be done. So, this argument which you're giving of, debt-free, what we wanted to know, this is something even a new greenfield announced after 2 years or 3 years that we are sticking to.

Rajeev Gupta: We have calculated the projections for next 5 to 7 years. Accordingly, we have taken this decision. So we will not require for any further amount either from the debt or from the fundraising for the future growth of 17% plus.

Moderator: The next question is from the line of Sandeep Jain from Baroda BNP Paribas MF.

Sandeep Jain: Yes. Partly has been answered in the previous question of Nithin. Just one clarification. In terms of if I look at the debt raising part, right, FY'24, we have done somewhere around INR800 crores of free cash flow. So just wanted to understand the thought process that even at a 17% growth and even if we don't take any equity raise now, whatever the debt we required in FY'25 or FY'26 that can be paid off by FY'27, right, because of the cash flow generation ability?

Rajeev Gupta: No, then the growth will be sacrificed. If we take the debt and we use the cash accrual for the debt repayment, then from '27-'28 onwards, from where we will invest?

Sandeep Jain: No, we can raise at that point of time. That is the only point which I'm trying to understand.

Rajeev Gupta: So if we would like to defer that, so that we can defer, then that will be along with the risk attached for the interest and repayment also, because if INR600 crores for term loan and the INR600 crores for working capital, so the interest cost will be there, the repayment of term loan will be there. So it will impact the future investment.

Sandeep Jain: So currently, we have a net debt of INR69 crores, INR70-odd crores kind of thing if I remove the acceptance, right?

Rajeev Gupta: Yes. You see, acceptance is basically the interest-bearing because from Hindalco, Vedanta or

anywhere else, it

has to be through the letter of credit. Letter of credit is bearing the interest. So then the interest cost will be there.

Sandeep Jain: Okay. No, that I understood.

Rajeev Gupta: If we are buying through the cash, so then also there will not be any interest cost.

Sandeep Jain: No, that I understood. That will always be there whether you raise the fund or don't raise the fund, the acceptance will bear the interest. That will be the pack and parcel of the business, right? You cannot just substitute that.

Rajeev Gupta: Acceptance in the last 2 years in last 2 to 3 years 3, 4 years before, acceptances were INR900 crores. It has reduced substantially. Only in the current year, it has again increased a little bit.

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But otherwise, acceptances were very less to only INR200 crores only for import. For the domestic purchase, we were using the cash because we were having the cash in our books.

Sandeep Jain: So as a management, when you take a debt, you include the acceptance also that acceptance also be 0?

Rajeev Gupta: Yes. So the INR426 crores debt, that is the net debt, including acceptances. In my presentation, also, we have shown those numbers.

Sandeep Jain: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Co. Limited. Please go ahead.

Keyur Pandya: Thanks for the opportunity again. Sorry to harping again on the fundraise. Just the question is being asked because the promoter holding is already below 40%. So, the thought is that the working capital requirement that you mentioned for the incremental INR5,000 crores of sales, however, that will be gradual. So every year probably incremental INR250 crores to INR300 crores kind of working capital requirement would be there based on the 15%, 17% growth number.

I mean, that is not onetime requirement will come gradually, whereas the fundraise would be onetime front loaded and that could impact the basically ROCE and balance sheet. So just wanted to understand, just like previous participants suggested, can we do it at the time when it is actually required? That is first. And second, just on the export side, are we seeing any structural challenge since export is low for you as well as for other players for the last few months? So just more color on the export.

Anil Gupta: No. I think there is no structural problem in the exports. So yes, it is taking time to pick up. But I don't see any problem going forward in the growth of exports.

Rajeev Gupta: Sir, with respect to fundraise, we have already explained the situation why we want to raise the fund so that we will be having the capex funded through this fundraise. And whatever cash accrual will be there, will be available for the working capital for next financial year.

Keyur Pandya: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Amber Singhania from Nippon India AMC. Please go ahead.

Amber Singhania: Yes. Just 1 clarification I'm looking for. You mentioned roughly around INR2,000 crores kind of capex in Sanand plant, which will give you INR5,000 crores kind of revenues. That works out to be around 2.5x asset turn. Just wanted to understand isn't it too low compared to what we are already enjoying or what we are already delivering as well as what we are seeing in other industry players are achieving? Isn't it too low on that?

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Rajeev Gupta: It is mainly because of the extra-high voltage measure capacity we are going to add over there, wherein heavy structure or building, heavy machines and heavy testing equipment and heavy cranes are there. So only in extra-high voltage power cable, the asset turn is less than 1:2. But otherwise, normally it is practically 1:3.5 nowadays.

Anil Gupta: Because nowadays, the cost of crea

ting assets as compared to what we have previously created

has substantially changed over the last whatever the factories we've built up 5 years back, now the construction cost has doubled. Plant and machinery has almost gone up, almost doubled. So but after once the factory is built, there are always scope to improve the production and productivity by adding some balancing machines. But that happens only once the production starts.

Amber Singhania: Okay. Because you're mentioning that even after that INR500 crores to INR700 crores kind of run rate will continue. What I understand is current capacity is sufficient for '25 and '26. The Sanand capacity will suffice your '27, '28. Despite that, we will be doing another INR500 crores each year on '27 and '28 for the Q3. So just wanted to understand, is the asking rate going forward, apart from Sanand factory as well is...

Rajeev Gupta: Apart from Sanand factory, whatever we will stand, we will spend for the new facility, which will take another 2 years to implement. Because we need to spend 2 years before, then only we will have the capacity in place after 2 years. So whatever we will spend in '26, '27 and '27, '28, the capacity will be available in '28, '29. So that's why we always prepare a plan for the next 5 financial years. That's how we are doing a 17% kind of growth for the each 5 years.

Amber Singhania: And sir, I know it is slightly premature, but can you also highlight the new capacity which we are planning after Sanand plant? That would be in the line of EHV side only or it will be...

Rajeev Gupta: No. It will be for low voltage and medium voltage. It will not be EHV. So there, the cost of the project will not be that high debt that is there in Sanand.

Amber Singhania: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Raman Kv from Sequent Investments. Please go ahead. Thank you. The next question is from the line of Sukant Garg from Equible Research Private Limited. Please go ahead.

Sukant Garg: So most of my questions have been already answered. I just wanted to know one thing that which are the major sectors that we are currently serving? And if not the customers, exactly which sector is going to be the major focus in the next quarter or the coming quarters?

Anil Gupta: See the focus sector will be energy sectors. Especially solar, wind or other power generation sectors, transmission and distribution sector in the power and data centre. But this is just tentative. Our focus remains on every sector wherever the demand is there, wherever because we have channel partners. We have sales team everywhere. So whatever opportunities are there, all opportunities are tapped. It is not a question of that we just focus on because we are

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manufacturing cables for all sectors. But our focus the major demand drivers will be solar, wind or energy sector, basically.

Moderator: Thank you. Ladies and gentlemen, this will be the last question. That will be from the line of Vaibhav Jain.

Vaibhav Jain: Sir, just new to analysing your company and the business. So I just wanted some clarification on channel finance and acceptances. What kind of debt is this? What kind of cost of debt and what...

Rajeev Gupta: In the channel finance, the cost is borne by the dealer itself, and we are giving them the cash discounts. In the case of acceptances, the interest rate is close to 7% to 8% per annum.

Vaibhav Jain: Okay, sir. Most of my other questions have been answered.

Moderator: Thank you. As that was the last question. I'll now hand over the conference over to the management for closing comments.

Anil Gupta: So thank you very much for having interaction with us on this conference call. If you still have any further questions, you can reach out to us. Thank you very much, and look forward to your working together. Thank

you.

Rajeev Gupta: Thank you very much.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

KEI Industries Limited

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KEI/BSE/2025-26 Date: 14.05.2025

The Manager,
Listing Operation,
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400 001

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and year ended on March 31, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Wednesday, 7th May, 2025 to discuss the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended on March 31, 2025 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2025/05/nuvama-keiindustries-may07-2025.pdf>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

VP (Corporate Finance) & Company Secretary

CC:

The National Stock Exchange of India Ltd.
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G Block, Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051 The Calcutta Stock Exchange Ltd.
The Senior Manager, Listing Division,
7, Lyons Range, Kolkata-700001

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"KEI Industries Limited Q4 FY-25 Earnings
Conference Call"

May 07, 2025

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR , KEI INDUSTRIES LIMITED .
MR. RAJEEV GUPTA – EXECUTIVE DIRECTOR ,
FINANCE AND CHIEF FINANCIAL OFFICER , KEI

INDUSTRIES LIMITED
MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

KEI Industries Limited
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Moderator: Ladies and gentlemen, good day and welcome to the KEI Industries Limited Q4 and FY'25 Earnings Conference Call, hosted by Nuvama Institutional Equities.

As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities. Thank you and over to you, sir.

Achal Lohade: Yes, thank you Manav. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we are glad to host the Senior Management of KEI Industries.

We have with us Mr. Anil Gupta – Chairman and Managing Director of the Company, Mr. Rajeev Gupta – Executive Director (Finance) & Chief Financial Officer.

We will start the call with Opening Remarks from the Management and then move to Q&A.

Thank you and over to you, Anilji and Rajeevji.

Anil Gupta: Good afternoon dear colleagues. Thank you very much for joining, I am Anil Gupta – Chairman and Managing Director, KEI Industries Limited along with me, Mr. Rajeev Gupta is also there, Executive Director and Chief Financial Officer. So, I will give a brief about the Q4 summary of the company's results, and briefly about the annual results.

So, you must have gone through the results by now the net sales in Q4 achieved is Rs. 2,914.8 crore. We have achieved a growth in net sales by 25.1%. EBITDA is in-line grown by 30.3% during this period in Q4 and EBITDA / net sales margin is 11.61% as against 11.15% in the same period previous year. Profit after tax in this quarter is Rs.226 crores against Rs.168.8 crore. The growth in the PAT is 34.2%. Profit after tax / net sales margin is 7.77%.

Domestic institutional cable sales, can be shift to annual results straightaway. Domestic institutional cable sale, wire and cable is Rs.760 crore against Rs.676 crore last year. And domestic export sale in this quarter is Rs.492 crore. Cable and wire Rs.429 crore, extra high voltage Rs.24 crore, EPC Rs.16 crore, stainless steel wire Rs.23 crore. This is against Rs.257 crore in the previous year same period. The growth in the export is around 92%. I would like to mention that we have focused on export and earmarked a substantial capacity on exporting. Hence, the growth in the domestic sale is around 18%, but overall we have grown by 25%. Total cable institutional sales that means B 2B is 46% as against 44% in the previous year same period. Sales through distribution network, that means B 2C was Rs.1498 crore in 4th Quarter, against same period Rs.1056 crore. Growth in the B 2C sale is 42%. B2C sale through distribution network contributed 51% in 4th Quarter, as against 45% in the previous year same period.

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period. Overall, the Wire and Cable segment has grown in this quarter approximately 35% over previous year same quarter and profitability has also improved in the Wire and Cable segment during this quarter. EPC sale, other than cable is Rs.72 crore, as against previous year same period Rs.192 crore, due to decline in EPC sale by 63% and EHV cable sale declined by 48% during the quarter. The Company operating margin also got affected by approximately 0.5% which will improve in the current financial year because of the healthy order book of extra high voltage cables as on today. Out of total sales of EPC, EHV, EPC sale is Rs.32 crore, as against Rs.50 crore in the same quarter previous year.

Now, I will give a brief summary of the annual results of Financial Year '24-25. Net sales in the Financial Year '24-25 is Rs.9736 crore against Rs.8120 crore. Gro

wth in net sales is 19.9%.

EBITDA is Rs.1062 crore, and the growth in EBITDA is 19.9%. EBITDA / net sales margin is 10.92% for the full year, same as the previous year. Profit after tax in FY' 24-'25 is Rs.696 crore. So the growth in the PAT is 19.85%, profit / net sales margin is 7.15% similar to last year.

Export sale in FY' 24-'25 is, total is Rs.1267 crore. In this wire and cable is Rs.983 crore, extra high voltage cable Rs.72 crore, EPC Rs.105 crore, stainless steel wire Rs. 104 crore and trading sale Rs.3 crore, against previous year same period it was Rs.1097 crore. The growth in export sale on full year is 15% but growth in the cable export is 40% because of the decline in EPC sale of we had, we are executing a contract for Gambia for the EPC turnkey project. Last year, there was a substantial sale in that project. Hence, the EPC sales was high, but the growth in the cable

export is 40% in the whole year.

The total active working dealers of the company as on 31st March '25 are approximately 2082 . Sales through the distribution network for the whole year is around 52% against 46% in the previous year. The EPC sale other than cable is Rs.343 crore against Rs.562 crore in the previous year. Out of the total sales of EPC , EHV extra high voltage EPC sale is Rs.137 crore against Rs.155 crore in the previous year. The sale of stainless -steel wire in 24 -25 is Rs.212 crore against previous year Rs.218 crore . Volume increase in the cable division based on the production and for the consumption of metal in FY' 24-'25 as compared to previous year same period is approximately 20% and in Q4 volume increase by is 21% .

Total pending order including EPC as on 30 th April '25 is approximately Rs.3839 crore, out of which EPC orders are Rs.423 crore , extra high voltage cable pending orders are Rs.603 crore , domestic cable orders Rs.2112 crore , Cable export orders Rs.701 crore. So the total cable and wire segment is Rs.3416 crore and the total order book including EPC is Rs.3839 crore. CARE has upgraded companies long term ratings as AA+, long term ratings from India Ratings and Research Private Limited and ICRA is the AA, a short -term rating from India ratings ICRA and CARE is A1+.

The book value per equity share of the company is Rs. 605 as on 31st March '25 , as against Rs.348 as on March 31 st, 2024, increased due to QIP issue . The Company has booked an expenditure of Rs.12.91 crore in FY '24-'25 towards CSR activities. Total borrowing is Rs.178, KEI Industries Limited

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channel finance out of channel finance is Rs.127 crore. A cceptance creditors as on 31st March '25 is Rs.246 crore, as against Rs. 506 crore on 31st March, 24 . Net cash available is Rs.1491 crore , this includes Rs.1385 crore of QIP as on 31st March '25 .

QIP funds status, the company has raised Rs.2000 crores through QIP on 20th November 24 to fund our new proj ect at Sanand , repayment of outstanding debt and for general corporate purposes . Rs.1450 crore for CAPEX , Rs.240 crore for general corporate purposes , Rs.276 crore for repayment of term loan and WCDL and Rs.34 crores QIP expenses . Company has utilized QIP fund of Rs.621 crore up to 31st March 2025 .

Now the future outlook. During 24 -25 the company has incurred a total capital expenditure payment of Rs.618 crore, out of which Sanand Rs.384 crore , Chinchpada in Silvassa Rs.68 crore , Bhiwadi Rs. 32 crore , Pathredi expansion Rs.58 crore, and Salarpur land Rs.23 crore , other plants and locations Rs.53 crore . Brownfield CAPEX at Chinchpada and Pathredi has added further capacity for wire and power cables, and these expansions has been completed in FY '24-'25. After the completion of these Brownfield CAPEX capacity utilized during 24 -25 approximately 85% in cable divi sion, 71% in house wire division, and 89% in stainless steel wire division, and 38% in communication cables .

During

the current Financial Year '2 5-26 unutilized QIP fund o f Rs.1300 crore will be invested to complete the Sanand project. Commercial production of first phase of low tension and HT cables will commence by end of Q1 FY '25-26 and the total project will be completed by end of FY'25-26. The C ompany is hopeful to achieve 17 % to 18% growth and improve our operating margins during the FY '25-26 considering phase one commercial production in Sanand and strong order book position of Domestic Institutional for cable sale, export orders for cable sale s and extra high voltage cables, and the total order book of cable at Rs.3416 crore. After completing the Sanand project and with the continued strong demand in domestic and overseas markets, we are hopeful to grow by 19 % to 20% in next two to three years.

Now , I will explain you what are the demand drivers in the domestic markets and export markets .

The major demand drivers are power generation in renewables through solar and wind energy. And also we are seeing a substantial new investment coming in coal b ased thermal power projects and related infrastructure in transmission and power distribution by transmission and distribution companies of central government and state government . User industry of energy like data centers, new manufacturing projects and i nfrastructure projects like railways and metro rails and highways. Apart from that, electric vehicle infrastructure and kit for electrical vehicles is also in our product range, which we are catering to EV infrastructure . We assure that we will continue to grow with the projected percentages what we have stated and we will try to improve upon it during the current financial year and subsequently . This will be our endeavor to keep the growth momentum in the company on a continuous basis. Thank you very much and I would like to invite you to have any further questions you may have we will be glad to answer . Thank you.

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Moderator: Thank you very much, sir. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch tone telephone if you wish to do yourself from the question queue press * and 2. Participants are required to use handset only while asking question. Ladies and Gentlemen we will wait for the moment while question queue assembles I repeat you may press * and 1 to ask the question. We have our first question from the line of Pravin Sahay from Prabhudas Lilladher Capital. Please go ahead.

Pravin Sahay: Hi Sir, Congratulation sir for good set of numbers . My first question is related to the volume growth and this is clarification. So in the Q4 you had said 21% of a volume growth in the Wire and Cable segment you had reported that is including domestic and international . Is it correct?

Anil Gupta: Yes.

Rajeev Gupta: It is based on production .

Pravin Sahay: Okay. And how is the domestic market has done in terms of volume ?

Rajeev Gupta : Pravin , we are gauging the volume growth only on the basis of production . And you see, we have limited capacity , we have capacity constraints. So whatever we are producing, either we are selling through export or selling through the dealer, distributor market or directly selling to the institution. So it does not matter to us , in some quarter we may sell more in domestic, in some quarter we may sell to the export market more, or in some quarter we may sell more to the dealer distributor. So ultimately, it does not matter to us in which market the product is going, but the overall growth rate needs to maintain according to the production capacity we are having .

Pravin Sahay: Right, sir. Or if you can give some more color on your export number, because that has grown quite very strongly, is that a one of element attached to that, and is that also, if you can add is that the benefit of a US tari

ff, you received certain things?

Rajeev Gupta : No, first of all as I said that it is some time we get the order from the export market, so we need to book the capacity accordingly. So from where we are getting the order first, we need to book the capacity accordingly.

Anil Gupta : These are not one-off exports. These are consistent exports from our consistent customers. This export in Q4 is not consisting of any single large order we have received , it is consisting of several orders of different directories, and these are our consistent customers .

Pravin Sahay: Right sir, got it. The second question sir related to the EHV , that's a Rs.400 odd crore of revenue we had done. And the way forward. I believe the guidance is of a Rs. 600 odd crore. So how you are going to see this EHV business the way forward because your capacity at Sanand is also coming up, so in the next two to three years if you can give some guidance related to the EHV would be helpful.

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Anil Gupta: EHV capacity in finance will be operational by in the FY' 26-27 because that EHV segment of the project, which is phase two will be completed by March '26 , so that means that capacity will be there for production only in '26-27. And our focus will be mainly on the domestic market as well as exports both. We have a substantial export market of EHV cables which we have developed, but there are some technical constraints due to which we can't sell too much in the export market because of the high freight and heavy loads which has to be carried from the North India to ports. So there are some technical issues in drum length which we need to be produce in the very long lengths which we will be able to produce in Sanand . So there are some technical issues, due to which we are not able to grow the export market substantially for our existing Chopanki factory. But the moment Sanand comes, the export will see a substantial jump in the extra high voltage segment also, and as well as the other segments where we are lacking the capacity.

Pravin Sahay: Okay. And just to related to that, even the export has gone up more. And this quarter, we had seen that the LME prices were also up, but that's not reflecting in the margin front, actually. So , if I look at your margin , inter gross margin has been Y-o-Y it's quite a 1% down. So what factor lead to that?

Anil Gupta: LME prices will not settle in the margins and LME prices, if they are high, they can increase the sale value, but margins are quickly adjusted with respect to the raw material cost. You can speak something about it .

Rajeev Gupta: Pranay, what is your exact query?

Pravin Sahay: So sir, what I believe is, if there is an improvement uptrend in the LME prices, there would be a some gain also you absorb. And the second is the export business if that is increasing, that is a high margin business so why not our gross margin reflected these two factors in this quarter ?

Rajeev Gupta: So, first of all in the past also we have guided that all the raw material is passed through, whether it's a going up or it's going down, neither will we be gaining anything, neither we will be losing anything. Second is in the case of export, as I said in the case of only 0.5% margin is improved in the case of export or bigger distributor margin, otherwise more or less, prices are similar.

That's why we are not only focused for any particular each segment as we are operating in an

environment where we are catering to all type of customers from, where we are getting the orders we are utilizing the capacity accordingly. That's why we are saying that we will be growing in future, also 17 % to 18% but it does not matter to us. We will grow in export, we will grow in dealer distributor, or we will grow in the institutional segment. Ultimately, the object is to utilize the capacity and the little bit m

argin which got affected mainly because of the lower sale of each EHV division. So since now, the current year, the EHV sale will be to the fullest capacity. So the 0.5% EBITDA margin will get improved , the operating margin will get improved .
Pravin Sahay: Thank you, sir. If you can give the CAPEX number for '26-27, would be helpful.
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Rajeev Gupta: Around Rs.1300 crore because whatever unutilize d QIP money is there that will be invested to complete this Sanand project in the current financial year. And apart from this, another Rs.100 crore is for mai ntenance CAPEX and for the new land.

Pravin Sahay : Thankyou sir and all the best.

Moderator: Thank you. We have our next question from line of Bharat Shah from Ask Investment Managers . Please go ahead.

Bharat Shah: Namaste Anilji and Rajeev ji . Anilji talked about 17% to 18% growth rate with improvement in margins , is that a reference to the upcoming year, Financial Year '2 025-26 or for the longer term, because, on the longer term, I thought, with the increase in capacity, we are aiming for growth upwards of 20% ?

Anil Gupta : No, Bharat ji in longer terms, I have mentioned in my commentary that the growth will be upwards of 20% , this17% to 18% growth I have mentioned only for '25-26 because in this year, we will be only settling our new plant in one -by-one month -after-month, we will be able to ramp up the production month -after-month, even after commissioning. So this will be a challenging year for us to ramp up the capacity and brin g it into , convert it into commercial production. However, I have said that we will aim to achieve better, I am only saying a little conservative figure, because my approach is always to say less and achieve more. We have always achieved better than what w e have always said.

Bharat Shah: Good that you clarified . For a moment , I thought, 17% shouldn't be for a long term so I was a bit worried.

Anil Gupta: No, growth will be in upwards of 20% from '26-27 onwards, but in this year also we will aim to achieve 20% we will definitely not let down our investors.

Bharat Shah: Thank you , that clarifies . Just one last thing, Rajeev ji the margin improvement journey over the period of time due to variety of factor s that we have discussed many a times , that is inta ct right?

Rajeev Gupta: Yes, that's only after the commissioning of this plant, as I said in from '27-28 onward, when the economy of scale will be there and the ben efit out of that will be there.

Bharat Shah : Thank you

Moderator: Thank you. We have our next question from the line of Dhruv Bhatia an Individual Investor. Please go ahead.

Dhruv Bhatia: Hi thankyou for the opportunity and congratulations on great set of numbers . Sir, the question is around working capital, because when you see your consolidated cash flow. Your cash flow generated from operations last year was about Rs.815 crores, and this year it is down Rs.200

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crores, approximately. And working capital has seen some massi ve swing so what exactly happened if you can explain and whether that's going to change in the FY26?

Rajeev Gupta: As we earlier guided that till we are having the cash, we will be purchasing through cash. So you must have seen in the balance sheet that th e payable item has reduced substantially, even though the sale has increased by 20% but the pay able has been reduced . So that is mainly because of that nothing else . In the normal condition the payable will go up .

Dhruv Bhatia: Right. And the second question I have sir is, it's a slightly more industry wide one. You are having some new very aggressive competitors talking about large amounts of CAPEX to enter the sector in the next two, three years. How do you see that playing out , deman d is obviously very strong and will continue to grow.

So do you see an impact on margins potentially in this sector once these capacities come on stream ?

Rajeev Gupta: We are already, and since last 15 -20 years we are delivering the numbers. And whatever w e are saying we are delivering, even in the last quarter, so much hue and cry was there for the industry. But the industry has given the results, not only by KEI, but the other player also, the growth is there, and the momentum in the industry itself is very strong. So , if little bit EBITDA margin no

one can say anything but not any major impact.

Dhruv Bhatia: Okay Thankyou.

Moderator: Thank you. We have our next question from line of Akshay Gattani from UBS . Please go ahead.

Akshay Gattani: Thankyou Sir for the opportunity, My question is on the export side of the business , so how is the US market shaping up post tariff announcement, like have you seen any temporary pause in the consignment . Also, how do you see US geography from a longer -term perspective, in terms of product approval and product acceptance there ? Thank you.

Rajeev Gupta: Akshay , as of now whatever order we were having we had delivered, so it will be known only after two , three months, when everything gets settled from the US market. But as I said earlier that, for us it does not matter we are selling to US market, we are selling to Middle East, or we are selling to Asian market or the European market. We are approaching so many countries ; we are adding one or two countries year-after-year. So that is how we are doing our sale. Apart from the exports, we are into dealer, distributor segment , we are into the domestic institutional segment . So overall, we have to grow the percentage which Anil ji has just highlighted, for the current year, 17 % , 18% and for the next year onward, because of the capacity we will be growing close to 20% . I said, that for the current year our growth rate Anil ji said 18% and from next year onward, we will be going close to 20% basis on the capacity , because market is so huge number of customers from overseas as well as from domestic are very large number of list we are having. So we are not dependent only on one country .

Akshay Gattani: Got it Thankyou .

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Moderator: Thank you. We have our next question from line of Vidit Trivedi from Asian Market Securities . Please go ahead.

Vidit Trivedi: Hi Thankyou for the opportunity and congratulation on the great numbers . Could you please tell me what's your mixed , how much do you export to the US of the overall exports and second coming to the EHV cable side, it has dropped sharply. What was the main reason of the contraction and when do you see the recovery happening?

Rajeev Gupta: Recovery has already happened ; we have already the order book is around Rs.603 crore. So in the current year, we will be utilizing the full 100% capacity.

Anil Gupta: Some of the orders could not be executed because of the ROW issues.

Vidit Trivedi: Okay. And what is the US share?

Anil Gupta: US, this year we have exported close to around Rs.250 crores .

Rajeev Gupta: No, Rs. 163 crore exactly.

Anil Gupta: So, its a very small portion of our exports going to the US .

Vidit Trivedi: Thank you

Moderator: Thank you. We have our next question from line of Naushad Chaudhary from Aditya Birla Mutual Funds. Please go ahead.

Naushad Chaudhary: Hi thank s for the opportunity Just one clarification sir, during FY 25 the key raw materials, copper and aluminum on a low er base it up 13% , 15% in line items . And on that, on a blended basis if I see our revenue was up 20% , so with reverse and very rough calculation, roughly 10 % , 11% would have come from the value growth, and now as the copper and aluminum both are softening, at least for now, based on Mar ch closing, considering this fact, is there any risk to our guidance of 17

%, 18% for FY'26 given the direction of all ?

Rajeev Gupta: First of all, in last four , five years. In one year copper aluminum goes up , in one year copper aluminum goes down. But in all the last four, five years, or in last 15 years, they are continuously growing. In last 15 years, so many times copper or aluminum has gone up, and so many times copper and aluminum has gone down. So it does not impact real ly, because we are searching for a newer market for ourselves. That's how we are growing year -after-year, and it is applicable to the whole industry, not only KEI, the other player also growing the impact of the increase or decrease is not matter for the growth.

Naushad Chaudhary: Okay sir. Second, do we quantify the inventory gains, if any ?

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Rajeev Gupta: Sir, as I said, we are working on a pass on mode , neither we are gaining, neither we are losing anything.

Naushad Chaudhary : Okay sir, All the best Thankyou.

Moderator: Thank you. We have our next question from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

Shrinidhi Karlekar: Hi, Thank you for the opportunity So just a couple of questions on export business. So last year

we have had a Rs.1260 crore kind of export business and you said Rs.160 crore was US, is that right?

Rajeev Gupta: Yes, sir .

Shrinidhi Karlekar: Okay . Sir my second question on that is, what are principal competitors in the non-US markets, are these local companies, or are these global companies, or we face more of a Chinese competitor , this I am talking about non-US market.

Anil Gupta: Mostly , in non-US or US market we have only global competition. And in non-US market, wherever we are exporting I have not seen any Chinese competition to us, because we manufacture specialized tailor-made products for projects. And wherever tailor-made products are manufactured as per the international specification, and with the specified approvals, we don't face competition from Chinese companies .

Shrinidhi Karlekar: Right, sir. And sir second, I am a bit confused on your margin guidance for the next two years. Would it be possible to quantify how much of EBITDA margin increment one should build?

Rajeev Gupta: Just we are saying that because of the economy of scale from '27-28 onward, when our Sanand project get established little bit EBITDA margin will improve , that we said .

Shrinidhi Karlekar: But not in '26-27 is it sir?

Rajeev Gupta: No.

Shrinidhi Karlekar: Okay. And when you refer to the EBITDA margin, you refer to EBITDA margin including other income, which last year we did?

Rajeev Gupta: Yes, whenever we say EBITDA margin that is including everything .

Shrinidhi Karlekar: Including order income .

Rajeev Gupta: Yes.

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Shrinidhi Karlekar: And sir last question I have is, sir I want to understand the H T cable business that we have of about Rs.2000 odd crore, what are largest end markets for that, for the HT cables ?

Anil Gupta: HT cable main customers are power distribution companies . And including the solar and wind projects, because they need H T cables for evacuating the power generated through solar pumps and take the power to the grid. So the major consumers are solar power projects and power distribution companies .

Shrinidhi Karlekar : Thank you for answering the question and all the best.

Moderator: Thank you. We have our next question from line of Kunal Sheth from B& K Securities . Please go ahead.

Kunal Sheth: Yeah Thankyou Sir . My question have been partly answered , this was about margin only, but sir just one clarification. Initially, we were talking about small margin improvement every year about 20 , 30 bps. So has anything changed there, sir because now we are talking about margin improvement in 27 and not in 26 ?

Rajeev Gupta: Margin last year

also we have guided that once we settle down this new product in the new facility only economy of scale we will be improving otherwise whatever EBITDA margin 11% around we are operating we will be operating at that level only.

Kunal Sheth : Sure Sir , Thank you.

Moderator: Thank you. Reminder to all Participant if you wish to ask a question you may press * and 1 on your phone I repeat if anyone wish to ask a question you may press * and 1 Thankyou We have our next question from line of Avnish Berman from Vekaria Investment Management . Please go ahead.

Avnish Berman: Yeah hi , Good Afternoon, thankyou for taking my question I have two, one regarding the US market , in this wire and cable industry. Mexico seems to be like a key geography which is exporting to the US. My question was that , in the past there have been claims that Mexico has been acting as a trans-shipment hub for the Chinese materials. So , I just wanted your opinion on that, is Mexico a key transshipment hub for China or do you think Chinese material gets through into US, through countries more like Vietnam and Cambodia, and not really Mexico ?

Anil Gupta: See, this Chinese material coming through transshipment , this is not our outlook to, this is not for us to inquire, because this is from the US government to see that from where the Chinese material is coming . We are creating our own market and our own niche markets and niche customers, and catering to them and at our terms, I can't answer this question about this trans-shipment of Chinese products.

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Rajeev Gupta: But sir, I would like to add here is because whether US government is taking the material or not taking the material, it will not impact the industry of India . Because whatever rate we are

growing, we will be growing.

Anil Gupta: Ultimately, whatever exports we have done, there might be some Chinese or other Mexican companies must be in competition ?

Avnish Berman: No, I was asking from the angle that if tomorrow there is an increase, let's say incrementally higher tariff on Chinese goods and any goods that are sourced from China. Then is there a possibility of any market share shift from Mexico to India?

Anil Gupta: Sir, as it is there is so much of tariff on China at the moment that nobody can import by paying those tariffs.

Avnish Berman: No, I was asking about Mexico because, that's why I was asking whether Mexico acts as a front for China ?

Anil Gupta: No, we are not really aware about it.

Avnish Berman: Okay, that's fine. My second cost was , now I understand there is uncertainty on the tariff front, but let's assume, after the 90 day the tariff settles at, that whatever that amount would be, let's say 10% , who according to you will bear the cost , will it be the OEM, or will it be the manufacturer or the distributor, who bears this 10% cost whatever that number settles to be ?

Anil Gupta: It will be borne by the end customer. Our offers are always without duty, so whatever tariffs are imposed in the US , they have to be paid by them, so we are not concerned about the tariff at our end.

Avnish Berman: Okay. And in your US exports, do you sell through dealers and distributors, or do you sell directly to the OEMs and the customer?

Anil Gupta: 50% is through directly to OEMs and 50% through distributor network.

Avnish Berman: And sir, your contracts would be FOB or like what kind of contracts would you have and how are tariffs mentioned in those contracts?

Anil Gupta: It varies , there can be , they are CIF or FOB, but tariffs are always , any extra tariffs are always payable by the customer that is the other contracts are very clear .

Rajeev Gupta: However the contract is , ultimately it's cost plus only, you can do it as you wish to. All cost is pass through basis.

Anil Gupta: Who can bear 10% or 26% of the tariff , our margin is als

o not that much.

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Avnish Berman: Thankyou so much sir for answering my question. Anil ji and Rajeev ji..

Moderator: Thank you. We have our next question from line of Disha Cordiya , an Individual Investor. Please go ahead.

Disha Cordiya: Hello am I audible sir , Sir so you mentioned in your past commentary how you want to scale up the export, and we have seen the growth so, what is the target and the percentage of revenue , how much exports are you targeting as a percentage of revenue?

Rajeev Gupta: Our target is to utilize the capacity and growth rate will be 17 % , 18% in current year. It does not matter to us whether it is coming from export, it is coming from dealer, distributor, or it is coming from the domestic institution. Ultimately, we have to utilize the capacity so, that is our main object.

Disha Cordiya: Alright . And where do we see like, do you see any increase in your market share or do you expect it to be remaining at what the current level is , given the new competitive?

Rajeev Gupta: Whatever capacity we are having we are able to utilize the capacity to sell, because we cannot sell more than the capacity which we are having .

Anil Gupta: We expect to increase, we will try to increase our market share from FY '27, then a substantial new capacity comes on board, available to us.

Disha Cordiya : Alright Sir Thankyou sir.

Moderator: Thank you. We have our next question from line of Natasha Jain from Philip Capital. Please go ahead.

Natasha Jain: Thankyou for the opportunity Sir My first question is, how does the pricing work , is it per kg basis or percentage of raw material price?

Rajeev Gupta: It's a cost-plus basis and in terms of percentage .

Natasha Jain: Understood. And so my second question is more industry based. So now that most of the , the major players of wires and cables, the results have been out, we have seen that there has been strong top line growth, which is warranted because 4th Quarter is a seasonal quarter. But then margin expansion has not happened. So, is it fair to deduce that most of the benefits that the industry is going to get is out of scale and there may not be pricing advantage?

Rajeev Gupta: We are always saying that whatever EBITDA margin we are having, we will be working in this range only .

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Natasha Jain: Got it thank you sir.

Moderator: Thank you. We have our next question from the line of Nikhil Purohit from Fident Asset Management. Please go ahead.

Nikhil Purohit: Hi, Thank for taking my question, My first question is, what is the margin differential in the domestic versus export markets for wires and cables?

Rajeev Gupta: Not more than 0.5%.

Nikhil Purohit: Got it okay. And additionally, do we stick to our earlier guidance of exports to the US in FY' 26 being around Rs.5 billion, I think this year it was Rs.2 billion?

Rajeev Gupta: As I said repeatedly, that it does not matter we are selling to export or we are not selling to export, our matter to us is only how we are utilizing the capacity. We are exporting to more than 60 countries as of now, we are working with close to 2100 dealer, distributor, we are working more than 2000 institutional customers in the country. So we are growing in each segment, whether in exports or in dealer, distributor or in domestic institution. But how much to one particular customer, or how much to a one particular country it will not be basically easy to answer well in advance.

Nikhil Purohit: I understand okay. And lastly, just one last question what was the EHV execution this quarter?

Rajeev Gupta: EHV execution in the last quarter, 4th Quarter?

Nikhil Purohit: Yes, Quarter 4 FY' 25.

Rajeev Gupta: 4th Quarter, EHV sale was Rs.115 crore, as against Rs.220 crore last year 4th Quarter.

Nikhil Purohit:

Okay, Got it, Thank you.

Moderator: Thank you. We have our next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Sir, sorry I would have missed out the volume numbers for this quarter and for the full year. If you can help me?

Rajeev Gupta: 4th Quarter, the volume number was 21% and the full year volume growth was 20% for the metal growth.

Priyank Chheda: Perfect. In your opening comment you did mention solar, coal, transmission, data centers and EV these are the core key sectors contributing to volume growth. Would it be possible to?

Rajeev Gupta: Apart from this, the infrastructure growth, as well as manufacturing,

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Anil Gupta: New manufacturing plant.

Priyank Chheda: Is there any big divergence, or any one particular sector contributing to a very high incremental growth versus others, would it be possible to quantify anything in anywhere?

Rajeev Gupta: No, each and every sector is growing, not a big sector, but power is growing more.

Anil Gupta: But if I have to specify one significant sector that is basically a solar power project, which is significantly high.

Priyank Chheda: And given the installations of solar, which is likely to drop, versus significant installations that have happened in this year, anything that you would think that would be compensated by some other sectors, any view on that?

Anil Gupta: If the power availability is high, then related infrastructure of transmission and the user industry has to grow so there is always a balance of various sectors going side-by-side, because if you are producing too much of power, but if there is a no user what is the benefit of generating that much of power, either through solar or thermal. So, the user sector also grows simultaneously.

Priyank Chheda: Got it. And sir just last thing to clarify, you did mention that you work on a cost-plus model, and when we see the gross margin slightly drifting down from 25% to 23.5% is because the copper prices are higher and the realizations are higher, and hence the percentage margins are lower right, is that the way to read?

Rajeev Gupta: As you want to read, you can read but the issue is the operating margin, and the EBITDA margin will remain in the range bound 10.5% to 11%.

Priyank Chheda: Okay Thankyou sir.

Moderator: Thank you. We have our next question from the line of Rahul Agarwal from IKIGAI Asset Management Company. Please go ahead.

Rahul Agarwal: Hi Sir very Good afternoon Sir. Couple of questions. Firstly, are we seeing higher employee attrition, the industry is going through a lot of CAPEX, cable and wire is becoming very attractive, skilled jobs?

Rajeev Gupta: There is nothing on the ground.

Rahul Agarwal: Sure, but are you seeing attrition in your company?

Rajeev Gupta: There is no attrition.

Rahul Agarwal: Okay, cool. And the second question was on working capital, somebody previously asked, just wanted to clarify. Obviously the operating cash flow generation number looks lower because

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you are paying payables faster and this process actually you started pretty long back . We will be doing that for a very long time , my sense was that ultimately, if you pay payable faster, there has to be some savings on interest, wherein you have a lesser, non -fund-based credit is that correct?

Rajeev Gupta: Rahul, so if we have cash then what's the use of taking credit on 90 days , so in that case I have to give interest of 90 days.

Rahul Agarwal: Agree sir, so the interest saving should reflect somewhere in operating cash flow right?

Rajeev Gupta: So, volume is also increasing, and we had taken term loan as well before QIP, so we had that interest cost also.

Rahul Agarwal: That's correct, but why there should be de -grow

th in operating cost?

Rajeev Gupta: If I will increase the payable then it won't come that's simple, there is no rocket science in that.

If I will pay extra, and if you see last year's balance sheet and this year's balance sheet we have a hike of 20% in sale and on other side , our payable is reducing.

Rahul Agarwal: I will explain sir. When I look at console cash flow the payable swing is about Rs.314, and Rs.130 about Rs.430 crores , that's the saying from the last call.

Rajeev Gupta: There is a simple reason , in cash flow we have increase , decrease in inventory, increase , decrease in receivables, increase decrease in creditors major amount. So, if my sale is increasing and my liability is not increasing then there will be an impact of that. Why is my liability not increasing because I have extra cash in hand. I don't have a shortage of cash, so I paid extra because from Rs.500 only Rs.200 is my expenses then payable will reduce by that amount.

Rahul Agarwal: Absolutely right. What is the benefit of that?

Rajeev Gupta: I will save 90 days of interest, if I will by on LC then I will have to pay 90 days interest which is being saved. Currently, in FD I am getting only 6.5%. Over here I have paid and saved the interest so it's almost same.

Rahul Agarwal: Okay. So you mean that operating cash flow, whatever is getting disclosed is not the right way to look at it, right , that's what you mean ?

Rajeev Gupta: You can see the creditor number there its given and we have paid to the creditor and the acceptance number has also gone down from 500 and it's mentioned in our presentation too.

Already we have lot of cash in books, so when it will get normal and once the capacity will start operating then payable will be normal too. So, till the time that type of liquidity is available here , anytime we can increase the creditors by one and a half month.

Rahul Agarwal: Is that the intention going forward ?

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Rajeev Gupta: That will be automatically done as and when we need money, there is no point of intention in this.

Rahul Agarwal: Okay, Thank you so much, All the best.

Moderator: Thank you. We have our next question from the line of Achal Lohade from Nuvama Institutional Equities . Please go ahead .

Achal Lohade: Sir, just a couple of questions, first on the wires, in the entire conversation we have not really touched upon that part. It's growing very, very well compared to the peers who are struggling with the growth. So you want to elaborate a little bit what are we doing here in terms of the distribution expansion, in terms of the growth there any particular region which is driving growth and the outlook ?

Rajeev Gupta: So, Achal we are continuously focusing on increasing our dealer distributor network. So it's a continuous going on process, and that will be maintained in future also. So because of that only, we have crossed 50% sale through the dealer distributor. Otherwise, our target was to reach only 48% in this year , but because of the wire sale and our cable sale also through dealer distributor increase, we have reached to 51% also. So there is continuous progress to increase the dealer, distributor network in the Eastern and Southern part. We are already strong in North and West, so this focus is still there .

Achal Lohade: Okay. And if you could also highlight, in terms of the channel financing where are we, how much of our sale we are able to of the dealer, distributor our channel financed, and how do you see that trajectory moving?

Rajeev Gupta : Almost now we have reached to a level where 70% of our sale are covering through the channel financing. And year -after-year we are increasing this sales through channel financing because it is giving us the lower number of days of receivables.

Achal Lohade: Right. And when you say 70% of sales, you mean 70% of

the dealer distributor ?

Rajeev Gupta: Dealer distributor, yes 70% of the dealer distributor sale.

Achal Lohade: Understood. And that cash discount for those channel finance sales is obviously netted off in the gross margins, right . So gross margins are after that ?

Rajeev Gupta: Yes.

Achal Lohade: Understood. And this 70% any target you have in mind sir, will it be like 90% or anything of that sort?

Rajeev Gupta: We are increasing the sales that's how we are adding more and more dealer, distributor, under the channel financing.

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Achal Lohade: Understood. And the second question, if I make a quick summary of what you are saying is essentially, you will utilize the capacity fully that should drive 18% revenue growth and the margins, while because of EHV and wires, the margin should improve but because of the new capacity -related expenses, the margins are expected to remain stable. Have I understood, right sir?

Rajeev Gupta: Yes, that's right.

Moderator: Thank you, sir. We have our next question from the line of Ankit Soni from Sharekhan Mirae Assets . Please go ahead.

Ankit Soni: Sir Good Evening, Congratulation for the good set of numbers . Just one question from my side , so once your Sanand facility is operational, what time would we take to get on to a full optimum utilization of th at facility, so that we can fetch that logistics benefit which you are right now triggering to and what would be the margins jump after the reaching optimum capacity utilization ?

Rajeev Gupta: This capacity we have created to utilize within three financial y ears, number one, because whenever any company add the capacity, they are not adding the capacity only for one year , they will be utilizing the capacity for the next three or four years. Second is the 0.5% to 1% EBITDA margin will get improved. Will get st art improving from '27-28 onward. Because of economy of scale only , not because of selling price or anything else, on ly because of economy of scale.

Ankit Soni: So, follow up on that would be like, we will be taking around three years to fully optimally li ke 70%, 80% capacity utilization from that particular Sanand facility am I right?

Rajeev Gupta: Yes.

Ankit Soni: Thank you

Moderator: Thank you. We have a follow up question from line of Shrinidhi Karlekar from HSBC. Please go ahead.

Shrinidhi Karlekar: Thank you for the opportunity, Sir would it be possible to comment on how much of your domestic institutional business, of about Rs.3100 crore, comes from the power sector?

Rajeev Gupta: So normally the power sector on an average is close to 30 % to 35% . Directly or indirectly , you see most of our dealer, distributor are also selling to the power sector. Once we are selling the cable to them, they are also selling to them.

Shrinidhi Karlekar: Right. And the h ousing wire and winding wire business that we clas sify is that all through retail channel, or there is some bit of a direct channel in housing wire?

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Rajeev Gupta: There is little bit institutional sale also because not much, but small like we are selling to L &T for a full package so we are selling to wire also to them.

Shrinidhi Karlekar: But it will be small, as you said ?

Rajeev Gupta: Yes, i t will be like last year number was close to Rs.178 crore to institution for the wire sale.

Shrinidhi Karlekar: Okay thankyou sir for answering my question.

Moderator: Thank you. We have our next question from line of Shravan from Sincere S yndication . Please go ahead.

Shravan: Congratulations on good set of numbers . My doubt is that, especially in the EHV cable side, do you directly deal with these , let's say power and T &D companies such as Hitachi , Siemens, or do you go through dealers and distributors ?

Rajeev Gupta: Normally 50 in the extra hig

h voltage power cable, you are asking ?

Shravan: Yes, sir in the E HV cable for transmission ?

Rajeev Gupta: EHV cable, 50% we are selling directly to the power transmission companies and 50% through the EPC contractors.

Shravan: Okay, sir . Sir in the latest project that Hitachi has got, the 1200 kilometer s project and the 950-kilometer project, any idea have you bac ked any of those orders?

Rajeev Gupta: Whenever they will be required the cable it will be on that stage only. Because the cable stage comes later.

Shravan : Thankyou sir.

Moderator: Thank you. Ladies and gentlemen this was the last question for today, and I now hand the conference over to the management for closing comments. Over to you, sir.

Rajeev Gupta: Thank you very much for the participant, and we are once again assuring you all that we will be growing 18% kind of growth rate, and it will not matter whether any contingencies are there or not there, any rate increase or decrease, but we will be growing 18% because we are adding capacity. Thank you all.

Moderator: Thank you on behalf of Nuvama Institutional Equities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

KEI Industries Limited

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KEI/BSE/2025-26 Date: 29.07.2025

The Manager,
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Listing Operation,
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Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the First quarter ended on 30th June, 2025.

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Wednesday, July 23, 2025 to discuss the Un-Audited Financial Results (Standalone and Consolidated) for the first quarter ended on 30th June, 2025 is attached herewith.

The transcript is also available on the website of the Company:

<https://kei-ind.com/pdf/nuvama-kei-jul23-2025.pdf>

This is for your information and record.

Yours truly,
For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)
VP (Corporate Finance) & Company Secretary

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"KEI Industries Limited

Q1 FY '26 Earnings Conference Call"

July 23, 2025

MANAGEMENT : M R. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR –KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – EXECUTIVE DIRECTOR,
FINANCE AND CHIEF FINANCIAL OFFICER – KEI
INDUSTRIES LIMITED

MODERATOR : M R. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to the KEI Industries Limited Q1 FY '26 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities. Thank you, and over to you, sir.

Achal Lohade: Yes. Thank you, Shruti. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we are glad to host the senior management of KEI Industries Limited. We have with us Mr. Anil Gupta, Chairman and Managing Director of the company; Mr. Rajeev Gupta, Executive Director, Finance and CFO. We will start the call with the opening remarks from the management and then move to Q&A. Thank you, and over to you, sir.

Anil Gupta: Ya. So good morning. I'm Anil Gupta, CMD, KEI Industries Limited. I'll give a brief about Q1.

You must have seen -- gone through the figures. The net sales in Q1 of FY '26 is Rs.2,590.32 crores. The growth in net sales is 25.44%. EBITDA in this quarter is Rs.297.62 crores against Rs.232 crores last year. The growth in EBITDA is 28% and EBITDA/net sales margin is 11.49% against 11.25% in the same period previous year. Profit after tax in this quarter is Rs.195.75 crores against Rs.150.25 crores in the same quarter last year. Growth in the PAT is 30.28%. Profit after tax/net sales margin is 7.56% versus 7.28% in the previous year. Domestic institutional cable sales -- wire and cable is Rs.711 crores against Rs.574 crores last year. Growth is approximately 24%. Domestic institutional cable sale of extra high-voltage cable is Rs.116 crores against Rs.79 crores last year. The growth is approximately 47%. Export sale in this quarter is Rs.374 crores, in which cable and wires is Rs.323 crores against Rs.149 crores last year. So the overall growth in the export is 61%, but the overall growth of -- cable and wire growth in this is 122% as compared to previous year.

The decline in the export is because of the one EPC contract, which we have been doing last year in Gambia, which is not there this year. Total cable institutional sale contribution is 45% as against 39% in the previous year. And sales through distribution network that is B2C is Rs.1,326 crores against Rs.1,085 crores last year. The growth in this sales through distribution network is 22%. The B2C sale has contributed 51% in the first quarter as against 53% previous year same quarter.

Overall, Wire and Cable segment has grown in this quarter approximately 32% over previous year same quarter. EPC sale other than cable is Rs. 61 crores against Rs.131 crores last year. Decline is approximately 53%. I just mentioned because of the one project which we were executing last year in Gambia is not there this year. Out of the total sale of EPC, EHV EPC sale

is Rs.18 crores against Rs.45 crores in the same quarter previous year. Sales of stainless steel wire in first quarter is Rs.51 crores against Rs.53 crores previous year. Decline is approximately 4%.

We have around total active working dealers of the company as on 30th June was approximately 2,094. Order booking as on 30th June '25 is Rs.3,921 crores, out of which Rs.540 crores are pending orders of EPC, Rs.538 crores is for extra-voltage cables and domestic cable booking is Rs.2,140 crores. Export orders pending is Rs.703 crores. So total Wire and Cable segment booking is Rs.3,381 crores and including EPC, it is Rs.3,921 crores. The company has got long-term ratings on CARE

, India Rating and Research and ICRA at AA+ and that of short term is A1+.

The book value per equity share of the company is Rs.626 as against Rs.605.5 on March 31, 2025. Company has booked an expenditure of Rs.53.95 crores in quarter 1 towards CSR. I can -- total borrowings as on 30th June is Rs.203 crores. It is mostly against channel finance. And acceptance creditors as on 30th June is Rs.448 crores against Rs.246 crores on 31st March '25. So net cash is Rs.1,048 crores includes Rs.1,106 crores of QIP as on 30th June.

Now the QIP fund status, company has raised Rs.2,000 crores through QIP on 28th November 2024 to fund our Sanand project, repayment of outstanding debt and for general corporate purposes, out of which Rs.1,450 crores was for Sanand, Rs.240 crores for general corporate purposes and Rs.276 crores for repayment of term loan and working capital demand loan and

Rs.34 crores was QIP expenses.

Company has utilized QIP fund of Rs.913 crores up to 30th June 2025. Now the future outlook. The company has incurred in this financial year, an expenditure of Rs.410 crores, out of which Sanand Rs.296 crores. We bought 2 lands in Salarpur and Sanand for Rs.95 crores and other plants and locations, which are existing Rs.19 crores capex. Till 30 June 2025, total capex payment incurred for Sanand is Rs.880 crores and an other Rs.600 crores to Rs.700 crores will be spent in next 9 months. And balance approximately Rs.300 crores to Rs.400 crores will be spent in next financial year, first half.

Commercial production of first phase of LT and HT cable in Sanand will commence in quarter 2 of -- by September '25-'26 -- September '25 and total project will be completed in first half of FY '26-'27. Company is hopeful to achieve 18% growth in this financial year or even we will definitely try -- aim to achieve more and improve our operating margins during FY '25-'26, considering Phase 1 commercial production at Sanand and strong order book position of domestic, institutional and cable sales, export order for cable sales and extra high-voltage cable as of today.

After completing the Sanand project and strong demand in the domestic and overseas markets, we are hopeful to grow by 20% year-on-year CAGR in next 2 to 3 years. Industry demand, now the major sectors where we see strong demand in India domestically is solar and renewable sector -- solar and renewable power development and data centers, transmission and distribution projects by power companies, whether in the government sector or in the private sector, electric vehicle recharging stations, infrastructures like railways, metros and tunnel ventilation projects,

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highways and also the manufacturing sector, which -- where the demand is emerging from the new manufacturing factories coming up.

So even similar scenario exists in the export sector, where we are catering to major demand in the renewable side, solar and wind power projects and also in the oil and gas industries in India as well as overseas.

So this is from my side. And thank you very much for listening. I'm available for answering your queries. Please go ahead with your queries. Thank you.

Moderator: Thank you very much. We now begin the question and Answer session. Anyone who wishes to ask question may press star and one their touch-tone telephone. If you wish to remove yourself from question queue you may press star and two. Participants are requested to use a handset while asking a question. Ladies and Gentleman, we will wait for moment while question queue assembles. The first question is from the line of Natasha Jain from PhillipCapital.

Natasha Jain: Thank you for the opportunity and congratulations on a good set of numbers. My first question is, sir, you had mentioned today in the TV interview that you are aiming to close this year with 11% EBITDA margin. Now if I just

see the highest growth category for you in the past couple of years has been wires -- housing wires, which is a high-margin business.

Assuming that going forward, the salience will be higher for cables, as cables have more tailwinds, the margin should adjust on the downside. So from current 10%, can you just walk us in a little bit of detail how will you achieve this 11%, given that cables will increase more than wires? So first question is that.

Anil Gupta: Madam, definitely, the growth in cable segment should be higher this year, but even wires will also grow reasonably. And so far as EBITDA margins are concerned, maybe the how -- we always count even the other income also in our operational margins because ultimately, the -- any income out of exchange fluctuation or etcetera, are operational profits. I'm not talking of interest earned out of QIP pennies, except that rest all is operational profits because exchange fluctuation is a part and parcel of our business.

And we -- in several years, we have seen always the earnings from exchange fluctuation by better managing our orders and export business -- export and import business. So as we are guiding, definitely, we will aim to achieve 11%, but we always say that there can be a range of 10.5% to 11% because nobody can exactly predict the margin profile because of the ups and downs of the industry.

Natasha Jain: Understood, sir. So what I understand is 11% will be a mix of even your treasury, the hedging part of your numbers. And sir, you also mentioned logistics...

Rajeev Gupta: So Natasha, whenever we say we always say the EBITDA margin of close to 11%. The -- Anilji has already revealed at 10.5% to 11%. So we always maintain that kind of guidelines.

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Anil Gupta: Actually, foreign exchange fluctuations are not treasury income. We are not doing it for treasury. It is how we manage our export and import business.

Natasha Jain: Understood, sir. And you mentioned logistic cost savings. So can you just quantify how much of logistic cost will we save because of the Sanand plant?

Anil Gupta: I mean, as of now, I will not be able to quantify it. Let the project start and we will be able to say something about it by end of this year. See, it is a simple logic that if your plant is located within 350 kilometers from a port, and today, I'm exporting from my North Indian plants, which are around 1,400 kilometers so there will be a saving in logistic cost in inward and outward freight. So...

Rajeev Gupta: But it will be a little bit not heavy.

Anil Gupta: But it will take time to bring it into the margins.

Natasha Jain: Got it. And sir, just one last question. You said a pproximately Rs.1,100 crores is what remains from your QIP proceeds. So can you just quantify how much of that will be capex led?

Rajeev Gupta: So it -- all it will be capex.

Anil Gupta: It is all capex.

Natasha Jain: Got it, Thank you sir. I will get back in this year

Moderator: Thank you . The next question is from the line of Jayshree Bajaj from Trinetra Asset Managers. Please go ahead . May I request you to unmute your line and say your question.

Jayshree Bajaj: As you said, sir, that EBITDA margin will remain flat for the FY '26 and we can see that very new competitors are entering in the market. So how does KEI intend to sustain its current growth trajectory and defend the market share across its diverse segments and sustain the growth, which currently it has achieved?

Rajeev Gupta: Madam, in the past, in so many years, we were operating in EBITDA margin of 10.5% to 15% with a growth rate of 17% to 20% year after year. And every year or within 2 years with -- the small manufacturers has already come for the manufacturing of wire and cable. It is not the new case when the new players are coming. Their name are big.

So that's why most of the investor was

worried initially, but now everybody has understood that

our business of the wire and cable because of the approval process going on and the industry itself is growing close to 12% to 13%. So it gets automatically adjusted. So it will not impact any kind of margin here.

Jayshree Bajaj: Okay. And as we can see, there is a remarkable growth in the export institutional cable. So is it sustainable in the next 3 quarters of FY '26?

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Rajeev Gupta: Madam, ultimately, our purpose is to sell our capacity what we're having. Whether we will be selling to export market to retail market or to domestic institutional market, it does not matter to us because ultimately, we have to fully utilize our capacity because we need to take care all the markets so that we don't know which market will be -- in future, which market will go strong. So that's why our focus will be in a diversified geographical range. That's how we were maintaining in the past also.

Jayshree Bajaj: Okay, sir. Got it. Thank you.

Moderator Thank you. The next question is from the line of Vidit Trivedi from Asian Market Securities . Please go ahead.

Vidit Trivedi: Hey, hi .Thanks for the opportunity --- pretty strong set of numbers. First question is with respect to the exports. We have registered close to 122% yearly growth. So I wanted to know what's the vision for exports over the coming next 2 years down the line? And what's the spread in margins between domestic and exports?

Rajeev Gupta: So normally, in domestic and export, the margin difference is only 0.5%. But as Anil ji has spoken earlier also that his vision is to go with the export range of 17% to 20% in the next 2 to 3 years, mainly because of addition of the 2 new geographies like USA. and Europe. So because of that, these are the new geography and the earlier base was not there. That's why the export is growing like this way.

Vidit Trivedi: Sure, sir. And what's the volume growth during the quarter? And ya...

Rajeev Gupta: So normally, the prices are stable since last year. Even in the -- whatever the copper price and aluminum price was last year, the same was continuing in this quarter. So all the relevant volume will be close to same.

Vidit Trivedi: Any number on that, like 15%, 20%, anything like that?

Anil Gupta: I think the volume growth is close to 28% to 30%. We have not been able to quantify so far.

Vidit Trivedi: Got it, sir . Thank you so much

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Funds. Please go ahead

Naushad Chaudhary: Yeah, hi thanks for the opportunity Congrats on a good set of numbers. Two clarification s, sir. Firstly, on Sanand plant, if I heard it correctly, this will start contributing from 2Q FY '27, right?
Anil Gupta: Yeah exactly actually from Q3 because the likely op erationalization will be end of September '25. So the actual contribution should come from qu arter -- Q3.
Naushad Chaudhary: Okay. And ramp-up outlook remains same, 3 years sho uld require to reach full utilization?
Anil Gupta: Yeah. Correct.

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Naushad Chaudhary: And second, on the export business, what is the mix of distributor -- the business through distributor versus direct to client? And in terms o f nature of the business, are these short-term contractual business or long-term contractual busin ess?
Anil Gupta: See, we are mostly targeting projects overseas. And our 90% of the business is coming directly with the EPC contracting companies or the utilities. Only 10% to 15% comes through distributors. So the -- in exports, our business th rough distributors is there only in USA. Otherwise, we are using agents network to target di rect customers.
Naushad Chaudhary: An

d contracts are typically short-term in nature fo r this business or long-term?

Anil Gupta: Mostly short term in nature.

Rajeev Gupta: We are supplying the projects. So whenever the proj ect is there, we are bidding and we are getting the contracts.

Anil Gupta: But now we are there in the -- as a regular vendor for very many, many large EPC companies and utilities. So they have regular requirement -- regular projects like in India. So new inquiries are being quoted on every month and every day.

Naushad Chaudhary: And average length of contract would be how much? 4 , 5...

Anil Gupta: Normally, most orders are completed maximum within 4 to 5 months.

Naushad Chaudhary: 4 to 5 months? Okay. And the payment cycle are same as the domestic market or better?

Rajeev Gupta: 2.5 months only in the case of a few customer overs eas where we get the letter of credit for vendor financing.

Naushad Chaudhary: Thanks for clarification

Rajeev Gupta: Thank you

Moderator: The next question is from the line of Shilpee Sharm a from Prabhudas Lilladher Capital. Please go ahead.

Praveen Sahay: Praveen Sahay from PL Capital. Thank you for asking m y question .The first question is related to the housing wire and winding wire segment which -- where the contribution in the last 3 years has reached to around 30% of your total number. If you can give some color on separately like housing wire and the winding wire, which has outpac ed in terms of the growth in the last couple of years? Because if I look at both the businesses, it's a quite different margin profile.

Anil Gupta: Sir, one reason is the higher growth is -- use our base in this house wire was very low earlier. And hence, we have got substantial growth. But I th ink now the growth in the wires and cables will be normalized, and I think we should be growin g at the similar pace.

Praveen Sahay: So winding wire also did very well for you, sir?

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Anil Gupta: Winding wire is a very side business. I mean it's o nly related to agriculture. So it is being mixed with the house wire, but it is a very small segment .

Praveen Sahay : Okay. Got it, sir. And next question is related to the order book. So if I look at order book related to the extra high-voltage, which is on the sequenti al side, if I look at, that is a little down. So do you believe these numbers to improve in the -- latt er in the quarter from here?

Rajeev Gupta: Sir, on a full year basis, we will achieve the top line of close to Rs.550 crores to Rs.600 crores in extra high-voltage power cable as we have the ca pacity.

Praveen Sahay: Okay. And these numbers to improve with the commiss ioning of the Sanand facility? Is it fair understanding?

Anil Gupta: That will be only next year.

Praveen Sahay: Yeah, right sir. Thank you, sir . All the best

Moderator: Thank you. The next question is from the line of from Raman KV from Sequent Investments. Please go ahead

Raman KV: Hello, sir . Can you hear me?

Moderator: Yes, you are audible .

Raman KV: Sir, I have two questions. One is on the export fro nt. You said the export margin -- the difference between export margin and domestic margin is 0.5%. So as the Sanand plant operates in -- starts

operating in Q3 coming to FY '27, do we expect this margin to between domestic and export to increase?

Rajeev Gupta: It will increase a little bit. As Anilji earlier told that it will take some time, at least for 1 year time to ramp up the capacity, utilize the capacity, to absorb the depreciation over there. So it will take time. So by '27-'28 financial year when the -- we will be utilizing almost 50%, 60% capacity or may plus, so then a little bit EBITDA margin will get improved.

Raman KV: Okay, sir. And my second question is with respect to the Sanand facility. What was the total capex spend on

this facility? And what was the -- what is the target asset turn with respect to optimum utilization?

Rajeev Gupta: Total capex will be close to Rs.1,900 crores to Rs. 2,000 crores in Sanand. And initially, we will be having the top line capacity of Rs.6,000 crores over there because of extra high-voltage power cable will be close to Rs.1,200 crores and Rs.4,800 crores will be for low voltage and medium voltage power cable capacity over there.

Raman KV: Sir, you said Rs.6,000 crores of revenue you will be able to generate. I didn't get the second part of it, Initially as in -- like in FY '26...

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Rajeev Gupta: Out of Rs.6,000 crores, Rs.1,200 crores will be for EHV capacity and Rs.4,800 crores will be for low voltage and medium voltage capacity.

Raman KV: And this you will be able to generate in FY '27?

Rajeev Gupta: It will take 3 years to ramp up because whatever capacity we put in, it will take not for 1 year, it will take at least 3, 3.5 years. But to increase the capacity, it takes 2 years.

Raman KV: Hello ,Hello. Can you hear me?

Moderator: Yes, sir you are audible

Raman KV: Yes. Sir, also I have noticed that in May, you put out a notice that you purchased around 74,000 square meter land in Rajasthan. Can you give any -- like any development with respect to that?

Is it for the expansion capacity?

Rajeev Gupta: So that capex, we will start only after the completion of the Sanand. We bought the 2 land recently. One is in Rajasthan, another in Sanand also -- another land we bought in Sanand also for backward integration, but the capex will start only after the completion of the Sanand project.

Raman KV: And sir, you said by September 2025, Phase 1 will be started. In Phase 1, how much are you expecting to utilize the capacity?

Rajeev Gupta: By September -- Anilji just has spoken that by September, we will start Phase 1. So from the third quarter, the sales reflection will be there. And extra high-voltage will start only end of Q1 of the next financial year.

Raman KV: Ok sir Thank you

Moderator: Thank you. The next question is from the line of Akash Jha from KJ Belt. Please go ahead.

Akash Jha: Hi sir, Congratulations for a great set of numbers. So I want to know our capex plan, sir. So -- I mean, given the strong cash position, what expansion we are looking over the next 3 to 5 years?

And I mean, will the majority of capex directed towards cables or wires?

Rajeev Gupta: Sir, we will remain in the wire and cable. But every year, we need to invest another Rs.600 crores to Rs.700 crores to increase the capacity to maintain the 20% top line. So as -- just we will be completing the Sanand project. And after that, we will be starting another project because we are buying the land for that also. And a few parcels of land we have already in the Vadodara. So we will be continuing focusing on the addition of the capacity to enable us to grow at least 19% to 20% year after year.

Akash Jha: Okay. And what is the revenue growth target for this year and EBITDA margins?

Rajeev Gupta: So this year, revenue target growth, we have already given that 18% to 19% growth will be there because the capacity is there according to the capacity. But the next year onwards, we will be growing 20% plus.

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Akash Jha: And margins outlook, sir?

Rajeev Gupta: EBITDA margin will be close to 11%. We always talk of EBITDA margin.

Akash Jha: Okay. And last one on depreciation, sir. So I mean, as the Sanand facility begins commissioning, I think, from September. So...

Rajeev Gupta: Full depreciation will come only next year. And by that time, the sale will also be there.

Akash Jha: In FY '27?

Rajeev Gupta: Yes. Because the EHV project will get commissioned only in Q1 next year.

Akash Jha:

Okay, sir. Got it. Thank you, sir.

Rajeev Gupta: Thank you

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Corporation Limited. Please go ahead.

Keyur Pandya: Thank you. Sir, two questions. First, on the, say, capacity side. So till the time our Sanand facility, say, it gets commissioned and ramps up, do you see any challenge on the growth side for next 2 quarters? I'm not talking on degrowth, but the lower growth because of the capacity constraints. That is first question. And second, in your medium- to long-term target of, say, 20% revenue growth, how do you see export contribution? What would be the growth from the exports? That is second question.

Rajeev Gupta: Sir, last year, we have spent the amount on the brownfield capex in our Silvassa plant and Pathredi plant. So as of now, we are having our cable capacity utilized 74%, 75% only. So every quarter, we will grow. That's why we will be growing in the current year 18% to 19%. And since the Sanand capacity will be in place by September, so month after month, it will be ramping up. So in the second half, the capacity utilization will start from the Sanand also. By the next year, the whole plant will be ready. So we will be easily growing 20% from there.

Keyur Pandya: And on the exports?

Anil Gupta: Export, we have already mentioned that our aim is to reach 17% to 18% of our top sales coming through exports in next 2 years. So that as soon as we are able to create this new capacity at Sanand, we will try to ramp up that.

Keyur Pandya: Okay. Just one follow-up. So 30% -- I mean, upwards of 25% growth, 30% growth in cables this quarter and no capacity constraint plus new plant coming up. Despite that any reason why you are constraining your guidance to 17%, 18% this year?

Rajeev Gupta: First of all, quarterly number does not reflect the full year growth. Always, we say we -- neither the profit, neither the growth because sometimes the quarterly base is low in the second half.

Always third quarter and fourth quarter base is very, very high. So it is in the cable industry.

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Always we maintain the full year guidance. And we, as a KEI, always maintain the full year guidance...

Anil Gupta: But definitely, I mean our -- we are a little conservative in giving guidance. Our performance will be far better, I'm sure about it.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Yes. Sir, two questions from my end as well. One, just to clarify, when you talk about the revenue growth, I presume you're talking about the overall company growth and not cable and wires. So given we are...

Rajeev Gupta: Yes, we're talking always company as a whole -- we're always talking company as a whole.

Achal Lohade: Understood. So given we are de-scaling in the EPC business, does that mean it's upwards of 24%, 25% growth for the full year for Cable and Wire segment because that is seeing a 30%, 40% kind of a decline.

Rajeev Gupta: Ultimately, we are giving the full balance sheet, so on full year balance sheet. So whatever sale we will be doing, it will be growing 18% to 19% for current year. EBITDA margin will be close to 11%. So because these 2 numbers, we are always communicating.

Anil Gupta: See, as a guidance -- as -- it is only a guidance. We have always -- you must have seen that we have always performed better than the guidance.

Achal Lohade: That's fair. That's a fair point, sir. The second question I had pertaining to the exports. I know the situation is still evolving. But as of now, if we were to ask factually, how do we stack up against the competing countries, specifically for US, given that is the new geography we have added? How do we stack up in terms of

the tariff vis-a-vis, say, Mexico or China or South Korea, sir?

Anil Gupta: See, US is at the moment a little slow because of this uncertainty of tariffs, but our dependence on US is very small at this moment. Our exports to other countries is substantially high, especially Middle East, Australia, Africa and also Europe now, which we are doing.

So I'm -- we are not too much worried about US impact at the moment, but we will have to watch out what happens in next -- in this quarter. I think something should settle down, and that will be beneficial for the company. Our last year exports to US was only, I think, Rs.160 crores. So -- I mean, it is not that we are highly dependent on US

Rajeev Gupta: But Achalji, for us, more important to utilize the capacity, whether we are utilizing the capacity for export or for retail or for domestic institution.

Achal Lohade: Right. No, I was coming from the fact that we have the land parcels, if the massive opportunity actually comes up for exports, could there be a possibility for us to participate in that? Obviously,

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I understand, given whatever capacity we have, we'll utilize that. But I was just more curious to get the tariff rate on India vis-a-vis Mexico or China or South Korea in US

Anil Gupta: As of today, whatever tariffs have been announced, they have not been actually operationalized or implemented. They are just on paper. I don't think that any -- even any notifications are issued by US government. These are only in the media.

Achal Lohade: Right, right. And how about the customers ex of US? How is the demand situation? How is the competitive pricing perspective? Have you seen anything changing out there as well? Or things remain as business as usual?

Anil Gupta: We are always competitive because, I mean, our production costs are in the best way as compared to our international peers. So the competition is not a problem, and it is only a matter of developing that market. The issue is not the competition. Issue is developing the market and getting the product certifications in different categories and acquisition of customers.

Achal Lohade: Fair point, that's great thank you, I will follow up

Moderator: Thank you. The next question is from the line of Shirom Kapur from Jefferies. Please go ahead.

Shirom Kapur: Hi thanks for the question just wanted to focus on exports again, this 17% to 20% contribution that you are referring to, if currently the US market, as you're saying, is a little slow, what is exactly the road map that you're looking at to go up to this 20%, which would be geographies that will drive this and this high 120% growth that you got in 1Q, of course, on a low base right now because of the new markets that are added. But once that base settles, what kind of growth could you be looking at in these new markets like US and Europe?

Rajeev Gupta: As we are continuing -- reminding you that we are not totally dependent on US or Europe, we -- our main object is to utilize the capacity, whether we are selling to the domestic market or to export market, but all the fronts needs to open up because we don't know which geography will be weak or which geography will be strong. Our focus to go towards the export, so that is the reason. But if that is not there, Rs.100 crores, Rs.200 crores sales will be less. It will not impact to the company. Sir, you can continue.

Anil Gupta: Moreover, whenever -- at the moment, there is an uncertainty in US market, but it will not remain. Just let us be patient for maybe 2, 3 months, then all these things get settled. And ultimately, customers over there need material, and there is a strong demand in US. So only thing is they are also waiting because of the uncertainty of the tariffs. So projects are slow there because of this uncertainty.

Shirom Kapur: Ok, Thank

you sir

Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP. Please go ahead

Charanjit Singh: Hello sir thanks for opportunity and congratulations on great set of numbers. Sir, my question is first on the EHV side. On the extra high-voltage, what is the kind of tender pipeline you're looking like? And in terms of the competition from the imports, how that is -- and some of the

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new capacity scaling up, how you see that the time lines for those? That's my first question, especially on the EHV side.

Anil Gupta: Sir, there is a -- tender pipeline is good. And what was the question? I don't know.

Rajeev Gupta: New capacity...

Anil Gupta: New capacity will come up only after 1 year. So there is a good tender pipeline. I think this sector will -- segment will see a good substantial growth in the coming years. So the capacity is being created, keeping a vision of next 3 to 5 years in the Indian market as well as overseas markets.

Charanjit Singh: So sir, from the Indian market perspective, can you give some numbers in terms of how large is the EHV market? What is the kind of size it could be come in the next 3 to 5 years, like you are envisioning and creating the capacities accordingly?

Anil Gupta: I think at this moment, the market size in the EHV segment is -- should be close to Rs.3,000 crores. And I think in next 3 to 5 years, it should -- in 3 years' time, I think it should reach around Rs.6,000 crores, and it should be growing faster actually in my opinion, but I don't have any real data to support it.

Charanjit Singh: Got it, sir. Sir, my other question is on the wiring side. If you can touch upon the...

Anil Gupta: One more thing I want to mention that all our EHV capacities, whatever we are creating, we

always -- in case EHV orders are not enough, we always use the capacity for manufacturing HT cables. So none of the capacity is idle at any given point.

Charanjit Singh: Got it, sir. Sir, my second question is on the wiring side. Hello hello

Rajeev Gupta: Boliye charanjit ji

Charanjit Singh: On the house wires, in that market in terms of our market share currently and what is our aspiration going forward? And in terms of the distribution network, where we are versus where we had when we started the journey on the house wiring side?

Rajeev Gupta: See, Mr. Charanjit, every year we are able to add 5 % to 7% number of dealer-distributors. And in that also, what we do is, year after year, strengthening of the dealer-distributor team. Because those who are weak or whose focus is not on the market, we replace them with strong dealer-distributors.

That's how this growth is coming. And in the areas like Southern Belt and Eastern Belt, where there was a little less work earlier, our employment is also generating more. Our employees are also getting new dealer-distributors accordingly.

So, overall, there is focus on North, East, West, South. And the growth rate, which is on an average earlier, the focus is to grow at 22%-25% because we still have a lot of geographies to tap in the East and Southern area.

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Charanjit Singh: Ok sir, thanks for taking my question that's all from my side

Moderator : Thank you. The next question is from the line of Rahul Maheshwary from Dolat Asset Management. Please go ahead.

Rahul Maheshwary: Hello, am I audible ?

Moderator : Yes you are audible

Rahul Maheshwary: Congratulations on the best set -- good set of numbers. Sir, one question. Can you give some highlights or insights on the solar specialty cables, which -- what kind of numbers are we clocking? And also, we had earlier told that the Sanand facility will be used also for the HVDC opportunity,

which would be coming. So can you give some opportunity size, numbers or TAM that will be very helpful.

Anil Gupta: Sir, I'll reply this. Solar, we are already catering to all the major solar developers all over the country. And even we are exporting solar wires now. In Sanand facility, we are also creating a new process to manufacture solar wires, which is electron beam process, radiation process. So that also we are creating so that our size of sale in this segment grows up because many customers ask for that kind of process to be adopted during manufacturing.

Secondly, regarding HVDC cables, HVDC cables is an upcoming segment in Indian transmission sector. As of -- it will take a little bit time to get a substantial growth in this segment. But what -- facilities what we are creating in Sanand, that is common for HVAC and HVDC cables. So HVAC, which we are presently manufacturing for last 15 years and selling in Indian market and also exporting. HVDC is in prevalence in many European and U.K. countries. In India also, a number of HVDC projects has been executed, but with imported cables.

So our -- what I can say is our facility will be fully used for HVAC and HVDC extra high-voltage cables, but it is difficult to quantify because HVDC, it will take a little time, maybe around 2 years for us to develop our prequalification and type tests, etcetera, which are long-duration tests. So at this moment, it is difficult to give any projections for HVDC.

Rahul Maheshwary: Sure. And sir, just want to know that can you give some growth or what kind of growth rate we are growing in the solar specialty cables and etcetera? And also going forward, we will just stick with the wires and cables or we will be coming with the solar-related products also because the entire industry is growing towards -- moving towards that chain. So what's your proposition for KEI?

Anil Gupta: Our -- we will remain focused on wire and cables business, whether for solar or for other industries. So we don't intend to diversify in other item chains of solar industry. And I think in solar, the growth rate is very high, but I don't have the exact data that how much is the solar. But definitely, the growth rate in solar -- with the solar developers is very, very high.

Rahul Maheshwary: Thank you so much, sir. Best wishes

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Moderator: Thank you . The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead

Dhruv Jain: Thank you for the opportunity Sir, my first question is on the domestic institutional cables

business. So we've seen KEI do very well in this quarter. Just wanted some color on which sectors have contributed to growth. And even from a FY '26 perspective, from a tendering activity, which sectors are likely to drive growth for KEI? That's my first question.

Anil Gupta: Sir The major institutional sale of cables is coming from power transmission and distribution companies and related EPC contractors, secondly EPC solar power developing companies who are creating and developing solar power projects and related power evacuation infrastructure. So the major -- and also the other institutional customers who execute -- or EPC contractors who execute projects in power generation projects, whether it is thermal, hydel or projects like tunnel ventilation and other projects.

See, cables always goes into some project. Only thing is how we are selling. Sometimes we sell it directly our B2B, I mean business to business, where we sell directly to the end customer. Sometimes same sale, we are doing through the dealers who are -- but ultimately, the user will be some project. I think I'm clear.

Dhruv Jain: Yes, sir. Got it. But just wanted your sense that which sectors are doing well. So obviously, power has been historically also one of the key users...

Anil Gupta: All sector of energy sector.

All segments of energy sector, whether power transmission, generation, distribution. In power, whether it is thermal power projects, which are now again coming up in a big way. Solar power is now at the peak at this moment. And related infrastructure of solar power like battery energy storage projects.

And I think in 1 to 2 years, we will see a substantial segment of pump storage projects, which will be in advanced stage, then data centers, which is -- consumes a good amount of. And then this building construction, commercial, hospital and other infrastructure buildings, they also consume substantial amount of wires and cable. And the new manufacturing plants, infrastructure plants like metros, rail and railways.

Dhruv Jain: Got it, sir. Sir, second question is on the housing wire side. So over the last few years, KEI has been outperforming the market given that you were late entrants. But now that you've become a substantially large player in the housing wire market, just wanted to get your thoughts that, say, how -- when does this growth start to normalize?

Do you still have that -- say, in the next 2 or 3 years, you still believe that in the housing wire side, you can grow at that 24%, 25% range or it will start normalizing towards the company level 18% to 20% sort of growth in the next, say, 1 or 2 years?

Anil Gupta: See, I don't know what happens after 2 years. But as of today, I believe that it should grow -- be growing around 20% to 25% in this segment.

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Dhruv Jain : Got it sir , Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Amit Agicha from HG Hawa. Please go ahead.

Amit Agicha: Good afternoon sir and Congratulations for a good set of numbers Y-o-Y. Sir, most of the questions have been answered. Like I will be asking this last question, like the strong cash position, like are there any plans for dividend buy back or M&As?

Rajeev Gupta: Sir, as of now, we are doing the capex expansion mode, and we need to spend another Rs.500 crores to Rs.700 crores year after year. So once we will do this completion, the expansion and then after 2, 3 years, we can think. But as of now, there is a no.

Amit Agicha: Sir, the second question is related to the order book -- pending order book, which is Rs.3,921 crores. Like what is the execution pipeline and visibility across the quarters?

Rajeev Gupta: Normally, whenever we have the institutional order, whether domestic or from export, it has to be executed within 3 to 4 months' time. Sometimes it may take 5 months also. But normally, average pending order situation is 3 to 4 months on ly.

Amit Agicha: I appreciate the answer for my question all the best for future .

Rajeev Gupta: Thank You

Moderator: The next question is from the line of Nikhil Purohit from Fident Asset Management.

Nikhil Purohit: I have just one question. What was the cable share inclusive of exports in the institutional business and the cable share in the distribution -- the B2C business?

Rajeev Gupta: See in the domestic -- in the export, we are selling mainly wire and cable only because stainless steel wire is very little amount. And in export market, major share is for cable and wire and a little bit share for EPC. One project going on in the Gambia and Nepal, but the major share is belong to cable itself.

Nikhil Purohit: The major share is cable in the export business?

Rajeev Gupta: Yes.

Nikhil Purohit: Okay. And just in B2C, what is the cable share?

Rajeev Gupta: B2B almost 50-50...

Nikhil Purohit: B2C, B2C...

Rajeev Gupta: B2C almost . Sometimes a little bit higher, a little bit lower, but almost 50-50.
Moderator: The next question is from the line of Balasubramanian and from Arihant Capital. Please go ahead

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Balasubramanian: Good afternoon sir i think we have a dealer and distribution channel network of more than 2,000. And so we could share the mix of South, West, North and East side. And right now, we have a channel financing coverage of 70%. And what's the -- is there any time line -- is there any target to increase? And what was the time line?

Rajeev Gupta: So there is no time line. Whenever we add new dealer distributor, it takes 4 to 8 months. Also, 70% has been covered . And slowly, slowly, whenever there are new dealer distributors getting added, they will be also included in the channel financing scheme.

Balasubramanian: Sir, on that network side, you can share like percentage terms like where we have penetrated more and where we are targeting?

Rajeev Gupta: Please repeat your question?

Balasubramanian: No, sir, like out of 2,000-plus dealer distribution channel side, like if you could share percentage terms of like South, West, North and East? Like where we have penetrated more and...

Rajeev Gupta: We are trying our level best to increase our dealer distributor network in the Southern and Eastern part, but long miles to go. So it will take a longer time to reach out to every market.

Balasubramanian : Okay, sir okay sir Thank you

Moderator: The next question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead .

Vidit Trivedi: Yeah thanks for the question You just mentioned that Middle East and the Australian geographies are a stronghold for you. But recently, I think China and Australia has entered into its zero tariff policy. So don't you think there will be a headwind for us when we compete with China and Australian markets?

Anil Gupta: Australia -- China is already a strong player in Australian market for many years, and they have better proximity compared to India. So in spite of that, our -- we have been exporting our cables to Australia for last more than 11 years now. So I don't -- it's not that China is there anything new. They are already there.

Vidit Trivedi: And sir, what are the three top destinations for us ?

Rajeev Gupta: Middle East, Australia and Africa. Apart from this, Europe and US

Vidit Trivedi: And sir, second, on the EBITDA margin guidance. You have been guiding that close to 11% is quite doable. My question is that you guys are eyeing a top line -- sorry, EBITDA -- sorry, exports contribution of close to 18% in the coming few years. So don't you think that our guidance can inch up from here, let's say, 11.5% or 12%-ish kind of a number?

Rajeev Gupta: So when it will reach to 18%, then it is -- it will automatically come up to 11.5% or maybe more. automatically, it will come.

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Moderator: Thank you. Ladies and gentlemen, this was the last question for today. And now I hand the conference over to the management for closing comments. Over to you, sir.

Anil Gupta: I thank you, our respected investors to be on this conference call. We are always available to answer any of your queries. You may feel free to reach out to us. Thank you very much.

Rajeev Gupta: Thank you everyone.

Moderator: On behalf of Nuvama Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

KEI Industries Limited

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KEI/BSE/2025-26 Date: 19.10.2025

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Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter ended on September 30, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Thursday, 16th October, 2025 to discuss the Unaudited Financial Results (Standalone and Consolidated) for the quarter ended on September 30, 2025 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2025/10/nuvama-keiindustries-oct16-2025.pdf>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(ANIL GUPTA)

Chairman-cum-Managing Director

CC:

The National Stock Exchange of India Ltd.
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Mumbai – 400 051 The Calcutta Stock Exchange Ltd.
The Senior Manager, Listing Division,
7, Lyons Range, Kolkata-700001

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"KEI Industries Limited
Q2 FY '26 Earnings Conference Call"
October 16, 2025

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR –KEI INDUSTRIES LIMITED
MR. RAJEEV GUPTA – EXECUTIVE DIRECTOR ,
FINANCE AND CHIEF FINANCIAL OFFICER – KEI
INDUSTRIES LIMITED

MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

KEI Industries Limited
October 16, 2025

Moderator : Ladies and gentlemen, good day, and welcome to KEI Industries Q2 FY '26 Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone.

I now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities. Thank you, and over to you, sir.

Achal Lohade : Yes. Thank you, S wapnali . Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we are glad to host the senior management of KEI Industries Limited to discuss Q2 FY '26 earnings. We have with us Mr. Anil Gupta, Chairman and Managing Director of the company; Mr. Raj eev Gupta, Executive Director, Finance and CFO. We'll start the call with the opening remarks from the management and then move to Q&A session. Thank you, and over to you, sir.

Anil Gupta : Yes. So good afternoon, everyone. I'm Anil Gupta, Chairman and Managing Director, KEI Industries Limited. Thank you for attending this investor conference call of KEI Industries. I'll give a brief about although you have the brief of our Q2 results, I'll give a brief.

Net sales in Q2 FY '25 -'26 is INR2,726 crores. So growth achieved is 19.38%. However, Wire and Cable segment has grown in this quarter by 22% over previous year same quarter. EBITDA this quarter is INR311.63 crores with a growth of 31.2%. EBITDA net sales margin is 11.43% against 10.4% in the same period previous year. Profit after tax in this quarter is INR203 crores against INR154.8 crores last year. Growth in the profit after tax is 31.47%. So the profit after tax net sales margin is 7.4% against 6.78% previous year same period.

Domestic Institutional Cable sales, Wire and Cable is INR581 crores in second quarter against INR615 crores last year. Domestic Institutional Cable sale Extra High -Voltage Cable is INR128 crores against INR73 crores previous year. So the growth in this segment is 76% . Export sales in this quarter is INR472 crores, which so we have achieved all -time high Export sales of INR472 crores against INR241 crores last year with an overall export growth of 96%.

Total Cable Institutional sale B2B sales contribution, including e xport is 42% as against 39% in the previous year. Sales through dealer network, which is B2C was INR1,475 crores in the second quarter against previous year same period INR1,258 crores. Growth is approximately 17%. The B2C sales contribution was at par with 54% in second quarter as against 55% previous year. Sales of EPC division other than Cable is INR47 crores against previous year INR80 crores. Sales of Stainless Steel Wire is INR53 crores against INR59 crores last year.

Now I will brief about the first half summary, 6 months. The net sales is INR5,316 crores. So the growth in net sales is INR 22.25 crores. EBITDA is INR609 crores , growth is 29.65%.

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EBITDA/ net sales margin is 11.46% against 10.81% in the previous year same period. Profit after tax is INR399.26 crores against INR305 crores. Growth in the PAT is 30.88%. The profit after tax /net sales margin is 7.51% versus 7.01%.

Domestic Institutional Cable sales is INR1,292 crores in this first half with a growth of 9%. And the growth in extra high -voltage sale is 61%. We have achieved INR244 crores against INR152 crores last year. Export sale in first half is INR846 crores against INR474 crores last year. The growth in Exports is 79%. Sales through dealer network is INR2,800 crores. The growth in B2C sale is 20%. The total active working dealer for the company as on 30th September is 2,100.

I will the present order booking is INR3,824

crores as on 30th September 2025. There is strong demand for the wires and cables. We are seeing witnessing very strong growth in our Exports and Domestic market is equally strong, but we have shifted some of our domestic capacity to the Exports, resulting into a little lower Domestic growth.

As soon as our new capacities, our new first phase of Sanand is operational by November '25, more than 50% of the capacity will come on board from December and which will add significant growth from fourth quarter onwards from Sanand to our existing operations.

I don't see any less slowdown in demand growth in domestic market because the growth is driven by energy sector, especially solar and wind projects, transmission and distribution, data centers and construction activity, which includes commercial and residential real estate and infrastructure projects.

So this is a brief from my side. I'll be ready to give any answers to whatever your queries you have. Thank you very much.

Moderator : Thank you very much . The first question is from the line of Natasha Jain from PhillipCapital. Please go ahead.

Natasha Jain : My first question is on the cable side. Can you break the number, 22.5% in volume and pricing, please?

Anil Gupta : The volume increase in Wire and Cable segment is 15% and rest is due to price increase.

Natasha Jain : And sir, have we been able to pass this pricing benefit or will it show in the third quarter?

Anil Gupta : Yes, absolutely. I've been saying that all the retail segment pricing is revised every 15 days and more than 54% sale is through B2C network. And the B2B sale, whatever orders are there, we always keep inventory of copper and aluminum vis-a-vis our orders book, either in booking or with in the factories.

A lot of orders from B2B segment have price variation clause available with us. So we don't get any you can see from our margins, EBITDA margins over the last 15 years, commodity price goes up and down, but our margins are not impacted because of the increase or decrease in the prices.

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Natasha Jain : Understood, sir. And one more question. There was a notice in the exchange from the monitoring agency saying that there has been some fallback in terms of capex and therefore, there is a delay.

Can you help us understand how much delay in terms of Phase 1 and Phase 2? And would that mean that in quarter 3 and 4, we will be restricted at around 20% top line growth?

Anil Gupta : The first phase delay is close to 4 months. It is mainly because of the challenges faced during increased tenure of rains in Gujarat and also challenges from the contractor side because of the labor shortages. But now the first phases, which contributes more than 50% to the capacity of the total plant will be operational definitely by in November. It is now we have already started the trial runs. And by November, commercial production will come out.

And so far as Phase 2 is concerned, which consists of mainly extra high-voltage cables and medium-voltage cables, that is delayed by approximately 9 months. It is mainly because of the complexities faced in construction of vertical tower of 158 meter, that is around 550 feet towers on which machines will be erected.

This extraordinary construction activity was complex. And truly speaking, no architects or consultants or contractors had much experience in building making this type of construction. So hence but now the designs are set, we have already reached to approximately 32 meter of the tower height, and now it is going smoothly. So there won't be further delay what we have said, projected in our commentary.

Natasha Jain : Understood, sir. So at least average of 4 months delay means at least the second half, which is usually stronger will probably lag in terms of growth? So can you just help us understand what the growth can we expect

? Are we in line to meet our annual guidance? Or could there be some fallback in terms of top line growth?

Anil Gupta : We had guided 17% to 18% growth for FY '25-'26. And I assure you that our growth will be more than that. And we will definitely cross 20% growth over and above last year.

Moderator: The next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami : Sir, with the process of now delay in Sanand plant, where our EHV and MHV as well as LT cables, where do we see the mix in the next 2 years? And sir, beyond that, what sort of demand are you sustaining? What's your probable growth or what are you seeing in the demand sustaining?

Anil Gupta : This business will continue to grow for next several years because of the infrastructure demand and growth in the energy sector. Energy growth in the solar, wind and energy consumption sectors will continue to drive the demand of our products. You can see from the data that how much new capacities are planned in solar, wind, even thermal power generation, battery energy storage projects, which are linked with solar projects. And also the projects will be which will use this energy.

So this energy has to be carried by cables only to the consumption projects, consumption centers, whether it is industrial or residential or infrastructure. So the data centers will be a good growth

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drivers for the cable industry . And we hope that with the increased economic activity in the country, in India as well as in the world, the demand for wire and cable, electrical wire and cable will grow substantially.

Anupam Goswami : And sir, capacity mix after the Sanand plant and what sort of revenue are we from the Sanand

plant, what sort of revenue are we expecting FY '26 and '27, given the delay?

Anil Gupta : See, once full project is completed, we have estimated a revenue of around INR6,000 crores from the whole project. With the commissioning of first phase of this first phase in Sanand in November '25, around 50% of the capacity will come on board, which means around INR3,000 crores of new capacity will come on board, which will be gradually convert into revenues from the fourth quarter onwards and in the next financial year, because the capacity ramp-up and the stabilization of production will be gradual.

Rajeev Gupta : But the overall growth guidance, which we have given earlier, that will remain the same in the current year as well as for the further years also. So future year guidance was 20% to growth.

We will be maintaining that guidance.

Anupam Goswami : Okay, sir. And sir, your capacity mix lastly after the Sanand plant?

Rajeev Gupta : Capacity, because out of INR6,000 crores, which Anil has just spoken, it's close to INR1,200 crores belongs to extra high-voltage and INR4,800 crores will be for low-voltage and medium-voltage power cable over there.

Moderator: The next question is from the line of Mr. Saumil Mehta from Kotak Mutual Fund. Due to no response, we will move ahead with our next participant. Now I would like to invite Mr. Praveen Sahay from PL Capital.

Praveen Sahay: My first question is related to the export because in this quarter, the export has been very good. And even in your media interaction indicated around 18% to 19% of our export contribution to be in the future.

Rajeev Gupta : Hello. Praveen, your voice is not clear.

Anil Gupta : Your voice is cut. I think we are not able to hear.

Rajeev Gupta : But he was asking about export.

Anil Gupta : But his question was regarding export. So I didn't hear the full question. So I don't know what was the question? Can you repeat the question, please?

Moderator: Mr. Mehta?

Rajeev Gupta : Mr. Praveen.

Anil Gupta : Mr. Praveen Sahay from PL, Prabhudas Lilladher.

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Moderator: I'm so s

orry to interrupt. I believe he has left the chat. So moving ahead, now I invite Mr. Jai Chauhan from Trinetra Asset Managers.

Jai Chauhan : So sir, I was just trying to understand the value chain of the EHV and the prospect of the EHV for the current business. So I just wanted to understand what is the current order book that we have for EHV?

Rajeev Gupta : INR636 crores is the current order book for the extra high-voltage power cable as of now.

Jai Chauhan : And sir, what is the current capacity that we have for EHV?

Rajeev Gupta : Current capacity is close to INR650 crores.

Jai Chauhan : Okay, okay. And sir, can EHV cables can be made in the same plant that we have and or do we need any specialized thing that we are trying to make in Sanand?

Rajeev Gupta : So Sanand, we are making the extra high-voltage power cable through the vertical tower. Here, we are making it through the catenary machines.

Anil Gupta : And also the Sanand plant is for extra high-voltage cable will be highly export oriented. We have taken care of all the technical aspects of the cables, which are required for in the different export markets. Also, it will take care of all the technical requirements of the Indian domestic market as well of the Indian customers, up to 500 kV voltage grade.

Jai Chauhan : Understood, sir. So are there any certifications or pre-qualifications with large global utilities that we are currently underway to ensure swift ramp-up once the facility is operational in FY '27?

Anil Gupta : Sir, we already have a lot of pre-qualification and certification from many international countries for our existing extra voltage facility at Chopanki. And for Sanand, the process of certification has been initiated and it will be and the same certification what we have and experience what we have for the existing plant will be relevant for our new plant as well.

Jai Chauhan: Understood, sir. Got it. And sir, my second question is like you mentioned in the past as well that you have historically managed competition well and it's a good growing market. So there's ample space. But have you is there any since several large and well-capitalized industrial groups are making significant investments, is there any change in your strategic thinking around pricing and dealer relationships over medium term?

Rajeev Gupta : No, sir. There is no strategic change in the mind. We are already enhancing our reach towards the dealer distributor network. We are enhancing the reach towards the export market. So that's how we are open. In the past, we have opened the U.S.A. and European countries. That's how these kind of export are there in the books because we are creating a new big capacity.

So we need to have extra market from the retail, from export, from institution. So that's how these are the process to go and to increase our sales for future also. So that's why the 20% growth

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rate we have projected for next 3 to 5 years. So these are the processes and going to the new markets so that we will not miss from the growth perspective.

Jai Chauhan : Sure, sir. Understood. Thank you. That's it from my side. Thank you.

Anil Gupta : The purpose of diversification of markets is that even if there is a slowdown in any particular market, our company's growth is not slowed down.

Moderator: Thank you. The next question is from the line of Akshay Gattani from UBS. Please go ahead.

Akshay Gattani : Hi, sir. In your opening remarks, you mentioned about data centers leading to demand. So just wanted to understand how much revenue currently coming from data centers and what types of cables are you supplying here in data centers?

Anil Gupta : See, I don't have at the moment exact figures about data centers, but this is I can say it is substantial. And in data centers, mainly it is a combination of cables, right from extra

high -

voltage cables, which are required to feed incoming power to a big data center and then the medium -voltage cable for mediocre level data centers.

And inside the data center, they are mostly copper cables which are mostly copper flexibles and copper power cables and as well as copper control cables. I can't I mean, I'm not a data center expert that we can explain the combination of it. But all kind of cables, what we manufacture goes into a data center.

Rajeev Gupta : But generally, the cost of projects of data center require around 8% to 9% of the wire and cable cost.

Akshay Gattani : Got it, sir. And all this whole 8% to 9% SKUs are available with KEI?

Rajeev Gupta : Yes.

Akshay Gattani : And second last question, sir, on the export business. How much revenue is coming from newer geographies which you have added and what will be the broader product mix for exports like is it EHV and HT -heavy or it's across all the products?

Anil Gupta : It is mainly in export market, we are supplying cables, which is EHV, medium -voltage HT cables and also low -voltage cables. And also one bigger chunk is for control and instrumentation cables, which is used in oil and gas sector, fertilizer plants and process plants like chemical plants. So that is our big chunk, segment of exporting.

Rajeev Gupta : Sir, from the newer geography, almost 25% of the total exports came in this year like U.S. and...

Akshay Gattani : Yes. Thank you.

Moderator: Thank you. The next question is from the line of Pulkit Patni from GS. Please go ahead.

Pulkit Patni : Sir thank you for taking my questions. Sir my first question is, as I look at the total active dealer, typically you see about 30, 40 increase quarter -on-quarter. This time you have 250 dealers that

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have increased between Q1 and Q2. Any special drive that we are doing to sort of grab dealers before there's more competition coming in or maybe I'm reading too much into it because I see the number at 2,343, which is actually 250 dealers more than what you had last quarter. That's question number one, sir?

Rajeev Gupta : Even in the March also, there was 2,082 dealer distributors. As of now, we are having only 2,100 dealer distributor.

Pulkit Patni : No, sir. 2,343 is what I see active working dealers. That's why the question?

Rajeev Gupta : 2,100.

Pulkit Patni : Okay. Maybe there's something wrong in my understanding. I saw 2,343. Sir, my second question is FY '26 is very clear. There's a quarter delay. Guidance remains unchanged. You've done well in the first half. But when I look at FY '27, where there's going to be a bunching up of a lot of this new capacity that gets added, I don't see why your growth should not have been better than just the 20%. So any sort of incremental color that you would want to throw on that? Also, sir, I just checked the presentation, actually, it says 2,343. So maybe there's a mistake in the presentation?

Rajeev Gupta: Okay.

Pulkit Patni: Sorry, go ahead, sir.

Rajeev Gupta : No, that is 2,343 is the value, not number of dealers.

Pulkit Patni : No, the total active working dealer of the company as on 30/9/2025 was 2,343 numbers. That's why.

Rajeev Gupta : Anil ji, correct me because that is the value INR2,343 crores is the revenue and 2,100 is the dealer.

Anil Gupta : And your question was about the higher growth in FY '26-'27. Once this new capacity comes up, our aim will be to achieve higher growth. But at this moment, we are committed for a guidance of 20% growth in FY 26-'27. And as the projects plant start our aim will be to adding production and markets may take a little time. You can build a plant and capacities in one go, but creating markets may take some time.

Pulkit Patni : Very fair point. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Praveen Sa

hay from PL Capital. Please go ahead.

Praveen Sahay : Sorry about the last time. So my question is, sir, related to the export. As on the Y-o-Y side, if I look at 11% of a contribution reached to 17%. And also you highlighted the HT extra high - voltage and control cables are the major product you export. Even all these like 11% to 17%, even the product is HT, EHV, your HT cable declined for a quarter. So how to read that? If I

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look at HT and EHV clubbed together, that is also together, revenues declined Y-o-Y. So how to read these numbers, if you can explain?

Anil Gupta : I think it is mainly because of a lot of un-cleared finished goods which could not be dispatched due to the reasons attributable to the customers. That's the only reason.

Rajeev Gupta : But basically, Praveen, year-on-year comparison, basically, last year, we were not having sufficient sale in EHV. So that EHV capacity was utilized for HT power cable.

Praveen Sahay : Right. Right. Okay, sir. Second thing, if you can give some color on the domestic volume as well because the cable, you had said a 15% overall volume growth. How is the domestic?

Rajeev Gupta : So, domestic market is also very strong, along with the export because export we have created last year new geography. So to maintain that geography, as Anilji has said, he allocated the capacity towards export because that is a newer market for us. Since we are going ahead with a large capacity addition, so additional market need to be there. So that's how this capacity was sold to export market more than the domestic market.

This doesn't mean that the domestic market is anyway weak. It is a very strong market. We are having close to INR2,100 crores order book pending order book as of date from the domestic institutional market. Market is very strong.

Praveen Sahay : Okay. And last question, sir, related to the Housing Wire and Winding Wire, where the contribution reached to around 33%, 34%. So, do we see this contribution in the coming years to increase further?

Rajeev Gupta : Sir, always, as we communicate to you that difference between the geographies like sometimes export will be higher, sometimes retail will be higher, sometimes institution will be higher. Same case with the product-wise. Sometimes EHV is low or EHV is higher, sometimes wire is low, wire is higher, sometimes LT, HT is low and higher. So these kind of interchange intermix will always be there in future also.

But overall growth target, which we have given this year for 17%, 18%, we are already surpassing those targets. For the future years, we have guided already that next 3 to 5 years, we will be maintaining a 20% plus CAGR growth. It still we will be maintaining a 20% CAGR growth.

Praveen Sahay: Right, sir. Got it.

Rajeev Gupta : For the individual product-wise or individual market-wise, we can't comment.

Praveen Sahay: Right, sir. Got it. Thank you and all the best. Thank you, sir.

Moderator: Thank you. The next question is from the line of Mr. Saumil Mehta from Kotak Mutual Fund. Please go ahead.

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Saumil Mehta : Yes. Thanks for the opportunity. Two quick questions from my side. When I look at this particular quarter, the Domestic business growth seems to be very muted at about 3%-odd growth. Now even if I adjust and adjusting for that, the price increase, the volume would have actually been flattish or even a decline. So is my understanding correct? And was this more consciously led given you would have...

Rajeev Gupta : I will brief you. First of all, volume driven by the copper and aluminum. Sometimes aluminum order is more, sometimes copper order is more. As Anil said, that in export, majorly we are asking for the copper.

Saumil Mehta: Sure.

Rajeev Gupta : So in this quarter, copper increased by 18% and alum

inum increased by 3%. Copper price is 3x

higher than the overall with the aluminum. So that's why the production got increased in value terms by 22%. So the combination mixing, which was aluminum w as earlier 58% and copper was copper cable was 42%.

Now the copper has reached to 45% and aluminum has gone down to 55% overall product mix.

So this kind of interchanging in the mix will always be there, as I said e arlier, within the product, within the segment and within the geographies also like export and India.

Anil Gupta : Because we don't know which one from where the order is coming and which customer is taking, but there will always be a variation in this.

Rajeev Gupta : So for us, important is how to utilize the capacity and maintain growth.

Anil Gupta : And there is no question of domestic market being new. It is only we have allocated more capacity towards export because we had opportunities and it is importan t to create new geographies because of the upcoming new capacities we are having getting in Sanand. So we have to create the markets overseas so that our capacities are utilized.

Saumil Mehta : Absolutely clear. So in that case, sir, Rajeevji, when you ment ioned a 15% volume growth for the quarter, would it be possible to quantify a ballpark what would be for the domestic?

Rajeev Gupta : No, no, sir. We cannot quantify that domestic because in domestic, we are having the value terms now.

Anil Gupta : And overa ll volume growth in first 6 months is around 15%.

Saumil Mehta : 15%, okay. And my second question was sir ...

Rajeev Gupta : Because of the copper and aluminum mix change.

Saumil Mehta : Perfect. Perfect. And sir, going into '27, how should we look at margin? Now the idea of asking this is while our Exports and EHV are growing, obviously, that is, I believe, a slightly better margin compared to other products. Going into '27, the base will also become unfavorable, and

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there seems to be some delay at Sanand as well. So I mean, what kind of margin expansion one should build going into '26 -'27?

Rajeev Gupta : Sir, '26 -'27, the same kind of margin we will be having the kind of margin we were hav ing in '24-'25 and '25 -'26. So the same margin will be there, but the growth will be more than 20%.

Anil Gupta : And more than around 50% of the capacity will be on board by November this year in Sanand.

Saumil Mehta : Perfect. Perfect. And last thing, any m argin expansion, if at all, will be more in '28 once the entire capacity gets commissioned in Sanand. Would that be a fair assumption?

Anil Gupta : Definitely, there will be a margin expansion by 1% to 1.5%.

Saumil Mehta: Okay. Perfect, sir. Thank you so mu ch and all the best for subsequent quarters.

Anil Gupta : Thank you, sir.

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : Good afternoon, sir. Thank you so much for the opportunity. The HVTC opportunity is significant, but it required at least a 2 -year prequalification process. I just want to understand what are the specific technical and certification milestones for the next four quarters we have planned? And which global projects or utilities we are targeting for initial HV TC cable supply upon successful certifications?

Rajeev Gupta : Normally, these are the processes we are going through since last 20 years in the company. W e have grown various projects in the past. So the same way we will be doing this project also. So these are the regular ongoing process to add new customers, new approvals, new geographies.

So for us, these are not new. So these are the regular processes. So that's why we are continuously repeating that the growth rate of 20%, which we have given you earlier, we will be maintain ing.

Balasubramanian : Okay, sir. Sir, B2C contributes nearly 51% of sales and grow

ing at 20%. And this institutional

B2B channels g rew even faster, nearly more than 30%. And like what kind of optimal medium - term to long -term mix between these two segments? And how does this align with higher margin potential from Institutional and Export segments?

Rajeev Gupta : So normally, with respect to margin s, in our case, only 0.5% margin is higher in the case of retail . So margin is not very different. Normally with our kind of organization, we are happy to maintain a 50% sales through retail and 50% sales through institution, including the export market. But sometimes it will be a little higher or little lower. But normally, the 50 %-50% will be there.

Balasubramanian : Okay, sir. Sir, our finance facility is majorly focused on export side. And but our current export side, as you loo k at on t he U.S. are nearly INR150 crores to INR 160 crores kind of range we

have exposure. Based on the current tariff -- uncertainty in tariffs, which are the specific geographic regions we are targeting, like Middle East, Australia, Africa or Europe? And which

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are the regions are prioritized over the next 12 to 18 months? And what are the concrete go-to-market plan for each regions?

Rajeev Gupta : So for us, the matter is how we are utilizing the capacity. Whether we are selling to domestic market or we are selling to export market, that is the second part. So our first priority is to grow 18% to 20% range. That's how we are focusing on all the markets, whether it's Exports or Retail or Domestic Institutional.

From where we get the order first, we are utilizing our capacity there only because margin is only 0.5% differential. So for that, we are not very fussy about that, we will only export or we will do only the retail. So we are going ahead with all the markets. And from where we are getting the order, first, we have to execute it first. So for us, more important is to utilize the capacity.

Balasubramanian : Okay, sir. Sir, lastly, EPC segment side. In this quarter, we have seen like significant degrowth. Is there any -- is that we are planning to completely exit this business or want to maintain minimal presence for strategic reasons?

Rajeev Gupta : Normally 2%, 3% as far is coming from EPC ...

Anil Gupta: We will be able to -- our aim is to maintain INR 400 crores to INR 500 crores sales in the EPC segment. That is our goal on a yearly basis.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset .

Rahul Agarwal : Sir, three questions. Firstly, on margins. I mean, people always ask you that how will the margins be going forward, and we've been very vocal about it, that margins will improve going forward once the mix improves and new plant comes up.

Just wanted to understand, even when we -- such quarters like just gone by, where we see more Exports, more Housing Wire growth, lesser of EHV growth, HT, LT contribution is lower. Our margins are still hovering around 10%. Any comments on this? Like despite mix change, margins don't really change?

Rajeev Gupta : Sir, as we already spoke to in the past also because something or other thing is happening. So these kind of margins, 10% to 10.5%, will remain there. And once the EHV and the full operational of the Sanand plant is there, then 1% to 1.5% margin, EBITDA margin will get improved mainly because of economy of the scale.

Rahul Agarwal : Got it. Second was on Housing Wire. I think we are soon reaching like INR 1,000 crores run rate in sales per quarter. Our brand spends, when I see last year, we incurred INR 50 crores.

Incrementally, building this brand on the wire side, obviously, you've done a commendable job in terms of scaling up this business over the last 3 years. Any thoughts in terms of incremental branding and spend? How would you want to go about this?

Rajeev Gupta : So same type of branding expenses

will be there, almost 0.5% we are spending on the brand. So the same kind of spending in 0.5% of the revenue will be there.

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Rahul Agarwal : And IPL sponsorship? And any other thought in terms of getting more customer now, sir?

Rajeev Gupta : IPL, we've been doing since last 9 years, and IPL will be continuing.

Rahul Agarwal : Okay. And lastly, just on the renewable consumption of electricity at your own manufacturing plants. I'm not aware of what is the ratio right now. Just wanted some comments on how are you looking at the Sanand plant?

Rajeev Gupta : As of now, all the plants, we are having the rooftop energy through the solar. So that is there.

Rahul Agarwal : Just wanted to know for the Sanand plant, is there some thing where we should see some savings on electricity? Because over there also, is there a higher proportion of renewable energy?

Rajeev Gupta : So renewables will be only through the rooftop only or unless until we connect some through...

Anil Gupta: No, no, we are working on a tie-up with some solar developers for a combination of solar and wind power over a period of next 15 to 20 years agreement. So I think we will conclude those such agreements in next 2 to 3 months. So that will save us the power cost.

Moderator: The next question is from the line of Sandesh Shetty from HSBC.

Sandesh Shetty : Sir, can you give the order book breakup that you usually give? My first question is that.

Rajeev Gupta : The EPC order book is INR 484 crores. Extra high-voltage power cable is INR 636 crores. Cable domestic institution order book is INR 2,068 crores and export cable order is INR 636 crores.

Total order book is INR 3,824 crores.

Sandesh Shetty : And sir, one thing -- one question on the order book, sir, it has been fairly flat for some time now. So any thoughts on that? Will we see growth in coming quarters?

Anil Gupta: There 54% of the business, which is done through B2C, such orders are executed maximum within 15 days. So those orders are never added in the order book. Order book is only for Institutional B2B sale and EPC.

Sandesh Shetty : Okay. Understood. And sir, one last question. Sir, this quarter, we have a very good exports. What would be the key end markets for the Exports business, like where this export cable going to?

Anil Gupta: Our exports are majorly going to Australia, Middle East, especially Abu Dhabi, Kuwait, etc. And all of the Middle East. Then we are exporting to Africa. We are exporting to -- now we have some developed a few customers in Europe as well and U.S. U. S., we did last year around INR160 crores of Exports, and we are sure that once this tariff matter is resolved, our export to U.S. will recommence the strike.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital .

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Dhruv Jain : Sir, just one question. If you could just give us the data for the existing plant capacity utilization. And for FY '27, how much of the growth could come from the existing setup apart from the Sanand plant?

Rajeev Gupta : Capacity utilization was 78% in Cable division and 65% in House Wire division, 85% in SS Wire division and 46% in the communication cable.

Dhruv Jain : So sir, I mean incrementally for next year's growth that you're talking about. The 20% growth that you're talking about, I mean, broadly 5% to 7% would incrementally come from the existing capacity. Is that understanding correct?

Rajeev Gupta : Yes. Because the wire is not there in Sanand. Wire is only in the Silvassa plant.

Dhruv Jain : Okay. And sir, just one clarification. So this order book that you spell out, what's the execution time line for that?

Anil Gupta: Normally, cable orders, we execute maximum within 4 months. And EPC orders are -- there is a time line of normally 18 months.

Dhruv Jain : Okay

y. And this order book incrementally will start building up as the Sanand plant comes on stream, right? Is that understanding correct ?

Anil Gupta: Yes. No. It will be mostly B2B, wire and cable orders of B2B Institutional sale and also the EHV order.

Moderator: The next question is from the line of Kunal Sheth from B&K 360 One.

Kunal Sheth: Yes. Hi, sir. My questions were related to margin. They have been answered.

Moderator: The next question is from the line of Nikhil Purohit from Fident Asset Management.

Kunal Sheth: Yes. Sir, my first question is, sir, with Phase 1 of the Sanand facility coming on stream and around INR1,000 crores of the capex being deployed this year, which will, of course, significantly expand the gross block. How should we think about the step-up in fixed costs, such as like overhead, maintenance, other expenses, like over the next year or so, how might that trend look like?

Rajeev Gupta: So next year, we are utilizing the capacity. So all the expenditure and overhead will be recovered from that. So next year, we are planning to take the topline of more than INR2,000 crores to INR2,500 crores from the Sanand plant.

Kunal Sheth: So how would the -- like the other expenses and employee -- like how the employee cost that...

Rajeev Gupta: It will be the same because we are already existing manufacturers of the wire and cable. And we will be adding the manpower depending on the utilization so that we will not incur extra overhead.

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Kunal Sheth: Okay. Okay. And for the full year, what ratio do we see for exports to domestic as a percentage of total sales in this year and next year?

Rajeev Gupta: So normally, this year, close to 13%, 14%, we are trying to reach our export.

Anil Gupta: No, no, more than that, around 18% of our sales through exports in the next financial year.

Kunal Sheth: For FY '27 you've said?

Anil Gupta: Yes.

Kunal Sheth: Okay. Okay. And can you give me the volume growth individually in wires and individually in cables for this quarter?

Rajeev Gupta: Sir, we have the mixed plants now. So individually, the product-wise volume cannot be given

because we have the metal consumption actually. On that basis, we are giving you the data.

Kunal Sheth: The copper and aluminum that you talked about earlier?

Rajeev Gupta: Yes. Yes. Because within the same plant, we are manufacturing wire and cables .

Kunal Sheth: Okay. Okay. Got it. And the cable to wire breakup in the B2C, is that possible to give the breakup or cables to wires, B2C segment, the distribution?

Rajeev Gupta: See, B2C segment, almost 55% is the wire and 45% is the cable. But sometimes, it reverse also.

Kunal Sheth: Okay. So this time, it is 55 -45?

Rajeev Gupta: Almost. Almost, it is in the range of 50 -50, but sometimes 5% either higher or sometimes 5% even higher.

Moderator: The next question is from the line of Vijayant from Bharti Axa.

Vijayant: Yes. Hi, sir. Sir, we have seen some moderation in domestic volume growth, right? Is it just capacity constraints? And once we expand capacity, that should pick up again or is there something else here?

Rajeev Gupta: It's only a capacity constraint. That's why we are growing 18% to 20%. Now 15% to 20%, whether we can grow from domestic or we can grow from export or we can grow from retail. So it does not matter to us. Ultimately, we have to grow. Which market does not matter. It is not clear that the demand is weak. Demand is very strong in the current market, because the other companies are also working in the same market. So everyone is growing.

Vijayant: Sure, sir. And if you can just help me with the capacity utilization numbers, I may have missed that.

Rajeev Gupta: So capacity utilization is 78% in cable division and 65% in house wire and 85% in SS wire division.

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Vijayant: So sir, these utilization levels could domestic growth not have been higher? I mean you are flat, right, in terms of capacity?

Rajeev Gupta: So see, capacity percentage calculated in terms of kilometers. When the higher volume like extra high-voltage goes, then the capacity in terms of the kilometer will be low as compared when the more cable sales through the low-voltage and medium-voltage. So it is not the exact reflection of the sale, because this calculation is based on the kilometer. But as for the high voltage power cable rail will be 6 times higher than the low voltage or maybe more than that, 10 times higher. So that's why the value growth is important in the case of wire and cable industry.

Moderator: The next question is from the line of Pulkit Patni from GS.

Pulkit Patni: Sir, just a follow-up. I'm not sure if I heard that right. Sir, 15% volume growth is for second quarter or is it for first half?

Rajeev Gupta: First half.

Pulkit Patni: First half is 15%. And your first quarter from what I have in my notes, it was 28% to 30%. That's right?

Rajeev Gupta: Yes.

Pulkit Patni: Okay.

Rajeev Gupta: Sometimes see, volume depends on aluminum and copper actually.

Pulkit Patni: No. No.

Rajeev Gupta: That's why I – yes, combination of these.

Pulkit Patni: That's clear. Clear sir. Clear sir.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Anil Gupta: So, thank dear colleagues. Thank you very much for joining this conference call. I hope that we are able to answer all your queries. If you have any other queries, please feel free to reach out to us. Thank you so much for trusting us.

Rajeev Gupta: Thanks, everyone.

Moderator: Thank you. On behalf of Nuvama Institutional Equities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

KEI Industries Limited

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KEI/BSE/2025-26 Date: 29.01.2026

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Sub: Transcript of Analysts/Investors Call pertaining to the Un-audited Financial Results for the quarter ended on December 31, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Thursday, 22nd January, 2026 to discuss the Un-audited Financial Results (Standalone and Consolidated) for the quarter ended on December 31, 2025 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2026/01/nuvama-keiindustries-jan22-2026.pdf>

This is for your information and record.

Yours truly,

For KEI INDUSTRIES LIMITED

(KISHORE KUNAL)

Sr. VP (CORPORATE FINANCE) & COMPANY SECRETARY

CC:

The National Stock Exchange of India Ltd.
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The Senior Manager, Listing Division,
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"KEI Industries Limited

Q3 FY '26 Earnings Conference Call"

January 22, 2026

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
MR. RAJEEV GUPTA – EXECUTIVE DIRECTOR
(FINANCE) AND CHIEF FINANCIAL OFFICER – KEI
INDUSTRIES LIMITED

MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

KEI Industries Limited
January 22, 2026

Moderator : Ladies and gentlemen, good afternoon, and welcome to the KEI Industries Q3 FY '26 Earnings Conference Call, hosted by Nuvama Institutional Equities. As a reminder, all participant lines will remain in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities for opening remarks. Thank you, and over to you.

Achal Lohade : Yes. Thank you, Ryan. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we are glad to host the senior management of KEI Industries Limited. To discuss the Q3 FY '26 earnings, we have with us Mr. Anil Gupta, Chairman and Managing Director of the company; Mr. Rajeev Gupta, Executive Director, Finance and CFO.

We'll start the call with the opening remarks from the management and then move to Q&A session. Thank you, and over to you, sir.

Anil Gupta : Yes. Good morning. Thank you for joining this conference call. I'm Anil Gupta, CMD of KEI Industries Limited. The brief of this quarter, the Q3 is net sales. You must have reviewed the numbers, which I'll just brief it.

Net sales in Q3 is INR2,954 crores with a growth in net sales is 19.51%. EBITDA in this quarter is INR354 crores against INR254 crores last year with a growth of 39%. EBITDA/net sales margin is around 12% as against 10.29% in the same period last year. Profit after tax is INR234.86 crores against INR164 crores last year. Growth in PAT is 42.5%. Profit after tax/net sales margin is 7.95% versus 6.67%.

Domestic institutional cable sale, Wires and Cable is INR592 crores and domestic institutional cable sale EH V, extra high-voltage cable is INR127 crores. Export sale in this quarter is INR544 crores and overall growth in the Wire and Cable export is 95% in this quarter. Total institutional cable sale contribution is 41% as against 45% in previous year same period.

Sales through distribution network that is B2C was INR1,612 crores with a growth of 29%. B2C sale contribution is 55% in the third quarter as against 50% in the previous year same period. EPC sale other than cable is INR80 crores against INR60 crores last year. Stainless steel wire INR53 crores against INR54 crores last year.

For 9 months period from April to December, net sales is INR8,271 crores with growth of 21.26%. EBITDA 9 months INR963 crores. The growth in EBITDA in 9 months is around 33%.

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EBITDA/net sales margin is 11.64%. Profit after tax in 9 months is INR634 crores. Profit after tax/net sales margin is 7.67%.

Domestic institutional cable sale is INR1,884 crores and extra high-voltage sale is INR371 crores. Export sale in 9 months is INR1,390 crores. So growth overall growth in the export is 79%. Total cable institutional sale contribution in 9 months is 42% as against 41% same period last year, and B2C contribution is INR4,413 crores. So the growth is 23%.

The total active working dealer of the company as on 31st December is 2,114. B2C sales contribution is at par at 53% in 9-month period. EPC sale is INR188 crores and stainless steel wire sale is INR157 crores against INR166 crores last year.

Total order book position as on 31st December '25 is INR3,928 crores, out of which EPC is INR361 crores, extra high-voltage cables INR717 crores, cable domestic INR2,426 crores, export orders INR424 crores and total Wire and Cable segment, INR3,567 crores.

Future outlook. During 9-month period, company has incurred a total capital expenditure of INR928 crores. Out of this capex in Sanand is INR769 crores, Salarpur for

buying a land INR72

crores, Sanand another land has been purchased at a cost of INR24 crores and other locations other plants and locations for plant and machinery INR63 crores.

The total capex payment incurred for Sanand until now is total INR1,353 crores. Another INR200 crores will be spent in this quarter and balance will be spent in next financial year.

Company is hopeful to achieve 20% plus growth in full year period and also will improve our operating margin in FY '25-'26.

Considering Phase 1 commercial production at Sanand and strong order book of domestic institution for cable sale, export orders and extra high-voltage cable as on date. After completing

the Sanand project and the strong demand in domestic and overseas markets, we are hopeful to grow more than 20% in next CAGR in next 3 to 4 years.

I would like to highlight that at present, we are very strong in the institutional cable market, whether it is domestic or export. KEI is the first Indian company to supply several projects of extra high -voltage cables, 330 kV cables to Australia and also supplied 220 kV cables to UAE and Spain. KEI is the only Indian company to qualify in National Grid UK framework agreement for maximum voltages up to 400 kV.

We have expanded our reach to Caribbean islands and supplying to West Indies and many other neighboring countries. In domestic market, we are supplying to entire solar power chain, including Reliance polysilicon factory at Jamnagar. In UAE, KEI has bagged three contracts for supply of 132 kV cables and gaining acceptance as a EHV, extra high -voltage cable manufacturer in Middle East.

So this is a brief summary about the results from my side. And now request to put your questions, glad to answer.

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Moderator: Thank you. We take the first question from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal : Sir, three questions. Firstly, to understand the Sanand ramp -up plan. And if you could elaborate between the segments. I understand that LTHT is going to be a larger portion of this plant and EHV will add another INR1,200 crores of peak sales. So over '27, '28, '29, just wanted to know next 3 years, how do you plan to ramp -up Sanand sales? What products come first? What comes later? If you could just break it into 3 years, that will help. That's the first question.

Anil Gupta : Okay. So LTHT, we have just started trial production in December. And gradually in this quarter, January, February, March, we ramped up. By April, we expect that our electron beam equipment to manufacture, electron beam pure solar wires will be commissioned, and that will add another boost to this plant.

So far as extra high -voltage cable is concerned, and we will also be ramping up our medium voltage cable capacities further by July or August. But an extra high -voltage cable facilities will come up by March '27. So this is going to be the ramp -up. So in next financial year, this project will be complete in all respects.

Rahul Agarwal : Got it, sir. So overall, should I assume that to achieve this, you've spent -- your plan is to spend INR2,000 crores. This should make at least 3x, 3.5x asset turns. We were talking about INR6,000 crores top line, should happen sometime in March '29. By FY '29, we should achieve this entire INR6,000 crores incremental top line. Is that fair understanding?

Anil Gupta : Yes, yes. Absolutely .

Rahul Agarwal : Okay. And second question was on the capitalization of the capex . I understand that, as you said, LTHT trial production started in December, and we have incurred a capex of about INR800 crores in 9 months on Sanand, right?

Anil Gupta : Yes.

Rahul Agarwal : The balance INR500 crores was last year. So , about INR1,300 crores of capex is done till date. How much is capitalized till December of '25?

Rajeev Gupta : So basically, we capitalize

around INR550 crores and balance will be capitalized when this machinery will get start as Anil ji had spoken about the control cable of the electron beam in April and then more machinery in medium voltage in the month of July or August. So accordingly, it will be capitalized in the books of account. But the whole plant will be capitalized by March 2027.

Rahul Agarwal : Okay. So out of the entire INR2,000 crores, how much would be the land cost, sir? I mean, we will exclude that for capitalization, right?

Rajeev Gupta : Land cost was originally INR140 crores.

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Rahul Agarwal : Right. The balance will get depreciated on a full capex basis from fiscal '28. Is that correct?

Rajeev Gupta : '28. Yes , yes.

Rahul Agarwal : Okay. Perfect, sir.

Rajeev Gupta : So the depreciation load will not come in 1 year actually, next financial year because it is in the phased manner. So it will be completely will come only in '28.

Rahul Agarwal : And that would be about 5% of INR2,000 crores, right? About INR100 crores is that fair?

Rajeev Gupta : But in '28, the top line will also be from there alone will be close to INR5,000 crores.

Rahul Agarwal : Yes, I understand that. Yes.

Rajeev Gupta : Yes.

Rahul Agarwal : Sir, third question was just to go back to the Anilji's commentary, we're expecting 20% growth for top line full year. I think we've done like similar 21% in 9 months, and we've seen very sharp rise in copper in December. So just to understand why are we conservative here?

Anil Gupta : No, I think the growth in this quarter should be anywhere between around 25% plus. So we are trying to quantify it in a better manner. But definitely, because of the increase in the copper prices, it will be anywhere -- more than 25% in this quarter.

Rahul Agarwal : Right, right. Got it, sir. Got it. And margins, you've already mentioned that 2 years' time, you should see about 100 bps adding up at EBITDA level. Do you retain that guidance?

Anil Gupta : Yes, yes. I think we have already given a guidance that next year, we expect to achieve EBITDA margins of around 11% overall for the full year.

Moderator: Thank you. We take the next question from the line of Nattasha Jain from Phillip Capital. Please go ahead.

Nattasha Jain : Thank you for the opportunity, sir. Sir, my first question is on the hedging side. So assuming that 50% or rather 40% of your entire raw material cost is metal cost and you are exporting approximately 20%, so that's naturally hedged. For the remaining 20%, I would like to know, do we purchase at spot or do we hedge the entire exposure?

Rajeev Gupta : No, we don't hedge. We are working under natural hedge. We are carrying 3 to 4 months inventory 3 to 4 months pending order from the institution side. And we are carrying 2.5 months plus inventory in our floor and 1-month inventory during the transit period because we are importing.

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Anil Gupta : And also, we are mainly 85% of our metals, we are buying from Hindalco and Vedanta domestically. So it is the purchase is in rupees. So here, the foreign exchange exposure doesn't come into picture.

Rajeev Gupta : So we are working under natural hedge as we were guiding you in the past also.

Nattasha Jain : Got it. Sir, now if I sequentially see your number, the growth has been moderate. I understand there has been a volume constraint. But then if I see your EBIT margin, sequentially also, there's a sharp increase. Now you have historically mentioned your EBITDA margin is usually in a range across your categories.

So if I then calculate the EBITDA just sequentially, the growth is still very high. So could it be possible that because you just said that you have inventory for a longer period of time, so did we also get a benefit of low-cost inventory in this quarter?

Rajeev Gupta :

Madam, normally, whenever we talk of a particular quarter in the past also, when the sudden movement of the price of the copper, either upside or downside, there may be increase or decrease by 0.5% to 1%. But for a full year basis, as we have earlier guided that we will improve our operating margin, which you are seeing from the last year.

And year after year, we are going to improve because of the capacity we are getting increased and the product mix like extra high voltage and the segment like export is increasing. So it is helping us to improve our EBITDA margin.

Nattasha Jain : Understood. And sir, one last question. In terms of wires, how do you see the channel right now? Is it stuffed to more than which is required? Or do you think that fourth quarter will continue to see margin in growth for wires?

Rajeev Gupta : Year after year, in the wiring segment also, we are growing more than 22-23%. So that will remain continue for a full year basis.

Moderator: Thank you. We take the next question from the line of Saumil Mehta from Kotak Mutual Fund. Please go ahead.

Saumil Mehta : Yes. So, thanks for the opportunity. So first thing, what is the total inflation, what we saw on the raw material side for the last quarter? And how much was already passed on to the cables and wires clients? If you can just broadly quantify?

Rajeev Gupta : Sir, as we said that we always carry 2.5-month inventory in floor and 1-month inventory in transit as against that 3 to 4 months pending order position from the institution side, either from domestic or export. So practically, old orders served with the old inventory. But with the retail market, in every 15 days, the retail price goes up or down depending on the price movement. So practically, everything is passed on.

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Saumil Mehta : Okay. And if you can just tell in the quarter which is currently going on, Jan, Feb, March, what are the kind of price hikes you've taken in the retail markets, given copper is on an inflationary trend?

Anil Gupta : The required increase in the list prices of cables and wires has already been done. And now effectively, the sale is happening at the current average prices of copper and aluminium prevailing in January.

Rajeev Gupta : This is a normal routine actually. Whenever copper goes up, price goes up; copper goes down, price goes down. It's a normal practice adopted by all the industry players.

Saumil Mehta : Rajeev ji, that I understand. Just want to understand how many price hikes have happened ? I'm not worried about whether the price hike will pass on or not. I'm just trying to understand how many prices have increased in the retail markets.

Anil Gupta : If I look at the price of house wire, in the last 2 months, the price has risen by around 15% in the selling prices. And in cables, effective December, actually, major price increases have started from December. So, December or January, overall, I can see that 10% rise has occurred in the price of cables .

Saumil Mehta : 10% in the price of cables and more in the wire. And, sir, my last question is, in terms of when you're giving the 20% plus guidance for next year and a 25% plus for Q4, is this more of a volume guidance or a value? And broadly, what is the copper price increase what we are building?

Anil Gupta : See, I can say that volume guidance will be there between anywhere between 16 - 18%. And plus the price inflation in the inputs will be added. So the actual growth should come more than that.

Moderator: Thank you. We take the next question from the line of Anupam Goswami from SUD Life Insurance. Please go ahead.

Anupam Goswami : Hi, sir. Good morning . Sir, just one overall, what we've seen in the industry of a growth of more than 20 -30%, while our growth has been 20%. How do we see this versus the inventory -- industry and volume growth and value breakup

, how it looks like, sir, in this quarter?

Anil Gupta : Sir, our capacities in Cables was almost at the peak level. So whatever so we could not grow much in Cable segment. We just grew our volumes by around 10% in Cables and in Wires, more than that.

Maybe in the other piece like Havells, they commissioned their Tumkur new cable factory around 9 months or 1 -year back. So they could increase their volumes from there. We have been able to commission our Sanand facility and the contribution from that will come in this quarter , into our Q4.

Anupam Goswami : Okay. Sir, if you can just quantify how much capacity has been added by the Sanand? KEI Industries Limited
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Anil Gupta : The capacity what we have commissioned is around at the moment is around INR250 crores a month in Sanand, half of the capacity has been commissioned. And this capacity will come into production gradually as we are doing the ramp -up with the induction of manpower in all the departments and also one by one machines are being commissioned and put into production. Secondly, initial 1 or 2 months in any cable factory goes into the obtaining a lot of type tests conducted on cables by different agencies, visits by the customers and also obtaining BIS license. So that.

Moderator: Ladies and gentlemen, we have lost the line of the management. Please stay connected while I reconnect the management. Thank you. Ladies and gentlemen, we have reconnected the management. Sir, you may proceed.

Anil Gupta : Some question was there.

Moderator: Anupam, if you can please repeat your question?

Anupam Goswami : Hi, sir. Sir, capacity, what we have added, you were saying about INR250 crores a month and BIS certification what is required and would be ramped up gradually as you were saying?

Anil Gupta : Yes, yes. So we have already obtained the BIS license for low tension cables already, which have come. And for HT cable, it is expected to be received by end of January. So we are doing all possible things to bring the contribution from new facility.

And I can assure you that with our experience of running a cable industry for last around 50 years, it will be ramped up very shortly. It is just we need some basic approvals, which are bare essential to sell.

Moderator: Thank you. We take the next question from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya : Thank you for the opportunity . Sir, two questions. First, on this INR250 crores a month kind of capacity and that would get added gradually. I mean there will be some addition during FY '27. Now just based on this INR250 crores capacity, when do you think that you would be able to

utilize a significant proportion by what time? That is first question.

And second, since the plant has come or the opex may be upfront and ramp -up may be gradual, do you think at the segment EBIT level , that is Cable and Wire segment level, our EBIT margin can come down because of the depreciation and some opex during FY '27?

Rajeev Gupta : So next year also from the Sanand itself, we will have the turnover close to INR2,700 crores from the Sanand itself . And whatever deficient will be there, it will be absorbed. So we don't guide or we don't think that our EBIT margin will go down.

Keyur Pandya : Understood. And just last question on the demand side, are you seeing any deceleration in T&D or any other large consumption industry capex ? I'm not talking about degrowth, but deceleration

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from either because of the past I mean, high base of past few years or because of the high prices of commodity, not only cables, but even otherwise, all the other raw materials. Thank you.

Anil Gupta : As of now, we don't see any deceleration in the demand for cables. See, prices really do not affect the project. If the

project is going on, it is coming in, I mean, maybe for a 1-month or so, the decision -making may stop. But ultimately, that product has to be purchased to complete the project.

And I don't think that energy sector will see slowdown because of the exceptional energy demand required by industries, households and data centers and other consumers. So I mean, we don't expect any let down in the demand.

Moderator: Thank you. We take the next question from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade : Sir, just a quick clarification. If you could talk a little bit about the competition like we have seen some of the new entrants in Wires. You also mentioned competition in your media interview in the morning. So if you could a little bit give us some more sense on the competition for both Cables and Wires from the new competition?

Anil Gupta : Okay. So I'll just brief you about that. You see in last 1 -year, we have seen a few new entrants on pan -India basis like Torrent, Surya, Roshni, Luker, etcetera, and a few other small companies entering Wire segment. But our present growth is in spite of all these competition.

Our major strength is product performance and brand image. Any newcomer takes around 5 to 7 years to build up that brand image and product performance. We are also price competitive. So we are already operating in a very, very competitive market.

We are already having substantial capacities and good hence, we have good purchasing power and our fixed overheads are very, very low because of the large volumes as compared to the new players. The demand itself is growing by around 13 -14%. So new players will also get adjusted in next few years apart from giving existing players a growth.

Secondly, in this we are offering a full basket of products like cables, flexible wires, telephone cables for residential buildings, land cables, solar wires, and we are approved with leading consultants and architects. So this kind of complete basket, whosoever new entrant is coming, for them to conceptualize all this will take a long time.

So I can we will always have an edge over them, and we will have we will be able to deal with this competition. The creation of network required to reach a reasonable scale is at least 4 to 5 years. Even the distribution network, what you need and the manpower you need to create this network, that also takes adequate time. And the market is also growing. Rest what is in the store in future, nobody can see.

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Rajeev Gupta : The last 13 to14 years, even that KEI has reached only towards INR3,500 crores to INR4,000 crores Wire sales. So it took us almost more than a decade to reach this level.

Achal Lohade : Fair point. Any comment on the Cable front as well, sir, apart from Wires?

Anil Gupta : Cables front, I mean, I don't see there is any new player coming into the Cable segment. And with our strong presence with the projects and exports, I don't see any deceleration in that.

Rajeev Gupta : And whether pre -qualification is required by anyone coming for that Cable.

Achal Lohade : Sorry, just to hop on this Wire thing. We also like have recently Bajaj announced foray into wires. So , is probably Crompton also could is what there is speculation. So given these are electrical companies, appliances companies, they have an element of distribution already in place. So how do you defend or how do you see that playing out in terms of volume or pricing for the industry and us as well?

Anil Gupta : Sir, they are coming up with, I think, in my opinion, with outsourcing model. And so far as my

experience is concerned, in Wires and Cables, outsourcing model will not work.

Rajeev Gupta : And already, there are 3, 4 companies, those who have already come, even though all the existing companies has grown very well even after this competition.

etition.

Moderator: Thank you. We take the next question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni : Sir, thank you for taking my questions. Two of them. Sir, first is in continuation of Achal's question, and you did allude it, why do you think the outsourcing model in wires will not work?

That would be the first question, sir.

Rajeev Gupta : This is my opinion. It has not so far been tested by anyone. So we'll let's see whether it will work or not. I mean, it is my opinion that and because this market is very competitive and after paying the manufacturing cost, etcetera, and other call profits to a contract manufacturer, I don't think that just by brand, you can earn too much on margin. And even a newcomer will have to build up the brand in the Wire segment, which is a good case scenario for at least 5 to 7 years.

You can't build a brand overnight.

Pulkit Patni : Sure, sir. Sir, my second question is on your margin guidance. So just to sort of break it down.

You have a large capacity that is coming on stream. I'm guessing there will be some negative operating leverage because of that, plus you have a big focus on export, which is higher margin.

As a combination of all these, you are guiding for margins to improve? Is that a fair assessment?

Or is that underlying assumption something wrong?

Rajeev Gupta : No, no, it is a fair assessment. And we are giving a margin guidance based on the combination of domestic as well as export market.

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Moderator: Thank you. We take the next question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati : Yes, thank you so much for the opportunity. My first question is, in your overall volume growth for this quarter, is there any bit of inventory stocking to your mind that has happened? Or is it all pure growth?

Rajeev Gupta : It is normally pure growth because quarter -on-quarter, we are giving the numbers and quarter -on-quarter, we are guiding. But just you know inventory in the channel by a dealer distributor does not get more than 15 to 20 days. So for them also, it is a routine nature of work.

Puneet Gulati : But because the raw material prices went up exceptionally, do you think there has been inventory restocking?

Rajeev Gupta : Sorry. It is applicable to all the quarter because in the second quarter also it was increased. In first quarter, it has also increased. In third quarter, it has also increased. The continuous pricing is increasing, so this means it is automatically set up in the system.

Puneet Gulati : Okay. My second question is on the export side. You've done now 4 quarters of very, very strong growth. Is there room to do similar sort of very, very high growth for the next few quarters? Do you think you've reached a base and you've had tapped or less the opportunities to do more 20% kind of growth that you're guiding for the full business? Or should we still expect growth to be very, very fast, like you've delivered over the last 4 quarters.

Anil Gupta : Sir, world markets are very, very good. I mean, from India, what we are exporting is just a peanut. It depends on how much we are able to explore and exert ourselves into large economies.

Puneet Gulati : So in your own trend mind, that number can continue into next few...

Anil Gupta : Yes, yes, it can. But I don't see that every year we can double, but we still see a strong growth for the next few years until we reach a reasonable level of market.

Puneet Gulati : Understood. That's very helpful. And lastly, if you can give some sense of what is existing capacity utilization for your various units?

Rajeev Gupta : See, utilization of capacity is close to 76% in the Cables division.

Moderator: Thank you. We take the next question from the line of Praveen Sahay from Prabhudas Lilladher Capital . Please go ahead.

Praveen Sahay :

Yes, hi. Hi, sir. Thank you for opportunity. Sir, you said related to the volume growth, 16% to 18% for a way forward you are looking at as a volume growth. And how it has been in the third quarter?

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Rajeev Gupta : For third quarter Anilji has said that close to 10 -11% was the growth because if you see,

sometimes this volume gets exchanged between the copper and aluminium. The price of the copper is 3x more than the aluminium cable.

So exactly reflection replica, it cannot be quarter-to-quarter can be gauged because in some quarters, aluminium cable orders are more, so then the volume may see more. But in terms of value, it is one-third. In terms of the copper, when we get the copper more, like some export markets, the copper is more. So then the value will be high, but the volume will not be looked like aluminium.

Praveen Sahay : Right, sir. Got it. Sir, second, related to the HT cable. Because the HT cable for quite a couple of quarters, we are seeing there's a dip in the revenue. So if that I can understand there is a fungibility in the capacities, but is there a demand impact? Or is there a capacity impact in the extra cable.

Rajeev Gupta : Last year, extra-high voltage power cable capacity was utilized for HT power cable. So that's why comparatively, the reflection is like that. So now the extra high-voltage order is very high nowadays. So extra high-voltage power cable is being manufactured on extra high voltage. So no high voltage is manufactured on extra high voltage now. So that's why that is there.

Praveen Sahay : But with the Sanand capacity, which is up and running, first phase, is there a possibility of HT cable to improve from here?

Anil Gupta : Yes, yes, absolutely, absolutely. It will be substantially improved.

Rajeev Gupta : Sir, you see, we are always talking about the growth of 20% CAGR growth, not for 1 quarter or for 1 year. Even in the '21-'22, '22-'23 when the prices of copper was not increasing, rather decreasing or aluminium price decreasing, at that time also, we were growing by 19%. So we are not related to the price increase or decrease rather than we are more focused towards the value growth, so that disciplined growth we can maintain actually.

Praveen Sahay : Right. Sir, lastly, on the order book bifurcation, if you can give, like a EPC, extra high-voltage, domestic cable, how it has been?

Rajeev Gupta : So order book just Anilji has told, I will repeat that. Total order book is INR3,928 crores, out of which EPC order book is INR361 crores and extra high-voltage power cable is INR717 crores.

Domestic cable order is INR2,426 crores, export cable order is INR424 crores. So total is INR3,928 crore s order book.

Moderator: Thank you. We take the next question from the line of Kunal Sheth from B&K 360 One Wealth Asset Management. Please go ahead.

Kunal Sheth : Yes, hi, thank you for the opportunity, sir. Most of my questions have been answered. Just one clarification. As far as export is concerned, do we have particular benchmark in mind in terms

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of if we want to restrict to, say, 15-18% of sales or it will be an opportunity? Do you have any such number in mind?

Rajeev Gupta : Sir, we are growing depending on the capacity. As our capacity is increasing, we are growing. That's how we have given the guidance originally 20% CAGR. But if some prices are increased, definitely that impact will come in future.

Kunal Sheth : Sir, is referring more to export as a percentage of sales. Is there a number that we are looking at that we want to restrict export to a certain percentage or...

Rajeev Gupta : Export, Anilji has earlier.

Anil Gupta : No, no. There is no restriction that we'll stop at that level. We will see where sky is the limit, where we can go.

Rajeev Gupta : But ultimately, t

he capacity we need to utilize. Whichever capacity will be there, either we can utilize in export or in retail or in domestic. It cannot be that exports should also increase, our domestic also increase and retail increase because we will have to grow ultimately with the capacity.

Kunal Sheth : Right, sir. But sir, realistically, what could be the share of export, say, in 2 years?

Rajeev Gupta : Close to more than 20% Anilji has already visualized.

Anil Gupta : But we will definitely be aiming for more. But as soon as we get more visibility, we can give better guidance. This year, we are hit by exports to US, which started last year. So ultimately, in this uncertain times of geopolitics, it is very difficult to comment what a leader is thinking in other country.

Kunal Sheth : Okay. And sir, this quarter, which was the major country that we have exported to?

Anil Gupta : We have been exporting to now Europe. We are exporting to Australia. We are exporting to Middle East and Africa. US at the moment is on hold because of that tariff.

Moderator: Thank you. We take the next question from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal : Thank you for the follow-up. So just one question. If I exclude Sanand, could you please help me understand the existing capacity in terms of sale value for LT, HT, EHV and housing wire?

How much peak sales can we achieve out of the existing capacity?

Anil Gupta : No, no, it is already we have already reached peak so there is no more...

Rajeev Gupta : INR10,000 crores to INR12,500 crores capacity other than the Sanand.

Rahul Agarwal : Sorry, sir, I missed that number. INR12,500 crores?

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Rajeev Gupta : Yes. So that is the capacity, total, other than Sanand.

Rahul Agarwal : Other than Sanand , right. And any expansion brownfields are we planning apart from Sanand over the next 2 to 3 years?

Rajeev Gupta : Sir, that has already been planned. And after Sanand, even the next financial year, we will be going to start in our Bhiwadi, but that will be in the planning stage as of now.

Anil Gupta : A new project on a new land.

Rajeev Gupta : New land, which we bought in the current financial year with an investment of INR92 crores.

And after that, we are already acquiring the land in Baroda around close to 70 acres land. We are accumulating there. So in next 3 to 4 years, our planning is to invest another INR2,000 crores apart from Sanand. We are targeting close to 20% CAGR growth for the next 4 to 5 years.

Rahul Agarwal : I understand that. So this INR12,500 crores is existing capacity plus the brownfield whenever they start and plus Sanand . Is that correct?

Rajeev Gupta : Yes.

Moderator: Thank you. We take the next question from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi : Yes. Hi, sir. Thank you for the opportunity . Most of my questions have been answered. Just wanted to know, what's the asset turn in Wires and what's the asset turn in Cables?

Rajeev Gupta : So in Cable, assets turn is close to 1:4. And in Wires, maybe asset turn is close to 1:5 or 1:6.

Anil Gupta : It will be more than that. It will be 1:6.

Vidit Trivedi : 1:7?

Rajeev Gupta : 1:6 or maybe 1:7 when the brownfield capex is going on there.

Moderator: Thank you. We take the next question from the line of Saket Kapoor from Kapur & Co. Please go ahead.

Saket Kapoor : Just to summarize, sir, if you could just give us some color on the landscape, especially for the EHV cable segment in terms of the current demand with respect to the renewable segment growth is propelling in the segment and the capacity in the country and the key players who are participating in this journey, including the KEI. If you could just give us some more color? And then there were some talks of some easing by the Government of India in all

owing Chinese

players to participate in government projects and in power utilities also because of some shortages in the Power segment especially in putting up this reverse infrastructure. So how do we stand there? And any update you would like to share on these two aspects?

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Anil Gupta : Government has been talking of allowing Chinese in some segments like transformer for some high-voltage equipment where there is a real shortage and delivery period from existing manufacturers are very long, maybe 2 years or 3 years. In Cable segment, there is no such issue.

And there are 4 or 5 significant players now in the EHV segment also like KIE, Universal Cables, Sterlite, LS Cable. And with the bulk of this product, I don't think that Chinese cable manufacturers can compete with us in Indian market because of the disadvantages there.

Saket Kapoor : Sir, if we focus on demand and capacity, what is the demand in the annual and what are you expecting going ahead? And currently, if we take, you mentioned four players names, capacity wise, sir, how do we rank and what are the capacity additions of your competitors?

Anil Gupta : See, we have almost 25% of the total capacity in line with other four. And new capacity which is coming up, I don't think that anybody is putting up an EHV plant, especially only for EHV.

There might be a dual purpose of manufacturing EHV and HT cable. So it's quantification, we will do and we'll let you know.

Saket Kapoor : Okay. Because what is there in the public domain that players like which you mentioned Universal Cables is also coming up with capex and setting up new capacity for EHV. That was the reason I asked you the question.

And then secondly, sir, in terms of the compounding part, the sioplas compound or the PVC compounds which are required, are we sourcing it domestically or are these imported, sir? especially in terms of the higher kV?

Anil Gupta : Some special high -voltage compounds we are importing because nobody manufacture it in India. But for medium voltage for low -voltage XLPE and PVC compound, we are manufacturing ourselves. We have already done a lot of backward integration in our company.

We are almost manufacturing 3,000 tonnes of PVC every month and close to 1,000 tons of XLPE compound, which is used in LT cables and solar wires and low -tension control cables within our plant.

Saket Kapoor : Okay. Because they are also dominant players like DDev Plastiks are seeking impediment from various players in the higher kV segment. So are we a customer to them and thereby also as we ramp up to the higher kV in the EHV segment, they can be a prominent or a trusted supplier?

Anil Gupta : Yes, yes. We are buying from DDev Plastiks our requirements for medium voltage cables up to from 11 kV to 66 kV . But beyond these voltages, all the compounds are imported from Borealis or Dow chemicals.

Saket Kapoor : Right , right. And lastly, sir, on the further capex which you just outlined, for the INR2,000 crores, can you give us some color, which segments are you articulating the expansion? And sir, if you could give me one pending point was, sir, how is the demand/supply currently for the

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EHV capacity, whichever you are ramping up and other players also, how is the demand/supply gap currently and 2 years down the line also?

Anil Gupta : Sir, demand for EHV Cable is continuously rising for evacuation power of power from renewable sources and new projects, which are coming up in the power generation side and improving the transmission infrastructure. We really don't have at the moment and quantification of that, but we'll try to compile the data and come back to you.

Saket Kapoor : Right, sir. Could you please talk about the backup of next capex of INR2,000 crores?

Anil Gupta : It is on drawing board. It will

be cleared in next it will be finalized in the next 6 months.

Moderator: Thank you. We take the next question from the line of Amit Agicha from HG Hawa & Company. Please go ahead.

Amit Agicha : Yes, good afternoon, sir, and congratulations for good set of numbers and thank you for the opportunity . Sir, with over 2,100 dealers, what is the optimal dealer count? And like how do you ensure leader productivity rather than just expansion?

Anil Gupta : We are definitely not expanding the dealers too much. In this 2,500 dealers 2,100 dealers, I think around 100 dealers are very big. But rest of the dealers, they operate in small towns and small market -- B2C -- B and C type cities. There, the dealer sizes are anywhere between INR1 crore to INR3 crore or INR5 crores.

So that is why the number of dealers looks like. But the significant dealers, which contributes 70% or 80% of the sales within 100. And we are trying to ramp up those dealers so that our distribution chain is improved.

Amit Agicha : And sir, how much incremental branding or advertising spend is planned to strengthen the retail put?

Anil Gupta : I think anywhere between INR75 crores to INR80 crores is our ad spend in this financial year.

Amit Agicha : And sir, last question for my side. The order book I think you said is INR3,928 crores. Like what's the execution time line and how much will be converted that in FY '27 revenues?

Rajeev Gupta : So within 3 to 4 months is the time line to execute these orders.

Anil Gupta : These orders are quickly replaceable. I mean, we just execute them, most of the orders in 3 to 4 months period. And only a few, it goes up to 5 months. But most of it is over in maximum 4 months. And these are replaced every month by new orders.

Moderator: Thank you. We take the next question from the line of Nirranish Jain from BNP Paribas. Please go ahead.

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Nirranish Jain : Hi, sir. Thanks for the opportunity . Sir, my first question is on the domestic institutional sales for 9 months, which includes.

Moderator: Nirranish, I do apologize to interrupt you, but your audio is not clear.

Nirranish Jain : So sir, when I'm looking at the domestic institutional sales numbers, which includes INR1,880 crores for Cable and Wires and INR370 crores for EHV in 9 months, I'm looking at a 3% growth on a year -on-year basis. So just wanted to understand that why are we seeing this low number for the domestic institutional sales, especially when our utilizations are also at around 75% for cables. So what explains the 3% growth on the institutional side?

Rajeev Gupta : See, once the export is increased, so the capacity is limited. So this capacity has gone to the

export market actually.

Nirransh Jain : But sir, utilization is lower.

Rajeev Gupta : Utilization comes on the basis of the volume. As I said, when we take the order of the copper, so copper is 3x priced than the aluminium price. So that's why it does not reflect the true picture actually.

Nirransh Jain : Okay , okay. Understood, sir. And sir, secondly, I just wanted to check, when we say the peak revenue potential of INR12,500 crores on our existing capacity, this is based on the spot prices of copper and aluminium ?

Rajeev Gupta : The copper price is close to 9,000 LME -based price was there at 9,000 to 10,000. But see copper price does not stay at one place actually. Sometimes it goes up, sometimes it goes down also.

Anil Gupta : We understand your concern, and we are also trying to w e are also using our maximum capacity in volume terms. And whatever reflection on the turnover comes by way of the prices, it will be reflected in our results also in the coming quarter.

Nirransh Jain : No, no s ir, that is understandable, but I just wanted to check like what is the risk to the INR12,500 crores on either side as in like so as you mentioned that this is on the b

asis of \$10,000 LME -
based prices...

Rajeev Gupta : Sir, first of all, I would highlight since last 5 years every quarterly or yearly c on call, we are always giving the guidance of a 20% CAGR based on the capacity. Prices whether goes up or even goes down also, as I highlighted that in '21 and '23, the prices were going down. Still, we were growing by 19% ..

So in future also, it does not matter to KEI, in last 15 years, our growth was close to 17% CAGR. In last 15 years, number of time prices have gone down, number of times the prices have gone up, but none of the years where we have not grown except the COVID year of 2021. So that said, w e are maintaining a disciplined approach. Irrespective of the price down also, we were growing in the past also.

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So in future, whenever we are talking of CAGR growth, we are talking of a 20% CAGR growth, irrespective of the copper going down, irrespective of anything . Because whatever capacity we are creating, whatever new market we are creating, like Anilji to the start of the year has visualized that we should reach to the 20% export within 1 to 2 years' time. So we have already reached close to 17% in th is 9-month period.

So we are working on our strategy. We are not working on somebody else's strategy. You see it is not possible to grow quarter after quarter. If you see, if somebody has grown in this quarter 50%, can he grow in the next year third quarte r 50% or even he can maintain 20% growth? It will not be possible, sir, because we are in the industry since 50 years.

So we are growing, the copper going up and down. We are continuously working towards the growth of the company, and we are participating in the industry. We are the top most company from the country. Those who are exporting more in so many countries.

So we will remain focused we will remain focused with a growth rate of 20% CAGR, not for 1 year but for 5 years. That is on our side. Demand h as no issue in the country and neither demand has issue in the overseas market.

Moderator: Thank you. We take the next question from the line of Rohit Balakrishnan from ithoughtpms. Please go ahead.

Rohit Balakrishnan : Sir, thank you for the opportunity. H i, sir. My question is on EHV segment. Once the VCV tower is commissioned in FY '27, there will still be the pre -qualification period, right?

Anil Gupta : Very, very less because we are already having experience of last 15 years in extra high -voltage cable. So it will be only a type test required to be carried out in the new plant new facility.

Rohit Balakrishnan : Okay. Just a follow -up. I'm seeing a shift in towards the complex urban underground projects like Universal Cables is doing that. And currently, KEI is focusing on this segment or only in high-volume exports?

Anil Gupta : Can you repeat this question, please?

Rohit Balakrishnan : Like Universal Cables is competing on urban underground projects currently high -voltage cables, 400 kilowatt cables, now K EI is focusing on these cables or just.

Anil Gupta : Yes, yes. We have already executed more than, I mean, 30 to 40 such large projects all over India in last 10 years. And still executing in Mumbai, in Karnataka, in various states. So we are very well ther e, and we are already focusing on this. And it's not that our focus on domestic market is not there or urban underground is not there. We are executing a lot of such projects.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question - and-answer session. I now hand the conference over to Mr. Anil Gupta for his closing comments.

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Anil Gupta : Yes. So, thank you very much our investors for participating in this conference call. I can reassure you that with the kind of business KEI has built up in terms of product approvals,

product capabilities and our strength of our management in terms of production, quality control, marketing and our worldwide network, we will be growing substantially in it was only the capacity constraint, which was hampering our growth for last 2 years maybe as compared to our peers.

But with the Sanand facility now getting commissioned and getting ramped up, we will see substantially good results in fourth quarter and in the next financial year as each machine is commissioned one by one in a cable factory.

So it may take another 1 to 2 months to really ramp up the capacities, but we are on track. And we'll be giving a very strong growth in this business in coming next 3 to 4 years with these new capacities coming up. Thank you very much for your participation.

Moderator: Thank you. On behalf of Nuvama Institutional Equities, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Date: 12.05.2026
The Manager,
Listing Operation,
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400 001.
Scrip Code: 517569
The Manager,
Listing Division,
The National Stock Exchange of India Ltd.,
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: KEI

Sub: Transcript of Analysts/Investors Call pertaining to the Audited Financial Results for the quarter and year ended on March 31, 2026.

Dar Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call held on Tuesday, 05th May, 2026 to discuss the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended on March 31, 2026 is attached herewith.

The transcript is also available on the website of the Company:

<https://www.kei-ind.com/wp-content/uploads/2026/05/transcripts-2026.pdf>

This is for information and record.

Thanking you,

Yours faithfully,

For KEI INDUSTRIES LIMITED

(PRAKASH OJHA)
Manager (Legal & Secretarial)

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"KEI Industries Limited
Q4 FY26 Earnings Conference Call"
May 05, 2026

MANAGEMENT : MR. ANIL GUPTA – CHAIRMAN CUM MANAGING
DIRECTOR – KEI INDUSTRIES LIMITED
M R. RAJEEV GUPTA – EXECUTIVE DIRECTOR,
FINANCE AND CHIEF FINANCIAL OFFICER – KEI
INDUSTRIES LIMITED

MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to KEI Industries Q4 FY26 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by

pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities. Thank you, and over to you, sir.

Achal Lohade: Yes. Thank you. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we are glad to host the senior management of KEI Industries Limited to discuss the Q4 FY26 and FY26 earnings. We have with us Mr. Anil Gupta, Chairman and Managing Director of the company; and Mr. Rajeev Gupta, Executive Director, Finance and CFO. I will start the call with the opening remarks from the management and then move to Q&A session. Thank you, and over to you, sir.

Anil Gupta: Okay. Good afternoon, friends. I'm Anil Gupta, CMD, KEI Industries Limited. I will give brief about the financial results of this quarter as well as the full year. As you must have received all the information already, net sales in Q4 in FY25 to '26 has grown is INR3,476 crores grown by around 19.27%.

EBITDA/net sales margin achieved is 12.21% as against 11.6% in the same period previous year. Profit after tax in this quarter is INR284.31 crores with a growth in PAT with 25.5%. Profit after tax/net sales margin is 8.18% versus 7.77%. So we improved -- could improve it by 0.5% for the same period -- over the same period.

Domestic institutional cable sales B2B is INR804 crores, up around 6% and sales of extra high-voltage cables, B2B is INR188 crores in the fourth quarter against INR115 crores last year with a growth of around 64%. Export sales in this quarter is INR443 crores. Total B2B sales contribution is 40% as against 46% in the previous year same period.

Sales through dealer network, distribution network is INR1,936 crores in fourth quarter against INR1,498 crores with a growth of around 29% in the B2C. Distribution sale contribution was 56% in fourth quarter as against 51% in the previous year same period. EPC sale other than cable is INR123 crores as against previous year same period INR72 crores.

Out of the total sales of EPC, extra high-voltage cable EPC sale is INR106 crores against INR32 crores in the same period last year. Sales of stainless steel wire in Q4 is INR55 crores as against INR46 crores for the same period previous year.

Now I will give you a summary of the full year results, full financial year '25-'26. The net sales in FY25-'26 is INR11,746 crores against previous year INR9,735 crores. Growth in the net sales is 20.66%. However, our Wire and Cable segment in terms of value in FY25-'26 has grown by 22.32% against previous year.

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All our cable plants of Rajasthan were operating at peak capacity during last financial year '24-'25 itself and capacity at our Chinchpada plant was added in Q2 of last financial year '24-'25, which resulted to an overall volume growth in financial year '25-'26 by 15% for copper cables, but aluminum was flat. So the net volume increase was 6.21%.

For the current financial year '26, '27, volume growth will come from Chinchpada for wire capacity and for cables, the growth will come from Sanand plant. We are expecting 17% to 18% volume growth in this current financial year, which will mainly coming from Sanand new facility.

You are aware that our Sanand plant was commissioning of first phase was delayed by around 6 months. So we commissioned the first phase in the December '25. And second and last phase is expected to be commissio

ned in the fourth quarter of FY26, '27. In financial year '25-'26, average copper price increased by 16.85% and average aluminum prices increased by 9.91%. During FY25-'26, operating margin has improved to 10.46% against 10.18%. EBITDA in this financial year -- full financial year is INR1,387 crores, up by 30.56% compared to last year. EBITDA/net sales margin is 11.81% as against 10.92% in the previous year. So the profit after tax in financial year '25-'26 is INR918 crores with a PAT margin of 7.82%.

Domestic institutional cable sale, wire and cable has been INR2,688 crores. However, the domestic institutional cable sale of extra high-voltage cable is INR559 crores against INR308 crores previous year with a growth of 82%. Export sales achievement is INR1,833 crores against INR1,267 crores. So the growth in export is 45%. So the total cable institutional sales contribution is 42%, which is at par with the previous year.

And sales through distribution network is INR6,349 crores, up by 25%. The total active working dealers of the company as on 31st March '26 was approximately 2,125. Dealer sales contribution is 54% in overall sales. EPC sales other than cable is INR311 crores against INR343 crores. Stainless steel wire sale in full FY25-'26 is INR212 crores at par with the previous year.

Now I will brief you the demand outlook and the future outlook of the company. The demand outlook continues to remain strong. We are very hopeful that whatever we have projected in the

volume growth and plant utilization, it will happen.

And we are bullish about huge capex coming up in India in the power transmission and distribution sector, data centers, institutional infrastructure projects like metro rails and railways as well as the construction sector comprising of commercial construction as well as real estate. Oil and gas sector will continue to remain strong, especially the power generation sector will see substantial growth in this -- in coming financial year, not only in the solar and the wind, but also in the thermal power generation. The data centers will also be a big booster.

We have also commenced -- restarted our exports to United States after the lull in last financial year because of the tariffs. And we hope to do a substantial sale in U.S. this year, taking our export to around approximately 20% of our total sales in the current financial year, which is as

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per our previous target. So this is a brief summary from our side. We now look forward to answering your questions. Thank you.

Moderator: Thank you very much, sir. We will now begin to question and answer session. Anyone who wishes to ask question may press *N1 on the touch telephone, if your wish to withdraw yourself from the question you may press *N2 and participants are request to use headset while asking questions.

Ladies and gentlemen, we will wait for movement while questions queue assembles.

First question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead. Sucrit, your line is unmuted. Please go ahead with your question. As there is no response from the current questioner, we'll move to the next question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, thank you for taking my question, I have 2 questions. Firstly, are you witnessing any supply chain issues right now, supply of PVC compound, XLPE, any other sort of supply chain issue? You did mention that freight cost -- on the TV interview, you mentioned freight costs have gone up quite meaningfully, and you are sharing part of that with the customer in the export market. Anything else on that side that you'd like to highlight in terms of cost and supply chain?

Anil Gupta: Thank you. Supply -- as of now, I think we -- none of our plant has

suffered because of the raw

material issues coming through imports because of the good stocking by us as well as the domestic availability. And our -- only the imports of XLPE from Middle East, especially Abu Dhabi is not happening because of the shipping problems.

Also in March, we witnessed we were not able to ship our goods to Middle East because no shipping line was ready to take the deliveries. Now in April, it has started albeit at a very high cost because the containers are now going to Fujairah and from Fujairah port by land to various destinations in Abu Dhabi and Qatar etcetera, in other countries. So it is a - and in most of the customers are bearing 50% of the differential freight cost from us.

And in cases where our prices were FOB, there the entire freight cost is to their account. But that has also started because they need material. And so it was a -- of course, in March, we suffered. We could have done around INR50 crores more -- INR50 crores to INR60 crores more exports, which could not...

Pulkit Patni: Fair point, sir. Sir, my second question is, I mean, historically, we've done a very good job in meeting our guidance. But our guidance has always been in the high teens to early 20s in terms of revenue growth. You just mentioned right now that 17% to 18% is the volume growth in FY27 that you are targeting from the Sanand facility.

If I was to just make the assumption of where copper is likely to be based on what the last year prices were, then we are talking about at least a 10% to 15% upside that will just come from copper. So is it fair to assume both added together that we could look at more like a 30% revenue growth this year? Or am I reading too much into this?

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Anil Gupta: No, no. I think if -- what you are saying, if that happens, this will happen. It could happen.

Pulkit Patni: Okay, this is clear sir, thank you so much for taking my questions.

Moderator: Thank you. Next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Congrats on great performance. My question is if you can elaborate a bit on what has been the key drivers of your margin expansion in this quarter, especially when you face some bit of challenges on the freight side and the Middle East and supply side?

Rajeev Gupta: No. What he said is the freight side only related to the Middle East and our Middle East sale is practically very, very less. So it is no impact on the overall...

Anil Gupta: What I said is the freight impact coming on the supplies to Middle East. But that freight impact has come in April, not in March because in March, the supply could not happen because of the restrictions on the shipping.

Puneet Gulati: Okay. So okay. So no adverse impact there. So whatever 70 bps margin that you lost has more...?

Anil Gupta: But I can say that whatever extra freight we are bearing in April, that will be compensated by higher exchange rates, which we will get from our export revenue in those orders itself because those orders were priced at anywhere around INR90 or INR91. So even if we are bearing some extra freight, that will be compensated by the extra revenue from the exchange fluctuation.

Puneet Gulati: Understood. And so 17%, 18% volume growth that you guided from the Sanand plant, that's effective from this FY27 itself? And then what sort of another growth should we expect for FY28 based on the second phase?

Anil Gupta: Same, same, similar growth will continue to happen because the capacity will keep on coming up and plant will keep on getting stabilized with the more and more supplies going from that plant. We are -- when we set up a new plant, it takes a little while to get that plant approval -- specific plant -- plant-specific approvals also from the customers. And so hence, the ramp-up is always gradual.

Puneet Gulati: Okay. So FY27, it is 17%, 18%. '28,

it could be a bit more gradual?

Anil Gupta: Yes, it will be -- it could be around 20%, yes.

Puneet Gulati: Okay. And lastly, if you can also talk about how do you think about margins for the current year?

Anil Gupta: I mean on a conservative side, we can now expect around 11% -- anywhere between 10.5% to 11%.

Puneet Gulati: Okay, thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

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Achal Lohade: Okay sir, quick clarification, sir. When you are talking -- you said the wires growth will come from Chinchpada and the cables growth will come from Sanand plant. The 17%, 18% volume growth you said for the cables or the company as a whole? I presume the company as a whole?

Anil Gupta: Combined.

Achal Lohade: Yes.

Anil Gupta: The company as a whole.

Achal Lohade: Perfect. The other question I had is in terms of exports, if you could elaborate a little bit as to where we are, what kind of products we are currently exporting and what incremental new product categories can we look at? If you could guide a little bit more to us in terms of the export front -- no, growth as well as the categories and the key drivers or geographies?

Anil Gupta: See, we are exporting mainly LT, HT and extra high-voltage cables. Apart from that, we are also exporting control and instrumentation cables for oil and gas refineries. So this is our product -- total product mix and export basket is not different from domestic supplies. So export basket is in terms of products is similar to domestic.

Achal Lohade: Understood. And geographies, if you could give us a sense, FY26 export mix?

Anil Gupta: Our export -- major export destinations are Middle East, Australia, Africa and now as well as the United States. And we are also exporting to Europe as well.

Achal Lohade: Understood. And would it be possible to know what kind of solar cables mix we have, sir, for FY26 at our company level?

Anil Gupta: You're talking of solar cables?

Achal Lohade: Solar cables, yes sir.

Anil Gupta: Solar cables, we are manufacturing power cables. And also now we are manufacturing solar wires by electron beam process. So we have set up this electron beam facilities in our Sanand plant and which has started.

Achal Lohade: Got it. So the contribution will be relatively small at this stage, right?

Anil Gupta: No, it will. Quarter after quarter, it will keep growing.

Achal Lohade: So FY26 will be smaller and FY27 will grow substantially?

Anil Gupta: Yes.

Achal Lohade: Understood. And would this be a value-added product, sir, in terms of margins or similar margin?

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Anil Gupta: Yes -- no, no. See, it will be a similar margin. I mean when we talk of EBITDA margins, we talk of all products average together.

Achal Lohade: Got it, I will line up back in the queue for further follow up, thank you sir.

Moderator: Thank you. Next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good afternoon sir, thank you so much for the opportunity, Sir, my first question, we have planned around INR2,000 crores kind of investment over next 3 to 4 years post finance I think we also bought Bhiwadi land around for INR92 crores and we also bought a 70 acre land in Baroda?

So I'm trying to understand like what is the use case of this land and what kind of products are we giving to target for -- in these plants? Is -- we are also planning a backward integration into compounds? I think you are currently highly importing high-voltage compounds?

Anil Gupta: We are -- at the moment, we are manufacturing PVC compounds and low tension XLPE compound ourselves. But importing and/or procuring domestically medium voltage compounds and extra

high voltage are all being imported. So extra high voltage will continue to be imported.

However, we will be working on manufacturing medium voltage compounds for ourselves, but that this project will take more -- minimum 2 years because the civil construction to the factory setup takes time.

Similarly, we are also considering manufacturing our own galvanized steel wire, cable armor wire because we have a substantial consumption of close to 5,000 tons a month, so which makes it economic sense to do that. And other products, what we are -- we will be whatever products in electrical side but in cable industry, which we may be missing, we'll continue to add those plus the newer capacities in our new facilities, whatever will come up in the next 2, 3 financial years.

Balasubramanian: Okay. Sir, my second question is we have active dealers of 2,125 but around 100 top dealers contribute 70% to 80% of sales. Basically, 5% of the dealers are bringing 70% to 80% of the sales. And the dealer inventory is typically nearly 15 to 20 days. So I'm trying to understand the remaining dealers are inactive or they are bringing -- they are the low productive dealers? And also -- what is our dealer churn rate annually, sir?

Anil Gupta: See, it's not inactive dealer. The major part of 20% dealers which do 20% of the total sales. So the 20% those dealers are anywhere between INR50 lakh to INR1 crores. So they are always -- first, they are operating in the smaller towns, doing small town sales or retail sales.

And they are mostly operating into 90-meter wire segment because there you require dealers at every nook and corner. So you need a lot of numbers, then only the sale comes. And so far as churning is concerned, I think every year, 10% to 12% is the churning of dealers, some dealers leaves and some new are added.

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Balasubramanian: Got it sir, thank you for the detailed explanation. All the best.

Moderator: Thank you. Before we move to the next question a reminder to the participant's to asking any question you may press *N1. Next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Hello sir, thank you for the opportunity. I have a couple of questions. So firstly, could you tell us like what is the increase in terms of price? And what is the volume growth for this quarter?

And on a year-on-year basis, where do you see things for the next year?

Anil Gupta: Rajeev?

Rajeev Gupta: So for the full year basis, the copper price increased by 16.85%. And for aluminum increased by 9.91% for the full year basis. Overall, for full year, we have grown for the copper production, that is by 15%, but our aluminum consumption was flat. So overall, the net volume growth for the metal was declined 6.21%.

Pathanjali Srinivasan: Got it, sir. So what is the price increase we had to take this year around 8%, 9%? Would that be the number?

Rajeev Gupta: We are working on the passing on mechanism. So every price increase is basically pass on mechanism because we are a tender-driven business. So whenever we are quoting, we are quoting on a prevailing market price on that date. Accordingly, we are quoting the price. In all the institutional orders, it gets passed on.

Pathanjali Srinivasan: Okay, sir. And we had mentioned that 15% to 17% volume growth can happen in FY27. So this is only from the new plant or it's entire -- like even the existing plants put together? And what would be the guidance overall?

Rajeev Gupta: Existing plants of basically Rajasthan plants, they are already working on the peak capacity, only the Chinchpada plant and the new plant of Sanand, they will add in the volume actually.

Pathanjali Srinivasan: Yes, sir. So in terms of growth, you still stick to 20% growth for '27 over '26? Or is there a slight...

Rajeev Gupta: Normally, if the price remains at this level

and with the volume growth of 17%, 18%, this value will grow more. But if the prices are going down, then still we will be maintaining at 20% because we are adding 17%, 18% volume. Except the last year -- except the last '25, '26, if you go for the next previous 5, 6, 7 years, our volume growth was close to 14% to 16% year after year.

Anil Gupta: I can add here that if the prices remain bullish of the metals, then definitely, the revenue growth will be much more.

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Pathanjali Srinivasan: Got it, sir. No, sir, just only doubt or concern is that the volume growth is a bit lower given that we had very strong base for the last 2, 3 years, and we are also bringing new capacities. So will we see any challenges in terms of volume growth? That is what the concern is, sir?

Rajeev Gupta: No, volume was based on the capacity addition. So whatever in the phased manner, we are adding the capacity. So volume growth will be in this range only, which will be resulting more than 20% value terms growth.

Pathanjali Srinivasan : Got it sir, thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Shirom Kapur from Jefferies. Please go ahead. Line for the current questioner got disconnected. We'll move to the next question from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Many congratulations for a good set of numbers. First question related to the acceptance. For the last Q3 and now the Q4, the acceptance number has been on the higher side. So how we will read this the way forward? Like even the trade payable numbers, I can see that's an increase for the year Y-o-Y, if I look at. So how to read these numbers way forward where you want to see this number?

Rajeev Gupta: This number will remain in this category only because the prices of the metal has already increased. So -- and the volume of the company is also increasing after the production. So that - - this number will remain in this range only.

Praveen Sahay: So it's a factor of pricing, and that's where you are saying that's number to be here?

Rajeev Gupta: Yes. And the new Sanand plant also because their inventory has increased.

Praveen Sahay: Right, right. Okay. And the second question, sir, related to the housing wire and winding wire. And we had observed in the last 3 years continuously increase in the contribution. So now it's for FY26, 33% of contribution. So -- and further, you are guiding for the Chinchpada, there is a wire production, which will further add to the volume. So where you want to see this contribution to go from here...

Rajeev Gupta: I think dealer distribution contribution is already 54% and whatever cable capacity is increasing in Sanand. So we hope that 53% to 55% contribution from the dealer distributor will remain.

Praveen Sahay: Okay. So as our -- this contribution also to go up housing wire and winding wire?

Rajeev Gupta: Yes. So basically, the housing wire goes to the dealer only. So the housing wire sale is increasing, but the cable sale is also increasing because of the Sanand plant.

Praveen Sahay: Okay. Okay. So we will maintain this number at this level?

Rajeev Gupta: Yes.

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Praveen Sahay: Another question is related to the order book. So if you can give the bifurcation of the order book, EPC and extra high voltage domestic cable?

Rajeev Gupta: So we have the -- as on 31st March 2026, order book of EPC division is INR309 crores. Extra high-voltage power cable order book is INR625 crores and we have also L1 in extra high-voltage power cable order book of INR233 crores, another order. And cable domestic institution order book around INR2,154 crores and cable export order is INR497 crores.

So put together, all order book is close to INR3,585 crores. And whatever order book from the dealer distributor, that is not

reflecting it here because they are the orders which we supply within 3 to 4 days' time or maybe at that 1 week time. That's it.

Praveen Sahay: Right, sir. And one clarification, like volume growth for the quarter is 12.5%?

Rajeev Gupta: No, no. Volume growth for the quarter was close to 2%. And the full year basis, the net volume growth is, I'd said, 6.2%.

Praveen Sahay: Thankyou sir and all the best.

Moderator: Thank you. Next question is from the line of Shreya Kejriwal from Moneyvesta Capital. Please go ahead.

Shreya Kejriwal: Hello Sir and congratulations on your results. So my question was regarding the EPC. So EPC contributes like around 2.6% as we saw in FY26 revenue. So does the company plan to scale this up or keep it as a supporting business? Like what's your view on that?

Rajeev Gupta: No. Since last 3, 4 years before, we have guided that EPC business will go down towards the 2%, 3% only. So as per the guidance because there, the working capital is very long in EPC. So because of that, we are increasing the retail where the working capital is very low. That's how it is our plan.

Anil Gupta: It is mostly a supporting business to support our extra high-voltage cable project where the cable value is more than 80%.

Shreya Kejriwal: Okay, sir. And I have one more question regarding the QIP proceeds. I feel that around INR400 crores to INR500 crores remain unutilized. So any specific deployment plan or time line for this capital?

Rajeev Gupta: The second phase of the extra high-voltage power cable in Sanand will complete by Q4 of the current financial year. So the whole INR385 crores unutilized QIP money will be utilized in the current financial year.

Shreya Kejriwal: Thankyou Sir so much.

Moderator: Thank you. Next question is from the line of Ashish Aggarwal from Indusind Nippon Life. Please go ahead.

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Ashish Aggarwal: Sir, two questions from my side. What is the capex plan now for FY27? And will it include capex incrementally in Bhivadi also? And secondly, just wanted to understand on the EHV side.

This year, we have seen a substantial growth on the EHV revenues, almost close to 66% growth. Given our new capacities for EHV only will be coming towards the end of this year, how should we look at the growth on the EHV side?

Anil Gupta: This year, in EHV segment, we expect a growth of around 20%, a little bit from our existing factory because we are already operating at almost full capacity and some portion of growth will come from Sanand.

Rajeev Gupta: And with regards to the capex investment, every year, we will be doing around INR600 crores to INR700 crores capital expenditure for next 2 to 3 years continuous.

Ashish Aggarwal: Got it thanks, thanks a lot.

Moderator: Thank you. Next question is from the line of Christopher Hartkopf from Pictet. Please go ahead.

Christopher Hartkopf: Just a follow-up question on the quarterly volume growth, if I may. Is it fair to say that you were still capacity constrained? Or how do you explain the discrepancy or the difference to some of your peers' volume growth? And what was Sanand's contribution in the fourth quarter in terms of volume growth?

Rajeev Gupta: In Sanand, fourth quarter sale was very less. It was less than INR100 crores because the ramp-up takes time. But now from the first quarter onwards for the current financial year, the sale from Sanand will be visible to that extent. As spoken about the current year growth will be coming from the Sanand.

Christopher Hartkopf: And first part of the question, the volume growth in the fourth quarter, was that capacity constraint? Or how should we...

Rajeev Gupta: Yes, it was mainly because of the capacity constraint actually.

Christopher Hartkopf: Got it Thank you, Thankyou very much.

Moderator: Thank you. Next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal

: Hi Sir good afternoon, Sir, two questions. Firstly, I see reduction on the receivable balance -- on the receivable side on the balance sheet. Overall, we see some changes to inventory and creditor. I believe that is because of some transit export delays, which will normalize in first quarter. So overall, on a sustainable basis, the company should be between 85 to 90 days of net working capital cycle over the next 2, 3 years. Is that understanding correct?

Rajeev Gupta: Yes. Net working capital cycle is because of receivable to the B2C business is already reducing year after year. So because of that, the working capital cycle is decreasing actually.

Rahul Agarwal: Is that -- that is purely because of channel financing?

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Rajeev Gupta: Yes, that is mainly purely because of channel financing.

Rahul Agarwal: Okay. So incrementally, this 57 days of sales of receivable days, that should remain flattish or it should further decline?

Rajeev Gupta: This -- that are may further decline to -- as of now, it has reduced from 2.2 months to 1.88 months. It may reduce to 1.75 months.

Rahul Agarwal: Got it.

Rajeev Gupta: Almost now the overall inventory plus debtor minus creditor is close to 2.97 months as against last year, it was 3.39 months.

Rahul Agarwal: Right. I get that. And secondly, Rajeevji, I mean, you talk about capex of INR800 crores, INR900 crores a year, your operating cash flow is going to be similar every year based on the growth guidance you're giving. So the cash lying in the balance sheet, right, almost INR1,300 crores net cash. How do we reinvest this in the business then? Because the entire capex is going to get funded from your accruals itself. So what is the thought there?

Rajeev Gupta: Sir, we will be doing all future capex from the internal accrual only because whatever capex we are accruing year after year, we will be allocating close to 60%, 70% for the capital expenditure for the incremental capacity addition to grow at a CAGR of 20%.

And because of we are growing more than 20%. So we need to add some additional working capital. So balance 30% of accrual will be kept for the incremental working capital requirements.

So that is our overall plan to use our cash flow for the next 3 to 4 years.

Rahul Agarwal: Sir, I was actually talking about the cash remaining in the balance sheet even after using working capital. So even at 90 days of sales, you need INR500 crores, INR600 crores of working capital and...

Rajeev Gupta: Normally the size of the company, INR500 crores to INR600 crores cash will always be carried. Only the additional INR200 crores, INR300 crores cash, it may go up, it may go down depending on the receivable and the inventory cycle because it cannot remain same on month-to-month basis. On an average, it is there.

But on a month-to basis, it may increase or decrease. If suppose a sudden jump in the raw material price, then for that particular month, it will increase substantially. So cash will not be there at that time. So because of that, we need to have the cash at INR500 crores to INR600 crores level at any given point of time in the balance sheet.

Rahul Agarwal: Got it, sir.

Rajeev Gupta: Because we are running a debt-free company. And with this guidance, we will be continuing running as a debt-free company for next 4 to 5 years with a top line growth of 20% CAGR, depending on the capacity we are going to add.

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Rahul Agarwal: Got it, sir. Got it. And this -- just to double-click on this fourth quarter volume growth, you said 2%. How do you read this in terms of your own expectations in the quarter? I understand there have been a lot of fluctuations on a Q-o-Q basis, month-on-month basis, environment is not normal. But what is your expectation, how was the performance?

Rajeev Gupta: Sir, there are 2 aspects to this. First is th

e capital allocation. If we are allocating the capital of 60%, 70% towards the capex and 30% for incremental working capital requirement, considering we will be growing a CAGR of 20% plus, okay? So if the value is increasing and the volume is also increasing, then we may be requiring more additional working capital also. So by saying 30%, 40% is very easy. But to arrange the capital for that also, we need some allocation. So we have already allocated to the capital expenditure, then we need to have to borrow. So as of now, we are not borrowing. And whatever capacity we are creating, we are creating a capacity with a volume growth of 17%, 18% because last year in Sanand, the 6 months was delayed because of that, that volume could not be added into the sales.

So because of that, the volume growth was not there because otherwise, all the Rajasthan plant, even in '24, '25, they were running at a peak capacity. So whatever capacity increased in the Chinchpada plant in the second half of the '24-'25, that has contributed only towards the volume growth.

So because of that, the last year, the copper has -- copper metal consumption has grown by 15%, but aluminum metal consumption was flat because the Sanand was not operative at that time.

Now the Sanand is operative and the Chinchpada is having the capacity for the wire. So then we will be operating again back to the 17%, 18% volume growth.

Moderator: Thank you. Next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Sir, just wanted to clarify something. Earlier, we had given a number of around INR2,700 crores from Sanand plant in FY27. Are you still sticking to that? And if yes, then 18% volumes would actually be slightly higher if actually you do INR2,700 crores is the question. And the second clarification...

Rajeev Gupta: Not only from Sanand, but from Chinchpada also, for the wire. That is mainly for copper.
Umang Mehta: Understood. And just to reconfirm something you said to Pulkit earlier, 17%, 18% volume plus if prices sustain as they are, then on an annual basis, we are looking at 25% plus top line growth.
That's correct, right?
Rajeev Gupta: As of now, if the prices may increase, the value will automatically will be clear. But we can't say the value will increase, the price will increase or decrease at this moment of time. There may be price increase also.
Umang Mehta: Sure Sir thank you so much for answering my question.
Moderator: Thank you. Next question is from the line of Akshay Gattani from UBS. Please proceed.

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Akshay Gattani: Hi Thankyou for the opportunity. Earlier, you commented export revenue share guidance of around 20% of revenue for FY27. And if we assume even a 20% company level revenue, this implies export revenue growing more than 50%. So a large part of 15% to 18% volume growth is supported by exports. So is there any identified geography which is contributing to this? Any particular product which will drive sharp increase in exports?
Anil Gupta: Products and geographies will remain same where we are exporting. It will -- increased volume will come from the same geographies and similar type of project.
Akshay Gattani: Okay. So this is more of a broad-based rising acceptability of Indian product in the export market?
Anil Gupta: Yes, yes.
Akshay Gattani: And on the volume growth front, sir, volume growth is accelerating from 6.5% in FY26 to 16% to 18% in '27. So how would this impact operating leverage? And do you expect any preoperative expenses for Phase 2 of Sanand plant?
Rajeev Gupta: Sir, already we have guided that from '27, '28 when the Sanand will be at full capacity. So that will be the first year in '27, '28. So another 0.5% EBITDA margin will get improved because of economy of scale. In the current financial year, already operating margin has improved from 10.18% to 10.46%. And another 20, 25 bps point, it will further increase year after year because of the economy of the scale and having more export and more B2C business.
Akshay Gattani: Got it got it thankyou.
Moderator: Thank you. Next question is from the line of Anuj Shah from PhillipCapital. Please go ahead.
Anuj Shah: Congratulations to the entire team of KEI Industries for delivering good set of numbers. Actually, just wanted to reiterate the breakup of the current order book that you had mentioned. Actually, I had missed it. So if you could just give us the breakup of the current order book, sir, that would be great? Thank you.
Rajeev Gupta: Yes. Sir, EPC order book is INR309 crores. Extra high-voltage power cable order book is INR625 crores. Domestic cable order book is INR2,154 crores and export cable order is INR497 crores. Put together, all is INR3,585 crores as of 31st March 2026. And L1 on EHV, another order is INR233 crores.
Anuj Shah: Okay sir, thankyou.
Moderator: Thank you. Next question is from the line of Parshv Shah from Mehta Equities PMS. Please go ahead.
Parshv Shah: Sir, congratulations to the entire team. I want to understand about export business, particularly in the U.S. Since you said you are looking good traction can be come from U.S. So what kind of orders, product or business that you are expecting from U.S. business? I want to know about particularly from the data centers area? Thank you.

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Anil Gupta: See, data centers, I think we expect to supply them mainly HT cables and also some copper flexible. But presently, our market, what we have built for data center is only for the medium voltage HT cables to U.S. And we are working out that what other cables can be sold in the data centers because when we sell to data centers, we have to face competition from their American domestic industry as well.
So because of the utilization of U.S. market last year, the progress in market development was stalled, which has restarted now. We'll be able to let you know about it in our next presentation.
Parshv Shah: Right, right. So I want to know about what kind of order book is currently from U.S. side and approximately what kind of margin that we are taking from U.S. business?
Rajeev Gupta: Basically, In U.S. market, close to INR50 crores, INR60 crores order book as of 31st March 2026 was there. But as Anilji, is saying that now this market has opened after the tariff has

reduced. So now our marketing team is traveling over there, and they are recapturing our existing customers and adding new customers.

So in future, this will be adding up. So up till August last year, we have reached close to INR40 crores per month sales. So within 3 months' time, we will try to reach first at that level, then it will be further adding to our business.

Parshv Shah: Right, right. And this is our value-added product area?

Rajeev Gupta: Every product is a value-added product.

Parshv Shah: I want to know about the EBITDA margin of U.S. market?

Rajeev Gupta: Sir, average EBITDA margin is close to 11% for all exports.

Parshv Shah: Okay sir, thankyou and all the best to your team.

Moderator: Thank you. Next question is from the line of Ankit Soni from Mirae Asset Sharekhan. Please go ahead.

Ankit Soni: Hi Sir, Congratulations for a good set of numbers. Just wanted to be having 2 to 3 questions. So the Sanand facility, second phase was, I believe, earlier operational in around August or September month. So has that got to delayed to quarter 4? So am I reading it right?

Rajeev Gupta: Already the whole Sanand plant got delayed by 6 months. So the Phase 1 also got delayed by 6 months. So the second phase also will get delayed by 6 months because the construction will be in progress. So by March 2027, the extra high-voltage power cable production will be there.

Ankit Soni: Okay. And so I believe first phase will be fully operational for finan

cial year '27 will be giving

you a growth of -- volume growth of around 17% to 18%. And the second phase, which will be operational by around quarter 4, would open up what sort of volume growth for financial year '28?

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Rajeev Gupta: It will be another 17%, 18% volume growth will be there.

Ankit Soni: Okay. Another 17%, 18%. Sure. And so with respect to the price hikes, so have we taken all the price hikes in relation to what was the raw material increase maybe till March 31 or maybe till here? Are we taking another price hike going forward?

Rajeev Gupta: Sir, that is our business model. Whenever price increase, we are increasing the price of the cable. Whenever decrease, we are decreasing the price of the cable. So there is no issue for the pass on since last 4, 5 years, if you see our balance sheet, you will not find a fluctuation in our EBITDA margin.

Ankit Soni: Okay. Sure. And if you can just let me know what was the price hike we took in financial year '26?

Rajeev Gupta: Sir, in every order we price hike, it's an order-to-order basis because we are quoting in a day at least 10 to 15 tenders. So these kind of price are getting passed on, on every day basis, not on a month-month basis. Only in the case of retail, the prices revised twice a month. But in the institutional sales, where order to make sale is there. Every day, we are quoting and every day, we are quoting on a prevailing market price.

Moderator: Thank you. Next question is from the line of Nikhil Purohit from Fident Asset Management. Please go ahead.

Nikhil Purohit: Thanxyou for the opportunity. Congrats on a great set. Most of my answers -- most of my questions have been answered. I just had one question. In this institutional business and the distribution business, can you tell me the cables versus wire share in both of these segments?

Rajeev Gupta: See, major share in the institutional is for the cable only. And for the dealer distribution business, there is almost 55% business belongs to wires and close to 45% to 50% business belong to the cable.

Nikhil Purohit: Okay. So wires was stronger this quarter, right?

Rajeev Gupta: Wire is always -- we are going close to...

Anil Gupta: No, no. The dealer -- through dealer network, we sell cables as well.

Rajeev Gupta: That's why I said, almost 45% to 50% we are selling to cable and 50% to 55% through dealer distributor, we are selling our wire product.

Moderator: Thank you. The next question is from the line of from Devarshi Jani from -- who is an Individual Investor. Please go ahead.

Devarshi Jani: Congratulations for the good set of numbers. I just have one -- want to clarify the one doubt, sir. For entire total institutional sales, including the export increased by around 19%. But the share of the total revenue is somewhat decreased. Could you explain the EHV segment strategy? This

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quarter, domestic sales increased from INR115 crores to INR188 crores. Is this where you anticipate the main future institutional growth?

Rajeev Gupta: In the institutional sale belongs to the domestic market as well as to export market. So with the constraint in the capacity, if the export is increasing, then the domestic sales to institution will go down. So only that was the reason.

Otherwise, the market size in the domestic front is also very strong and in export market is also we are improving year after year. In extra high-voltage power cable because in '24, '25, the sale was less. So because of that, in '25, '26, it is increasing. It is showing increasing actually.

Moderator: Thank you. Next question is from the line of Archit Shah from 360 Capital. Please proceed.

Archit Shah: Congratulations for the good set of numbers. Sir, just one question. Could you give a split in volume growth for annual and for 4Q were cables versus wires, the 2% and 6% s

plit?

Rajeev Gupta: Sir, volume is not available for separate because in our factories of Silvassa and Chinchpada we are making -- within the same factory, we are making the wire as well as cable.

Archit Shah: Okay. But would it be directionally right to say that cables volume would have outperformed wires or...

Rajeev Gupta: No, sir. Volume is dependent on the capacity actually. We were not having the capacity for cable actually.

Archit Shah: Okay. Okay. So this 2% was mainly led by wires you're saying?

Rajeev Gupta: Market is so strong. Market is so strong. Demand is so strong in our Indian market and in overseas market. Whatever capacity we are having, we are able to sell easily. So because our Sanand plant get delayed by 6 months. So because of that, the sale plan with -- from the Sanand was not happened in '25, '26. So because of this, we have grown in terms of value because the prices has increased. But in terms of volume, we could have grown only from the -- our Silvassa, Chinchpada plant actually.

Archit Shah: Okay. Okay Got it sir.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Anil Gupta: Thank you very much for joining this conference call. I hope that we have been able to answer most of your questions. If still you have any queries, you can refer it back to us. Thank you.

Moderator: Thank you, sir. On behalf of Nuvama Institutional Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.